Law and Governance

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How Doctrine Enables, Supports, and Degrades Cooperation

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For Zeeva.

May the institutions you inherit
be susceptible to the wisdom you cultivate.

הֱוֵי מִתְפַּלֵּל בִּשְׁלוֹמָהּ שֶׁל מַלְכוּת, שֶׁאִלְמָלֵא מוֹרָאָהּ, אִישׁ אֶת רֵעֵהוּ חַיִּים בְּלָעוּ.

Pray for the integrity of the governing institution,
for without its awe,
a man would swallow his fellow alive.

— Pirkei Avot 3:2

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Introduction

Law often changes institutions without seeing what those institutions do.

Courts see a plaintiff, a defendant, and a dispute. Agencies see a violation and a remedy. Legislatures see a policy problem and a rule to solve it. Those frames are often useful. They are not complete. Groups also solve shared problems through institutions that make decisions, monitor conduct, impose sanctions, and revise their own rules over time. Those institutions govern. Law acts on them constantly. Yet legal analysis rarely treats governance itself as a distinct object of analysis.

This book starts from that gap.

In 1959, the New York Stock Exchange ordered its member firms to cut all private wire connections with Harold Silver, a nonmember broker.[1] Silver received no charges, no hearing, and no explanation. The Supreme Court later held that the exchange's action could not escape antitrust scrutiny and that basic procedural protections were required before exclusion. The Court addressed a real abuse. But it did not ask what its intervention would do to the exchange's capacity to govern its own members quickly and credibly. Over time, the exchange's disciplinary authority moved into a heavily supervised procedural framework. A legal remedy aimed at one wrong changed the institution that managed market integrity.

A similar pattern appears outside securities law. After the Larry Nassar scandal, federal enforcement against Michigan State University required new policies, new training, new coordinators, and retrospective review.[2] Those reforms responded to visible failures. They did not directly repair the reporting structure that had allowed

complaints to be suppressed inside the athletic department. The institution changed its compliance surface more than its governance architecture. The problem was not only misconduct. The problem was a structure that prevented accurate monitoring and accountability.

A third example comes from outside courts and agencies. In a famous field experiment in Israeli daycare centers, researchers imposed a fine on parents who arrived late to pick up their children.[3] The obvious prediction was that tardiness would fall. It rose instead, and the higher rate persisted after the fine disappeared. The price displaced a social norm. What had been governed by guilt, reputation, and shared expectations was recast as a paid option. The intervention addressed a behavior. It also damaged the institution that had governed the behavior.

These examples share a structure. In each one, an institution managed a shared problem through its own internal mechanisms. In each one, a legal or policy intervention addressed an immediate problem that observers could easily see. In each one, the intervention also weakened, displaced, or ignored the governance system that made cooperation possible in the first place. That recurring pattern is the subject of this book.

The central claim is simple. Governance is the organized system by which a group manages a shared problem over time. A governance institution must do four things. It must make decisions that members treat as binding. It must monitor conduct. It must impose sanctions with enough credibility to affect behavior. And it must adjust when conditions change. If any one of those elements fails, governance degrades. If law changes one of those elements, law changes governance whether it says so or not. The present book

supplies the missing variable: a definition of governance precise enough to travel across legal fields.

Legal scholarship has not lacked interest in governance. It has lacked a definition that travels across fields. Corporate lawyers speak of governance when they discuss boards, shareholder rights, and fiduciary duties. Administrative lawyers speak of governance when they discuss collaborative regulation and experimentalism. Political scientists use the term for state steering, networked authority, and international order. Commons scholars use it for collective action and institutional design. Each usage captures something important. None supplies a general legal account of governance as such. The same word names different objects in different literatures, which makes cross-field legal analysis difficult and sometimes impossible.

This book supplies that missing account. It establishes a functional definition of governance that travels across fields and identifies its minimum elements. It demonstrates the legal conditions that allow governance institutions to form and persist. It shows why many governance institutions have the structure of club goods rather than public goods. It distinguishes benefits that governance institutions supply to members from spillover benefits they generate for outsiders. And it offers a method for evaluating legal rules by what they do to governance.

That last contribution matters most. Law is usually judged by the rights it protects, the injuries it remedies, the incentives it creates, or the distributions it produces. Those are real and necessary perspectives. This book adds another one. It asks what a legal rule does to the institution through which a group manages a shared problem over time. Some legal rules enable governance. They protect membership boundaries, reduce the cost of monitoring, enforce internal decisions, or preserve room for institutional adaptation.

Some legal rules degrade governance. They disable exclusion, dissolve accountability, substitute paperwork for institutional function, or impose remedies that correct one abuse by damaging the whole system. Some legal rules discipline governance in a narrower and more careful way. They target a specific failure while preserving the institution's capacity to govern. Legal analysis often misses that difference, partly because governance has not been cognizable as a distinct legal object. This book argues that it should be.

This book acknowledges that governance can produce exclusion, entrench insiders, mask coercion, and impose serious costs on outsiders. A governance institution is not good because it governs. It may be captured, abusive, or badly designed. The task is to judge governance with clarity and precision, not to defer to it blindly or attack it reflexively. Law cannot judge governance well unless it can first see governance clearly. A court cannot calibrate a remedy to an institution it does not recognize. An agency cannot repair a monitoring failure it does not identify as structural. A legislature cannot weigh governance costs it cannot describe. Making governance cognizable—visible and analytically precise in legal analysis—is a prerequisite to any sound assessment of law's effects on institutions.

The book proceeds in three Parts.

Part I defines governance and identifies its legal conditions. It begins by offering a general definition that can travel across corporate law, administrative law, commons scholarship, nonprofit law, network governance, and related fields. It then surveys the existing vocabularies of governance to show why none of them provides a stable cross-field legal concept. Next it places the project in the traditions that came closest to this task, especially legal institutionalism, commons analysis, and transaction cost economics. It ends by

identifying six legal conditions that governance institutions need if they are to form, persist, and remain accountable.

Part II develops the book's original theory. It argues that governance often has the structure of a club good. That claim helps explain why exclusion is central to governance, why governance is often undersupplied, and why legal rules that weaken excludability can have large institutional effects. Part II then separates member benefits from spillover benefits, develops the mechanisms by which law enables or degrades governance, and states a seven-step method for evaluating legal rules by their governance effects. The evaluative contribution is the book's central payoff.

Part III applies the framework across several institutional settings. It examines merchant networks and private dispute resolution, the New York Stock Exchange, corporate governance, universities and nonprofits, and law reviews as knowledge-producing institutions. It then turns to the limits of the framework itself. The application chapters do not try to force identical answers across different domains. They test whether the same method can explain different institutions with different problems, different legal settings, and different risks of failure.

The book therefore makes both a definitional claim and a methodological one. The definitional claim is that governance is a distinct institutional phenomenon with minimum elements that legal analysis can identify. The methodological claim is that law should be evaluated in part by what it does to governance. Once that variable becomes visible, familiar disputes look different. Some doctrines appear more justified than they first seemed because they subsidize the production of valuable governance. Other doctrines appear less attractive because they solve a narrow problem while degrading the institution that managed a broader one.

A final clarification is necessary at the outset. This book treats governance as one value legal analysis must weigh alongside rights, efficiency, distribution, and legitimacy. Governance cannot be weighed well unless it is defined with precision. A legal system that cannot identify governance will tend to undervalue it. A legal system that romanticizes governance will overprotect it. The task is neither blindness nor deference. The task is clearer analysis—and recognizing governance as a legally cognizable object makes that clearer analysis possible.

That is the aim of this book. It names governance as a legal variable, defines the conditions under which governance exists, explains how law changes governance, and offers a way to judge those changes across fields that legal scholarship usually treats separately.

Part I: Defining Governance and Its Legal Conditions

Governance is one of the most familiar words in legal scholarship and one of the least settled. Corporate lawyers invoke it to describe the allocation of authority within firms. Public law scholars use it to describe the administration of state power. Commons scholars use it to explain how communities manage shared resources. International lawyers use it to describe coordination beyond the state. Each usage captures something real, but the concept shifts from field to field. The result is that legal analysis often treats governance as important while leaving its meaning unstable.

Part I provides the foundation the rest of this book requires. Before law can be evaluated by what it does to governance, governance must be specified as a legal object. That means more than collecting

familiar examples under a broad label. It means identifying what makes governance governance, what functional elements any governance institution must possess, and what legal conditions allow those institutions to form, persist, and remain accountable over time.

Chapter 1 begins with the core definitional claim. Governance is the organized system by which a group manages a shared problem over time. Each component of that definition does analytical work. "Organized" distinguishes governance from spontaneous order. "System" emphasizes that governance is not a loose assortment of rules but an integrated structure whose parts depend on one another. "Group" and "shared problem" identify the constituency and the institutional task. "Over time" explains why governance must include not only present control but also the capacity to adapt as circumstances change. From that definition follow four indispensable functional elements: decision-making, monitoring, sanctions, and adjustment.

Chapter 2 maps the competing uses of the term. Legal literature speaks fluently about governance, but not uniformly. Corporate governance, administrative governance, commons governance, and global governance each rely on different assumptions about what governance is, who exercises it, and what counts as success or failure. Mapping those usages is necessary because the book's framework is not meant to ignore them; it is meant to explain why they overlap, where they diverge, and what a general legal theory of governance must be able to accommodate.

Chapter 3 places the project in its nearest intellectual lineage: legal institutionalism. Legal realists and later institutional thinkers understood that law does not merely regulate behavior at the margins; it helps constitute the institutions through which social life is

organized. That insight is indispensable to this book. But legal institutionalism stopped short of offering a portable legal ontology of governance itself, or a method for evaluating legal rules by the effects they have on governance institutions. This chapter shows both the inheritance and the gap.

Chapter 4 translates the theory into legal architecture. Governance does not depend on law in every setting, but law determines whether governance can operate in the forms legal analysis most often confronts. Six legal conditions matter especially: permission to organize, membership boundaries, internal decision procedures, external enforceability, fiduciary structure, and stakeholder standing. These conditions do not guarantee successful governance. Institutions can satisfy all six and still perform badly. But without them, governance either cannot form at all or cannot persist in a way that law can meaningfully recognize and evaluate.

Taken together, these four chapters do three things. They establish a definition of governance with enough precision to travel across doctrinal fields. They demonstrate why prior legal vocabularies have not fully captured governance as a general legal phenomenon. And they identify the legal conditions that make governance possible without confusing those conditions with governance success. Part II builds on this foundation by developing the book's theoretical account of governance as a club good. Part III then applies that account across institutions where legal rules predictably enable, discipline, or degrade governance.

Part I is therefore the book's vocabulary-building section, but it is not merely preliminary. The chapters in this Part establish the ontology on which every later claim depends. If the book is right, legal analysis has been missing a variable it regularly relies on but rarely names with precision. Part I is where that variable becomes visible.

Chapter 1: What Is Governance?

People say *governance* all the time. They might mean something fancy, but they rarely define it.

Lacking shared vocabulary, it's hard to talk about governance, *per se*. Instead, we speak about specific applications of governance: how corporations should be held accountable, how trading networks sustain commercial cooperation without courts, how universities exercise enormous public power without public accountability, how digital platforms govern hundreds of millions of users through terms of service and algorithmic enforcement. Rarely, if ever, has an ontology of "governance" been used to resolve a debate about how the law allows or requires shared power.

Yet there are common threads of governance question in all of the above disputes. In all of these settings, the legal question that matters most is not whether a particular rule was violated or whether a particular right was infringed. It is whether the institution that manages the underlying shared problem is capable of doing so, and whether law is helping or quietly destroying that capacity. The key question is whether law promotes governance.

Courts and lawyers routinely miss this question. Three well-documented examples show what missing it costs.

In 1959, the New York Stock Exchange ordered its member firms to cut all private wire connections with Harold Silver, a non-member broker. No charges. No hearing. No explanation. Silver's business was destroyed. When he sued under the Sherman Act, the Supreme Court held that exchange expulsion decisions are subject to antitrust scrutiny and require notice, an explanation of charges, and an opportunity to be heard before a member can be excluded.[4] The Court was enforcing a procedural norm rooted in due process and antitrust policy. What the Court did not ask was what the ruling would do to the exchange's governance architecture. The Securities Acts Amendments of 1975, which followed *Silver* directly, required that all exchange disciplinary actions satisfy administrative due process requirements and that all exchange rule changes receive prior SEC approval before taking effect.[5] The exchange, which had governed itself for decades as a self-regulating institution with swift, informal disciplinary authority, was transformed into a supervised administrative body whose every enforcement action must survive multi-level procedural review.

Paul Mahoney documented what this transformation cost: the exchange's capacity to discipline members quickly and credibly, the very feature that sustained market integrity, was systematically eroded by the procedural apparatus that *Silver* initiated.[6] Indeed, the federal government directly responded to this incident of common law causing a governance crisis by passing statutory reform that effectively reversed *Silver*.[7]

Chapter 10 traces the full sixty-year arc from *Silver* through demutualization and the current constitutional crisis: the book's most detailed case study in what repeated legal intervention does to a governance institution over time.

In 2019, the Department of Education levied a $4.5 million Clery Act fine against Michigan State University, then the largest in history, following the Larry Nassar abuse scandal. A special investigative report had identified the core structural defect: athletic medical staff reported to the athletic department rather than to an independent medical authority, which meant complaints about Nassar were evaluated by the very department whose institutional reputation depended on suppressing them.[8] The federal remedy required revised policies, new Title IX coordinators, mandatory training, and retrospective complaint review. No federal mandate required restructuring the reporting line between athletic medicine and the athletic department. No mandate required reforming the Board of Trustees.

Within a year of the settlement, the interim president appointed to signal a new governance era was himself forced to resign after making statements publicly dismissive of the victims' experiences.[9] The compliance mandate had addressed the outputs of governance failure. The architecture that produced it was untouched.

In ten daycare centers in Haifa, Israel, a research team introduced a fine for parents who arrived late to pick up their children. The expected result was less tardiness.

The observed result was the opposite: late pickups roughly doubled and continued at the elevated rate even after the fine was removed.[10] The fine had converted a social norm, parental guilt about inconveniencing teachers, into a market transaction. Once parents understood that late pickup cost a fee, they felt entitled to be late. They were purchasing a service. The moral obligation that had governed their behavior was not supplemented by the external penalty. It was destroyed by it, permanently.

These three cases share a structure. In each, a legal rule acted on an institution that was governing a shared problem through its own

internal mechanisms: the exchange governing market integrity through rapid discipline, the university governing institutional conduct through internal reporting authority, the daycare community governing parental behavior through social obligation. In each case, the legal intervention addressed a visible problem. In each case, it degraded or destroyed the internal governance mechanism in the process. The exchange became a regulated entity. The university adopted policies that satisfied legal requirements without altering the structural failure. The daycare lost a norm that money could not buy back.

The pattern is not incidental. It follows from a structural gap in legal analysis. Legal analysis is trained to see disputes, rights, and parties. It is not trained to see governance, the ongoing institutional architecture through which groups manage shared problems over time. When law acts on a governance institution without seeing it as a governance institution, the governance consequences are invisible at the moment of decision and costly in the aggregate. The immediate case gets resolved. The institution gets damaged.

Without an ontology of governance, institutional harm is invisible. The present analysis supplies the missing framework. It opens the foundational question: what is governance? It closes with methods that make harms to governance cognizable to law.

Chapter 1. The Architecture of Governance

Governance needs a definition that is precise enough to do legal work and general enough to travel across institutional settings. The concept must distinguish governance from adjacent phenomena — regulation, management, adjudication, spontaneous social order — while identifying the structural features that all governance arrangements share. What follows builds that definition in four steps: it names the problem with the current vocabulary, states the definition this book proposes, identifies the minimum elements that any governance institution requires, and draws the boundaries that separate governance from what it is not.

The word "governance" names everything and therefore nothing

Before answering that question, legal scholarship's silence on the definition problem requires explanation. The difficulty is not that scholars have ignored governance. Governance appears throughout the legal literature, in corporate law, administrative law, commons scholarship, organizational theory, and political science. The difficulty is that in each of these fields the word names something different, and those differences have never been reconciled into a shared legal definition.

When corporate governance scholars use the term, they typically mean the mechanisms allocating authority between shareholders and boards: voting rights, fiduciary duties, the business judgment rule.[11] When administrative law scholars use it, they often mean collaborative and experimentalist approaches to regulation, governance as the alternative to command-and-control rulemaking.[12] When political scientists use it, the term may encompass any

system of authoritative rule, up to and including government itself.[13] When commons scholars use it, the term refers to the internal rules and enforcement mechanisms through which a community manages a shared resource.[14] When a corporate lawyer says "governance" at a board meeting, she may mean something more modest: the documents and procedures required to maintain defensible decision-making and avoid liability.

Each of these usages is coherent within its own field. Together, the usages do not add up to a concept.

The fragmentation is not merely a terminological inconvenience. It has consequences for legal analysis. A legal scholar analyzing corporate governance asks whether shareholder participation in board selection is adequate. A legal scholar analyzing administrative governance asks whether agency rulemaking is sufficiently collaborative. A legal scholar analyzing commons governance asks whether informal norms are self-enforcing. None of these questions is wrong within its field. But the three scholars are analyzing different objects, using the same word, and producing scholarship that cannot speak to each other's conclusions. And none of them is asking the question this book asks: what does law do to governance as such, to the organized system through which a group manages a shared problem, whatever the institutional form, whatever the field? That question requires a definition that travels across fields. No existing definition does.

This book's central claim depends on governance being a distinct legal object with identifiable elements, specific legal conditions of existence, and characteristic vulnerabilities to legal degradation. If governance can mean anything that looks like organized collective action, the claim that legal rules can enable or degrade governance

becomes untestable. Without a stable definition, legal analysis cannot identify which rules affect governance, cannot assess how they affect governance, and cannot determine whether the effect is beneficial or harmful. We cannot judge the law at all.

Governance is the organized system by which a group manages a shared problem over time

Governance requires no charter, board, statute, or state recognition of any kind. Governance requires an architecture capable of sustaining collective management of a shared problem through time. Each element of the definition specifies something that distinguishes governance from adjacent phenomena that law routinely confuses with governance, with consequences examined throughout this book.

Organized means deliberate institutional structure. Spontaneous social order is not governance, though social order may precede governance and support it once governance exists. A crowd that collectively avoids an obstacle has produced order. An institution that has decided how to make collective decisions, how to monitor compliance, how to sanction defection, and how to revise its rules has produced governance. Because governance rests on deliberate structure rather than on spontaneous coordination, it is subject to design and capable of analysis in ways that spontaneous order is not. Deliberate structure can also be deliberately damaged: a legal rule that dismantles an institution's exclusion mechanism or disables its adjustment procedure degrades governance in a way that undermines the whole system, not merely one part of it. A spontaneous order would route around the damage. A governance institution, depending as it does on the integrity of its architecture, cannot.

System means a set of connected mechanisms functioning together, not a collection of separately analyzable rules. Rules alone are not governance. A rule without a monitoring mechanism is an aspiration. Monitoring without a sanction mechanism is observation. Sanctions imposed without recognized decision-making procedures are arbitrary punishment. And decision-making procedures that cannot be revised produce rigidity rather than order. Governance requires all four mechanisms functioning in relation to one another. Treating governance as a collection of separable parts, evaluating the decision-making procedure without asking whether the sanction mechanism is intact, or evaluating the sanction without asking whether the monitoring function is adequate, produces legal analysis that misses the institution's actual vulnerabilities.

By which a group manages establishes that governance is collective in a specific sense. The group may be a two-member limited liability company, a fishing community of a hundred households, or a global trading network spanning dozens of countries. What matters is that management of the shared problem runs through mechanisms the group has established and to which the group is accountable. Regulation, the imposition of rules by an authority external to those it governs, operates differently: the regulatory authority stands outside the group, prescribes rules for the group's conduct, and the group's members neither established the authority nor can unilaterally revise the requirements. Management in the commercial sense operates differently too: a superior directs subordinates within an established hierarchy, and the direction runs downward rather than through collective mechanisms the group itself controls. Governance, regulation, and management can all operate simulta-

neously on the same institution, and often do. But they are distinguishable in structure, and law treats them differently for reasons the distinctions explain.

A shared problem gives governance its purpose and defines its constituency. A governance system with nothing to solve is a formality, and formalities without function tend not to survive. More importantly for legal analysis, the shared problem identifies who should have standing to challenge governance decisions, who bears the costs of governance failure, and whose interests a court should weigh when asked to intervene in a governance dispute. Courts that resolve governance disputes without identifying the shared problem, treating a network-member expulsion, for example, as a dispute between two parties over a contract, systematically misidentify the relevant constituency and therefore systematically misapply legal remedies. Part III of this book examines that pattern across multiple doctrinal fields.

Over time distinguishes governance from a contract and from a one-time act of collective decision-making. A contract allocates rights and obligations between parties to a transaction. A vote resolves a particular question at a particular moment. Governance creates an ongoing system for managing a category of recurring problems, and governance persists as long as the shared problem persists. The temporal dimension generates the requirement for an adjustment mechanism, creates the vulnerability to institutional decay, and explains why legal rules that appear to solve a narrow problem in the present can have effects on governance capacity that become visible only over time. Courts that optimize for the immediate dispute and ignore the institution's temporal dimension are not merely missing context. They are imposing costs on future members of the institution who had no party in the litigation.

Governance requires four elements, and the absence of any one compromises the institution's capacity to govern

This framework identifies four elements as the minimum architecture of governance. When any one is absent or has been disabled, the institution may persist through informal means, through historical momentum, or through the unchecked authority of whoever holds power within it. An institution missing one of the four elements lacks the structural capacity to sustain cooperation when the conditions that test cooperation arise: when stakes are high enough to make defection attractive, when membership turns over and new members have no stake in prior understandings, or when external pressures challenge established rules.

Decision-making. Governance requires a recognized procedure for determining what collective action requires. The key word is recognized: the procedure must be one that members of the institution regard as authoritative, so that decisions made through the procedure bind the institution even when individual members disagree with the outcome. Rules can exist without any recognized process for making, revising, or authorizing them, and when they do, the institution has no way to respond to members who exploit gaps in existing rules, no way to adapt when the rules prove inadequate, and no way to resolve disputes that the rules do not clearly cover. In a public company, the decision-making function runs through board resolutions and shareholder votes governed by corporate statutes and the company's charter. In the Diamond Dealers Club, the decision-making function runs through the club's internal arbitration system and its council of senior members. In a fishing community, decision-making authority may run through seasonal

meetings at which those who fish the waters renegotiate territories and quotas. The institutional form varies enormously. Without some recognized procedure, the institution cannot adapt to new circumstances, cannot resolve internal disputes authoritatively, and cannot respond to members who find and exploit gaps. Such an institution has rules but not governance.

Monitoring. Rules are meaningless without information about compliance. Governance requires a system to observe member behavior, detect defection from institutional norms, and generate the information on which sanctions depend. Monitoring is a second-order collective action problem: the benefits of monitoring, knowing who is complying and who is not, are shared across all members of the institution, but the costs fall on whoever does the watching. Because the benefits are shared while the costs are private, monitoring will be systematically undersupplied if left to individual initiative. Each member has an incentive to expect that monitoring costs will fall on others. Governance addresses this problem by institutionalizing the monitoring function: assigning the monitoring role, structuring the monitoring process, and sustaining it through institutional resources rather than individual initiative.[15]

Courts and regulators who impose external monitoring requirements on private governance networks sometimes assume that external oversight supplements and improves internal monitoring. External monitoring can do that. But external monitoring can also crowd out internal monitoring by signaling to members that their own oversight efforts are no longer trusted or necessary, thereby weakening the voluntary compliance on which private governance depends. The Haifa daycare study illustrates the mechanism at its most vivid: parents who had complied with pickup norms out of social obligation began treating the fine as a price for extended care,

and when the fine was removed the norm did not return.[16] Elinor Ostrom, Roy Gardner, and James Walker documented the same dynamic in controlled experiments with common-pool resource users: groups that governed themselves through communication and mutual monitoring achieved significantly better outcomes than those subjected to external regulation with imperfect enforcement, because the external rules displaced the trust and reciprocity that had sustained voluntary cooperation.[17] Whether a particular external monitoring requirement strengthens or weakens governance depends on understanding monitoring as a collective good that the institution must actively maintain, not a procedural check that external oversight can substitute for at will.

Sanctions. When monitoring detects a breach of institutional norms, governance requires the capacity to impose costs on the violator. Two properties determine whether a sanction mechanism can function. First, credibility: the sanction must actually be applied when monitoring detects a violation, not merely threatened and then forgiven. A governance system in which detected violations are systematically overlooked, or punished only selectively, gives members an incentive to test the institution's limits rather than comply with its rules. Second, graduation: the sanction must be calibrated to the severity of the breach and the circumstances of the violation. A system that responds to all violations with identical penalties cannot distinguish innocent error from strategic defection. Innocent error and strategic defection are different problems that require different responses, and a governance system that treats them identically will produce the wrong response to both.

In private governance institutions, the paradigm sanction is exclusion. Private institutions generally lack the state's monopoly on legitimate physical force: they cannot imprison violators or seize

property through legal process. What private institutions can do, and what most private governance systems depend upon, is deny the violator access to the benefits of membership. The expelled diamond merchant loses access to the trading floor. The expelled student loses the credential. Exclusion converts membership into a stake that members hold in good standing and forfeit through misconduct. The credible threat of forfeiture is what makes compliance rational for members who might otherwise defect.

Excludability is therefore not merely a feature of governance but a structural condition of it. An institution that cannot meaningfully exclude defectors cannot sustain the sanction mechanism governance requires, which means monitoring and decision-making functions operate without consequence. Courts and legislatures that weaken the excludability of private governance institutions, by requiring reinstatement of expelled members, imposing liability for exclusion decisions, or treating expulsion as a tort, are not adjusting internal rules. They are disabling the sanction mechanism and thereby degrading the institution's governance capacity as a whole. The governance implications of judicial intervention in exclusion decisions are examined in detail in Chapters 7 and 10.

Adjustment. Governance must be capable of revising itself. Shared problems change as the conditions that generate them change: markets shift, technologies create new opportunities for defection, membership turns over, and members find new ways to exploit gaps in existing rules. A governance system that cannot modify its own parameters will eventually fail, not because the original rules were wrong when written but because those rules are no longer adequate to the problem the institution exists to solve. An institution that cannot adjust is an institution that can only decay.

Adjustment has two distinct dimensions. The first is the capacity to revise the rules that govern member conduct: to update specific requirements, close loopholes, and calibrate sanctions to changed circumstances. The second, and more fundamental, is the capacity to revise the governance system itself: to change how decisions are made, how monitoring is organized, how sanctions are applied, and who belongs to the institution. An institution with the first capacity but not the second can respond to immediate problems but not to the structural failures that cause those problems to recur. Ostrom found that the ability of affected parties to modify the rules they live under is among the design principles most strongly associated with long-term institutional survival.[18] The reason is not mysterious: a governance system that cannot be changed by those subject to it will eventually lose the legitimacy on which voluntary compliance depends. Members who cannot change rules they regard as inadequate will work around those rules instead, and as more members do so, the system loses both effectiveness and the social support that enforcement requires. The absence of any meaningful adjustment mechanism is therefore one of the most reliable predictors of governance failure, and, as Chapter 12 argues, it is the specific failure at the center of the university governance crisis examined in that chapter.

Three levels of adjustment capacity can be distinguished, each producing different governance resilience. The first level is reactive adjustment: the institution corrects identified failures after the fact. The Diamond Dealers Club operated primarily at this level, modifying arbitration procedures and sanctions when specific disputes revealed gaps in existing rules.[19] The second level is periodic adjustment: the institution schedules regular review cycles that evaluate governance adequacy independent of any particular failure. The

NYSE's post-1975 governance operated at this level, with Section 19(b) of the Securities Acts Amendments of 1975 requiring SROs to file proposed rule changes with the SEC for mandatory review before implementation.[20] The third level is adaptive adjustment: the institution maintains continuous monitoring with threshold-triggered revision, modifying governance parameters automatically when specified conditions are met. Decentralized autonomous organizations provide the clearest contemporary example, with governance protocols that trigger revision proposals when on-chain metrics cross predefined thresholds.[21] Higher adjustment levels do not supersede lower ones. An institution with adaptive capacity still requires the ability to correct specific failures reactively. The levels are cumulative. An institution that operates only at the reactive level will survive longer than one with no adjustment capacity at all, but it will lag behind evolving problems rather than anticipating them. An institution with periodic review will catch some problems earlier, but may be too slow where conditions change between review cycles. The level of adjustment capacity an institution needs depends on the rate at which the shared problem it addresses changes and the cost of governance failure during the interval between adjustment events.

Output-based functionality criteria

Governance institutions succeed or fail by whether they accomplish what they are designed to accomplish. This framework proposes four output-based criteria that distinguish working governance from institutional form without substance. First, monitoring must generate conduct-governing information that decision-makers ac-

tually use in their decisions, not information that documents defection but is systematically ignored. Second, sanctioning must be applied at a frequency consistent with the violation rate the institution detects, not selectively imposed or withheld based on political considerations internal to the institution. Third, decision-making must govern actual member conduct, not merely express formal preferences that members ignore in practice. Fourth, rules must change in response to documented circumstances in which the existing rules prove inadequate, not persist unchanged through repeated failures and shifting conditions.

An institution satisfying the four functional elements — decision-making, monitoring, sanctions, and adjustment — satisfies the structural definition of governance. An institution failing any of these output-based criteria — where monitoring produces unused information, sanctions are imposed inconsistently, decisions do not translate to conduct, or rules cannot adapt — is failing at governance regardless of whether the structural elements are formally present. This distinction becomes the basis for evaluating law by its effects on governance, the task Chapter 8 develops through its two-step method. The output-based criteria are what Step 2 of that method applies: does the governance institution satisfy these functionality requirements, and if not, is law helping or hindering the institution's capacity to satisfy them?

What governance is not

Four distinctions matter for legal analysis. Misidentifying governance leads directly to misapplying legal rules, because the legal framework appropriate to regulation is not appropriate to private self-governance, the framework appropriate to employment and

agency is not appropriate to a governing body, and the framework appropriate to judicial proceedings is not appropriate to governance decisions. Each of these errors has doctrinal consequences that Part III of this book traces across multiple fields.

Governance is not regulation.

Regulation is the imposition of requirements by an authority external to those it regulates. The regulatory authority stands outside the group and prescribes rules for the group's conduct; the group's members did not establish the authority, did not design the rules, and cannot unilaterally revise the requirements. Governance operates from inside: a group manages its own shared problem through mechanisms the group's members have established and can modify. A state environmental agency imposing emissions standards on a trade association is regulating. The trade association managing its members' compliance obligations through internal rules, monitoring, and sanctions is governing. Regulation and governance can coexist, and the state may regulate the conditions under which private governance operates, but the two are different in kind, and applying regulatory criteria to governance produces distortions. Legal analysis that demands democratic legitimacy, procedural due process, or non-discrimination compliance from a private trading network is applying standards calibrated for state power to an institution that holds no state power. Legal analysis that exempts a private governance institution from any scrutiny on the ground that it is merely self-regulatory ignores the public consequences that governance failure can produce. Neither approach is coherent. A framework that distinguishes governance from regulation can identify which standards apply and why.

Governance is not management.

Management is the direction of an organization's resources and personnel by those holding hierarchical authority within that organization. A chief executive manages a corporation. A provost manages an academic program. A general counsel manages the legal department. In each case, superiors direct subordinates within an established hierarchy, and the legal frameworks governing those relationships, employment law, agency law, fiduciary duty to the entity, are designed for that vertical structure. A governing body does something different: it manages a shared problem on behalf of a constituency that includes but is not limited to the organization's employees and officers. The university board of trustees governs the university, setting the institution's mission, overseeing its finances, and holding the administration accountable to the institution's purposes. The provost manages the university's academic operations, directing faculty and staff toward institutional objectives. Conflating these roles leads courts to apply employment and agency doctrines to governance decisions, asking whether a board member was acting within the scope of employment, or whether a governance decision was a managerial prerogative, when the applicable framework is the law of fiduciary duty and institutional accountability to the governed constituency.

Governance is not adjudication.

Adjudication is the resolution of a specific dispute between identified parties by an authoritative third party. Courts adjudicate. Arbitrators adjudicate. Many governance institutions contain adjudicative functions: internal arbitration systems, grievance procedures, discipline committees. Those functions resemble adjudica-

tion closely enough to generate confusion. Courts that treat governance institutions as adjudicative bodies tend to evaluate governance decisions by standards appropriate to judicial proceedings: Was the party given notice? Was there an opportunity to be heard? Was the decision-maker impartial? Was the outcome reasoned and explained? These are necessary questions about an adjudication. For a governance decision, they are necessary but not sufficient, and sometimes they are not even the most important questions. Governance is ongoing where adjudication is episodic, preventive where adjudication is remedial, prospective where adjudication is retrospective. A governance institution required to satisfy the full apparatus of judicial process before every sanction, exclusion, or rule revision would be administratively unable to govern. The institutional cost of applying adjudicative procedure to every governance action would consume the resources and attention the governance system depends on. The legal challenge is to identify which governance decisions warrant adjudicative scrutiny and which should be evaluated on governance terms, a question Chapter 9 addresses directly.

Governance is not spontaneous social order.

Governance frequently grows from spontaneous social order and continues to depend on it, which is why this is the hardest distinction to maintain. Ellickson's study of Shasta County cattle ranchers showed that close-knit communities develop informal norms resolving disputes efficiently without legal intervention, through mutual monitoring, gossip, and graduated social pressure.[22] Those norms produce effects resembling governance effects: they allocate entitlements, enforce expectations, and sustain cooperation across a community of interdependent actors. Ellickson's cattle

ranchers rarely used the formal legal system even when formal legal rules would have supported their claims, because the informal social order resolved their disputes more quickly, more cheaply, and more accurately.

What the Shasta County ranchers lack is the institutional structure governance requires. Their social order operates through individual self-help and community social pressure, without any recognized collective decision-making procedure for establishing or modifying the norms governing cattle trespass. Individual ranchers observe violations that happen to occur in their vicinity, but no institution has the responsibility or resources to monitor compliance systematically. Violations are met with informal grumbling, reciprocal self-help, and reputation effects that vary with the informal social standing of the parties. The community is self-ordering. It is not self-governing.

The distinction matters for legal analysis in two ways. First, courts and regulators that engage with a spontaneous social order as though it were a governance institution, imposing procedural requirements, demanding records of deliberation, treating the community's informal norms as equivalent to enacted rules, will disrupt the informal social order without creating governance in its place. Second, courts and regulators that treat a genuine governance institution as though it were merely a spontaneous social order, according it no more protection than the informal understandings of neighbors, will fail to account for the institution's legal conditions of existence and the public consequences of its failure. Drawing the line between social order and governance at the four minimum elements allows each to receive the legal treatment its structure warrants.

Governance does not require formal legal recognition

Governance can be highly formalized: incorporated, publicly subsidized, licensed by the state, and mapped by statute. Governance can also be entirely informal, operating in the shadow of law or deliberately opting out of legal enforcement. Legal status and governance architecture are related but distinct. Formal legal status does not guarantee governance, and informal operation does not preclude it.

The Diamond Dealers Club illustrates the first point. The club has formal legal status as an incorporated organization. Its governance operates largely outside the state legal system: members who have disputes submit those disputes to internal arbitration rather than to courts, and using the state court system to resolve what the club regards as an internal matter is itself treated as a violation of institutional norms, subject to sanction.[23] The club's governance functions because members value access to the trading network and accept the consequences of exclusion, not because the state provides a backstop to the club's rules. State recognition of the club as a legal entity makes it easier for the club to hold property and enter contracts, but the governance that makes the club valuable operates independently of that recognition.

Maine's lobster fishing communities illustrate the second point. Acheson's documentation of these communities found governance operating with no formal legal structure at all: no written bylaws, no formal tribunal, no articles of incorporation.[24] Territory boundaries are established and enforced through graduated sanctions: verbal warnings between fishers escalate to interference with gear, cutting of trap lines, and ultimately exclusion from productive fishing territory. The ostracism mechanism is communicated through social networks spanning the entire Maine coast, so that a fisher excluded from one harbor community finds those sanctions followed

to other harbors. Both the Diamond Dealers Club and the Maine lobster communities solve the same problem, sustaining cooperation and deterring defection among members who share access to a valuable resource, through the same architectural solution: a credible threat of exclusion communicated through networks that make the sanction effectively universal. The difference between Manhattan diamond exchanges and Maine fishing communities is institutional formality. The governance structure is the same.

Decentralized autonomous organizations present the most recent version of this problem. Four American states have enacted statutes granting legal personality to DAOs, conditioning that recognition on a minimum threshold of human governance participation.[25] These statutes reveal something important about the relationship between governance and legal recognition. Before those statutes existed, DAOs already had governance: decision-making through token-holder votes recorded on a blockchain, monitoring through the public and permanent transaction record that blockchains provide, sanctions through automated smart contract execution that imposes costs on accounts that violate protocol rules, and adjustment through governance proposals subject to token-holder vote. The governance existed before legal recognition. The state statutes recognized a governance architecture that was already functioning and imposed human-governance requirements as conditions of that recognition. The state decided whether and how to accommodate governance that already existed. It did not create the governance.

Legal scholars who look for governance by looking for legal form, for the Delaware charter, the registered nonprofit, the licensed exchange, the statutory authorization, will miss governance institutions that have not sought or obtained formal recognition.

Legal scholars who equate formal legal structure with governance will mistake the presence of formal structure for the presence of governance where governance has failed, and will miss the absence of governance behind an elaborate facade of legal form. A university with a self-perpetuating board of trustees, detailed bylaws, tax exemption, and federal accreditation may have less functional governance than a fishing community with none of those things, if the university's formal structures have lost the capacity to make meaningful collective decisions, enforce institutional norms, impose costs on violators, or adapt to changed circumstances.

The definition is analytical, not evaluative. It identifies governance by its architecture, not by whether the governance is good or bad. Governance institutions can be captured by dominant factions and turned against the interests of those the institutions were created to serve. Several examples in this book involve precisely that failure: governance architecture designed to produce inclusive institutions, captured by organized factions, producing systematic exclusion as a structural output.[26] Governance can be coercive. Governance can sustain norms that serve insiders at substantial cost to outsiders. Governance can fail in ways that harm the members it governs and the public that depends on the institution's proper functioning. Identifying an institution as a governance institution does not answer whether its governance is well-designed or badly-designed, serving its constituency or exploiting it, entitled to legal protection or subject to legal correction. Those questions require a method, developed in Chapter 8, for evaluating law by what law does to governance. The definition in this chapter is the prerequisite to that method: once governance is identified by its four elements, the evaluative questions become precise. Is the governance system

managing the right shared problem? Does adjustment remain responsive to changing conditions? Are the sanctions proportionate to the violations they address? Is the institution producing benefits for members and positive effects for outsiders, or benefits for insiders and costs for everyone else?

Those questions are what this book answers. The task of legal analysis is not to find the state's stamp of approval. It is to find the architecture.

Chapter 2: Languages of Governance

Legal scholarship currently lacks a governance vocabulary capable of doing cross-field analytical work. No legal scholar has produced a definition of governance that identifies governance wherever it exists, applies consistent minimum elements, and generates a method for evaluating law by what it does to governance, regardless of institutional form or legal context. This foundational gap matters urgently because law acts on governance institutions in every doctrinal field, yet legal analysis in each field uses governance vocabularies designed for different institutional problems. The consequence is systematic: courts and legislators degrade governance institutions precisely when they attempt to improve them, because they are analyzing governance through field-specific concepts that cannot identify what governance is as a general institutional object. This chapter surveys the existing vocabularies to establish why the gap exists and why the cross-field analytical work this book undertakes cannot proceed without solving it.

Legal scholars have produced a vast literature on governance. Corporate law has its governance vocabulary, built around boards, fiduciary duties, and the separation of ownership from control. Administrative law has its governance vocabulary, built around collab-

oration, participation, and the failure of command-and-control regulation. Political science has several governance vocabularies, built around the state, networks, and international order. Commons scholarship has its governance vocabulary, built around collective action and institutional design. Organizational theory has its governance vocabulary, built around transaction costs and the boundaries of the firm. Nonprofit law has its governance vocabulary, built around charitable missions and fiduciary accountability. Network scholarship has its governance vocabulary, built around reputation, exclusion, and social enforcement.

Each of these vocabularies is well-developed within its field. Each is calibrated to that field's central institutional problem. And because those problems differ from one another — the manager-shareholder agency problem is not the same as the collective-action problem of a fishing community, which is not the same as the legitimacy problem of an international regulatory body — a vocabulary calibrated to solve one problem cannot be straightforwardly applied to the others. When a corporate lawyer reaches for the concept of governance to analyze a fishing community's territorial enforcement system, the vocabulary fails. When a commons scholar reaches for Ostrom's design principles to analyze a public company's board structure, the vocabulary fails. When an administrative law scholar reaches for the new governance framework to analyze a merchant network's private arbitration system, the vocabulary fails.

The observation is not, by itself, a criticism of any field. Fields develop concepts appropriate to their objects of study. The criticism is directed at a specific consequence: legal scholarship currently lacks a governance vocabulary capable of doing cross-field analytical work. The consequence for legal practice is severe. Judicial review of governance decisions proceeds without a coherent legal concept

of what governance is, what it requires to function, or what law does when it acts on governance institutions. The result is that law systematically degrades the very institutions the law intends to improve.

Two of the existing vocabularies — Ostrom's commons governance and Williamson's transaction cost framework — deserve fuller engagement than a survey chapter permits. Both supply foundational concepts for the theory this book develops, and both present interpretive difficulties specific to the legal analysis of governance that require careful treatment. Chapter 3 provides that treatment. This chapter positions those literatures within the broader landscape and signals the questions Chapter 3 will answer.

Chapter 2. Governance Babel

Seven established literatures have each produced governance vocabularies calibrated to their own institutional domains. Surveying them reveals a recurring pattern: each vocabulary captures real features of governance within its field but none supplies the cross-cutting analytical framework that legal analysis requires. The survey proceeds through corporate governance, new governance, political science governance, commons governance, transaction cost economics, nonprofit governance, and network governance — in each case identifying what the vocabulary accomplishes and where it falls short.

Corporate governance: sophisticated but entity-bound

Corporate governance scholarship is the most developed governance vocabulary in legal scholarship. It has produced canonical definitions, institutional economics foundations, sustained empirical research, and a body of case law that engages governance questions with real analytical precision. It is also the vocabulary most likely to mislead a lawyer reaching for a general governance concept, because its sophistication conceals its scope limitation: the entire apparatus is calibrated to the corporation and to the specific principal-agent problem that arises when professional managers control assets on behalf of dispersed investors.

The foundational problem was identified by Adolf A. Berle, Jr. and Gardiner C. Means: when professional managers direct a corporation whose shares are dispersed among many investors, the interests of managers and owners can diverge, and the owners lack the information and coordination capacity to discipline management directly.[27]The governance question, in this framing, is how to align

managerial conduct with owner interests. That question organizes every major definition that followed.

Andrei Shleifer and Robert W. Vishny define corporate governance as dealing with "the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment."[28] The definition is tightly calibrated to the investor-return problem. Governance, for Shleifer and Vishny, is the set of mechanisms — boards, voting rights, fiduciary duties, legal protections — that prevent managers and controlling shareholders from expropriating value from minority shareholders and creditors. Margaret M. Blair offers a broader definition, treating corporate governance as "the whole set of legal, cultural, and institutional arrangements that determine what publicly traded corporations can do, who controls them, how that control is exercised, and how the risks and returns from the activities they undertake are allocated."[29] Blair expanded the scope beyond financiers to include all holders of firm-specific investments, including employees, but her definition still presupposes publicly traded corporations. The OECD Principles of Corporate Governance describe governance as involving "a set of relationships between a company's management, its board, its shareholders and other stakeholders" that "provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance are determined."[30] The OECD definition is broader than investor protection, but still presupposes a company with a board-management-shareholder triad, and specifies no sanction mechanism and no adjustment function.

The board primacy literature locates governance authority in the board itself rather than in shareholders or markets. Stephen M. Bainbridge argues that the board functions not as a shareholder

agent but as a centralized decision-making body whose authority is justified by the need for administrative efficiency in complex organizations, "a sort of Platonic guardian" whose independence is the condition of effective governance.[31] Leo E. Strine, Jr. argues that Delaware law ultimately requires directors to serve stockholder welfare as their ultimate end, though they may consider other interests as means.[32] Both positions are detailed accounts of governance within the corporate form. Neither is designed to be applied anywhere else.

The shareholder-stakeholder debate reveals a deeper problem with the corporate governance vocabulary: it cannot separate the descriptive question of what governance is from the normative question of what governance is for. Shareholder primacy holds that governance exists to solve the agency problem between dispersed owners and professional managers.[33] Stakeholder theory holds that governance exists to coordinate and balance the interests of all affected parties.[34] Both sides define governance by reference to what it should accomplish. Neither provides a definition capable of identifying governance as an institutional object independently of its purpose. The most detailed internal challenge — Margaret M. Blair and Lynn A. Stout's team production theory, which argues the board functions as a "mediating hierarch" balancing all team members' claims — remains equally form-bound: mediating hierarchs require boards, and boards require corporations.[35]

Delaware courts define governance operationally through the standards of review they apply to board conduct. DGCL § 141(a) provides that "the business and affairs of every corporation organized under this chapter shall be managed by or under the direction of a board of directors."[36] Chancellor Allen identified the corporation's conceptual instability — an oscillation between property and social-

entity conceptions that Delaware has never resolved.[37] Specific decisions define governance elements without abstracting them: the shareholder franchise as the "ideological underpinning" of corporate legitimacy in *Blasius*,[38] and the distinction between legal authority and equitable constraint in *Schnell*.[39] The case law is rich. It is also entirely internal to corporate law.

Corporate governance vocabulary presupposes a specific entity form, a specific principal-agent problem, and a specific legal context. A commons — Ostrom's irrigation systems, a Maine lobster community — has no board, no shareholders, and no fiduciary duties. The governance problem is collective action among co-equal users. A merchant network has no single entity, no centralized management, and no hierarchy. A university has shared governance among faculty, administration, and trustees that does not map onto the board-shareholder dyad. Gerald F. Davis has argued that the corporate governance vocabulary is becoming inadequate even for its original domain as the publicly traded corporation becomes a less central organizational form.[40] A vocabulary that struggles with its original object cannot generate a cross-field analytical framework. Legal analysis that begins and ends with corporate governance concepts will not see governance failure in institutions that do not look like corporations — which is to say, it will not see most governance failure.

New governance: prescriptive program without analytical foundation

The administrative and new governance literature has produced the most extensive discussion of governance within legal scholarship. It

has also produced the most systematic confusion between governance as a policy program and governance as an institutional concept.

Jody Freeman's collaborative governance model defines governance through five features: a problem-solving orientation, direct stakeholder participation beyond notice-and-comment, provisional and revisable solutions, shared responsibility for formulating and implementing standards, and negotiation as the central mechanism.[41] These are features of a regulatory design — a prescription for how the administrative state should operate — not an identification of what governance is as an institutional object.

Orly Lobel provides the most thorough mapping of the governance turn across legal fields, identifying eight features that distinguish the new governance model from the New Deal regulatory model: participation and partnership, collaboration, decentralization and diversity, integration across policy domains, flexibility and non-coerciveness, provisionality and dynamic learning, legal pluralism, and pragmatism and outcome-orientation.[42] Lobel's contribution is important: she demonstrates that something called governance has become a paradigm in legal scholarship. But she does not define governance as an institutional object. For Lobel, governance is "the new approach to regulation" — a collection of desirable design principles. Her survey cannot identify governance in a merchant network, a university, or a DAO because it is tethered to the administrative-state context and to a prescriptive reform agenda.

Michael C. Dorf and Charles F. Sabel's democratic experimentalism describes a governance mechanism operating through iteration: set provisional framework goals, experiment locally, benchmark performance, revise rules based on learning, repeat.[43] Charles F. Sabel and William H. Simon extend the program to the administrative state, identifying mandatory reporting, benchmarking, and

periodic revision as the core mechanisms.[44] Both contributions are carefully specified institutional designs. They tell us what good governance looks like in the public-regulatory context. They do not address the minimum architectural requirements for governance to exist as a functional institution at all.

Ian Ayres and John Braithwaite theorize the relationship between state regulation and private self-regulation through the enforcement pyramid, proposing graduated enforcement from persuasion and self-regulation at the base through escalating civil and criminal penalties to license revocation at the apex.[45] The enforcement pyramid is a regulatory technique — a prescription for how the state should deploy enforcement tools. It tells us nothing about what governance is as an institutional object.

The sharpest internal criticism comes from Bradley C. Karkkainen. He argues that the new governance literature lumps fundamentally different institutional phenomena under a single label, lacks analytical precision such that governance becomes a term of approval for preferred regulatory design, presents prescriptive claims as though they were descriptive, and defines governance so broadly that nearly any regulatory reform qualifies.[46] Karkkainen calls for disaggregating the concept into analyzable component mechanisms. His critique directly anticipates this book's project. Joanne Scott and David M. Trubek make a related observation: governance has become an "umbrella concept" that "risk[s] losing its analytical power if it refers to everything."[47]

The new governance literature conflates two different things the word "governance" can name. One is governance as institutional architecture: the organized system by which a group manages a shared problem over time. The other is governance as regulatory

technique: a style of regulatory design characterized by participation, flexibility, and learning. Freeman and Lobel use the second meaning. This book uses the first. That conflation means the new governance vocabulary cannot identify governance in a private merchant guild, recognize governance failure in a university, or distinguish a functioning governance institution from one that has collapsed behind a facade of policy compliance. Legal analysis built on new governance concepts is designed to evaluate regulatory programs, not to examine institutions.

Political science governance: either too broad or too state-centric

Political science has produced the most varied governance vocabulary, but that vocabulary occupies one of two positions that are both problematic for legal analysis. It is either so capacious that it names any ordering phenomenon at all, or specifically calibrated to the problem of authority exercised beyond or without the state — useful for international relations but unable to address the legal conditions under which institutions exist and fail.

James N. Rosenau's foundational definition, introduced to explain international order in the absence of global government, defines governance as "activities backed by shared goals that may or may not derive from legal and formally prescribed responsibilities and that do not necessarily rely on police powers to overcome defiance and attain compliance."[48] Rosenau adds that governance "is thus a more encompassing phenomenon than government. It embraces governmental institutions, but it also subsumes informal, non-governmental mechanisms."[49] A definition that encompasses everything from the UN Security Council to a neighborhood watch

cannot identify what is distinctive about institutions with the specific decision-making, monitoring, sanction, and adjustment architecture this book analyzes.

R.A.W. Rhodes catalogued six distinct usages of governance within political science alone: governance as the minimal state, as corporate governance, as New Public Management, as "good governance," as a socio-cybernetic system, and as self-organizing networks.[50] Rhodes's own preferred definition — "self-organizing, interorganizational networks characterized by interdependence, resource exchange, rules of the game and significant autonomy from the state" — describes network-based public administration but presupposes networks of organizations rather than the individual-member governance this book analyzes. Six contested meanings within a single discipline is itself evidence that the term has not achieved definitional stability.

Gerry Stoker frames governance as a theoretical framework through five propositions: governance refers to actors drawn from beyond government; governance identifies blurring of boundaries between public and private sectors; governance identifies power dependence in collective action; governance is about autonomous self-governing networks; and governance recognizes that government steers rather than commands.[51] These propositions characterize a transformation in how the state exercises authority. They do not identify what institutional architecture makes governance work at any level of scale.

Jon Pierre and B. Guy Peters define governance as "sustaining co-ordination and coherence among a wide variety of actors with different purposes and objectives."[52] This is a macro-political concept about state steering capacity. The World Bank's definition —

governance as "the manner in which power is exercised in the management of a country's economic and social resources for development"[53] — is calibrated entirely to country-level state performance. The Worldwide Governance Indicators that operationalize it measure voice and accountability, political stability, government effectiveness, regulatory quality, rule of law, and control of corruption.[54] These indicators tell us nothing about the governance of a trading network, a professional association, or a university.

Gary Marks' multi-level governance framework distinguishes general-purpose, non-overlapping jurisdictions — traditional federalism — from task-specific, overlapping, flexible jurisdictions.[55] Multi-level governance tells us where authority sits within federal and quasi-federal structures. It does not say what institutional architecture makes governance function at any given level.

Political science governance vocabulary does not address the legal conditions of institutional existence: what legal rules must be in place for governance to form and persist. It does not address the legal consequences of governance failure: what happens when an institution's monitoring function is disabled or its sanction mechanism is judicially dismantled. The concept of a governance void — central to this book's analysis of universities and nonprofits — has no home in any of the frameworks surveyed above. A board of trustees that has lost the capacity to enforce institutional norms against organized factions within the institution is not a recognizable analytical object in any of these frameworks. Legal analysis that draws its governance concepts from political science cannot identify that failure, let alone prescribe a remedy.

Commons governance: foundational but law-silent (developed in Chapter 3)

Elinor Ostrom's commons governance vocabulary comes closest to this book's definition among all the existing literatures. Her eight design principles for long-enduring common-pool resource institutions — clearly defined boundaries, congruence between rules and local conditions, collective-choice arrangements, monitoring, graduated sanctions, conflict-resolution mechanisms, minimal recognition of rights to organize, and nested enterprises — map instructively onto the book's four elements.[56] The collective-choice arrangement corresponds to decision-making; monitoring corresponds to monitoring; graduated sanctions and conflict-resolution mechanisms correspond to sanctions; and the combination of collective-choice arrangements and nested enterprises corresponds to adjustment.

The Institutional Analysis and Development framework, developed most fully in Ostrom's *Understanding Institutional Diversity*, identifies governance as the product of nested rule systems at three levels: operational rules, collective-choice rules, and constitutional-choice rules.[57] This three-tier structure recognizes that governance includes rules about rules — a form of institutional reflexivity with direct implications for the adjustment function this book identifies.

The critical gap is not in the framework's conception of governance but in its treatment of law. Ostrom's design principles treat legal recognition — "minimal recognition of rights to organize" — as Design Principle 7, acknowledging that external authorities can override community self-governance. But the framework does not theorize how specific legal rules constitute or degrade governance. Law appears as one category of exogenous variable constraining the action arena, not as a distinct constitutive force whose internal logic

shapes which governance architectures can form and which cannot. Daniel H. Cole has identified this gap explicitly, arguing that the IAD framework needs better integration with formal legal analysis.[58] Lee Anne Fennell has shown how property law structures commons governance in ways Ostrom's framework underspecifies.[59]

Chapter 3 develops the Ostrom engagement fully, examining what the IAD framework contributes to the legal analysis of governance and what the framework requires law to supply that it does not supply itself.

Williamson: transactional and dyadic (developed in Chapter 3)

Oliver E. Williamson defines governance as "the means by which order is accomplished in a relation in which potential conflict threatens to undo or upset opportunities to realize mutual gains."[60] His framework identifies three governance structures — markets, hierarchies, and hybrids — differentiated by asset specificity, frequency of transaction, and uncertainty.[61] The key variable determining efficient governance structure is asset specificity: the degree to which an investment is specialized to a particular transaction.[62]

Williamson's four levels of social analysis locate governance at Level 3: below the institutional environment of formal legal rules and above resource allocation and neoclassical price theory.[63] Governance at Level 3 takes law as a given constraint and asks which governance structure minimizes transaction costs within it.

The critical gap is the unit of analysis. Williamson's framework analyzes individual transactions between identified parties. A trading network, a university, or a professional association is not a

transaction. It is an institution sustaining complex, multiplex cooperation among many participants over time. Moreover, governance for Williamson is a cost to be minimized, not a capacity to be built. His comparative statics ask which structure is efficient at a given moment. The book's fourth element — adjustment — has no Williamsonian analogue because the framework is essentially static: it selects among pre-existing governance structures rather than analyzing how governance forms, how it is maintained, and how it can be destroyed. Walter W. Powell argued that networks represent a governance form that Williamson's market-hierarchy spectrum cannot accommodate, because networks operate through reciprocity and trust rather than price or authority.[64] Mark Granovetter argued that Williamson's framework is "undersocialized," failing to account for the social relations that constitute and constrain institutional behavior.[65]

Chapter 3 develops the Williamson engagement fully, examining the transaction cost framework's contributions to the legal analysis of governance and where that framework requires supplementation.

Nonprofit governance: form-bound accountability law

The nonprofit governance literature addresses a distinctive accountability problem: how to enforce mission compliance in organizations without residual claimants, market discipline, or electoral accountability. The vocabulary is precise and practically important within its domain. It does not generate a cross-field governance concept, because its key constructs are artifacts of the nonprofit legal form rather than generalizable features of governance as such.

Henry B. Hansmann established the foundational framework by identifying the nondistribution constraint — the prohibition on distributing net earnings to those in control — as the defining structural feature of nonprofits.[66] Hansmann argued that the constraint serves as a consumer-protection device in markets characterized by severe information asymmetry, but simultaneously weakens governance by eliminating the profit motive that would otherwise discipline management. The constraint creates a governance tradeoff: reduced exploitation risk at the cost of eliminating exit mechanisms (no tradable shares) and voice mechanisms (no shareholder franchise).

The leading casebook treatment frames nonprofit governance through fiduciary duties — care, loyalty, and the distinctive duty of obedience — and the role of state attorneys general as primary enforcers.[67] The duty of obedience, requiring directors to act in accordance with the charitable mission, is the fiduciary obligation specific to nonprofit governance and has no corporate analogue.[68] Corporations are not bound to a fixed mission; directors have broad strategic discretion. In nonprofit governance, the mission is the organization's reason for existing, and the duty constrains fiduciaries from deviating even when deviation would be financially advantageous.

The governance problem that this literature grapples with most persistently is what this book, drawing on prior work, calls the sovereign charity problem: elite nonprofits — major research universities, hospital systems, mega-foundations — exercise enormous public power through private governance structures designed for charitable organizations rather than for institutions of civic consequence. Self-perpetuating boards select their own successors, face no electoral accountability, and are insulated from market discipline

by large endowments. State attorneys general have enforcement authority but rarely exercise it at the scale the problem requires.[69] Evelyn Brody's careful work has identified multiple governance gaps in nonprofit law: doctrinal confusion between trust law and nonprofit corporation law, enforcement gaps created by under-resourced attorneys general, standing gaps that prevent stakeholders from challenging governance failures, and systematic disconnection between legal requirements and actual board behavior.[70]

Nonprofit governance vocabulary is organized around a specific legal form confronting a specific accountability gap. Its key constructs — the nondistribution constraint, the duty of obedience, attorney general enforcement, self-perpetuating boards — are artifacts of nonprofit law. They have no application to corporate governance, which has residual claimants and market discipline; to commons governance, which has no board, no charter, and no attorney general; or to network governance, which lacks centralized decision-making and formal legal hierarchy. A fishing community and a major research university can fail at governance in structurally identical ways — both may lack meaningful adjustment mechanisms, both may have captured their own sanctioning functions — but nonprofit governance vocabulary can only see the university's failure as a nonprofit law problem. It cannot identify the shared governance pathology.

Network governance: law is invisible by design

The network governance literature provides the most empirically grounded and analytically precise account of private governance in

action. It also, in its most influential formulations, explicitly excludes law from the definition — not by oversight but by theoretical choice.

Walter W. Powell argued that networks are a categorically distinct organizational form, "neither market nor hierarchy," characterized by reciprocal, trust-based, mutually supportive actions among interdependent but autonomous actors.[71] Joel M. Podolny and Karen L. Page define a network form as "any collection of actors ($N \geq 2$) that pursue repeated, enduring exchange relations with one another and, at the same time, lack a legitimate organizational authority to arbitrate and resolve disputes."[72] The defining feature — absence of legitimate organizational authority — builds the exclusion of formal legal mechanisms into the concept itself.

Candace Jones, William S. Hesterly, and Stephen P. Borgatti provide the most comprehensive organizational-theory definition of network governance: "a select, persistent, and structured set of autonomous firms (as well as nonprofit agencies) engaged in creating products or services based on implicit and open-ended contracts to adapt to environmental contingencies and to coordinate and safeguard exchanges. These contracts are socially — not legally — enforced."[73] Jones and colleagues identify four social mechanisms constituting network governance: restricted access, macroculture, collective sanctions, and reputation. All four are informal and social. None is legal. The exclusion of law is not a gap in the theory. It is the theory's premise.

In legal scholarship, Lisa Bernstein provides the most detailed engagement with network governance, defining it as "the collective force of reputation-based, non-legal sanctions flowing from a firm's position within a network of interconnected firms."[74] Bernstein's empirical work — on diamond dealers, grain and cotton traders, and

Midwestern industrial procurement — demonstrates that network topology does governance work that relational contracts between individual parties cannot explain: information about defection spreads through the network, sanctions are imposed collectively, and network membership itself disciplines behavior even in the absence of formal legal enforcement. Matthew Jennejohn has shown empirically that firms' positions in innovation networks predict their contract designs, with network-embedded firms relying on network-level governance rather than detailed formal agreements.[75]

Keith G. Provan and Patrick Kenis identify three structural modes of network governance — shared governance by all members, lead-organization governance by one dominant member, and governance by a separate Network Administrative Organization — demonstrating that network governance is not a single institutional form but a family of forms with different vulnerabilities to legal degradation.[76] Gerald R. Salancik, noting the field's descriptive richness and theoretical poverty, called for a theory capable of explaining how network structure produces governance outcomes rather than merely describing structural patterns.[77] That theory has not arrived, in part because the field's foundational premise — that network governance operates outside legal enforcement — prevents the field from asking what law does to network governance, which is the question whose answer would explain when network governance thrives and when it degrades.

Network governance vocabulary describes governance through network topology and relational contracting but excludes law by definitional choice. When a court reviews an expelled merchant's claim, as in *Silver v. New York Stock Exchange*,[78] the network governance literature provides no analytical tools for evaluating the interaction. When antitrust doctrine treats collective network sanctions

as a group boycott, as in *Associated Press v. United States*,[79] the network governance vocabulary cannot ask whether the legal intervention helped or damaged the institution's governance capacity. Barak D. Richman has documented the erosion of the diamond network's private governance system under pressure from market and legal changes, but his account is descriptive and historical rather than providing a legal method for evaluating what produced the erosion.[80] The description of what happened is not a substitute for a framework that explains what law did to governance.

The gap that all seven literatures share

Seven developed literatures, each producing a governance vocabulary calibrated to its own institutional problem. The calibration is not a defect — it is what makes each vocabulary useful within its field. The defect is in what calibration forecloses: the capacity to analyze governance as a general institutional object whose legal conditions of existence and legal vulnerabilities are identifiable regardless of institutional form.

Corporate governance cannot identify governance problems in institutions whose structure does not resemble the board-shareholder dyad. Its analytical categories — the principal-agent problem, fiduciary duty, the business judgment rule — are designed for the corporation and cannot be extended without distortion to institutions organized on different principles.

New governance conflates governance as institutional architecture with governance as regulatory program. Because the vocabulary is prescriptive — organized around what good regulatory de-

sign looks like — it cannot identify governance failure in institutions that have adopted all the formal markers of good governance while the underlying architecture has collapsed.

Political science governance is either so broad that it encompasses any coordinated activity, or so state-centric that it cannot address institutions organized and governed outside the state's formal authority structures. It has no concept of a legal condition of institutional existence, and no method for evaluating what law does to a governance institution's capacity to function.

Commons governance, in the depth appropriate to a survey chapter, treats law as one exogenous variable among many rather than as a constitutive force that determines which governance architectures can form. The IAD framework provides a powerful vocabulary for institutional analysis; what it requires Chapter 3 to supply is an account of law's specific role in constituting and degrading the governance conditions the framework describes.

Transaction cost economics defines governance as a cost to be minimized in transaction-level relationships. It cannot accommodate the institution as distinct from the transaction, cannot explain how governance forms and adjusts over time, and leaves the book's fourth element — adjustment — without any theoretical home.

Nonprofit governance is organized around a specific legal form confronting a specific accountability problem. Its analytical constructs do not generalize: they illuminate the university's governance failure only as a nonprofit law problem, which means they cannot identify the same failure when it appears in a private trading network, a professional association, or a DAO.

Network governance excludes law by definitional choice. The exclusion is theoretically motivated — network governance oper-

ates through social rather than legal mechanisms — but the consequence is that the literature cannot ask what law does when it acts on network governance institutions, which is the most practically important governance question that courts and legislators face.

The pattern across all seven literatures reflects three shared structural limitations. First, every field-specific definition presupposes a particular institutional context — an entity form, an organizational problem, a regulatory setting — that makes the definition inapplicable to institutions organized on different principles. Second, no field-specific definition identifies the minimum architectural elements required for governance to exist as a functional system: decision-making, monitoring, sanctions, and adjustment. Third, and most consequentially, no field-specific vocabulary treats governance as the distinct legal object on which law acts, the institutional architecture that law can constitute, support, discipline, or destroy.

No legal scholar has attempted to supply what all seven literatures lack. A thorough search of legal scholarship finds no prior work providing a general, cross-field definition of governance as a legal concept that travels across corporate, administrative, commons, nonprofit, network, and political contexts with specified minimum elements. Orly Lobel comes closest by surveying the governance turn across multiple legal fields, but she catalogs a paradigm shift rather than defining governance as an institutional object: for Lobel, governance is the new approach to regulation, not an architectural concept identifying what makes collective management of shared problems possible.[81] Gillian K. Hadfield and Barry R. Weingast develop a game-theoretic model of legal order — the conditions under which normative systems become distinctively legal through coordination of decentralized collective punishment — but

legal order and governance are adjacent rather than identical concepts, and their model addresses enforcement coordination rather than governance architecture.[82] Gunther Teubner's reflexive law framework analyzes the nature of law, not the nature of governance, and the autopoietic theory underlying it treats law and governance as operationally closed systems that can only perturb rather than constitute each other — a theoretical commitment this book's account challenges.[83] Edward Peter Stringham and Bruce L. Benson demonstrate that private governance creates economic and social order without government but do not construct a general legal definition of governance as a distinct institutional object.[84]

The legal pluralism literature — Tamanaha, Merry, and Berman — represents a related tradition that comes close to the present project but ultimately addresses a different question.[85] Legal pluralism argues that non-state normative orders can constitute law, that the state has no monopoly on legality. This is an ontological claim about what law is. It does not provide a general definition of governance as an institutional object, and it does not build a method for evaluating what law does to governance. Legal pluralism and this book share an interest in non-state ordering, but they proceed from different questions and toward different ends. Chapter 3 positions the legal pluralism literature within the intellectual lineage this book extends.

What the survey requires

The survey establishes one finding with clarity: legal scholarship needs a governance vocabulary that does what none of the existing field-specific vocabularies does. That vocabulary must identify governance by its functional architecture rather than by its entity form.

It must specify the minimum elements required for governance to exist as a functional system. It must treat governance as the distinct legal object on which law acts, capable of being constituted, disciplined, or destroyed by legal rules. And it must apply consistently across institutional contexts, generating the same analytical questions whether the institution in question is a corporation, a commons, a university, a trading network, or a DAO.

Chapter 1 supplied that vocabulary. The definition — governance is the organized system by which a group manages a shared problem over time, requiring decision-making, monitoring, sanctions, and adjustment — was built to fill exactly the gap the survey reveals. Chapter 3 develops the theoretical foundations for the definition by engaging Ostrom and Williamson at the depth they deserve, explaining what each framework contributes to the legal analysis of governance and where each requires supplementation by a legal method that neither supplies. Part II builds the original theory on those foundations. Part III applies it.

Chapter 3: Why Legal Theory Still Lacks a Governance Concept

Chapter 2 surveyed how different fields use the governance vocabulary and established that no existing usage provides the cross-field legal definition this book requires. Chapter 3 examines the intellectual traditions that came closest to supplying it — and explains precisely why each stopped short.

Consider two ways law can relate to an institution. In the first, the institution exists independently and law regulates it from the outside: a firm operates, and securities law governs how the firm must disclose information to investors. In the second, law does not merely regulate the institution; law makes the institution what it is. The corporation exists because corporate law created it. The board of directors has authority because corporate statutes grant it. The fiduciary duty runs to shareholders because courts decided it did. Remove the legal structure and you do not have a corporation with fewer regulatory burdens. You have no corporation at all.

Scholars who study institutions in the second way use the word "constitutive" to describe law's role: law does not regulate the institution, law constitutes it. That is a powerful insight, and several important intellectual traditions have built substantial bodies of work

around it. This chapter examines those traditions, credits what each one achieved, and identifies precisely what each one left undone.

What none of these traditions supplied is what this book calls the missing ontology of governance. "Ontology" in this context means a rigorous account of what something fundamentally is: its basic nature, its minimum requirements, its conditions of existence. The missing ontology of governance is a precise legal account of what governance is as an institutional object, one that specifies its minimum elements, identifies the legal conditions under which governance can form and persist, and provides a method for evaluating law by what it does to governance. This chapter names that gap explicitly and explains why it remains open.

Chapter 3. Governance Ontology

Three intellectual traditions have come closest to supplying the missing governance concept, and understanding why each fell short clarifies the gap this book fills. Legal institutionalism demonstrated that law constitutes major institutions but did not develop a general account of governance itself. Commons's institutional economics identified legal relations as the building blocks of institutional order but remained focused on bilateral transactions. Ostrom's Institutional Analysis and Development framework produced the most complete governance architecture in the social sciences but treated law as exogenous to the analysis. Each tradition advanced the project; none completed it.

Legal institutionalism: law makes institutions, but which ones?

Beginning in the 1970s, a body of historical and political scholarship developed around the claim that law does not merely regulate American political institutions. Law created them, shaped them, and continuously remakes them. This body of work became known as the American Political Development tradition, or APD. It is not primarily a law school movement — it grew largely in political science departments — but its central claim is one of the most important for legal analysis: you cannot understand how American institutions work without understanding what law made them.

Morton J. Horwitz, a Harvard legal historian, established the foundational argument. In *The Transformation of American Law, 1780-1860*, Horwitz demonstrated that American courts did not simply apply pre-existing rules to commercial disputes. They actively reshaped the rules of property, contract, and tort in ways that created

the institutional conditions for industrial capitalism.[86] The market was not a natural phenomenon that law then stepped in to regulate. Legal rules on water rights, on corporate liability, on the enforceability of commercial contracts made the market's structure possible in the first place. His sequel extended the analysis to the progressive and New Deal periods, showing how legal thought both shaped and was shaped by the rise of corporate organization and the administrative state.[87]

Howard Gillman brought the same argument into constitutional theory. In *The Constitution Besieged,* Gillman showed that the Supreme Court's controversial Lochner-era decisions were not simply the imposition of economic preferences on constitutional doctrine. The Court was operating within a coherent constitutional tradition that distinguished legislation serving the general public interest from legislation benefiting particular economic groups, and it used the due process clause to enforce that distinction. Law was not external to the constitutional order; it defined the categories through which institutional actors understood what they were permitted to do.[88]

George I. Lovell showed that statutory ambiguity is sometimes a deliberate institutional design. When legislators draft laws with imprecise language, they are sometimes doing so on purpose, delegating politically difficult decisions to courts. The legal form of the statute determines which institution will resolve the underlying conflict.[89] Keith E. Whittington showed that constitutional meaning is built not only through judicial decisions but through the political actions of presidents, legislators, and agencies that construct institutions and practices in the spaces constitutional text leaves open.[90] His companion study showed that judicial review's authority over the other branches of government was sustained not despite

legislative resistance but through political strategies that found judicial deference useful.[91]

Karen Orren and Stephen Skowronek developed the field's sharpest theoretical framework. At any given moment, they argued, American governance reflects multiple layers of institutional arrangements built at different historical periods with different purposes and often inconsistent internal logics. A labor law from 1935, a civil rights statute from 1964, and a regulatory program from 1990 may all be operating simultaneously on the same institution, each embodying a different theory of governance, and their interaction produces friction and contradiction. Orren and Skowronek called this intercurrence. The field itself they defined as the study of "durable shifts in governing authority": changes in who has the authority to make binding decisions and how that authority is organized and exercised.[92] Their later work showed how the accumulation of policy commitments across different historical eras has produced a contemporary administrative state characterized by incoherence and structural rigidity.[93]

Rogers M. Smith showed that American citizenship law has been constituted by the interaction of three distinct ideological traditions: a liberal tradition emphasizing individual rights, a republican tradition emphasizing civic obligation, and an ascriptive hierarchical tradition assigning different rights to different groups based on race, gender, and other characteristics. The interaction of these three produced a legal landscape of structured inequality that neither the liberal nor the republican tradition alone could explain.[94] His "multiple traditions" approach demonstrates that legal analysis of institutions must account for the multiple, often contradictory commitments that legal rules simultaneously express.

Law Is Endogenous to Institutions

The APD tradition demonstrated four propositions this book depends on. Law is not external to institutions but shapes what institutions are. Legal change is institutional change. Institutions reflect multiple historical periods operating simultaneously, not a single coherent design. And the meaning of a legal rule depends on the institutional context in which it operates, so legal analysis must be historical.

Public Governance

The APD tradition focused on political institutions: courts, legislatures, the constitutional order, the administrative state, citizenship regimes. These are all institutions created by or in direct relationship with the state. The tradition has not extended its analysis systematically to private governance: trading networks, merchant communities, professional associations, universities, nonprofits, and the new category of decentralized digital organizations. The tradition has not asked what legal conditions allow private institutions to govern themselves, what legal rules enable or degrade private governance capacity, or how law should be evaluated by its effects on governance in those settings.

The tradition has also not supplied a definition of governance with specified minimum elements. Orren and Skowronek define governance as "durable shifts in governing authority," which describes a process of institutional change rather than specifying what governance requires to exist and function. No major APD scholar has proposed a definition of governance as an organized system requiring decision-making, monitoring, sanctions, and adjustment. None has proposed a method for evaluating law by what it does to

governance as a general concept applicable across corporate, commons, network, and nonprofit governance alike.

The gap, stated precisely: the APD tradition established that law shapes what institutions are. It did not supply a legal definition of governance as a distinct object, minimum elements that definition implies, or a method for evaluating law by its effects on governance.

Commons's Insight and Its Limits: Legal Relations Structure Institutions but Not Governance Itself

Before the APD tradition, there was institutional economics. Its most important figure for this book's purposes is John R. Commons, an economist active in the early twentieth century who built a theory of institutions directly from legal foundations.

Commons's most systematic statement appears in *Institutional Economics: Its Place in Political Economy* (Macmillan, 1934), with theoretical foundations in *The Legal Foundations of Capitalism* (Macmillan, 1924) and the methodological statement "Institutional Economics," 21 Am. Econ. Rev. 648 (1931).

Commons built his framework on the work of Wesley Newcomb Hohfeld, a legal theorist who in the early twentieth century produced the most precise analysis of legal relations available in American jurisprudence. Hohfeld showed that what lawyers call "rights" are actually several different kinds of legal relationships: a right in the strict sense (someone owes you a duty), a privilege or liberty (you have no duty yourself), a power (you can change legal relationships), and an immunity (others cannot change your legal position). These distinctions matter because they identify exactly what legal protection someone has and against whom. Commons

took Hohfeld's typology and used it to analyze economic institutions.

For Commons, a transaction is not merely an exchange of goods for money. A transaction is a legal event involving the transfer of legal rights, the assumption of legal duties, and the exercise and waiver of legal powers. *Institutional Economics,* at 58-65, 87-95. The "working rules" governing transactions, the rules determining who can do what to whom under what circumstances, are legal rules in Hohfeld's sense. They are legally enforceable claims, duties, powers, and liabilities that constitute the structure of economic relationships, not merely social conventions that legal enforcement happens to back up.

Commons built this framework through the concept of the "going concern": the institution within which transactions take place. A going concern is a legal entity with its own rules, its own internal hierarchy, and its own relationship to the broader legal system. *The Legal Foundations of Capitalism,* at 6-8, 138-45. The corporation, the trade union, the public utility, the government agency: each is a going concern whose internal governance is constituted by legal working rules and whose external relationships are constituted by its legal status relative to other going concerns and the state.

The connection to this book is direct. What Commons called working rules are what this book calls the legal conditions of governance. What he called going concerns are what this book calls governance institutions. Commons showed that legal relations shape what economic institutions are, not merely how they are regulated. This book applies that insight to governance specifically: legal conditions determine whether governance institutions can form, what mechanisms they can employ, and whether they can persist over time.

Douglass C. North extended institutional economics in a direction relevant here. *Institutions, Institutional Change and Economic Performance* (Cambridge University Press, 1990) distinguishes institutions from organizations: institutions are the rules of the game, the formal rules, informal constraints, and enforcement characteristics that structure human interaction, while organizations are the players who operate within those rules.[95] The distinction matters because it recognizes that rules themselves require enforcement. Monitoring and sanctions are not automatic features of institutional life but require deliberate institutional supply, which is exactly what this book's account of governance architecture requires.

Geoffrey M. Hodgson has been the most sustained critic of the later institutional economics tradition that departed from Commons's legal foundations. In *How Economics Forgot History* (Routledge, 2001), Hodgson argues that Williamson and North stripped institutional economics of its historical and legal specificity by treating institutions as efficiency-maximizing responses to transaction costs rather than as historically contingent legal constructs.[96] His critique is directly relevant. An approach that assumes surviving institutions are efficient cannot explain why legal rules that degrade governance capacity are adopted and maintained. A legal method for evaluating law by its effects on governance must accommodate the possibility that law systematically degrades governance without self-correcting.

The lineage from Commons through North and Hodgson to this book is not without discontinuity. Each figure pursued a different project. But the foundational commitment links them: legal relations shape what institutional structures are, not merely what constraints they operate under. This book's claim that law determines

whether governance can form, persist, adapt, and remain accountable is the governance-specific application of Commons's insight.

Ostrom's framework: the most complete governance architecture, without a role for law

Elinor Ostrom's Institutional Analysis and Development framework — the IAD framework — is the most systematic account of governance architecture in the social sciences. The IAD framework is foundational for this book's definition of governance, and the tradition whose treatment of law most clearly marks the gap this book fills.

Institutional Analysis and Development (IAD)

The IAD framework, most fully stated in *Understanding Institutional Diversity* (Princeton University Press, 2005), analyzes governance by examining what Ostrom calls an "action arena": a structured social space in which actors interact to produce outcomes. Three categories of background conditions shape the action arena: the physical nature of the resource being managed, the characteristics of the people involved including their norms and knowledge, and the working rules that actually govern behavior. These background conditions, operating through the action arena, produce outcomes that feed back to modify the conditions over time.[97]

The framework classifies rules into seven types, each corresponding to a distinct governance function: who can participate, what roles participants occupy, what outcomes are permitted, what actions are required or allowed, how individual choices produce collective decisions, what information must be shared, and what costs

and benefits attach to what actions. *Understanding Institutional Diversity*, at 186-215. Together these rule types specify what a governance system needs to address if it is to function.

The framework's most important feature for this book is its three-tier rule structure. Operational rules govern day-to-day behavior. Collective-choice rules govern how operational rules are made and changed. Constitutional-choice rules govern how the collective-choice rules themselves are constituted. *Governing the Commons*, at 50-55. Governance, on this account, is not just a set of rules. It includes rules about rules: the processes through which the institution can revise its own structure. This is what makes the IAD framework a genuine theory of governance rather than merely a description of social norms. The collective-choice level corresponds to this book's decision-making element. Constitutional-choice rules correspond to the adjustment function, the capacity to revise the governance system itself.

IAD's eight design principles

Ostrom's eight design principles for long-enduring commons institutions — clearly defined boundaries, congruence between rules and local conditions, collective-choice arrangements, monitoring, graduated sanctions, conflict-resolution mechanisms, recognition of rights to organize, and nested enterprises — are the most empirically tested account of governance architecture available, validated across hundreds of field sites spanning multiple continents and resource types.[98] Michael Cox, Gwen Arnold, and Sergio Villamayor Tomás reviewed the evidence across a large sample of commons institutions and confirmed that the principles most strongly associated with effective governance, particularly collective choice,

monitoring, and graduated sanctions, show consistent relationships with institutional performance.[99]

The mapping onto this book's four elements is instructive. Collective-choice arrangements (Principle 3) correspond to decision-making: those affected by the rules can participate in modifying them. Monitoring (Principle 4) corresponds directly to monitoring. Graduated sanctions (Principle 5) and conflict-resolution mechanisms (Principle 6) correspond to the sanctions function. Collective-choice arrangements and nested enterprises (Principles 3 and 8) together correspond to adjustment.

Law Is Exogenous to IAD

The IAD framework's gap is not in its conception of governance but in its treatment of law. Law appears in the framework primarily as one subcategory of formal rules within the broader category of working rules. Ostrom distinguishes working rules, the rules that actually govern behavior, from rules on paper, the formal legal rules that may or may not be enforced in practice. This distinction is crucial for empirical social science. For legal analysis, it creates a specific problem: Ostrom's framework treats law as one input within "rules-in-use" rather than as a constitutive force that shapes what governance can be.

This is the particular gap this book fills. Where Ostrom's framework allows law to function as one among many exogenous variables constraining the action arena, legal analysis must ask precisely how specific legal doctrines and legal institutions determine whether the working rules Ostrom describes can form and persist. A property law regime that recognizes enforceable exclusion creates

the conditions for sanctions-based governance. A property law regime that prohibits exclusion disables it. A liability regime that treats governance decisions as compensable tort violations transforms the character of governance authority. Contract law that enforces arbitration agreements supplies the mechanism for conflict resolution that Ostrom identifies as essential. Contract law that voids arbitration agreements on public policy grounds removes it. The IAD framework documents these variations across institutions but cannot explain them because law sits outside the framework.

Design Principle 7, the requirement that institutional arrangements receive recognition from external governmental authorities, comes closest to addressing law's role. The principle states that without such recognition, governance institutions can be disrupted or destroyed by legal intervention. *Governing the Commons*, at 101. But the principle treats legal recognition as a binary condition, present or absent, rather than as something shaped by specific legal rules in specific ways. It does not theorize the mechanism by which different property rights regimes determine whether commons governance can form. It does not explain what happens when a court converts a governance institution's exclusion mechanism from a categorical rule — you are expelled and the sanction stands — into a compensatory rule — you are expelled but can pay damages to remain — as *Silver v. New York Stock Exchange* did to the stock exchange's disciplinary system. It does not analyze how standing rules determine who can challenge governance failures in court, which is the mechanism through which governance failure either becomes legally actionable or remains legally invisible.

Daniel H. Cole has made this point precisely, arguing that the IAD framework needs better integration with formal legal analysis

because the focus on working rules has left underdeveloped the analysis of how formal legal rules actually operate to structure governance. Cole, *The Varieties of Comparative Institutional Analysis*, 2013 Wis. L. Rev. 383, 400-02. Lee Anne Fennell demonstrated that property law structures commons governance in ways the IAD framework underspecifies: different property rights regimes produce different institutional conditions for commons governance, and analyzing those conditions requires legal tools the IAD framework does not supply. Fennell, *Ostrom's Law: Property Rights in the Commons*, 5 Int'l J. Commons 9, 11-20 (2011). Carol M. Rose surveyed the impact of Ostrom's work on American legal scholarship and found that legal scholars have consistently had to supplement the IAD framework with legal analysis that Ostrom herself did not provide. Rose, *Ostrom and the Lawyers: The Impact of Elinor Ostrom's Work on American Legal Scholarship*, 5 Int'l J. Commons 28 (2011).

IAD assumes—but does not theorize—law

For this book's purposes, the IAD framework requires legal analysis to answer three questions it cannot answer itself.

The first concerns formation. When can governance institutions form? The IAD framework takes the existence of a governance institution as its starting point and asks what design features sustain it. The legal conditions under which governance can begin to exist are prior questions: what property rights does the law recognize, whether the law enforces the exclusion mechanisms that make sanctioning credible, whether the law recognizes the institution's authority to make and enforce its own rules, whether the law gives standing to those who would challenge governance failures. These

are specifically legal questions whose answers vary across legal regimes in ways that explain variation in governance formation that the IAD framework documents but does not theorize.

The second concerns degradation. How does law damage governance? The IAD framework acknowledges that external authorities can undermine governance but treats this as a simple binary: legal recognition is either present or absent. It does not analyze how specific legal doctrines interact with specific governance elements. When a court applies antitrust doctrine to a governance institution's exclusion mechanism, converting it from a categorical rule into a compensatory one, it is disabling a specific governance element, the sanction mechanism, through a specific legal mechanism, with predictable effects on the institution's capacity to sustain cooperation. The IAD framework provides no tools for analyzing this because it does not theorize how specific legal doctrines interact with specific governance functions.

The third concerns evaluation. How should law be evaluated by its effects on governance? The IAD framework describes what governance looks like when it works. This book asks a different question: given a legal rule, does it enable or degrade governance? The IAD framework does not supply an evaluative method because it is descriptive. This book's method, identify the shared problem, identify the governance institution, identify the legal conditions under which it exists, assess member benefits and spillovers, analyze how law enables or degrades it, judge the law, requires the IAD framework's institutional vocabulary but deploys it toward a normative purpose the IAD framework was not designed to serve.

Williamson's transaction cost framework

Oliver E. Williamson's transaction cost framework is the most influential account of governance in economics and organizational theory. Its relationship to this book is complementary but limited. Williamson provides a detailed account of why governance arrangements differ in their efficiency properties. He cannot address the governance of groups managing shared problems over time, and he cannot analyze governance as a capacity that must be built and can be destroyed.

Efficient governance, one transaction at a time

Williamson's analysis proceeds from two behavioral assumptions. First, actors have limited information-processing capacity and cannot write perfectly complete contracts anticipating all future contingencies. Second, actors will pursue self-interest opportunistically when they can — not just strategically, but through deception and guile — when the short-term gains outweigh the expected costs of being caught. Together these create the transaction cost problem: parties to a transaction face uncertainty about each other's behavior, and safeguarding investments against opportunistic exploitation is costly. *The Economic Institutions of Capitalism* (Free Press, 1985), at 44-52.

Governance structures are Williamson's solution to this problem. A governance structure is "the institutional matrix within which transactions are negotiated and executed." *Id.* at 17. Three structures are available: markets governed by price signals and the threat of exit, hierarchies governed by unified ownership and administrative control, and hybrids combining market incentives with administrative coordination. Which structure is most efficient for a

given transaction depends on how specific the investment is to that particular relationship, how frequently the transaction recurs, and how much uncertainty surrounds it. *Comparative Economic Organization*, 36 Admin. Sci. Q. 269, 277-83 (1991).

Williamson located governance within a four-level model of social analysis. At the highest level are deeply embedded social norms and values that change very slowly, over centuries. At the second level are the formal legal rules, property rights, contract enforcement mechanisms, and regulatory frameworks that form the institutional environment. Governance structures occupy the third level, below the formal legal environment and above the individual transactions and resource allocation decisions of the fourth level. *The New Institutional Economics*, 38 J. Econ. Literature 595, 597 fig.1 (2000). The critical feature of this architecture is that law sits at a different level from governance. Law at Level 2 creates the institutional environment within which governance structures at Level 3 are selected. Governance takes law as a given constraint and asks which structure minimizes costs within it. This is the precise inverse of the relationship this book describes: law does not merely constrain governance options; law shapes what governance institutions are.

Law Shapes Governance Design

Three things Williamson provides are directly useful to this book.

First, his account of why governance structures differ. Not all institutions face the same cooperation problems, and understanding why different governance structures exist in specific contexts requires the transaction cost logic Williamson articulates. This book draws on that logic in its analysis of corporate governance in Chapter 11 and contract remedies in Chapter 10.

Second, asset specificity as a variable in governance design. When investments are highly specific to a particular relationship, parties become vulnerable to hold-up: after committing to a relationship-specific investment, a party may find that its trading partner opportunistically renegotiates the terms, knowing that the investing party has no viable alternative. Governance structures protecting against hold-up are not merely efficiency solutions but enabling conditions for cooperation. This insight applies directly to network governance: the more specific members' investments in a trading network's reputation, the more governance capacity is needed to protect those investments, and the more damaging it is when a court disables the network's exclusion mechanism.

Third, the concept of credible commitment. Williamson shows that institutional mechanisms can make promises believable by raising the cost of breaking them. The credible threat of exclusion from a trading network functions exactly this way. Judicial intervention converting the exclusion mechanism from a categorical rule into a damages remedy degrades the credibility of that commitment, which degrades the governance structure's capacity to sustain cooperation. Chapter 10 analyzes this mechanism at length.

Static Micro-Level Analysis

The unit of analysis is the transaction between identified parties, not the institution managing shared problems among many members. A diamond dealers' club, a fishing community, or a university is not a transaction. Each is an institution with many members managing a shared problem over time. Williamson's framework analyzes governance structures at a single moment in time and asks which minimizes costs for a given transaction with given characteristics. It cannot ask whether an institution has the four elements

governance requires, whether it is managing the right problem, or whether its governance capacity is being degraded by legal rules that appear to solve a narrower problem.

The framework is essentially static. It selects among pre-existing governance structures rather than analyzing how governance forms, how it adapts over time, or how it can be permanently damaged by legal interventions. The adjustment function this book identifies has no Williamsonian analogue. Governance institutions managing shared problems over time must adapt their rules and their governance mechanisms to changed circumstances. Williamson's framework cannot address this temporal dimension. By treating governance as a choice among static structures rather than as an institutional capacity that must be built, maintained, and adapted, the framework fails to see a critical gap: institutions that satisfy the formal efficiency criteria for a governance structure at time t may lack the capacity to adjust when conditions change at time t+1. The temporal dimension is what's missing. Williamson analyzes governance at the transaction level but cannot address institutions managing shared problems over time — and the institutions this book analyzes are precisely those that must sustain governance across years, decades, or centuries.

Law is an external constraint in Williamson's framework, not a force that shapes what governance institutions are. Walter W. Powell demonstrated that networks represent a governance form that Williamson's market-hierarchy framework cannot accommodate because networks operate through reciprocity and trust rather than price or authority.[100] Mark Granovetter argued that Williamson's framework fails to account for the social relations that constitute and constrain institutional behavior, treating actors as isolated economic agents when they are in fact embedded in social structures

that shape what they can do and what they want.[101] Both critiques point to the same structural limitation: the transaction cost framework cannot accommodate the institutional complexity that governance of shared problems requires.

The missing ontology

Four traditions, each approaching governance from a different angle. The APD tradition showed that law shapes what institutions are. Commons showed that legal relations structure economic institutions specifically. The IAD framework supplied the most complete architectural account of what governance requires to function. Williamson showed why governance arrangements differ in efficiency and how commitment mechanisms sustain cooperation.

What none of them supplied is a legal definition of governance with specified minimum elements, a set of legal conditions under which governance can exist and to which law gives or denies access, and a method for evaluating law by its effects on governance as a distinct legal object.

The gap is uniform despite the traditions' differences. The APD tradition established that law shapes institutions but confined its analysis to political institutions, never asking what legal conditions allow private governance to form and persist. Commons supplied the foundational insight about legal relations and institutional structure but applied it to the analysis of capitalism rather than developing a governance-specific definition or evaluative method. The IAD framework supplied the architectural vocabulary, the elements governance requires, but treated law as an external constraint rather than a force shaping what governance institutions are, leaving the legal analysis of governance formation and degradation undone.

Williamson supplied the transaction cost logic explaining why governance structures differ but cannot accommodate institutions managing shared problems among many members, cannot analyze governance dynamically, and treats law as a constraint rather than something that constitutes governance architecture.

The convergence on a single gap across four developed traditions makes two things credible simultaneously. The gap is real: it remains open after decades of serious work on all four fronts. And the book's definition is built on solid foundations: the constitutive insight from APD, Commons's legal-relational theory, the IAD framework's architectural vocabulary, and Williamson's transaction cost logic are the materials from which the book's analysis is constructed.

Chapter 4 develops the legal conditions under which governance can exist: the permissions, recognitions, enforceabilities, and accountability structures that law must supply for governance to form and persist. Part II builds the theory of how law enables and degrades governance. Part III applies that theory across the doctrinal fields where the analysis does its most important work.

Chapter 4: Legal Conditions for Governance

Law and governance are not the same thing. A governance institution can form, function, and sustain cooperation without a state's formal endorsement. The Maine lobster communities examined in Chapter 1 had governance long before any statute recognized them. But law shapes whether governance can form at all, what tools governance institutions have available, whether their rules can be enforced, who is accountable for what, and who can challenge failures when they occur. This chapter identifies the legal conditions that governance institutions require.

This analysis identifies six legal conditions that recur across governance settings. First, law must permit governance institutions to exist and recognize their authority. Second, law must enable institutions to define membership boundaries and enforce them. Third, law must make an institution's internal rules enforceable beyond the institution's own social pressure. Fourth, law must identify who holds fiduciary obligations to the institution and give someone standing to enforce those obligations. Fifth, law must supply accountability structures through which those who exercise governance authority can be held to account. Sixth, satisfying all five prior

conditions does not guarantee governance will succeed. Law supplies necessary infrastructure, not sufficient cause. Each condition is illustrated here by a documented example showing what the condition enables and a contrasting example showing what its absence costs.

Chapter 4. Law as Governance Architecture

Six legal conditions recur across governance settings. Each condition is necessary in the sense that its absence predictably compromises a governance institution's capacity to function, though no single condition is sufficient to guarantee institutional success. The analysis proceeds from the most foundational condition — legal permission to exist — through membership boundaries, internal ordering, fiduciary structure, and accountability mechanisms, concluding with the distinction between legal possibility and institutional achievement.

Permission and recognition

A governance institution must be permitted to exist. Alabama's demand for the NAACP's membership lists in the 1950s shows what the absence of legal protection for association means in practice.

The NAACP operated across the South as the primary governance institution for civil rights advocacy: setting strategy, managing litigation, coordinating local chapters, and sustaining a membership base under constant pressure. Alabama's attorney general, seeking to bar the NAACP from operating in the state, demanded the organization's membership roster. The purpose was transparent. Exposure would subject members to economic reprisal, loss of employment, and physical danger. The Supreme Court held unanimously in *NAACP v. Alabama ex rel. Patterson*, 357 U.S. 449 (1958), that the demand violated the Fourteenth Amendment. The Court recognized that effective advocacy depends on group association and that privacy in group membership is indispensable when a group espouses dissident beliefs. *Id.* at 460, 462. The holding protected the

legal foundation of governance itself: the right to associate and organize collectively without state interference.[102]

The contrasting example is Alabama itself, from 1956 through 1964. The NAACP was effectively banned from the state. The NAACP could not recruit, could not operate chapters, and could not serve the constituency the NAACP existed to govern. When law withholds permission to associate, a governance institution does not merely function poorly; the institution ceases to exist.

The modern equivalent appears in the legal treatment of decentralized autonomous organizations. A DAO is a blockchain-based organization that governs through token-holder voting, smart contracts, and automated enforcement. Before any state granted DAOs legal recognition, such organizations already possessed governance in the sense Chapter 1 defines: decision-making through token votes recorded on a blockchain, monitoring through the permanent public transaction record, sanctions through automated smart contract execution, and adjustment through governance proposals subject to vote. Without legal entity status, however, participating in that governance created severe legal risk. In *Sarcuni v. bZx DAO*, 664 F. Supp. 3d 1100 (S.D. Cal. 2023), a federal court held that a DAO could be classified as a general partnership, making token holders jointly and severally liable for the organization's debts. In *CFTC v. Ooki DAO*, No. 3:22-cv-05416 (N.D. Cal. 2023), the absence of legal entity status prevented the organization from retaining counsel or appearing in court, producing a default judgment. In *Samuels v. Lido DAO* (N.D. Cal. 2024), institutional investors faced potential personal liability simply for participating in governance votes.[103] Governance participation thus produced personal liability, and once that consequence was understood by informed participants, rational actors withdrew from governance rather than risk exposure.

Wyoming's DAO LLC Supplement, enacted in 2021 at Wyo. Stat. Ann. §§ 17-31-101 to 17-31-116, granted DAO organizations legal entity status and limited liability protection. That recognition did not create the governance architecture those organizations already possessed. Legal recognition made participation in governance possible without subjecting participants to unlimited personal liability. Law supplied the condition that allowed the governance to function; the governance itself was the product of the institution's own design.

Legal recognition carries limits as well as benefits. Collective action by a governance institution can cross from legitimate self-governance into illegal combination under antitrust law. The Supreme Court addressed that boundary in *Northwest Wholesale Stationers, Inc. v. Pacific Stationery & Printing Co.*, 472 U.S. 284 (1985). A purchasing cooperative of approximately one hundred office supply retailers expelled Pacific Stationery, which had begun operating as both retailer and wholesaler. The Court rejected per se antitrust condemnation and held that per se treatment applies only when an institution possesses market power or exclusive access to a resource essential to effective competition. Where a cooperative lacks such power, courts apply rule of reason analysis, asking whether the governance action serves a legitimate business purpose and whether the means employed are reasonably necessary to achieve it. *Id.* at 296.[104] The rule of reason gives governance institutions room to enforce membership conditions without automatic antitrust liability, while maintaining judicial oversight when an institution's market position transforms governance into exclusion for purely anticompetitive ends.

Membership boundaries

Governance without the power to exclude is governance without sanctions. Chapter 1 identified exclusion as the paradigm sanction of private governance institutions: when private institutions cannot imprison violators or seize property, the institution's primary tool is denying a violator access to the benefits of membership. The legal question is whether the institution's exclusion decisions will stand when challenged.

The common law's default answer is yes. Private associations have inherent power to prescribe membership qualifications, and members accept those qualifications when they join. The charter and bylaws form a contract between the organization and its members, and courts review expulsion decisions for compliance with four requirements: the association must have acted within its powers, in good faith, in accordance with its own rules, and consistent with the law. Zechariah Chafee, "The Internal Affairs of Associations Not for Profit," 43 Harv. L. Rev. 993 (1930).[105] That standard is procedural rather than substantive. Courts will not substitute their judgment for the association's evaluation of whether a member violated the institution's norms.

Blatt v. University of Southern California, 5 Cal. App. 3d 935 (1970), illustrates the default rule. A night law student who graduated in the top ten percent of his class was denied admission to an honorary legal society after the chapter retroactively adopted a Law Review participation requirement. The court sustained dismissal, holding that courts will not compel a voluntary honorary society to admit a member where membership is not a practical necessity for earning a living.[106] The court warned that judicial review of membership selection "would subject to judicial review the membership selection activity and policies of every voluntary organization."

Governance institutions need finality in their exclusion decisions, and courts provide that finality when the institution is voluntary and membership is not essential to professional livelihood.

The standard shifts when an institution controls access to professional opportunity. *Pinsker v. Pacific Coast Society of Orthodontists* produced two California Supreme Court decisions that define the limits of association autonomy. In *Pinsker I*, 1 Cal. 3d 160 (1969), the court held that where an association holds quasi-monopolistic control over professional certification, the association's membership decisions create a justiciable claim and the association bears a fiduciary responsibility with respect to membership. In *Pinsker II*, 12 Cal. 3d 541 (1974), the court imposed two requirements on such institutions: substantive rationality, meaning the membership rule must not be arbitrary or contrary to public policy, and procedural fairness, meaning the applicant must receive notice of the reason for rejection and a genuine opportunity to respond.[107] The court used the phrase "fair procedure" rather than "due process" to avoid importing constitutional standards designed for state action into private governance. Fair procedure requires the institution to apply its own rules consistently. Constitutional due process would subject governance decisions to judicial second-guessing on the merits. The two doctrines impose different burdens and carry different governance consequences.

Calabresi and Melamed's framework explains why maintaining the property-rule character of exclusion matters to governance. A property rule protects an entitlement unconditionally: the holder can refuse to yield the entitlement at any price without the holder's consent. A liability rule permits compelled transfer at a price set by a court. A governance institution that can exclude members holds its exclusion right as a property-rule entitlement. The expelled

member cannot remain unless the institution consents. When courts convert exclusion into a damages remedy or compel readmission, the entitlement shifts to a liability rule. The institution retains the ability to impose a cost, but the institution loses the ability to refuse.[108]

An institution that must accept a disruptive member at a court-determined price loses the ability to define its own membership. The sanction mechanism degrades, monitoring results stop triggering enforcement action, and decision-making authority becomes contested by members the institution could not remove. *Silver v. New York Stock Exchange*, 373 U.S. 341 (1963), shows this mechanism in operation. The NYSE's informal exclusion system could act swiftly and without advance notice. The Court converted that system into a process requiring written charges, an opportunity to be heard, and a stated explanation. The exchange retained nominal exclusion authority, but the practical cost of using that authority increased enough to change behavior throughout the institution.[109] Chapter 7 examines the full consequences of that shift for exchange governance.

Internal ordering and external enforceability

A governance institution can define its own rules, but whether those rules bind members depends on whether law will support enforcement.

The contract theory of association rules provides the primary mechanism. When a member joins an association, the charter and bylaws form a contract between the member and the organization. The contract theory gives governance rules legal effect beyond social pressure alone: a member who violates institutional rules and faces

expulsion cannot simply ignore the expulsion and continue operating as though membership were unaffected.

Contract enforcement requires the institution's internal procedure to satisfy a basic standard. Courts will enforce association rules if the association acted within its authority, in good faith, following its own published procedures, and with reasonable notice and opportunity to be heard. *Applebaum v. Board of Directors*, 104 Cal. App. 3d 648 (1980). Courts will not independently evaluate whether the substantive decision was correct and will not retry the underlying disciplinary question. The judicial role is to ask whether the institution followed its own process, not to determine whether the institution reached the right outcome.

Lisa Bernstein's empirical work on the National Grain and Feed Association identifies a specific threat to this framework. When courts apply the Uniform Commercial Code's interpretation provisions, specifically the code's direction to consider trade usage, course of dealing, and course of performance in resolving commercial disputes, they import contextual informal norms into formal adjudication. Formal adjudication, however, serves a different function than day-to-day trading relationships. Bernstein found that merchant arbitrators in the NGFA deliberately apply formalistic written trade rules rather than contextual customs, because predictability in the adjudicative setting requires rules that apply uniformly regardless of the parties' prior relationship. Lisa Bernstein, "Merchant Law in a Merchant Court: Rethinking the Code's Search for Immanent Business Norms," 144 U. Pa. L. Rev. 1765 (1996).[110] When courts substitute the UCC's contextual approach for a governance institution's formalistic rules, the courts do not supplement private governance. The courts undermine the predictability that makes formal adjudication worth maintaining in the first place.

The governance of private companies illustrates both how contract law enables internal ordering and how judicial intervention can disrupt legal conditions without warning. Delaware General Corporation Law § 122(18), enacted effective August 1, 2024, authorizes corporations to enter stockholder agreements that restrict, condition, or control corporate governance decisions, expressly notwithstanding § 141(a)'s general mandate that the board manages the corporation. The legislature enacted this provision in direct response to *West Palm Beach Firefighters' Pension Fund v. Moelis & Company*, C.A. No. 2023-0309-JTL (Del. Ch. Feb. 23, 2024), in which Vice Chancellor Laster held that a stockholder agreement granting a founder pre-approval rights over eighteen categories of board decisions facially violated § 141(a). The market had relied for years on such agreements as standard governance instruments for companies anticipating an initial public offering. The judicial decision invalidated agreements that private ordering had treated as settled. The Delaware legislature restored the legal condition within four months, before the appeal was decided.[111]

Stockholder agreements gave private companies governance structures suited to their particular circumstances, including concentrated ownership, investor protections negotiated at the time of financing, and founder participation in major decisions. A judicial decision that those instruments violated a mandatory statutory provision removed the legal enforceability of that governance architecture. The legislature's rapid correction restored the condition that governance required, while leaving fiduciary duty obligations in place to preserve accountability.

Fiduciary structure and standing

Governance institutions exercise authority over members and resources. Legal obligations must attach to that authority, and at least one identified party must have the ability to enforce those obligations when they are breached.

Fiduciary duties are the primary legal mechanism for attaching obligations to governance authority. Directors of corporations owe duties of care and loyalty to the corporation. The duty of care requires directors to inform themselves, deliberate, and act with the care an ordinarily prudent person in a like position would exercise. The duty of care maps onto governance's decision-making function: the institution's collective choices must rest on genuine, informed deliberation. The duty of loyalty requires directors to place the organization's interests above their own personal interests. The duty of loyalty maps onto governance's monitoring function: conflicts of interest must be identified and neutralized before they corrupt the institution's decisions. Nonprofits carry a third duty specific to the governance of charitable organizations, the duty of obedience, which requires directors to carry out the organization's mission and ensure that funds serve the charitable purposes for which they were raised. In *Manhattan Eye, Ear & Throat Hospital v. Spitzer*, 186 Misc. 2d 126 (N.Y. Sup. Ct. 1999), the court held that a board violated the duty of obedience when the board attempted to sell all hospital assets and fundamentally transform the institution's purpose without adequate justification.[112] The duty of obedience maps onto governance's adjustment function: the institution's power to revise its own direction is bounded by the purposes the institution was created to serve.

Standing determines who can enforce those duties. In corporations, shareholders can bring derivative suits on the corporation's

behalf to enforce directors' fiduciary obligations. In nonprofits, no equivalent private enforcement mechanism exists. The state attorney general is the primary enforcement authority for charitable organizations and can compel accountings, remove trustees, and impose compliance obligations. Enforcement depends, however, on resources, political will, and prosecutorial judgment. Marion R. Fremont-Smith documented this enforcement gap at length in *Governing Nonprofit Organizations: Federal and State Law and Regulation* (Harvard University Press, 2004).[113] Individual beneficiaries of charitable trusts generally lack standing under Restatement (Second) of Trusts § 391 unless they hold a "special interest," a standard that is difficult to meet.[114] When the attorney general declines to act, no other party can compel enforcement.

Three documented cases show what happens when the standing gap combines with governance failure.

The Bishop Estate in Hawaii administered a $10 billion charitable trust created to fund educational opportunities for Native Hawaiian children. Trustees steward business deals to political allies, received excessive compensation, and used trust funds for personal benefit, yet no private party had standing to challenge these decisions. Only when community members published a widely circulated essay and journalists sustained years of investigative pressure did the attorney general intervene. When asked who held the trustees accountable, one trustee answered "nobody." Samuel P. King and Randall W. Roth, *Broken Trust: Greed, Mismanagement and Political Manipulation at America's Largest Charitable Trust* (University of Hawaii Press, 2006).[115] Governance existed in form, but no accountability mechanism existed to enforce it.

The Hershey Trust in Pennsylvania controls one of the wealthiest charitable institutions in the country. Board members received

compensation exceeding ninety-five thousand dollars annually, and persistent cross-directorships created conflicts of interest that went unchallenged for years. When an alumni association sought to challenge governance decisions in court, the Pennsylvania Supreme Court denied standing in *In re Milton Hershey School*, 911 A.2d 1258 (Pa. 2006), holding that the alumni lacked a "special interest." Jonathan Klick and Robert H. Sitkoff documented that political considerations constrained the attorney general's willingness to act against one of the state's most prominent institutions. Klick & Sitkoff, "Agency Costs, Charitable Trusts, and Corporate Control: Evidence from Hershey's Kiss-off," 108 Colum. L. Rev. 749 (2008).[116]

The Getty Trust in California experienced years of abuse by its chief executive, Barry Munitz, who used trust funds for personal loans, luxury travel, and a seventy-two-thousand-dollar car while receiving $1.2 million annually in compensation. The California attorney general imposed independent oversight only after the abuse became publicly known through journalism. The governance architecture of the trust, a board with fiduciary duties and legal recognition, was intact throughout the period of abuse. The accountability mechanism that would have detected the problem earlier did not exist.[117]

Evelyn Brody identified the structural problem that underlies all three cases: "charity fiduciaries frequently escape accountability for their self-dealing and neglect or mismanagement" because "few charities have members endowed with voting rights, and state attorneys general have limited resources to devote to monitoring the nonprofit sector." Evelyn Brody, "The Limits of Charity Fiduciary Law," 57 Md. L. Rev. 1400, 1401 (1998).[118] The absence of private enforcement rights is not an incidental feature of nonprofit law. It is the structural condition that allows governance failures to persist

long after similar failures would have been remedied in institutions where accountability mechanisms are more accessible.

Accountability structures

Fiduciary duties identify legal obligations. Accountability structures are the mechanisms through which compliance with those obligations is actually checked. A legal duty without an accountability mechanism is a right without a remedy.

In corporate governance, the primary accountability mechanism is the shareholder franchise. Shareholders vote on directors, and directors who fail to govern competently or loyally can be removed. Delaware Chancellor William T. Allen described the shareholder franchise in *Blasius Industries, Inc. v. Atlas Corp.*, 564 A.2d 651, 659 (Del. Ch. 1988), as the "ideological underpinning" of Delaware corporate governance.[119] The franchise functions as an accountability mechanism when shareholders have the genuine capacity to exercise the franchise. Lucian A. Bebchuk documented the structural barriers that make director removal difficult in practice: collective action problems among dispersed shareholders, management's preferential access to corporate resources for proxy campaigns, and staggered board structures that prevent shareholders from replacing a majority of directors in any single year. Bebchuk, "The Myth of the Shareholder Franchise," 93 Va. L. Rev. 675 (2007).[120]

The board's own accountability for oversight failures is governed by the standard established in *In re Caremark International Inc. Derivative Litigation*, 698 A.2d 959 (Del. Ch. 1996). Chancellor Allen held that directors carry an affirmative obligation to ensure that adequate information and reporting systems exist within the corporation. Liability arises from "a sustained or systematic failure of the

board to exercise oversight." The court itself acknowledged that this standard represents "possibly the most difficult theory in corporation law upon which a plaintiff might hope to win a judgment." *Id.* at 967.[121] The high threshold is deliberate, designed to give boards room to govern without the constant threat of personal liability for every compliance failure. The practical consequence is that accountability under Caremark tends to function as a prophylactic: boards create monitoring systems primarily to avoid liability rather than because those systems will necessarily detect problems.

Marchand v. Barnhill, 212 A.3d 805 (Del. 2019), illustrates what the Caremark standard looks like when it actually applies.[122] Blue Bell Creameries suffered a listeria outbreak that killed three people. The Delaware Supreme Court held that where food safety was "essential and mission critical" to a company's single business line, the complete absence of board-level food safety monitoring systems was sufficient to support a Caremark liability claim. The holding turned on the total absence of any monitoring system, not on the adequacy of an existing one. Boards that maintain no monitoring architecture for risks central to their business cannot satisfy the oversight duty.

In universities and nonprofits, accountability mechanisms are weaker and the available substitutes are less effective. Regional accreditation functions as a gatekeeping mechanism for access to federal financial aid, and accreditors review governance periodically and can sanction institutions that fail to maintain adequate governance standards. When the University of Virginia's Board of Visitors forced the summary removal of President Teresa Sullivan in 2012, the Southern Association of Colleges and Schools placed UVA on warning for twelve months and required the adoption of new governance policies. Accreditation functioned as a governance accountability mechanism in that instance.

The record of accreditation in larger governance failures tells a different story. The Accrediting Council for Independent Colleges and Schools accredited both Corinthian Colleges and ITT Technical Institute despite widespread deceptive practices, dismal graduation rates, and fraudulent job placement statistics. The Department of Education withdrew ACICS recognition in 2016, finding that the agency had "failed broadly in its oversight role." The federal government subsequently cancelled approximately ten billion dollars in student loans connected to those institutions. Accreditation in those cases provided the appearance of accountability without the substance.

The IRS redesigned Form 990 in 2008, significantly expanding governance disclosure requirements. Nonprofits must now disclose board composition, compensation, conflict-of-interest policies, and executive pay. Research by Harris, Petrovits, and Yetman found that donations are positively associated with good governance disclosures, which suggests that donor markets respond to transparency. Erica E. Harris, Christine M. Petrovits & Michelle H. Yetman, "The Effect of Nonprofit Governance on Donations: Evidence from the Revised Form 990," 90 Acct. Rev. 579 (2015).[123] Form 990 creates accountability only indirectly, through market pressure rather than legal enforcement, and the form gives no interested party standing to sue for breach of governance obligations.

The shareholder franchise, accreditation, and Form 990 disclosure each create a formal structure that resembles accountability. Each mechanism works when conditions are favorable and fails when they are not. None of the three replaces the direct accountability of an interested party with legal standing to enforce fiduciary duties.

Legal conditions do not guarantee institutional success

The five conditions above are necessary but not sufficient. Governance institutions can have every legal condition in place and still fail, sometimes catastrophically.

Penn State University had a board of trustees with plenary legal authority, a president, a campus police force with full law enforcement powers, federal reporting obligations under the Clery Act, and a compliance department. Jerry Sandusky abused children over fifteen years. The Freeh Report found that Penn State's most senior leaders "repeatedly concealed critical facts relating to Sandusky's criminal conduct" motivated by "the avoidance of the consequences of bad publicity," and that the board had no "regular reporting procedures or committee structures in place to ensure disclosure of major risks." Louis Freeh et al., *Report of the Special Investigative Counsel Regarding the Actions of The Pennsylvania State University Related to the Child Sexual Abuse Committed by Gerald A. Sandusky*, July 12, 2012, at 14, 108.[124] Governance failed not because the legal conditions were absent, but because the institution's actual decision-making, monitoring, and accountability functions had been captured by a culture of deference to athletic program reputation.

Enron's board was a model of formal governance compliance. The board comprised fifteen members with extensive professional experience. The audit committee was chaired by a former dean of Stanford Business School. The legal architecture of fiduciary duties, audit requirements, and shareholder accountability was intact throughout the period preceding the company's collapse. The U.S. Senate Permanent Subcommittee on Investigations found six categories of board failure, including knowing tolerance of high-risk ac-

counting practices and unprecedented approval of the CFO's conflicts of interest through the LJM partnerships. *The Role of the Board of Directors in Enron's Collapse*, S. Prt. 107-70, July 8, 2002.[125] Senator Lieberman observed at the hearing that the board "didn't just fiddle while Enron burned. They toasted marshmallows over the flames." Legal conditions were present and governance was absent.

Lauren B. Edelman identified the systemic dynamic that produces this gap between legal possibility and institutional reality. Organizations respond to legal mandates by creating formal structures that signal compliance without changing behavior. EEO offices, anti-discrimination policies, grievance procedures, and compliance training are adopted because law requires them or because their presence reduces liability exposure, not because the structures will change organizational outcomes. Edelman, *Working Law: Courts, Corporations, and Symbolic Civil Rights* (University of Chicago Press, 2016).[126] Edelman and Talesh extended this analysis specifically to legal conditions for governance, demonstrating that organizations adopt formal compliance structures as legal shields without changing underlying behavior — the gap between legal architecture and institutional success is not a failure of the legal conditions but a limit on what law can accomplish alone.[127] Kimberly D. Krawiec found the same pattern across multiple regulatory domains: compliance programs are adopted primarily as legal shields rather than behavioral change mechanisms, and courts treat the existence of such programs as evidence of compliance regardless of whether the programs actually work. Krawiec, "Cosmetic Compliance and the Failure of Negotiated Governance," 81 Wash. U. L.Q. 487 (2003).[128]

The gap between legal possibility and institutional success is not a failure of the legal conditions identified in this chapter. It is a limit

on what those conditions can accomplish. Law can make governance possible, but law cannot make governance function. The governance institution must do that work: the institution must build decision-making procedures that actually produce collective choices, monitoring systems that actually detect defection, sanction mechanisms that members actually apply, and adjustment processes that actually modify the institution when circumstances change. When those functions fail despite adequate legal infrastructure, the failure lies in governance architecture rather than in the legal conditions surrounding it.

The distinction is central to the method Chapter 8 develops fully. The method asks whether law is helping or hindering governance institutions in building and maintaining the four governance elements. Where governance is absent despite legal conditions being in place (Penn State, Enron, and the nonprofit cases above), legal analysis must ask why governance failed and whether different legal rules would have helped or whether the problem lies beyond what law can address. The method does not claim that good legal conditions guarantee good governance. The method does claim that bad legal conditions reliably prevent governance from functioning.

What law supplies and what it does not

The private ordering literature documents governance arising outside the state and demonstrates that groups create effective ordering mechanisms without formal legal infrastructure. Robert C. Ellickson, *Order Without Law: How Neighbors Settle Disputes* (Harvard University Press, 1991); Lisa Bernstein, "Opting Out of the Legal System," 21 J. Legal Stud. 115 (1992); Gillian K. Hadfield & Barry R. Weingast, "What Is Law?," 4 J. Legal Analysis 471 (2012); Bruce L.

Benson, *The Enterprise of Law* (Pacific Research Institute, 1990).[129] These accounts are important. They demonstrate that governance is not a creature of the state and that private institutions can manage shared problems with minimal formal legal infrastructure.

Every one of these accounts, however, underestimates the legal infrastructure that makes private ordering possible. Ellickson's ranchers own their land because property law gives them title. Bernstein's diamond dealers operate in a building they lease under contract law, and their arbitral awards derive binding legal effect from the Federal Arbitration Act. Hadfield and Weingast's classification institutions operate within a legal system they treat as background. Benson's private governance mechanisms work in part because the state tolerates those mechanisms, recognizes their outputs, and enforces the contracts that sustain them. Rather than creating private governance, law supplies the conditions under which private governance can sustain itself.

Part II builds the theory of how law interacts with those conditions: how specific legal rules enable or degrade the governance elements this book has identified. The conditions established in this chapter are the materials that Part II's theory will work with.

Part II: The Original Theory: Club Goods, Spillovers, Legal Mechanisms, and the Seven-Step Method

Part I established the vocabulary and legal architecture the book needs. It defined governance as a distinct institutional phenomenon, identified its indispensable functional elements, and explained the legal conditions under which governance can form, persist, and remain accountable. But definition alone is not enough. Once governance is visible as a legal object, the next question is how to understand its structure, its social value, and the ways law predictably helps or harms it.

Part II develops the book's theoretical core. These chapters supply the original framework that connects governance to the economic theory of goods, distinguishes private member benefits from broader social spillovers, explains how legal rules act on governance institutions, and converts those insights into a method for legal analysis. If Part I says what governance is, Part II explains why law's effects on governance escape ordinary doctrinal reasoning.

Chapter 5 makes the central theoretical move. It argues that governance is best understood not as a public good or a simple private good, but as a club good. Governance institutions are excludable because they depend on membership boundaries and the sanction of expulsion. They are nonrivalrous only up to a point, because participation beyond the institution's capacity creates congestion and degrades governance quality. And they are sustained through voluntary participation and member contribution rather than universal public provision. This framework explains why exclusion is not incidental to governance but often constitutive of it.

Chapter 6 then sharpens the welfare analysis by separating two things that legal and policy discourse often collapse into one: the benefits governance institutions provide to their members, and the spillover benefits their functioning creates for outsiders. That distinction is essential. Without it, analysis either romanticizes exclusion by treating all benefits as club benefits, or ignores the public cost of governance failure by treating governance as relevant only to members. The chapter shows that good governance often produces value for nonmembers who neither join nor pay, and that legal analysis must therefore account for governance effects beyond the institution's formal boundaries.

Chapter 7 turns from theory to mechanism. If governance is a socially valuable institutional form, law can affect it in patterned

ways. Some legal rules enable governance by protecting membership boundaries, enforcing internal decisions, or reducing the cost of sustaining institutional order. Other rules degrade governance by disabling sanctioning, removing accountability, converting exclusion into forced access, or substituting formal compliance for functioning institutional architecture. The chapter identifies these mechanisms with precision and shows how legal interventions that appear justified when viewed dispute by dispute can nevertheless erode governance over time.

Chapter 8 delivers the methodological payoff. It presents the seven-step method the rest of the book applies: identify the shared problem, identify the governance institution, specify the legal conditions under which it operates, separate member benefits from spillovers, analyze how law affects the institution, and evaluate the result as enabling, disciplining, or degrading. The method does not displace rights, efficiency, or distributional analysis. It adds a variable legal analysis has repeatedly relied on without clearly naming: governance itself.

Taken together, these four chapters are the book's theoretical engine. They explain why governance should be analyzed as a distinct institutional good, why law's effects on governance are often missed by ordinary doctrinal reasoning, and how those effects can be brought into view through a structured method. Part III then turns from theory to application, using this framework to analyze commercial networks, stock exchanges, corporations, universities, nonprofits, and knowledge institutions.

Part II is therefore where the book moves from foundation to originality. It does not simply define governance more carefully than prior scholarship. It advances a theory of governance's struc-

ture, value, and legal vulnerability, then gives that theory operational form. The chapters in this Part are the hinge on which the whole project turns.

Chapter 5: Governance as a Club Good

Lawyers who have taken an economics course will recall the distinction between public goods and private goods. Public goods are those that everyone can use without reducing what is available to others and from which no one can be excluded. Private goods are those that one person's use depletes and from which nonpayers can be excluded. These polar cases are useful for thinking about markets and government provision. They are not, by themselves, an adequate typology. Most goods of institutional consequence fall between the poles.

This chapter places governance institutions within a more complete typology of goods, developed originally by Paul Samuelson in the 1950s, extended by James Buchanan in 1965, and refined by Vincent Ostrom and Elinor Ostrom in the late 1970s.[130] The typology organizes goods along two dimensions: whether users can be excluded from the good, and whether one person's use subtracts from what is available to others. The intersection of these two dimensions produces four categories: private goods, public goods, common-pool resources, and club goods. This chapter argues that most important governance arrangements have the structure of club goods, and that this structural observation explains features of governance

that other frameworks leave obscure. The argument was developed in prior work by this author and is extended here.[131]

Chapter 5. Club Good Structure

The claim that governance institutions share the economic structure of club goods rests on a typology developed over several decades by economists and institutional theorists. Understanding that typology requires two preliminary steps: mapping the landscape of goods along two analytical dimensions, and then examining what Buchanan demonstrated about the goods that fall into the club category. Once the typology is in place, the chapter applies it to governance institutions and draws out the legal consequences.

The four-cell typology

The typology of goods is a practical analytical tool that identifies which institutional arrangements work for which kinds of goods.

The excludability dimension. Some goods can be supplied to one person while another person is kept out. A private parking lot supplies access to some drivers and denies it to others through gates, fees, and attendants. Other goods resist exclusion. The light from a lighthouse illuminates all ships in range equally, and the lighthouse keeper cannot selectively darken the beam for ships whose owners did not pay. Excludability is partly a physical property of the good and partly a function of available technology and institutional design. Broadcast television was non-excludable until encryption technology made scrambling possible. The commons problem in fisheries persists partly because monitoring individual catches at sea is costly. As Elinor Ostrom demonstrated, what counts as excludable depends on institutional arrangements, not only on the physical nature of the thing.[132]

The rivalry dimension. Some goods are consumed fully by the person who uses them: one person eating an apple prevents anyone

else from eating that apple. Other goods are not consumed in this way: one ship's use of the lighthouse beam does not diminish the beam for other ships. Goods of the second type are called non-rivalrous, or sometimes low in subtractability. The Ostrom school uses "subtractability" to emphasize that the dimension is a continuum with some goods highly rivalrous, some moderately rivalrous, and some effectively non-rivalrous over wide ranges of use, rather than a binary category.[133]

The four cells. Organizing goods by these two dimensions produces four types. Private goods are both excludable and rivalrous: a loaf of bread, a pair of shoes, a haircut. Public goods are neither excludable nor rivalrous: national defense, a weather forecast, scientific knowledge. Common-pool resources are rivalrous but difficult to exclude: a fishery, groundwater, a shared pasture. Club goods are excludable but non-rivalrous, at least up to a point: a golf course, a cable television network, a private swimming pool. The club good is the cell that matters for governance.

The four-cell taxonomy was formalized by Vincent Ostrom and Elinor Ostrom in 1977, who organized the matrix around subtractability and excludability and added "common-pool resources" as a distinct fourth type distinct from public goods.[134] They also renamed "club goods" as "toll goods" to emphasize that the institutional form of provision is secondary to the structural characteristics. Both terms appear in the literature. This book uses "club goods" because the governance analysis concerns the institutional structure of clubs: their voluntary membership, their self-financing through member contributions, their governance mechanisms. The term "toll goods" directs attention to pricing structure; "club goods" directs attention to institutional design. The institutional focus is what this analysis requires.

Buchanan's club goods

James Buchanan introduced the formal theory of club goods in a 1965 paper that opens by identifying the gap between Samuelson's two polar types.[135] Samuelson had established the optimality conditions for public goods and had noted that pure public goods and pure private goods represent polar extremes. Buchanan set out to fill the space between those extremes with a coherent theory.

A club, for Buchanan, is a voluntary membership arrangement for sharing ownership or consumption of a good among a group larger than one individual but smaller than the entire population. Three characteristics mark the club-good category.

Excludability. The club can deny access to the good by refusing membership or expelling violators. The gate at the tennis court, the wall around the community pool, the credential requirement for the professional association: all are exclusion mechanisms. Because exclusion is possible, the club can charge for membership and can expel those who violate the club's rules. Without excludability, there is no club in any meaningful sense; the institution becomes a public good with an organizational wrapper that cannot perform the governance function exclusion supports.

Partial rivalry through congestion. Within the club's capacity, the good is non-rivalrous: one member's use of the tennis court on Tuesday does not reduce another member's ability to use it on Thursday. But as membership grows past some threshold, additional members begin to degrade the experience for everyone. Court time becomes scarce. The pool becomes crowded. Professional certification loses prestige as standards weaken to accommodate a larger membership. This congestion effect creates an optimal club size. The optimal size is the membership level at which the marginal cost of adding another member, measured in degraded benefits for

existing members, equals the marginal benefit from cost-sharing that a new member brings. Too few members imposes excessive per-capita costs. Too many members produces congestion. The optimal club operates at the point where these pressures balance.[136]

Voluntary membership and self-financing. Club members join by choice and bear the costs of provision through dues, fees, or contributions. This structure distinguishes clubs from government-provided public goods, which are funded through taxation regardless of individual benefit or preference. Voluntary membership disciplines the club: members who find the club's costs exceed its benefits can exit, joining a competing club or forming a new one. This exit option, when the market for club memberships is competitive, creates pressure toward efficient provision.[137]

Buchanan made two further observations that matter for governance. The first is the dual optimization problem: the efficient club must simultaneously determine the optimal quantity of the club good to provide and the optimal membership size. These decisions are made together, not sequentially. The second is the replicability condition: in a competitive market, clubs with suboptimal configurations face discipline through the formation of competing clubs. If an existing club is too small, excluded individuals will form a new club. If it is too large, members will defect to form smaller ones. Competitive discipline in the market for clubs can produce efficient provision without government intervention, provided clubs are replicable and the market for memberships functions well. When a governance institution cannot be replicated because it controls essential access, this competitive discipline fails, and legal analysis must supply the discipline that market pressure cannot.[138]

How the typology maps to governance institutions

The claim that governance institutions have club good structure rests on documented institutional evidence across multiple settings. Establishing the claim requires mapping the defining characteristics of club goods onto the defining characteristics of governance institutions identified in Chapter 1, and being precise about where the map fits cleanly and where it requires qualification.

Excludability through the sanction of exclusion. The excludability characteristic of club goods corresponds directly to what Chapter 1 identified as the paradigm sanction of private governance institutions. Governance institutions that lack the state's power of imprisonment or asset seizure enforce their rules through exclusion from the benefits of membership. The diamond dealer expelled from the Diamond Dealers Club loses access to the trading floor and the trust infrastructure that makes large-scale oral transactions possible. The licensed professional expelled from the bar association loses the credential that permits practice. The merchant network member who cheats and is blacklisted loses access to the trading relationships that constitute the member's livelihood.

The structural reason governance institutions rely on exclusion as the primary enforcement mechanism is that governance institutions are club goods. Exclusion works because membership generates non-rivalrous benefits that members value, and the threat of losing those benefits disciplines behavior. If governance institutions were public goods, with the benefits of governance accruing to everyone regardless of membership, exclusion would lose its force. A trader expelled from a club whose benefits are freely available to non-members would simply access those benefits without formal

membership. Excludability and the governance sanction of exclusion are the same structural property viewed from two angles: one economic, one legal.

Non-rivalry up to congestion. The governance mechanisms through which an institution manages its shared problem are not consumed in the way a private good is consumed. One member's use of the institution's dispute resolution system does not reduce another member's ability to use it. One member's reliance on the institution's reputation mechanism does not deplete the mechanism's capacity. One member's vote in the institution's collective-choice procedure does not subtract from another member's vote. These governance functions are non-rivalrous within the institution's capacity.

Congestion in governance institutions takes a specific form. The congestion mechanism in a governance institution is not overuse of a physical resource but defection from the cooperative equilibrium. When too many members defect from institutional rules, the monitoring system is overwhelmed, the sanction mechanism loses credibility, and the institution's capacity to manage its shared problem degrades. This is Buchanan's congestion pattern, in which quality degrades as membership grows past the threshold of effective governance, rather than Ostrom's subtractability pattern, in which each unit of consumption directly subtracts from what is available to others.[139]

The congestion point determines the optimal size of a governance institution. A governance institution with too few members cannot achieve economies of scale in governance provision: fixed costs per member are high, the institution lacks sufficient diversity of perspective, and the network effects that increase the value of governance benefits are limited. A governance institution with too

many members faces escalating monitoring costs, more severe free-rider problems, and difficulty reaching collective decisions across a heterogeneous membership. The optimal governance institution operates at the size where these pressures balance, just as Buchanan's optimal club operates at the point where cost-sharing benefits and congestion costs are equated at the margin.

Voluntary membership and self-financing. Governance institutions are sustained by the voluntary participation of members who bear the costs of governance through dues, assessments, and the time required for deliberation and monitoring. This self-financing structure gives governance institutions their distinctive character compared to government regulation. A regulatory agency can mandate compliance through threatened sanctions backed by state power. A governance institution must maintain voluntary compliance by delivering benefits worth the cost of membership and the burden of adhering to institutional rules. When a governance institution fails to deliver adequate benefits, members exit, and the institution either reforms or collapses.

Diamond Dealers, Stock Exchanges, and Commons: How Club-Good Structure Operates Across Domains

Diamond trading networks. Lisa Bernstein's study of the New York Diamond Dealers Club documented a governance institution that exemplifies the club good structure.[140] DDC membership provides non-rivalrous access to the trading floor, the arbitration system, and the trust infrastructure that permits billions of dollars in annual transactions to be conducted on handshake terms. Membership is voluntary and self-financed through dues and arbitration fees. The exclusion mechanism consists of expulsion from the DDC,

with the expulsion transmitted to every affiliated bourse worldwide through the World Federation of Diamond Bourses, and this mechanism operates as the sole enforcement sanction. No state apparatus enforces DDC rules. Because no state enforcement is available, the credibility of the exclusion threat — not its actual exercise — is what sustains cooperative behavior among members. The threatened loss of non-rivalrous membership benefits converts a collective action problem, in which each trader has an individual incentive to cheat, into a cooperative equilibrium, in which no trader cheats because the expected cost of exclusion exceeds the expected gain from defection. Barak Richman's documentation of the DDC's partial erosion confirms the club good structure by demonstrating the mechanism in reverse: as globalization brought new market entrants who had not grown up in the community and did not face full exclusion costs, defection rates increased, governance quality declined, and fraud costs spread to non-member retailers, bankers, and consumers who had previously benefited from the DDC's governance without bearing its costs.[141]

Stock exchanges before Silver. Before the Supreme Court's decision in *Silver v. New York Stock Exchange*, 373 U.S. 341 (1963), the NYSE operated as a governance institution with explicit club structure. Seat ownership was an excludable membership right conferring non-rivalrous access to the trading floor, price discovery mechanisms, and the exchange's self-regulatory governance system. The exchange governed its members through internal rules, a disciplinary committee, and the sanction of expulsion, which meant the loss of the seat and its associated trading privileges. The Supreme Court in *Silver* itself described the exchange's historical treatment by courts as that of a "private club," noting that the exchange's limited-entry

structure had historically generated broad judicial deference in disciplining errant members. *Id.* at 357. The Securities Acts Amendments of 1975 transformed this club governance structure into regulated governance, requiring procedural safeguards for all disciplinary actions and prior SEC approval for all rule changes.[142] Paul Mahoney documented the governance consequences of this transformation: the exchange's capacity to discipline members swiftly and credibly, the characteristic that had sustained market integrity, was systematically constrained by the procedural apparatus the statute imposed.[143]

Commons governance institutions. Applying the club good framework to commons governance requires a distinction that the existing literature has not drawn clearly. The underlying resource that a commons community governs — a fishery, a watershed, an alpine meadow — is a common-pool resource: rivalrous and difficult to exclude. The governance institution that manages the resource — the fishing cooperative, the irrigation association, the alpine commons — is itself a club good: excludable through membership requirements and non-rivalrous in its governance functions up to the congestion threshold.

Elinor Ostrom's Design Principle 1, the requirement that successful commons governance institutions define clearly who is and is not a member, is the excludability condition for governance as a club good.[144] Ostrom's irrigation communities in the Philippines and Spain enforced membership boundaries through monitoring and sanction mechanisms that required participation in maintenance work as a condition of access to irrigation benefits. Her Swiss alpine communities, some of which have governed communal pastures since the thirteenth century, maintain membership through residence requirements and usage rights tied to membership in the

village community.[145] In each case, the governance institution's functions — collective decision-making, monitoring, graduated sanctions, rule revision — are non-rivalrous within the membership. One member's participation in the seasonal meeting at which quotas are negotiated does not subtract from another member's capacity to participate. The governance institution managing the common-pool resource has club good structure even though the resource the institution governs does not.

The distinction between how the typology classifies the governance institution and how it classifies the governed resource has direct legal implications. When courts or legislators act on commons governance institutions, they must ask whether their intervention affects the resource, which may require different analysis, or the governance institution, which requires attention to excludability and the sanction mechanism. The two questions receive different answers from the typology.

Edge cases and boundaries

Applying the typology honestly requires acknowledging three categories of governance institutions that do not fit cleanly into the club good model.

Mandatory membership institutions. Mandatory bar associations, licensing boards, and regulated self-regulatory organizations share club good features — excludable membership and shared governance functions — but they lack the voluntary membership characteristic that Buchanan treated as definitional. A lawyer who must belong to the state bar to practice law has not freely chosen a club among competing options. The exit option that disciplines clubs in competitive markets does not operate.

Even mandatory membership institutions retain club good structure in the sense that excludability through license revocation remains the primary enforcement mechanism, governance functions are non-rivalrous, and the institution is self-financed through member dues. What changes is the competitive discipline on the provision decision. Second, the failure of competitive discipline in mandatory membership institutions explains a pattern that lawyers will recognize: mandatory governance institutions tend toward lower governance quality than voluntary ones because the pressure of member exit is absent. Legal analysis of mandatory membership governance institutions must account for this structural difference. When a governance institution cannot be disciplined by exit, accountability mechanisms become more important, and legal structures that provide accountability in lieu of competitive pressure deserve special attention.[146]

Two accountability mechanisms are compatible with preserving the governance function of exclusion while compensating for the absence of exit discipline. First, mandatory internal appeals with independent review allow excluded members to challenge governance decisions within the institution before seeking external judicial intervention. An internal appeals body staffed by members without a stake in the original decision, or by outside reviewers with relevant expertise, imposes a check on arbitrary exclusion without converting exclusion from a property-rule entitlement to a liability-rule remedy. The institution retains the categorical authority to exclude, but must demonstrate to an internal tribunal that the exclusion followed institutional rules and responded to an identifiable governance violation. The critical design feature is that the independent reviewer's authority is limited to procedural compliance and good

faith — not to substituting its judgment for the institution's substantive governance decision. This preserves the deterrent force of exclusion (the expelled member cannot purchase continued access through external litigation) while providing a safeguard against the abuse of exclusion authority that justifies heightened scrutiny of mandatory-membership institutions in the first place.

Second, periodic re-authorization or sunset provisions supply temporal exit discipline where spatial exit is unavailable. When a mandatory membership institution's governing authority must be periodically renewed — whether by legislative reauthorization, member ratification vote, or regulatory review — members who cannot leave the institution can nonetheless discipline it by opposing renewal of its governance powers. Sunset provisions create a recurring moment at which the institution must justify continued authority, substituting a temporal check for the competitive check that voluntary exit provides. This mechanism avoids activating the degradation pathway identified in Chapter 7 because it does not intervene in any individual governance decision or convert any specific exclusion into a compensated remedy. It operates at the structural level, disciplining the institution's overall governance quality without constraining its operational governance authority between review periods.

Neither mechanism eliminates the structural vulnerability of mandatory membership governance. The absence of exit creates a persistent accountability gap that no internal procedure fully closes. Mandatory membership institutions with market power remain the hardest case for the governance framework developed in this book, because the framework's strongest claims — that governance institutions generate positive externalities that law should protect, that exclusion is the paradigm sanction whose categorical character must

be preserved — depend on either the availability of exit or the adequacy of accountability substitutes. Specifying these substitutes with sufficient rigor to match the framework's treatment of voluntary institutions is an ongoing analytical challenge. Chapter 14 addresses this limitation directly, including the risk that mandatory membership institutions could deploy the governance framework as a shield for exclusionary practices that serve institutional interests rather than governance functions.

Governance institutions whose exclusion has been legally disabled. When courts or regulators disable an institution's exclusion mechanism — converting expulsion from a property rule to a liability rule, requiring procedural safeguards that make expulsion costly enough to deter its use, or mandating open membership — the governance institution loses the club good structure that sustains its governance capacity.[147] The institution does not thereby become a public good. It becomes a damaged club good: formally excludable but practically unable to exercise exclusion credibly. The structure this book identifies as governance degradation is the process by which law converts a governance institution into something that retains governance's institutional form but has lost the excludability that makes governance function.

Governance institutions with public good characteristics. Some governance institutions generate benefits so diffuse that excluding non-beneficiaries is either physically impossible or socially impractical. A professional licensing system that certifies physician competence benefits not only the physicians who are credentialed and the patients who choose among them, but the general public that relies on professional standards. Non-members receive the benefits of governance quality whether they contribute to governance costs or not. When an institution's non-member benefits dominate

its member benefits, the institution begins to exhibit public good characteristics at the margin. Chapter 6 takes up the analysis of these spillover benefits and why they matter for the legal evaluation of governance.

What the classification explains

Why exclusion is the paradigm sanction. Under the club good structure, exclusion deprives a member of non-rivalrous benefits at zero marginal cost to the institution and the remaining membership. This asymmetry gives exclusion unique effectiveness as a deterrent. A sanction that imposes maximum cost on the violator at zero cost to the enforcing institution will be preferred over sanctions that impose costs on both parties. No other enforcement mechanism available to a private governance institution has this property. Monetary damages require litigation, impose costs on the institution, and may be uncollectable. Suspension imposes administrative costs and requires monitoring the suspended member's continued exclusion. Expulsion imposes no continuing administrative cost once executed.

The club good classification also explains why converting expulsion from a property rule to a liability rule damages governance more severely than the conversion of most other entitlements.[148] When courts require damages in lieu of exclusion, they eliminate the cost asymmetry that makes exclusion an effective deterrent. The expelled member can effectively purchase continued access at a price set by the court. The institution must litigate every expulsion decision that a member contests. Monitoring and decision-making functions continue, but the sanction mechanism loses the credibility that converts potential defectors into compliant members.

Why governance institutions are undersupplied. Because governance functions are non-rivalrous and excludability limits the institution's ability to charge non-member beneficiaries, governance institutions tend to be undersupplied relative to the social optimum. Members bear governance costs while non-members receive governance benefits for free. Mancur Olson's analysis of group size and collective action provides the complementary mechanism.[149] As governance institutions grow larger, the free-rider problem intensifies: each individual member's contribution to governance is a smaller fraction of the total, the connection between any member's behavior and governance quality becomes more attenuated, and the incentive to shirk monitoring and sanctioning responsibilities grows. Governance institutions face structural pressure toward undersupply of governance functions as membership grows beyond the optimal size. This structural pressure explains why governance institutions require legal conditions that support their capacity to function: without legal protection for the club good structure, governance institutions will undersupply governance even before legal degradation begins.

Why the legal conditions identified in Chapter 4 are necessary. The club good structure explains why each of the six legal conditions Chapter 4 identified is necessary for governance to function. Permission and recognition supply the legal basis for voluntary association that is the foundation of club formation. Membership boundary protection supplies the legal support for excludability that is the foundation of club governance. External enforceability makes the institution's internal rules, which operate as the working rules of the club, binding beyond social pressure alone. Fiduciary structure attaches legal obligations to the governance authority that club

members delegate to leaders. Standing gives someone the legal capacity to challenge governance failures that undermine the club's capacity to supply governance. The club good framework makes clear why each condition is necessary: each condition supports a distinct structural feature of governance institutions, and law must sustain all six if governance is to function.

The typology's limits

The club good classification yields three structural consequences for legal analysis: it identifies which conditions support governance function, it explains why governance institutions tend toward undersupply, and it shows why legal intervention requires calibration rather than prohibition. The classification does not determine whether a governance institution is governing well or badly, whether its exclusion decisions are justified or arbitrary, whether its membership rules are fair or discriminatory, or whether its positive externalities justify legal protection of its governance capacity. Chapter 8 develops the evaluative method that addresses these questions. The typology is an analytical instrument, not a normative verdict.

Club goods with significant market power require different legal treatment. Buchanan's welfare analysis assumes competitive markets for club memberships: inefficient clubs lose members to more efficient alternatives. When a governance institution acquires sufficient market power that members cannot practically exit, the competitive discipline that justifies deference to club governance decisions breaks down. This is the antitrust concern that *Silver* and *Northwest Wholesale Stationers* address: at some level of market power, governance decisions can no longer be evaluated simply as

club management and require scrutiny for their effects on competition.[150]

The club good classification does not resolve the distributive justice challenge. Club goods defined by willingness-to-pay systematically exclude those who cannot afford membership. When governance institutions generate substantial benefits for the broader public, private provision through a club may be efficient in the Pareto sense while being inequitable in the distributive sense. Chapter 14 addresses that challenge directly. The club good framework in this chapter is concerned with the institutional structure of governance, not with whether every governance institution serves distributive justice.

Member benefits and spillovers: setting up Chapter 6

The club good classification sets up the analytical work of the next chapter. Chapter 6 distinguishes the member benefits that governance institutions supply to their members from the spillover benefits that governance institutions generate for non-members. The distinction matters for law because it determines who bears the cost of governance degradation: when governance institutions generate significant spillovers, degradation of governance capacity harms the public as well as the membership, and the justification for legal protection of governance capacity is correspondingly stronger.

Making that argument requires a clean separation between member benefits and spillovers that the club good framework supplies. Member benefits are the non-rivalrous governance functions the club supplies to its members. Spillovers are the external benefits that flow to non-members who never pay the costs of club member-

ship. These are different goods with different beneficiaries and different welfare implications. The chapter that follows maintains this distinction throughout.

Chapter 6: Member Benefits and Spillovers from Governance

Chapter 5 established that governance institutions have the structure of club goods: excludable, non-rivalrous in their governance functions up to a congestion threshold, voluntarily joined, and self-financed through member contributions. The present chapter identifies what governance institutions produce, for whom, and why the distinction matters for legal design.

The prescriptive thesis deserves precise statement before any argument builds toward it: law should protect governance production because governance generates value in two distinct forms — member benefits that flow to members who bear governance costs, and spillover benefits that flow to non-members who pay nothing. Both outputs depend on the same institutional architecture, and when law damages that architecture, both outputs degrade. Protection of governance is not justified by member benefits alone, but by the joint acknowledgment that governance is produced through club-good mechanisms and consumed partly as a public good — non-excludable benefits flowing to beneficiaries who cannot be charged and did not choose to join. Legal actors encountering governance

invariably encounter it from the outside, through the lens of the excluded or underserved: Harold Silver excluded from the NYSE, students harmed by a university's governance failure, retail investors unable to influence proxy outcomes. When law responds by attacking excludability — requiring reinstatement of expelled members, imposing liability for exclusion decisions, mandating open participation — it attempts to correct the public-good consumption failure by dismantling the club-good production mechanism. But production is prior to distribution. A governance institution that cannot exclude cannot produce governance at all, which means the spillovers that made the institution valuable disappear along with the club. Recognizing governance as a dual-structure good, club-good in production and public-good-adjacent in consumption, makes the framework's prescriptive direction precise: law should protect the production mechanism while targeting governance failures specifically, rather than dismantling production in the name of improving distribution. The two tasks are not equivalent, and conflating them is the structural error this book traces across six institutional domains.

Chapter 6. Governance Surplus

Governance institutions produce value in two analytically distinct channels. The first runs to members: the coordination benefits, cost reductions, monitoring gains, and dispute resolution that make membership worthwhile. The second runs to outsiders: the spillover effects that flow beyond membership boundaries when governance operates well. Separating these two channels matters because they create different legal stakes and respond differently to legal intervention. The sections that follow examine each in turn and then show how the two interact.

A necessary qualification applies to spillovers specifically. Spillovers from governance can be positive or negative. When governance functions well, spillovers are often positive: the DDC's fraud suppression benefits downstream consumers, exchange surveillance protects retail investors, and community forest management sequesters carbon for global benefit. When governance fails, the withdrawal of those benefits imposes costs on the same outsiders who previously benefited, as the 2008 financial crisis demonstrated at catastrophic scale. But a distinct category exists that the framework must acknowledge from the outset: governance that functions effectively for members can simultaneously impose negative spillovers on outsiders. A trade association that coordinates member conduct may reduce transaction costs among members while fixing prices paid by non-member buyers. A professional licensing body that certifies practitioner quality may protect consumers from incompetent providers while blocking qualified competitors and raising costs for the public. In these cases the governance institution satisfies the four-element definition of Chapter 1, produces genuine member benefits, and operates through a functional club-good mechanism

— yet the spillover to outsiders is harmful rather than beneficial. Antitrust law, which Chapter 14 addresses directly, is the primary legal response to governance institutions whose member benefits come at outsiders' expense. The present chapter's analysis of positive spillovers should not be read to imply that all governance spillovers are positive. The framework's evaluative method at Step 5 requires identifying spillovers without presuming their sign.

What governance provides to members

Members of governance institutions receive four categories of direct benefit from their participation. Each corresponds to a specific market failure that governance corrects.

Transaction cost reduction. Every transaction between strangers requires effort before, during, and after the exchange itself. Parties must find each other, assess each other's reliability, and negotiate terms before exchange; they must monitor performance during exchange; and they must enforce obligations and resolve disputes when exchange goes wrong. Oliver Williamson identified these costs as the central problem that governance structures exist to solve.[151] Governance institutions reduce all three categories for their members.

The New York Diamond Dealers Club provides the most closely studied example. Lisa Bernstein's study found that by the early 1990s the club had approximately two thousand members, of whom seven hundred to eight hundred used the trading floor each day. Transactions worth hundreds of thousands of dollars were concluded on handshake terms, sealed with the Yiddish phrase *mazel u'broche*, with no written contract. One member's oral offer was binding on both

parties under the club's bylaws.[152] The governance mechanism enabling this simplicity was the club's combined arbitration and reputation system. The screening requirement for DDC membership, which required two years in the industry, board approval, and a probationary period, served as a signal that all parties on the trading floor had been vetted. The bourse's monitoring of member behavior through what Bernstein calls the "grapevine" tracked compliance and disseminated information about who honored obligations during ongoing trading relationships. When disputes arose, members submitted them to internal arbitration that resolved approximately eighty-five percent of cases during mandatory conciliation, with remaining cases decided within ten days of hearing.[153] The governance institution reduced the search cost, the negotiation cost, and the enforcement cost of commercial exchange. Members could transact at scale and speed that formal legal mechanisms cannot replicate.

Robert Cooter and Janet Landa developed the theoretical framework for this mechanism, arguing against the standard economic assumption that trade is impersonal.[154] In a world of contractual uncertainty, it matters whom one trades with. Governance institutions create and sustain a stock of institutional trust that substitutes for formal legal enforcement. This trust stock is itself a non-rivalrous good: one member's reliance on the institution's reputation monitoring does not reduce another member's ability to rely on it, and one member's use of the institution's arbitration system does not diminish the system's capacity to serve other members. The governance mechanism is a club good that produces transaction cost reduction as the non-rivalrous membership benefit.

Coordination. Many problems that groups face are not conflicts of interest but problems of coordination: multiple equilibria are available, all parties would benefit from settling on the same one,

but without a mechanism for selection, parties choose different options and the gains from coordination are lost. Governance institutions solve coordination problems by establishing the focal points around which members converge.

Thomas Schelling demonstrated that in coordination games, parties spontaneously converge on solutions that are salient, prominent, natural, or conventional, because each party anticipates that other parties will converge on the same option.[155] Governance institutions create institutional salience by establishing explicit rules, trade customs, and standard practices that convert the coordination problem into a determinate outcome. All members know the rules, and all members know that all other members know the rules. The institution's working rules become the focal point.

Technical standard-setting bodies illustrate the coordination benefit at scale. The Institute of Electrical and Electronics Engineers maintains over twelve hundred active standards, including IEEE 802.11, the technical specification underlying Wi-Fi networking. The International Organization for Standardization coordinates one hundred sixty-one national standards bodies and produces technical specifications spanning industrial processes, product safety, environmental management, and information security. The governance functions of these institutions, which include setting procedures for how standards are developed, which proposals are debated, how consensus is reached, and how standards are revised, enable the coordination benefit that members receive. Members participate in governance and in return gain access to draft standards before publication, voting rights in the development process, and the opportunity to shape specifications that their products will need to meet. These are excludable membership benefits, and they differ from the public benefit of widely adopted standards, which accrues

to anyone who implements the standard regardless of participation in the governance institution.

Monitoring and adverse selection. When buyers cannot assess the quality of what they are purchasing, markets fail: sellers of low-quality goods drive out sellers of high-quality goods because buyers, unable to distinguish them, pay only the average price. George Akerlof established this dynamic through the analysis of used-car markets, and the same logic applies to any market in which quality is observable to sellers but not to buyers at the time of purchase.[156] Governance institutions correct this failure by monitoring member behavior and certifying member quality.

The certification function is an excludable member benefit. DDC membership signaled to counterparties that a dealer had been vetted and was subject to ongoing monitoring. Bernstein observed that membership enabled dealers to signal trustworthiness and gave them assurance that all other dealers on the trading floor had met the same requirements.[157] The credential function of professional association membership operates on the same logic: bar membership signals that an attorney has passed a character and fitness review and remains subject to professional discipline, allowing clients to transact with attorneys at lower search cost than they could achieve with unregulated practitioners.

The monitoring function extends beyond initial certification. Governance institutions sustain ongoing reputation tracking, disseminating information about member conduct throughout the membership. This addresses a second information problem: not merely the initial adverse selection problem of whether a new counterparty can be trusted, but the ongoing moral hazard problem of whether an established counterparty will continue to perform. Be-

cause the reputation mechanism operates across the full membership, each member's knowledge of every other member's reputation is maintained and updated at institutional cost rather than individual cost. No single member could efficiently maintain reputation information spanning all potential counterparties. The institution provides this as a shared, non-rivalrous service.

Dispute resolution. When transactions go wrong, governance institutions provide mechanisms for resolution that are faster, less costly, and better calibrated to the subject matter than general-purpose courts. The National Grain and Feed Association, which Bernstein documented in a companion study, operates the oldest continuously functioning industry-based arbitration system in North America, dating to 1901.[158] The NGFA's arbitration committees consist of members with industry expertise and no commercial interest in the case. Arbitrators understand the commercial context of grain trade disputes in ways that general-jurisdiction courts cannot replicate. The system resolves disputes with specialized knowledge and at lower cost than litigation.

Comparative resolution timelines confirm the advantage. Average domestic commercial arbitration cases in the United States resolve in roughly twelve months. Federal district court civil cases take two to three years on average to reach trial disposition, and complex commercial litigation frequently exceeds that range.[159] The cost differential is proportionately similar. These differences are especially pronounced in governance institution dispute resolution, where the specialized subject matter knowledge of arbitrators further reduces the evidentiary burden that parties must satisfy to establish their claims.

What governance provides to those who do not pay

The member benefits described above flow to the people who bear the costs of governance. A separate category of benefits flows to people who never join and never pay. These spillover benefits are generated by governance quality and are not reducible to the membership mechanism that produces member benefits. Three domains illustrate the structure.

Trading network governance and supply chain integrity. The DDC's governance mechanism produced benefits for members through the trust stock described above. The same mechanism produced benefits for people who never set foot on the trading floor. Downstream retailers, jewelers, insurers, and ultimately consumers who purchased diamonds benefited from reduced fraud rates in the supply chain. Because the DDC's monitoring and sanction mechanisms sustained the cooperative norm of honest dealing, the products that moved through the governed supply chain were more reliably what sellers represented them to be. This quality assurance reached consumers who had no relationship with the DDC and no ability to assess diamond quality directly.

Barak Richman's documentation of the DDC's partial erosion confirms this structure by tracing what happened when governance quality declined. As the trust-based system eroded under pressure from globalization and new market entrants who operated outside the governance network, fraud costs spread through the supply chain. Banks reduced credit to diamond dealers, increasing financing costs throughout the industry. Retailers who had invested in branded jewelry faced increased vulnerability to misrepresentation of synthetic diamonds as natural ones, a fraud risk that DDC governance had previously suppressed. Vertical integration replaced

trust-based exchange as the dominant transactional form, eliminating the cost-efficient governance mechanism and substituting a more expensive institutional structure.[160] Non-members had been receiving a governance externality they did not pay for, and when that externality disappeared, the costs fell on them.

Two features distinguish this example. First, the spillover was proportional to governance quality: the spillover existed when governance functioned, degraded when governance weakened, and disappeared when governance collapsed. The spillover was not a fixed endowment but a variable output of the governance system. Second, the mechanism producing the spillover was the same mechanism that produced the member benefit: the credible threat of exclusion sustained the cooperative norm among members, and the cooperative norm among members prevented fraud from reaching downstream non-members. These two outputs were jointly produced by the same governance architecture, and weakening the architecture damaged both simultaneously.

Financial market governance and investor protection. Stock exchanges and self-regulatory organizations govern the behavior of broker-dealers and market participants through listing standards, trading surveillance, member discipline, and enforcement actions. The member benefit of this governance is access to the exchange's infrastructure and the reduced transaction costs that orderly markets provide to member firms. The spillover benefit is market integrity: price discovery that produces accurate signals for all investors, fraud detection that protects all market participants, and systemic stability that protects the broader economy.

Paul Mahoney documented this structure in his analysis of stock exchanges as regulators.[161] Exchange self-regulation generates market integrity as a collective good accruing to investors who are not

exchange members. Retail investors who purchase publicly traded securities benefit from exchange surveillance systems without contributing to their costs. Institutional investors whose assets are managed through broker-dealers benefit from the regulatory framework those dealers operate under. The exchange's governance produces value for a constituency vastly larger than its membership.

The 2008 financial crisis illustrates the magnitude of the externality through its inverse. A convergence of governance failures in mortgage origination, securitization, credit rating, and risk management produced costs that fell overwhelmingly on people who had no role in those governance systems. The United States Government Accountability Office estimated the output losses and fiscal costs of the crisis at up to thirteen trillion dollars.[162] The households who lost their homes, the workers who lost their jobs, and the pension funds that saw their assets collapse were not parties to the governance failures that produced the crisis. These parties were recipients of a negative externality, the inverse of the positive spillovers that governance, when it functions, provides. The scale of the harm demonstrates the magnitude of the governance surplus that functioning financial governance sustains.

Commons governance and environmental outcomes. The governance institutions that manage common-pool resources produce member benefits through coordinated resource use and reduced conflict over access. The same governance institutions produce spillover benefits through the environmental outcomes of sustainable management.

Ashwini Chhatre and Arun Agrawal studied eighty forest commons across ten countries and found that forests managed by larger groups of local users with greater rule-making autonomy stored sig-

nificantly more carbon than forests under government management.[163] Carbon sequestration is a global positive externality. The atmospheric benefits of carbon stored in a community forest accrue to populations worldwide who have no relationship with the governing institution and contribute nothing to its costs. The governance institution's members, the households who participate in rulemaking, monitoring, and enforcement, bear the cost of maintaining the governance system. The beneficiaries of the resulting climate outcome are not confined to those members.

Nepal's community forestry program provides national-scale evidence. Since the 1993 Forest Act enabled the transfer of national forests to community management groups, Nepal has significantly increased its forest cover.[164] Approximately twenty-two thousand community forest user groups, comprising millions of households, now manage millions of hectares of forest under governance systems that include membership boundaries, collective-choice arrangements, monitoring, and graduated sanctions, the four governance elements Chapter 1 identified. The downstream benefits of this governance, including reduced soil erosion, improved water quality, watershed protection, and carbon sequestration, flow to populations far beyond the governing communities.

Valencia's Tribunal de las Aguas, which has governed water allocation from the River Turia since at least the tenth century and was recognized by UNESCO as intangible cultural heritage in 2009, demonstrates that these spillovers are not recent phenomena.[165] The governance institution ensures that upstream irrigation does not deprive downstream users of water and that in drought conditions usage rights are shared equitably throughout the system. The down-

stream water quality and availability benefits of this governance extend to communities that are not parties to the governance institution and do not participate in its decision-making.

The three domains reveal a consistent pattern. Governance spillovers are not incidental byproducts of an otherwise member-focused institution. Governance spillovers can be outputs of the governance mechanism itself, proportional to governance quality when they exist, and dependent on the same institutional architecture that produces member benefits. The DDC's fraud reduction, the exchange's market integrity, and the commons' environmental outcomes can all be functions of how well the governance institution performs its core work: making and enforcing rules, monitoring compliance, and sanctioning defection.

Proportionality, however, operates along each governance dimension separately, not as a global relationship between an undifferentiated "governance quality" and an undifferentiated "spillover." Each of the four governance elements can produce specific spillovers through identifiable causal mechanisms. Monitoring quality can produce fraud-reduction spillovers: the DDC's reputation tracking prevented misrepresentation from reaching downstream retailers and consumers, and when monitoring eroded, fraud spread through the supply chain in proportion to the monitoring failure. Sanctioning quality can produce deterrence spillovers: the NYSE's credible threat of expulsion deterred market manipulation that would have harmed all investors, and when *Silver* raised the cost of sanctioning past the point of absorption, deterrence declined and market integrity spillovers declined proportionally. Decision-making quality can produce coordination spillovers: the IEEE's consensus procedures establish technical standards that enable interoperability across the entire technology sector, and when decision-making is subverted,

as *Allied Tube* documented, coordination fails for members and non-members alike. Adjustment quality can produce adaptive-capacity spillovers: the Swiss alpine commons' capacity to revise pasture-use rules in response to changing conditions sustained environmental outcomes over centuries, and when adjustment mechanisms rigidify, the environmental spillovers that depend on governance adaptability degrade proportionally. Tracing each spillover to its specific governance dimension is essential for the legal analysis that follows, because a legal rule that damages monitoring does not necessarily damage decision-making, and the spillover consequences of each form of degradation differ.

Four steps identify whether a governance institution generates positive spillovers in a new institutional context. First, identify the governance output: which of the four governance elements — monitoring accuracy, sanction credibility, decision-making quality, or adjustment responsiveness — produces the candidate spillover? Second, trace the output's causal pathway beyond the membership boundary: does the governance output generate benefits that reach non-members, and through what mechanism? The DDC's monitoring accuracy reduced fraud for downstream retailers through the supply chain; the NYSE's sanction credibility deterred manipulation that would have harmed all investors through the price-discovery mechanism. Third, apply the inverse test: does the spillover degrade when governance quality declines? If the candidate benefit persists even when the governance element that supposedly produces it has deteriorated, the benefit is not a governance spillover — it is produced by some other mechanism. The DDC example satisfies this test: when monitoring quality eroded, fraud spread through the supply chain proportionally.[166] The financial crisis example satisfies it as well: when exchange governance failed to detect and discipline

risky trading practices, the market integrity spillovers disappeared and the costs fell on non-members. Fourth, apply the substitutability test: can the spillover be replicated by a non-governance mechanism, such as direct state regulation, market competition, or private contract? If the spillover is fully substitutable without governance, then the governance institution's claim to legal support on spillover grounds is correspondingly weaker, because the spillover does not depend on the governance institution's continued operation. Where the spillover depends on institutional features that non-governance mechanisms cannot replicate — contextual monitoring, reputational sanctioning, adaptive norm revision — the governance institution's spillover contribution is non-substitutable, and legal rules that degrade it impose costs that no alternative institution can offset.

This four-step protocol does not claim to predict spillovers in novel institutional settings before governance failure reveals them. Spillover identification is principally retrospective: governance surplus becomes visible when it is destroyed, as Costanza and colleagues demonstrated in the analogous context of ecosystem services, where the value of ecological functions became quantifiable only when those functions were lost.[167] What the protocol does is structure the retrospective analysis so that identified spillovers can be traced to specific governance dimensions, tested for genuine governance dependence, and evaluated for substitutability — the three characteristics that determine whether legal support for the governance institution is justified on spillover grounds.

The errors of conflation

Conflating member benefits with spillovers produces two analytical errors.

The first error is overvaluing exclusion. The club good structure of governance institutions is defined by excludability. The club can deny access to the good by denying membership or expelling violators. Exclusion is the mechanism that makes club membership valuable: the threat of exclusion disciplines behavior, the enforcement of exclusion removes defectors, and the credibility of exclusion sustains cooperation. Chapter 5 explained why exclusion is the paradigm sanction of private governance institutions and why converting expulsion from a categorical rule to a compensated remedy degrades governance capacity.

If spillover benefits are treated as member benefits, however, the analyst attributes to the club mechanism a value that actually flows to non-members regardless of the club's exclusion decisions. The case for protecting exclusion as the mechanism producing that value then becomes overinclusive. Spillover benefits of governance quality flow to non-members because of the cooperative norm the exclusion threat sustains among members. Spillover benefits do not flow to non-members because non-members are excluded. An analysis that credits exclusion with producing the spillover value attributes the non-member benefit to the wrong mechanism. The correct attribution runs as follows: exclusion produces cooperation, cooperation produces governance quality, and governance quality produces both member benefits and spillovers as joint outputs. Conflating member benefits with spillovers obscures this chain and supports the protection of exclusion as a direct cause of social value it does not directly cause.

The second error is undervaluing governance degradation. When a legal rule degrades a governance institution's capacity to function, by converting its expulsion power from a categorical rule to a compensated remedy, by imposing procedural requirements that make discipline too costly to enforce, or by mandating open membership that eliminates the screening function, the direct cost falls on members. Members lose transaction cost savings, coordination benefits, monitoring services, and dispute resolution capacity.

If spillovers are ignored and only member benefits are counted, the social cost of governance degradation is systematically underestimated by exactly the amount of spillover value that was being produced. Standard welfare economics establishes this point formally: when a positive externality exists, social benefits exceed private benefits.[168] An assessment of degradation costs that counts only private benefits misses the harm to non-members who were receiving spillovers.

The scale of this underestimation can be substantial. The DDC's membership numbered in the thousands; the downstream supply chain the DDC's governance served extended to millions of retailers and hundreds of millions of consumers.[169] Any governance institution whose membership represents a fraction of the population its governance serves will generate spillover harm far exceeding member harm when governance degrades. A court or legislature that measures the cost of intervention against member benefits alone will systematically underweight the full social consequence of the intervention.

The correct analytical tool is the joint products framework, not pure club theory. James Buchanan's 1965 paper addressed a governance institution in which benefits flow exclusively

to members: the club excludes non-members, and excludes them fully. When a governance institution also generates non-excludable spillovers, Buchanan's framework does not cover the full analysis. Richard Cornes and Todd Sandler developed the joint products framework for exactly this situation: a good that jointly produces an excludable private characteristic and a non-excludable public characteristic.[170] Governance institutions that generate spillovers produce two joint products. The club mechanism, excludability, voluntary membership, and self-financing, governs the private characteristic. The externality mechanism, public good provision to non-members, governs the public characteristic. Legal analysis of governance institutions requires both frameworks operating simultaneously.

Governance surplus

Member benefits plus spillovers equal the total social value of governance. This total exceeds the private cost that members bear to produce governance, because members can charge for the club good they supply to members but cannot charge non-members for the externalities those non-members receive for free. The excess of total social value over member cost is governance surplus.

The term is novel, but its components are firmly established in welfare economics. Arthur Cecil Pigou demonstrated that goods generating positive externalities, what Pigou called incidental uncharged services, tend to be undersupplied by the market.[171] Producers cannot capture the full social benefit of what they produce, so they may produce less than the socially optimal amount. Applied to governance: members bear all the costs of governance but capture only part of the benefits. Non-members receive spillover benefits

without contributing to costs. Because the full social return to governance may exceed the private return to members, governance institutions may be produced at less than the socially optimal level. This is the standard welfare economics prediction for any good with positive externalities, and governance institutions exhibit the same structural characteristics.

The undersupply prediction is consistent with available evidence, though that evidence does not constitute a direct measurement of governance surplus. The proportion of the United States workforce covered by occupational licensing has grown substantially over recent decades, but researchers disagree about whether this growth reflects optimal provision of the governance function or regulatory capture for the benefit of incumbent practitioners.[172] Professional associations across sectors report membership plateaus and declines.[173] Commons governance institutions face persistent funding challenges. The structure of governance institutions, with members bearing costs and non-members receiving benefits, creates a systematic gap between private and social incentives for governance provision. The chapter does not claim to measure that gap precisely. It claims only that the gap exists and that its existence has predictable consequences for how governance institutions will be provided absent countervailing legal support.

The cost-of-failure evidence illuminates the magnitude of governance surplus without requiring its direct measurement. When a governance institution fails, the costs include both the loss of member benefits and the loss of spillovers. If the spillover component is large, the total cost of failure will substantially exceed what any analysis focused on member harm would predict. The financial crisis estimate of up to thirteen trillion dollars in output losses substantially exceeded what an analysis of member-institution harm alone would

have produced, because the harm fell overwhelmingly on non-members.[174] The erosion of DDC governance spread fraud costs through a supply chain serving far more consumers than members. The degradation of commons governance accelerates resource depletion, generating costs borne by populations that never participated in the governance institution. Each case demonstrates a governance surplus that existed before the failure and was destroyed by the failure. The surplus went unmeasured precisely because it seemed secure. Its magnitude became visible only when it was destroyed.

Methodological candor requires acknowledging that governance surplus is identified principally through failure costs—the counterfactual analysis of what is lost when governance breaks down. This approach depends on base-rate estimation problems that are inherent to any inference from negative to positive states. When governance fails, multiple causal factors may contribute to harm, and isolating governance failure's specific contribution requires strong assumptions about the counterfactual state of governance functions absent the identified failure. Governance institutions operating at different scales and in different institutional contexts generate different spillover magnitudes, and the spillover benefit per member varies substantially across domains. These variations make any generalized magnitude assessment necessarily approximate. The claim is not that governance surplus can be precisely measured or that its measurement is unambiguous. The claim is that the surplus exists, that it is substantial in demonstrable cases, and that legal analysis must account for its existence rather than pretending that governance costs and benefits are confined to the membership.

One qualification requires emphasis. The analysis of governance surplus is not an argument that governance institutions are always beneficial, that their exclusion decisions are always justified, or that legal intervention in governance institutions is always harmful. The analysis is descriptive rather than normative: it identifies what governance institutions produce, separates the two categories of output, and demonstrates that legal analysis confined to member benefits is working with an incomplete accounting. Chapter 14 addresses the governance abuse, distributive justice, and antitrust challenges directly. Whether any particular governance surplus justifies legal protection of a particular governance institution's exclusion mechanism is a question the method developed in Chapter 8 must answer in context.

What this means for legal analysis

Governance institutions produce two analytically distinct outputs: member benefits, which flow to the people who bear governance costs through the club mechanism, and spillover benefits, which flow to non-members who pay nothing. Conflating these two outputs produces systematic errors in legal analysis, overvaluing exclusion on the one hand and undervaluing degradation on the other. And governance institutions are likely to be undersupplied because members cannot capture the full social return on their investment in governance.

Chapter 7 develops the implications for how law acts on governance in both directions. The undersupply prediction this chapter identifies has a specific legal corollary: when a legal rule reduces the private cost of governance production, it narrows the gap between private and social returns and moves governance supply toward the

social optimum. Chapter 7 identifies legal doctrines that do exactly this, describing them as Pigouvian subsidies — named for the same economist whose externality analysis this chapter applied to governance surplus. The enabling dimension of law is easy to miss precisely because the subsidy is structural (judicial deference, immunity from liability, procedural insulation) rather than fiscal (cash transfers, tax credits). The disabling dimension is equally predictable. A legal rule that weakens a governance institution's exclusion mechanism does not merely reduce member benefits. The rule also degrades governance quality, which reduces the spillover benefits non-members were receiving. The full cost of the rule exceeds what an analysis of the immediate dispute between the governance institution and the member seeking damages would capture. The parties before the court represent only a fraction of the parties affected by the court's decision. This is not a reason for courts to refuse to decide governance disputes. It is a reason for courts and legislators to understand what is at stake when they act on governance institutions: not only the disposition of a dispute between identified parties, but the treatment of an institutional architecture that produces value for a constituency far larger than either party to the litigation.

Chapter 7: How Law Enables and Degrades Governance

Chapters 4 through 6 supply the descriptive foundation: what governance institutions require, what kind of good they produce, and what value they generate for members and non-members alike. This chapter turns from description to mechanism. Legal rules act on governance in two directions: enabling and degrading. Some legal rules reduce the cost of producing governance, make private governance rules enforceable, and protect the exclusion mechanism on which governance depends. These rules enable governance. Other legal rules damage governance through identifiable, recurring mechanisms. These rules degrade governance. A third category of legal rules corrects specific governance failures without destroying governance capacity more broadly. These rules discipline governance.

Enabling law and degrading law differ in character. Enabling law subsidizes governance production by reducing the private cost of generating a good whose full social value producers cannot capture. Degrading law raises the cost of producing governance past the point that governance institutions can absorb. Discipline, which falls in neither category, responds to specific identified governance

failures and is calibrated not to damage governance capacity beyond what correction requires.

That last distinction is the hardest to draw. A legal rule that disciplines governance is not the same as a legal rule that degrades governance, but the difference is not always obvious, and courts and legislators do not always see it. The chapter's final section develops the criteria. The framework is applied to specific doctrinal domains in Part III; Chapter 14 addresses those limits most directly, including the claim that governance institutions can use the framework as a shield for discriminatory exclusion.

Chapter 7. Law's Governance Effects

The three categories — enabling, degrading, and disciplining — are analytical, and actual legal rules can shift between them depending on context. A rule that enables governance in one institutional setting may degrade it in another. The purpose of the taxonomy is to direct attention to what a legal rule does to governance capacity, measured by its effects on the four functional elements. The sections that follow examine enabling mechanisms first, then degradation mechanisms, and finally the criteria for distinguishing discipline from destruction.

How law enables governance

Law enables governance through four mechanisms: deference, enforceability, property-rule protection, and recognition. Each supports governance quality, not merely governance existence, and each operates through a logic that prior chapters make visible.

Judicial deference as a governance subsidy. Court deference reduces the private cost of governance production. Every governance institution that exercises authority over members faces litigation risk: a discipline committee that expels a member for cheating, an arbitration panel that renders an adverse award, a credentialing body that denies certification. The expected costs of that litigation, including attorney fees, management attention, the uncertainty of outcome, and the reputational exposure of contested decisions, fall on the governance institution whether the institution wins or loses. Governance institutions that anticipate heavy litigation invest less in monitoring, moderate their enforcement, and develop defensive documentation that substitutes for substantive governance.

Deference doctrines correct this by reducing expected litigation costs. The logic is Pigouvian: when a private activity can generate positive externalities, the private producer will undersupply the activity because the producer cannot charge for the benefits that flow to non-members. Reducing the producer's private costs moves production closer to the social optimum. Deference doctrines apply this logic to governance, and they do so across four distinct doctrinal settings.[175]

The business judgment rule is the corporate governance expression. In its Delaware formulation, the rule creates a presumption that directors acting on an informed basis, in good faith, and without conflicts of interest satisfy their fiduciary obligations, and courts will not substitute their judgment for the board's on the merits of a business decision.[176] The conventional rationales for this deference, including preventing judicial incompetence in business decisions, reducing managerial risk aversion, and avoiding hindsight bias, explain why deference benefits the corporation and its shareholders. They do not explain why deference benefits anyone outside the firm. The governance framework supplies the fuller account: corporate governance can generate positive externalities for employees, creditors, suppliers, and the broader commercial economy, and the business judgment rule reduces the cost of producing that governance. When the Delaware Supreme Court pierced the rule in *Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985), and held directors personally liable for approving a merger after two hours of deliberation without a fairness opinion, D&O insurance premiums rose sharply, qualified candidates grew reluctant to serve on boards, and the Delaware legislature acted within a year to permit charter-level exculpation of directors from duty-of-care damages liability. Del. Code

Ann. tit. 8, § 102(b)(7).[177] The governance consequences of withdrawing deference were immediate and measurable. Chapter 11 examines how the full spectrum of Delaware's review standards, from business judgment to entire fairness, maps onto the governance analysis this book develops.

The Federal Arbitration Act's pro-arbitration policy is the private ordering expression of the same logic. Section 2 declares arbitration agreements "valid, irrevocable, and enforceable," and *Moses H. Cone Memorial Hospital v. Mercury Construction Corp.*, 460 U.S. 1, 24 (1983), directed that doubts about arbitrability should be resolved in favor of arbitration.[178] The FAA eliminates the free-rider problem that would otherwise undermine investment in private arbitration infrastructure: a party who knows courts will not enforce an arbitral award has diminished incentive to honor the governance system that produced it. Section 9 of the FAA converts private arbitration decisions into court judgments enforceable through all mechanisms available to courts, making private governance dispute resolution legally effective while preserving its private character. Chapter 9 examines how these doctrines operate in network governance settings where private arbitration is the primary enforcement mechanism.

The antitrust rule of reason creates protected space for cooperative governance activity. Per se condemnation of coordinated commercial conduct would prohibit the activities through which governance institutions function: joint standard-setting, collective enforcement, shared monitoring, membership criteria, and collective discipline. *Northwest Wholesale Stationers, Inc. v. Pacific Stationery & Printing Co.*, 472 U.S. 284, 296 (1985), held that cooperative governance decisions deserve rule of reason analysis, with per se condemnation reserved for institutions that possess market power or control essential resources.[179] Rule of reason analysis asks whether the

governance activity serves legitimate purposes and whether the restraint is reasonably necessary to achieve them. The institution need not justify every governance decision as procompetitive, only those that raise genuine competitive concerns given the institution's market position.

Common law deference to voluntary associations is the oldest expression of this logic. Courts have consistently refrained from interfering in associations' internal affairs absent bad faith, violation of the association's own rules, or substantive irrationality.[180] Every time a court reviews the merits of an association's governance decision, the court imposes costs on the association, exposes the decision to reversal by a tribunal lacking contextual knowledge, and signals to potential rule-violators that sanctions can be contested. Deference removes these costs.

The four doctrines emerged from different doctrinal traditions with different stated rationales. Each reduces the private cost of producing governance, each is calibrated to allow judicial override under defined conditions rather than granting absolute immunity, and each produces outcomes consistent with positive-externality theory when externalities are present. None was consciously designed as an economic intervention. Each functions as an economic intervention nonetheless.

Enforceability of private ordering. Deference reduces the cost of governance decisions after those decisions are made. A second category of enabling law makes private governance rules binding before any dispute arises. When governance institutions establish rules, those rules bind members through social pressure, reputational consequences, and the threat of exclusion. But when a member contests a governance decision in court, when an arbitral award requires enforcement against a non-complying party, or when a

governance institution needs to sue a member for breach of its rules, law must supply the enforcement mechanism.

The contract theory of association rules provides the primary instrument. When a member joins an association, the charter and bylaws form a contract between the member and the organization. Courts will enforce association rules when the institution acted within its authority, in good faith, following its own published procedures, and with reasonable notice to the member.[181] A member who violates institutional rules and faces expulsion cannot ignore the expulsion and continue trading on the institution's infrastructure, because the expulsion has legal effect through the contractual relationship.

FAA Section 9 extends this enforceability to arbitration awards by directing courts to confirm awards on application by any party. Private governance dispute resolution thereby gains the force of a court judgment.

Delaware General Corporation Law § 122(18), which authorizes stockholder agreements restricting corporate governance decisions notwithstanding § 141(a)'s general board-management mandate, illustrates enforceability in corporate governance. The provision was enacted in direct response to *West Palm Beach Firefighters' Pension Fund v. Moelis & Company*, C.A. No. 2023-0309-JTL (Del. Ch. Feb. 23, 2024), which had invalidated such agreements as violations of mandatory law. The legislature's rapid correction demonstrated the dependence: without enforceability, private governance instruments become unenforceable aspirations.[182]

Property-rule protection of the exclusion mechanism. The third enabling mechanism is legal protection of expulsion as a categorical right rather than a compensated remedy. Chapter 5 ex-

plained why exclusion is the paradigm sanction of private governance institutions: exclusion deprives a member of non-rivalrous benefits at zero cost to the remaining membership, and the asymmetry between the cost to the expelled member and the cost to the institution gives the exclusion threat its deterrent force. That deterrent force depends on the threat being credible, which requires that courts not routinely second-guess expulsion decisions or convert expulsion from a categorical right into a compensated remedy.

When courts protect expulsion as a property-rule entitlement, they preserve the governance institution's ability to remove a defector without compensating the defector for lost membership. The common law's traditional rule, under which courts defer to expulsion decisions that follow the institution's own procedures and are not arbitrary, gives governance institutions the categorical authority that effective deterrence requires. *Blatt v. University of Southern California*, 5 Cal. App. 3d 935 (1970), sustained an honorary society's retroactive eligibility rule on precisely this ground.[183]

The limits of this protection are equally important and equally enabling. *Pinsker v. Pacific Coast Society of Orthodontists*, 12 Cal. 3d 541 (Cal. 1974), and *Falcone v. Middlesex County Medical Society*, 34 N.J. 582 (1961), establish that when a governance institution controls access to essential professional resources, its expulsion decisions become subject to a substantive rationality requirement. This limit does not undermine the property-rule character of ordinary expulsion; it identifies the specific condition, monopolistic control over access to livelihood, that justifies more intrusive review. By specifying when categorical protection ends, the law gives governance institutions outside that zone confidence that their expulsion decisions will stand.

Legal recognition and institutional capacity. The fourth enabling mechanism is recognition of governance institutions as legally real entities with capacity to act. A governance institution that cannot contract, cannot sue, cannot hold property, and cannot be legally accountable for its obligations cannot exercise the governance functions that members and the public depend on.

Chapter 4 covered the conditions of institutional existence. What the present analysis adds is the distinction between legal permission and active legal support. States that have enacted enabling statutes for previously unrecognized governance forms, such as Wyoming's DAO LLC Supplement for blockchain-based governance organizations, the Revised Uniform Unincorporated Nonprofit Association Act for associations lacking corporate form, and the Model Nonprofit Corporation Act's flexible governance structures, have done more than permit those institutions to exist. Those statutes have given institutions the legal infrastructure to exercise governance authority with predictable effect. Chapter 13 examines how enabling law for decentralized governance institutions interacts with the governance analysis this framework develops.

From preservation to construction. The four enabling mechanisms described above emerged without deliberate coordination: the business judgment rule from fiduciary doctrine, FAA enforcement from federal arbitration policy, the rule of reason from antitrust law, and common law deference from courts' reluctance to adjudicate associational disputes. Each reduces the private cost of producing governance and thereby moves governance supply closer to the social optimum. The Pigouvian logic that justifies preserving these existing enabling rules extends further: preservation logic supports construction of new enabling rules where none currently exist.

The prescriptive implication is this: if governance institutions can generate positive externalities that their members cannot capture, and if reducing the private cost of production corrects the resulting undersupply, then the same logic supports constructing new enabling rules in governance domains where positive externalities may be demonstrable but legal enabling mechanisms are absent. The argument is not merely that existing deference doctrines should be maintained. It is that the absence of enabling law in a governance domain where positive externalities may be demonstrable requires investigation of whether externalities are actually present before concluding a policy failure is remediable.

Commons governance institutions illustrate the gap. The Swiss alpine communities that Ostrom documented, the Philippine irrigation systems that Chapter 5 describes, and the fishery co-management regimes that operate across dozens of jurisdictions produce governance benefits that extend well beyond their memberships: environmental preservation, resource sustainability, and local coordination that neither markets nor governments supply efficiently. Yet these institutions operate without any equivalent of the business judgment rule to shield their enforcement decisions from judicial second-guessing, without FAA-style enforcement to give their dispute resolution legal effect, without rule-of-reason protection for their cooperative restraints, and frequently without the legal recognition that would give them standing and capacity to enforce their own rules. If the Pigouvian framework is correct, commons governance institutions are more undersupplied than corporate or exchange governance institutions, because they lack every enabling mechanism that the latter enjoy. The governing principle is that legislatures and courts should develop enabling law for commons governance with the same functional logic — cost reduction to correct

positive-externality undersupply — that produced the four existing doctrines, even though commons governance does not map neatly onto the doctrinal categories from which those doctrines emerged. The enabling obligation extends beyond preservation of existing enabling rules to construction of enabling rules in governance domains where none currently exist.

How law degrades governance

Law degrades governance through seven recurring mechanisms that fall into three functional clusters organized by which governance element each damages.

Disabling the sanction mechanism

Mechanism 1: Converting property rules to liability rules on exclusion. When law converts a governance institution's expulsion authority from a categorical right to a compensated remedy, the credibility of the exclusion threat collapses. The collapse occurs not because expulsion is formally prohibited, but because the expected cost of exercising it rises enough to deter enforcement.

Silver v. New York Stock Exchange, 373 U.S. 341 (1963), is the foundational case. The NYSE disconnected Harold Silver's direct-wire connections without notice or hearing, destroying his brokerage business. The Supreme Court held this violated the Sherman Act and exposed the Exchange to treble damages under the Clayton Act. The holding converted the Exchange's exclusion authority from an exercise of institutional governance into an actionable antitrust violation, subject to per se condemnation unless the institution could demonstrate procedural compliance. Paul Mahoney documented the consequences: the Exchange's capacity to discipline members

swiftly and credibly was systematically constrained by the procedural apparatus the decision imposed.[184] Nominal exclusion authority survived. The practical cost of using it increased enough to alter enforcement behavior throughout the institution. Chapter 9 examines the governance consequences of the *Silver* line in detail.

Expulsion deters defection only when the expected cost to a potential defector of being expelled exceeds the expected gain from defection. When courts subject expulsion decisions to antitrust review with treble-damages exposure, the governance institution must calculate the probability of successful legal challenge, the expected damages, and the litigation costs it bears even in defense of a justified expulsion. When those expected costs are high enough, rational institutions moderate enforcement rather than bear them. Members observe the pattern. Enforcement becomes unreliable. Unreliable threats lose deterrent force, because a member who calculates a meaningful probability of successful legal challenge against an expulsion decision will weigh that probability against the governance institution's sanction, reducing the cooperative discipline that makes the institution function. Eric Posner's analysis of legal intervention in group governance captures the mechanism: even rules that merely duplicate a group's own norms will undermine self-regulation when they introduce legal uncertainty into governance decisions that previously had categorical effect.[185]

Mechanism 2: Procedural requirements that make sanctions too costly to exercise. When law imposes notice, hearing, stated-reasons, and judicial-review requirements on governance institution disciplinary decisions, the formal expulsion authority remains intact but the practical cost of exercising it rises until the institution effectively stops enforcing its rules against all but the most egregious violations.

Silver provides the doctrinal expression again. The Court required notice and an opportunity for hearing before the Exchange could exercise exclusionary authority without antitrust liability. Justice Stewart's dissent identified the governance cost: "This self-initiating process of regulation can work effectively only if the process itself is allowed to operate free from a constant threat of antitrust penalties." 373 U.S. at 371. California's fair procedure doctrine, established through the *Pinsker* line of cases, imposed substantive rationality and procedural fairness requirements on professional associations exercising quasi-monopolistic control over certification.[186] The LMRDA imposes detailed procedural requirements on union disciplinary proceedings. Each of these requirements has an independent justification. Each also raises the cost of governance enforcement in ways that governance institutions must absorb rather than pass on.

The administrative law literature on rulemaking ossification identifies the same mechanism in public governance. Thomas McGarity documented that procedural requirements on agency rulemaking, including notice-and-comment obligations, hard look judicial review, executive oversight, and congressional analytical mandates, caused agencies to shift resources from substantive governance to defensive documentation and to prefer informal guidance over enforceable rules.[187] The structural parallel between administrative ossification and private governance proceduralization is imperfect: agencies face constitutional constraints, political accountability, and statutory mandates that private associations do not. But the core mechanism is the same. Procedural cost deters governance output whether the institution is a federal agency or a commodity trade association.

The governance-relevant question is not whether procedural requirements produce any benefit. Many do: they reduce the risk of arbitrary enforcement, provide excluded members a check on institutional overreach, and create a record for meaningful review when review is warranted. The question is whether the procedural cost is proportionate to the governance benefit. Procedural requirements calibrated to the scale of the governance decision and the degree of monopolistic institutional power discipline governance without destroying it. Procedural requirements imposed categorically, without regard to institutional context, produce in private governance the ossification that McGarity documented in administrative governance.

Corrupting the rule system

Mechanism 3: Juridification of contextual norms. When law imports informal, contextual norms into formal governance adjudication, it destroys the predictability on which sustained cooperation depends.

Bernstein's NGFA study demonstrates the mechanism directly. NGFA arbitrators deliberately declined to consider trade usage, course of dealing, and course of performance, the contextual indicia that UCC §§ 1-303 and 2-208 direct courts to apply, even when evidence of those practices was available. The NGFA's formal written rules deliberately diverged from informal trading customs. Bernstein explained why: governance institutions in repeated-transaction environments maintain two distinct normative registers. Relationship-preserving norms govern ongoing trading relationships; they are informal, flexible, and contextual. End-game norms govern formal dispute resolution; they are written, categorical, and predict-

able. The registers serve different functions and must remain separate. When courts apply the UCC's incorporation strategy and import relationship-preserving norms into end-game adjudication, they collapse the distinction. Informal accommodations become legally risky because any accommodation might later be cited as evidence of a binding trade usage. Governance institutions respond by refusing to develop contextual accommodations, reducing the flexibility that sustains long-term cooperative relationships.[188]

Bernstein's companion study found that geographically co-extensive usages of trade did not exist even within close-knit commercial communities, and that the empirical assumptions underlying the UCC's incorporation strategy were "highly questionable."[189] Robert Scott's analysis of formalism in relational contract extends the argument: contextual interpretation by courts "undermines a parallel goal of predictable, transparent interpretation of explicit contract terms" and erodes the reliability on which governance-sustaining investment depends.[190]

Cooperation in repeated-transaction environments is sustained when members have reliable expectations about the consequences of defection. Contextual interpretation by external adjudicators makes those expectations unreliable: a member cannot know whether its formal obligations mean what they say or what the relationship's informal history suggests. Reliable governance requires reliable rules, and contextual interpretation of formal governance instruments by courts without the institutional knowledge to weigh the relevant context threatens both. Chapter 10 examines how this mechanism operates specifically in contract remedies disputes affecting governed trading networks.

Mechanism 4: Displacement of private ordering by mandatory rules. When mandatory legal rules displace governance institution rules that were previously privately ordered, institutions lose the adaptive capacity to tailor governance to their particular circumstances.

The mandatory versus enabling structure of corporate law illustrates the trade-off. Roberta Romano documented that state competition for corporate charters produces enabling rules that give corporations flexibility to design governance structures suited to their needs, while a national mandatory regime would eliminate this adaptive capacity.[191] Frank Easterbrook and Daniel Fischel made the complementary argument: market forces ensure efficient charter terms, and most corporate law should be enabling.[192] The case for mandatory rules, that asymmetric information and collective action failures prevent efficient charter terms from emerging, is serious, and some mandatory rules are justified as protections against insider opportunism. The governance-relevant claim is narrower: mandatory rules reduce governance adaptability, and the optimal domain for mandatory rules covers the situations where private ordering systematically fails rather than the governance decisions that institutions have adequate incentives to make well.

ERISA preemption demonstrates the degradation mechanism at its most extreme. Section 514(a) displaces all state law that "relates to" an employee benefit plan, creating a vacuum in which state law is unenforceable but federal law provides only minimal substantive requirements for self-funded plans. The governance institutions that developed under state law to manage benefit plan administration, mediate disputes between employers and employees, and enforce fiduciary standards have been largely displaced by a federal

framework that establishes accountability obligations without providing the institutional mechanisms to enforce them.[193]

Removing accountability

Mechanism 5: Removing standing without providing substitutes. When law removes private enforcement rights without replacing them with alternative accountability mechanisms, governance failures go undetected and uncorrected even when fiduciary obligations formally remain.

Chapter 4 documented this through three nonprofit cases: the Bishop Estate in Hawaii, the Hershey Trust in Pennsylvania, and the Getty Trust in California. In each case, governance institutions with formal legal recognition, fiduciary obligations, and accountability structures suffered serious failures over extended periods because no private party had standing to challenge governance decisions and the state attorney general lacked the resources, political independence, or institutional capacity to act in time. Evelyn Brody identified the structural cause: "few charities have members endowed with voting rights, and state attorneys general have limited resources to devote to monitoring the nonprofit sector."[194] The absence of private enforcement rights is not an incidental feature of nonprofit law. It is the structural condition that allows governance failures to persist. Chapter 12 examines the governance void in universities and nonprofits in detail and considers institutional responses that might close the standing gap without compromising governance autonomy.

Standing gaps arise in other governance contexts as well. The Private Securities Litigation Reform Act's heightened pleading requirements raised the cost of securities fraud litigation enough to

reduce the private enforcement that had supplemented SEC oversight.[195] *Thole v. U.S. Bank N.A.*, 140 S. Ct. 1615 (2020), held that defined-benefit pension plan participants lacked Article III standing to challenge plan fiduciaries who had produced substantial investment losses, because the participants' promised benefits were technically unaffected.[196] The Landrum-Griffin Act reserves union election challenges to the Secretary of Labor, foreclosing direct suits by union members to enforce governance obligations.[197] In each setting, the removal of private standing concentrates enforcement authority in a single institutional actor that will predictably under-enforce.

Mechanism 6: Substituting compliance structures for governance architecture. When law mandates formal compliance programs as evidence of governance adequacy, organizations create structures that satisfy legal requirements without changing governance behavior. What Kimberly Krawiec has called cosmetic compliance satisfies the legal standard while leaving governance quality unchanged.[198]

Krawiec documented the pattern across environmental, tort, employment, corporate, securities, and health care contexts: compliance programs are adopted primarily as legal shields rather than behavioral change mechanisms, and courts treat the existence of those programs as evidence of compliance regardless of whether the programs alter outcomes. Lauren Edelman identified the underlying dynamic: organizations respond to legal mandates by creating formal structures that signal compliance, and those structures then shape the legal standards against which compliance is measured, in a cycle that progressively decouples legal accountability from governance quality.[199]

The corporate governance context illustrates this mechanism with particular force. Caremark's oversight duty nominally requires

directors to implement information and reporting systems. In practice, the near-insurmountable pleading standard meant that almost any compliance program satisfied the duty, giving boards strong incentives to create programs that demonstrate compliance rather than programs that detect problems. Roberta Romano's analysis of Sarbanes-Oxley found that SOX governance provisions were "ill-conceived," that independent boards did not reliably improve governance quality, and that some firms de-listed or went private to avoid compliance costs that exceeded the governance value the statute was designed to produce.[200] The result is predictable under the framework: legal mandates that measure governance by its formal indicators rather than its substantive function produce formal indicators at the expense of substantive function.

Mechanism 7: Mandating open membership that disables screening. When law requires governance institutions to accept members they would otherwise exclude, the institution loses the monitoring and certification functions that depend on selective membership.

The exclusion mechanism Chapter 5 described serves two purposes. The first is enforcement: expulsion punishes defectors and deters others. The second, equally important and less often analyzed in legal scholarship, is screening: admission criteria filter out potential members whose inclusion would damage governance quality by introducing those with higher defection rates, weaker compliance records, or conduct records inconsistent with the institution's governance norms. When law requires institutions to admit members regardless of these criteria, screening fails and governance quality degrades.

Roberts v. United States Jaycees, 468 U.S. 609 (1984), and *Board of Directors of Rotary International v. Rotary Club of Duarte*, 481 U.S. 537

(1987), required civic associations to admit women under state public accommodations laws, balancing associational freedom against the state's compelling interest in eradicating discrimination. Neither decision examined whether the contested membership criteria served governance functions.[201] *Boy Scouts of America v. Dale*, 530 U.S. 640 (2000), held that forced inclusion of a member whose presence significantly affected the organization's ability to express its values violated the First Amendment's protection of expressive association. The *Dale* framework distinguishes organizations defined by expressive purposes from those that are not, but it does not supply an account of when membership criteria serve governance functions that are independent of expressive purpose.[202]

No court has explicitly distinguished between membership criteria that are constitutive of a governance institution's function, such as the medical board's credential requirement, the DDC's reputation screening, or the professional association's character and fitness review, and membership criteria that reflect social preferences without governance significance. The former criteria serve the monitoring and certification functions Chapter 6 identified. When law overrides those criteria, governance quality degrades. The latter criteria may warrant override under anti-discrimination or public accommodations analysis without governance consequence. Chapter 14 addresses the anti-discrimination challenge directly, including the limits the governance framework must acknowledge when associational exclusion crosses from governance discipline into discrimination against protected classes.

When mechanisms interact

The seven mechanisms described above are presented individually because each operates through a distinct causal pathway. In practice, legal rules frequently activate more than one mechanism simultaneously, and the interaction between mechanisms produces governance costs that exceed what any single mechanism would impose alone.

Two forms of interaction can be distinguished. The first is additive: two mechanisms each impose independent costs on different governance functions, and the total governance degradation is the sum of the two independent effects. *Silver v. New York Stock Exchange* illustrates this pattern.[203] Mechanism 1 operated by converting the NYSE's expulsion authority from a categorical property-rule entitlement to a liability-rule remedy subject to antitrust scrutiny and treble-damages exposure, degrading the sanction function's credibility. Mechanism 2 operated independently by imposing procedural requirements that made disciplinary action costlier to initiate, degrading the sanction function's frequency. Each mechanism would have imposed governance costs on its own. Operating together, they compounded: not only was the sanction less credible (because subject to judicial override), it was also less frequent (because the procedural cost of initiating it exceeded the governance benefit in marginal cases). Mahoney's empirical observation that NYSE enforcement activity declined after *Silver* reflects the combined effect of both mechanisms, not either one in isolation.[204]

The second form of interaction is cascading: one mechanism's activation creates the conditions under which a second mechanism becomes operative or its effects are amplified. *Marchand v. Barnhill* illustrates this pattern in the corporate governance context.[205] The

Delaware Supreme Court identified what appeared to be a monitoring failure — the Blue Bell Creameries board had implemented no reporting system for food safety compliance. But the monitoring failure was not isolated. Because no monitoring system existed, the sanctioning function had nothing to act on: no information about compliance failures reached the level at which sanctions could be imposed. Because no sanctions were imposed, the adjustment function received no feedback about the adequacy of existing rules. And because no adjustment occurred, the decision-making function operated without the information that would have prompted corrective action. The cascading interaction produced a comprehensive governance collapse from what could have begun as a single-element failure: monitoring failure cascaded into sanctioning failure, which cascaded into adjustment failure, which left decision-making uninformed. A court evaluating the governance cost of a legal rule must therefore ask not only which mechanism the rule activates but whether that activation will compound with mechanisms already operating or trigger a cascade through dependent governance functions.

The analytical implication is that legal rules acting on governance institutions already under stress from one degradation mechanism will impose higher marginal governance costs than the same rule applied to a governance institution operating without prior degradation. Courts and legislatures assessing the governance consequences of a proposed intervention should identify the full mechanism profile of the institution, including mechanisms already activated by prior legal rules, before concluding that the marginal cost of an additional intervention is acceptable.

Discipline versus destruction

The seven mechanisms described above are mechanisms of governance degradation, not arguments against legal intervention in governance institutions. Law must sometimes intervene to correct specific failures: abuse of members, discriminatory exclusion, anticompetitive conduct, capture by insiders, systematic neglect of institutional purposes. The governance framework demands that such interventions be made with awareness of their governance consequences.

The analytical challenge is distinguishing intervention that disciplines governance from intervention that destroys governance capacity. The distinction is not absolute. The same legal rule can discipline governance in one institutional context and destroy governance capacity in another. The governance framework provides four criteria for drawing the distinction.

Market power and exit availability. The degree of scrutiny that governance institutions warrant is proportional to the degree of market power those institutions hold over members who cannot exit. This principle runs through the relevant case law. *Northwest Wholesale Stationers* calibrated antitrust scrutiny to market power and access to essential resources. *Pinsker* imposed substantive and procedural requirements on associations with quasi-monopolistic control over professional certification. Common law deference applies most strongly to voluntary organizations whose members can readily join alternative institutions.

Albert Hirschman's analysis of exit, voice, and loyalty provides the theoretical foundation.[206] When exit is readily available, members dissatisfied with governance can leave and join alternative institutions. The threat of exit disciplines governance quality through market competition, and legal intervention is less necessary. When

exit is unavailable or prohibitively costly, when the institution controls access to a profession, a market, or a resource for which no adequate substitute exists, members cannot leave and the market discipline that would otherwise check governance failure does not operate. Legal intervention becomes more justified.

The calibration this criterion produces is straightforward: institutions with market power warrant more scrutiny, and institutions without market power warrant less. What the governance framework adds is the recognition that heightened scrutiny still carries governance costs. The question is whether the specific intervention proposed is calibrated to the governance failure that market power enables rather than imposed as a categorical override of governance authority.

Mandatory access antitrust. The essential facilities doctrine and mandatory dealing requirements under antitrust law represent the most aggressive form of the property-rule to liability-rule conversion identified in Mechanism 1. Where standard liability-rule conversion makes expulsion costly to exercise, mandatory access requirements affirmatively compel the governance institution to admit or deal with parties the institution has chosen to exclude.

Aspen Skiing Co. v. Aspen Highlands Skiing Corp., 472 U.S. 585 (1985), permitted a refusal-to-deal claim where a dominant firm discontinued a profitable course of dealing with a competitor for reasons that made no economic sense absent a predatory purpose.[207] Applied to governance institutions, this doctrine raises the question: when does a governance club's exclusion constitute exclusionary monopolization rather than a legitimate governance membership decision? The essential facilities doctrine, at its broadest, would require governance institutions controlling essential infrastructure

to provide access on reasonable terms even to parties they have excluded.

Verizon Communications Inc. v. Law Offices of Curtis V. Trinko, 540 U.S. 398 (2004), significantly curtailed mandatory access antitrust by holding that there is no general duty to deal with rivals, that the essential facilities doctrine remains legally uncertain, and that antitrust law should not be used to manage ongoing regulatory relationships.[208] *Trinko* implicitly recognized the governance costs that mandatory access imposes: requiring governance institutions to serve parties they have excluded on regulated terms removes the categorical character of the exclusion right and introduces the same credibility problems identified in Mechanism 1. The decision left the governance institution's exclusion authority more intact than the broader essential facilities doctrine would have, reflecting a judicial choice, whether or not consciously framed in governance terms, to preserve the property-rule character of exclusion where a regulatory regime already exists to address access concerns.

Where an institution's exclusion of a party reflects genuine anticompetitive exclusion rather than legitimate governance discipline, antitrust intervention is warranted. Where exclusion reflects a governance judgment about member quality, conduct history, or compatibility with institutional norms, mandatory access antitrust removes the governance institution's most effective sanction without addressing the problem the sanction was designed to solve. The market power criterion distinguishes the cases: when the governance institution lacks market power and the excluded party has adequate alternatives, the exclusion does not threaten competition and antitrust intervention is not justified. When the institution controls essential infrastructure and exclusion forecloses effective competition, antitrust scrutiny is appropriate. The governance framework

does not oppose this scrutiny; the framework requires that mandatory access remedies, if imposed, be structured to preserve as much of the categorical character of exclusion as the competitive harm requires removing. Chapter 14 addresses the equity dimension of mandatory access, including access claims grounded in anti-discrimination law rather than competition law.

Last-period defection and structural conflicts. Edward Rock and Michael Wachter identified the conditions under which norm-based governance breaks down: specifically, situations in which the repeat-play incentive structures that make self-governance effective are no longer operative.[209] When a firm faces a change of control, when shareholders face a freeze-out merger, or when an institutional insider has an opportunity to capture governance for personal benefit at the expense of members or the public, the governance institution faces a period in which the future consequences of defection are small relative to their immediate gains. Self-governance through norms fails because the shadow of the future that normally disciplines behavior has shortened or disappeared.

Legal intervention is most justified in these last-period situations and least justified when governance institutions operate in ongoing relationships with strong repeat-play structures. Entire fairness review in corporate governance, applied to self-dealing transactions by controlling shareholders, targets exactly the structural conflicts that produce last-period defection. The business judgment rule's withdrawal in those circumstances is discipline, not destruction: it responds to the specific structural failure that governance self-regulation cannot address without external accountability.

Proportionality and comparative institutional competence. Neil Komesar's comparative institutional analysis provides

the organizing principle: the question is not whether the governance institution is perfect, but whether the intervening institution, whether court, legislature, or regulator, is better positioned to produce the governance outcome sought.[210] Courts lack contextual knowledge, face strategic litigation by sophisticated parties, and produce precedents that apply beyond the specific dispute. Legislatures are subject to capture by organized interests, produce categorical rules that cannot anticipate governance context, and impose compliance costs on all governance institutions in a domain to address abuses by a few. Legal intervention that exceeds the institutional competence of the intervening institution substitutes one form of governance failure for another.

Proportionality requires that legal intervention respond to a specific, identified governance failure in a manner calibrated to correct that failure rather than imposing categorical costs on governance production across the board. When *Allied Tube & Conduit Corp. v. Indian Head, Inc.*, 486 U.S. 492 (1988), imposed antitrust liability on a standard-setting body whose consensus process had been subverted by economically interested parties who packed the voting membership, the holding was proportionate: it identified the specific mechanism of capture, imposed liability on the capturing parties, and left intact the standard-setting institution's authority over untainted decisions.[211] When *Silver* imposed antitrust liability on the NYSE for exclusionary conduct without differentiating exclusion for governance purposes from exclusion for anticompetitive purposes, the holding was disproportionate: a governance cost fell on all NYSE disciplinary decisions to address a specific failure involving a single non-member excluded without notice.

Discipline is targeted. Destruction is categorical. Law that disciplines governance improves governance quality in the specific institutional contexts where governance has failed. Law that degrades governance imposes costs on the governance function itself, without regard to whether any specific governance failure has occurred or whether the intervening institution is better positioned to address it than the governance institution would be.

Calibration, the standard that separates discipline from destruction, has two independent dimensions that legal analysis must evaluate separately. Scope calibration asks whether the remedy targets the governance function that failed and no other function. Intensity calibration asks whether the governance cost of the remedy is proportionate to the governance benefit of correcting the failure. Scope and intensity calibration are independent conditions: a remedy can satisfy one while violating the other. *Silver* failed on both dimensions simultaneously. On scope, the Court imposed antitrust liability and procedural requirements across all NYSE disciplinary decisions, member and non-member alike, when the identified failure concerned a single non-member denied access without notice. On intensity, the remedy exposed the Exchange to treble damages under the Clayton Act for exercising a governance function, sanctioning defectors, that had no causal relationship to the competitive harm the antitrust laws were designed to prevent. *Allied Tube*, by contrast, satisfied both: scope was limited to the specific standard-setting decision that had been corrupted by interest-group packing, and intensity was proportionate because liability fell on the parties that had subverted the governance process rather than on the standard-setting institution's legitimate governance functions. Evaluating calibration along both dimensions prevents the analytical error of treating a remedy as disciplining merely because it is targeted (it may

be targeted but disproportionately costly) or merely because it is proportionate in cost (it may impose a proportionate cost on the wrong governance function).

The discipline-versus-destruction distinction assumes that governance failure is localized: one function fails, and the remedy targets that function. But governance failure can be systemic. When all four governance elements have failed — when decision-making is captured, monitoring is absent, sanctions are unenforced, and adjustment has ceased — a remedy targeting only one element is insufficient, and a remedy addressing all four appears categorical. The distinction between discipline and destruction breaks down at this boundary unless the framework specifies a systemic failure corollary: when the identified governance failure is pervasive across all governance functions, a comprehensive remedy that addresses all four elements simultaneously is not categorical in the framework's sense. "Categorical" means imposed without regard to whether failure is present. A remedy that responds to documented failure across every governance dimension is targeted — it is targeted at an institution whose governance has failed comprehensively. *Marchand v. Barnhill*, 212 A.3d 805 (Del. 2019), illustrates the corollary. The Delaware Supreme Court found that Blue Bell Creameries' board had failed to implement any reporting system to monitor food safety compliance — the company's "most central compliance issue." The failure appeared to be a monitoring problem, but in substance the court identified a collapse of the board's entire governance architecture: no information systems, no board-level discussion, no agenda items addressing the risk, no management reporting protocols. The remedy — allowing the *Caremark* claim to proceed past the motion to dismiss stage — addressed what the court recognized as a pervasive governance failure, not a single isolated functional deficiency.

The systemic failure corollary preserves the discipline-versus-destruction distinction by specifying that the scope of a proportionate remedy must match the scope of the documented failure. A remedy that addresses four governance elements because four have failed satisfies scope calibration. A remedy that addresses four governance elements because one has failed does not.

What Chapter 8 will do

Three categories of legal rules, organized by their governance effects, now have precise specifications: enabling rules that subsidize governance production, seven degrading mechanisms organized by functional cluster, and disciplining rules calibrated to correct specific failures without destroying governance capacity more broadly. Chapter 8 converts that taxonomy into a working method. The method asks specific questions of any legal rule that acts on a governance institution: what governance function does the rule support or damage, through which of the identified mechanisms does it operate, and what cost does it impose on governance capacity relative to the specific governance problem it addresses? The method does not generate automatic answers. It directs legal analysis toward the right questions.

Chapter 8: A Method for Evaluating Law's Governance Effects

Rights protection, efficiency, distributive justice, legitimacy, anti-discrimination enforcement, and systemic stability all make legitimate claims on legal rules, and those claims frequently conflict. A rule maximizing rights protection may sacrifice efficiency. A rule disciplining governance abuse may damage governance capacity. A rule enforcing anti-discrimination may override the membership criteria that governance institutions use to sustain their monitoring and enforcement functions. Weighting these competing objectives against one another, deciding what law is ultimately for and which values take priority when they collide, is a question no single scholarly project can answer. Cass Sunstein put the point precisely: legal actors persistently disagree about foundational principles even while converging on particular outcomes, and that divergence at the level of foundations reflects genuine incommensurability among legal values rather than mere failure of analysis.[212]

This book supplies something more tractable than foundational answers: a governance optimization function, precisely specified, that legal actors can introduce into whatever framework they use to weigh competing legal values. Before this framework, governance

was a word lawyers used without a stable definition, a concern courts expressed without a method for measuring, and an interest that legal analysis could not reliably trace from legal rule to institutional effect. Seven chapters have supplied the definition, the measurement framework, and the tracing mechanism. Putting those tools to work is the task of this chapter.

Chapter 8. Governance Evaluation Method

The method developed here proceeds in two stages. The first makes governance legible as a legal variable — visible and specifiable in legal argument the way information asymmetry became legible after Akerlof's 1970 paper. The second applies a structured sequence of analytical steps to any legal rule or decision that affects a governance institution. Together, the two stages allow lawyers and courts to trace the path from a legal rule to its governance effects and to include those effects in whatever framework they use to weigh competing legal values.

Making governance legible as a legal variable

Akerlof's 1970 paper on markets for lemons offers an instructive comparison.[213] His contribution was naming and precisely specifying a phenomenon, information asymmetry between buyers and sellers, that had always been present in market transactions but had never been made analytically legible, rather than resolving the normative question of what contract law is for. Once named and specified, information asymmetry could be introduced into doctrinal analysis across contracts, securities, torts, and corporate law. Courts and scholars did not need a unified theory of contract to ask whether any particular rule exacerbated or corrected an information asymmetry. Legibility made the variable available for analysis that was already underway. From that availability followed changes in how lawyers understood what remedies were coherent, what default rules were sensible, and what existing doctrinal categories had been missing.

Governance occupies an analogous position. Legal analysis has always recognized that some rules help cooperation and some rules

undermine it. What legal analysis has lacked is a precise account of governance as an institutional phenomenon: a definition stable enough to carry doctrinal argument, a goods-typology classification explaining its production and spillover dynamics, and a taxonomy of the mechanisms through which law acts on it. Without those analytical tools, governance entered legal reasoning as a diffuse intuition rather than a specified variable. Diffuse intuitions cannot be weighed rigorously against rights or efficiency because the weighing requires both sides of the scale to be legible.

That is why incommensurability makes the contribution of this book more important, not less. When legal values are incommensurable, no formula correctly weights them. But incommensurability does not make precise specification of individual values pointless; it makes precision necessary. Legal actors weighing governance against rights, or governance against efficiency, cannot make that weighing more rigorous than their description of governance allows. A diffuse governance intuition will be weighted diffusely, or discarded entirely, because it cannot be placed on a scale with values that have been refined over generations of doctrinal analysis. A precisely specified governance variable, one with identifiable structure, identifiable outputs, and identifiable legal preconditions, can enter the weighing process with the same analytical standing that rights and efficiency analysis have earned by decades of specification.

Three normative premises underlie this framework, and stating them explicitly is important because the method's force depends on accepting them. First, governance institutions that satisfy the four-element framework of Chapter 1 produce value that legal analysis should recognize as a distinct legal interest — not merely as a by-product of contract, property, or association, but as a structured in-

stitutional capacity whose existence is itself legally significant. Second, legal rules that predictably destroy governance capacity impose real costs, costs measurable in the degradation of cooperation, monitoring, sanctioning, and adjustment, even when those rules advance other legitimate objectives such as rights protection, market competition, or anti-discrimination enforcement. Third, the costs of governance degradation are cognizable legal harms: they warrant consideration in legal design and adjudication, not as dispositive factors that trump all other values, but as costs that legal actors must identify and weigh rather than ignore. These three premises are modest in scope. The method claims that governance is a real institutional phenomenon, that law affects it, and that the effects of law on governance should be visible in legal analysis rather than invisible. The method thus makes governance legible without claiming that governance always outweighs rights, that all exclusion is justified by governance function, or that self-governing institutions are entitled to legal deference regardless of their conduct.[214]

Whether to weight governance heavily against other legal values in any particular case, or to treat governance degradation as an acceptable cost of achieving another legal objective, remains a judgment for legal actors in context. Chapter 14 addresses the limits most likely to justify accepting a governance cost, including the anti-discrimination challenge, the antitrust interface, and the rights dimension, and examines what the governance framework concedes and what it contests in those settings. Here, the task is explaining how the method works.

What the governance evaluation produces

This framework proposes seven analytical steps through which to evaluate governance effects. Each step poses a specific question, in a specific sequence, and produces an answer with identifiable content. Taken together, the seven steps yield a governance evaluation: a structured account of what a legal rule does to governance, through what mechanism, and at what cost to governance capacity.

A governance evaluation is one input among several to a legal verdict, not the verdict itself. Reaching a legal verdict requires taking the governance evaluation alongside analysis of the other legal values at stake in the specific decision: rights, efficiency, legitimacy, and anti-abuse. Governance analysis supplies one side of that weighing with a precision previously unavailable. Lawyers and courts integrate this input with the rest of their analysis.

Proper use of this method requires understanding its scope. When properly used, the method makes governance costs and benefits visible and precisely characterized so that the legal actor deciding the question has accurate information about what the rule does to governance. The method supplies one side of the weighing legal actors must do; it does not settle the ultimate legal judgment. Even when a legal rule clearly degrades governance capacity, that degradation may be justified as the price of vindicating a right, enforcing anti-discrimination, correcting anticompetitive conduct, or addressing a governance failure more serious than the degradation the rule causes. What the method guarantees is that the governance cost enters the analysis visibly rather than being overlooked.

Answers at each step require judgment, not calculation. Legal judgment of the kind the method requires is informed by text, doctrine, precedent, and institutional context, the standard materials of legal reasoning. What the method does is organize that judgment in

a governance-specific sequence, structuring the analysis so that governance receives sustained attention rather than occasional acknowledgment.

Governance disputes are polycentric in Lon Fuller's sense, and that polycentricity explains why structuring the analysis matters.[215] Fuller identified polycentric problems as those involving many affected parties in a fluid state of affairs where a change in one element ripples through all the others. Adjudication handles polycentric problems poorly because party-centered proceedings allow only the parties before the court to present proofs and arguments, leaving the interests of all other affected parties without formal representation. Governance disputes are polycentric in exactly this way: a court adjudicating a dispute between a governance institution and an expelled member is resolving a dispute limited to those parties, but the governance question raised by that dispute, whether the rule governing the expulsion enables or degrades governance capacity, affects every member of the institution, every beneficiary of governance spillovers, and every party who might be excluded in the future. None of these parties has a voice in the party-centered proceeding.

Governance analysis compensates for this structural limitation by expanding what lawyers and legislators consider before a rule issues or a statute is enacted. Courts adjudicate disputes between the parties before them and should continue doing so. Lawyers and legislators who apply the governance method before rules are made are doing analysis that the court's own process cannot perform for them. Fuller's observation about the limits of adjudication is, in this sense, an argument for applying the governance method at the legislative and regulatory design stages rather than an argument against applying it at all.

Legal rather than economic analysis is what the method demands. Pricing governance outputs, aggregating utilities, and computing welfare functions are not what the method requires. Identifying mechanism and direction is. Each step poses the kind of question legal analysis already asks: what does this rule do, to what kind of institution, through what mechanism, with what consequence for the institution's capacity to perform its function? Whether expulsion is protected as a property right or converted to a compensated remedy, whether fiduciary obligations attach to governance authority, whether private enforcement rights exist to challenge governance failures, whether law makes governance institution rules enforceable in court or merely aspirational: these are questions lawyers answer through the standard tools of legal reasoning. The method organizes those questions in a governance-specific sequence.

The seven steps

The framework proposes seven analytical steps, each building on the prior steps and setting up what follows. Selective application fails: the sequence matters because later steps depend on what earlier steps establish. Step 1 names the object. Steps 2 and 3 describe the institution and its legal environment. Steps 4 and 5 characterize what the institution produces. Step 6 identifies how law acts on it. Step 7 evaluates.

Step 1: Identify the shared problem

Every governance institution exists because a group faces a shared problem that uncoordinated individual action does not adequately address. Naming that problem with precision is the first step. Precision means more than a label: it means identifying what

failure the institution was organized to address, what evidence shows it has addressed that failure, and what governance functions are essential to addressing it as opposed to incidental to the institution's operation.

Naming the shared problem constrains all subsequent analysis. A governance institution organized to address fraud in a trading network depends critically on its monitoring and sanction mechanisms, because those mechanisms produce the cooperation equilibrium that prevents fraud. Damage those mechanisms, and governance capacity is diminished at its functional core. A governance institution organized to coordinate technical standards depends critically on its decision-making procedures, because those procedures resolve coordination games and select the focal points around which members converge. Damage those procedures, and the coordination function fails regardless of whether the sanction mechanism is intact. Legal rules that act on a governance institution produce different governance effects depending on which function is essential to the shared problem the institution addresses, and that determination requires naming the shared problem first.

Framing discipline is part of Step 1's work. Two framings of the NYSE setting are available: one treating the shared problem as restraint of trade among competing market participants, another treating it as the collective action problem of maintaining market integrity among interconnected broker-dealers who share infrastructure. From the first framing, analysis points toward competitive effects and market structure. From the second, analysis points toward monitoring, sanctioning, and discipline functions. Only the second framing identifies the governance institution as the object of analysis. Choosing between framings requires arguing from the institution's actual operation rather than from formal descriptions or

from whichever characterization best serves a preferred legal outcome.

Step 2: Identify the governance institution

Chapter 1 defined governance as the organized system by which a group manages a shared problem over time, requiring four elements: decision-making, monitoring, sanctions, and adjustment. Step 2 determines whether a governance institution exists in the relevant setting, describes its four elements with enough specificity to analyze legal effects on them, and maps its membership boundaries.

Four elements, not two, are required, and the requirement is functional rather than formal. An organization with decision-making and monitoring but no effective sanctions and no capacity to adjust its rules is a governance shell, not a governance institution. Governance capacity depends on all four elements being operative: decision-making authority that members actually follow, monitoring that produces information that actually governs conduct, sanctions that are actually applied to actual violations, and adjustment procedures that actually revise rules in response to actual changed circumstances. Claims of governance protection based on institutional form, meaning formal documents that establish all four elements without any functioning manifestation of any of them, do not satisfy Step 2. An institution invoking governance protection must demonstrate that its four elements are operating, not merely that they appear in its bylaws.

Because governance quality is private information held by institutional leadership, the functionality requirement must be tied to observable outputs rather than internal processes, and the evidentiary burden must fall on the institution claiming governance pro-

tection. Decision-making is functioning when institutional decisions govern actual member behavior, meaning members can identify the institution's rules and demonstrate that those rules constrain their conduct in ways they would not otherwise choose. Monitoring is functioning when it generates conduct-governing information, meaning information that has been used, within an identifiable period, to initiate at least one sanction proceeding, modify at least one institutional rule, or alter at least one member's behavior through the credible threat of detection. Sanctioning is functioning when sanctions are applied to actual violations at a frequency consistent with the institution's observable violation rate, not merely when sanction authority exists on paper. Adjustment is functioning when rules have changed within an identifiable period in response to documented changed circumstances, not merely when amendment procedures exist in the bylaws. Each criterion asks for an output, not a structure: documented arbitration proceedings, not an arbitration clause; recorded rule revisions with identified triggering events, not an amendment provision; sanction decisions with stated bases, not a disciplinary committee roster. An institution that satisfies all four output criteria has earned the governance protection the framework provides. An institution that can demonstrate structures but not outputs has earned only the presumption that further investigation is warranted before protection is granted.

Informal governance qualifies. Maine lobster communities governed their fisheries before any statute recognized them. Diamond trading networks operated governance systems through reputational tracking, graduated sanctions, and community arbitration without formal legal architecture.[216] Whether an informal arrangement satisfies the four-element test is a factual question the definition makes answerable. Neither the presence of formal structure nor

the absence of legal recognition determines the answer. What determines the answer is whether decision-making, monitoring, sanctions, and adjustment are functioning.

Membership boundaries are part of the institution's description, not a separate inquiry. Chapter 5 established that governance institutions have club good structure: membership boundaries define who participates in governance, who bears governance costs, who receives member benefits, and who is subject to the sanction mechanism. Boundaries that are unclear or contested signal a structural problem that any legal analysis of the institution must acknowledge, because legal rules that act on governance produce different effects depending on whether membership is well-defined or porous.

Step 3: Describe the legal conditions under which the governance institution exists

Chapter 4 identified six legal conditions governance institutions require: permission and recognition, membership boundaries, external enforceability, fiduciary structure, standing, and accountability. Step 3 applies that framework to the specific institution under analysis, asking not whether the conditions are present in name but whether they are present in effect. Formal recognition without practical enforceability leaves governance vulnerable at the enforceability condition. Nominal fiduciary obligations without standing to enforce them leave governance vulnerable at the accountability condition.

Two kinds of analytical work make this step essential. First, a diagnostic function: describing which conditions are strong, which are weak, and which are absent tells the analyst where governance is structurally vulnerable and therefore where legal intervention will

do the most governance damage. An institution with strong recognition and enforceability but weak standing is highly vulnerable to Mechanism 5, the removal of standing without providing substitutes, while being more resilient to Mechanism 1, which converts expulsion from a property rule to a liability rule. Understanding the condition profile allows prediction of which legal rules pose the greatest governance risk to the specific institution.

Second, an etiological function: distinguishing between governance failure caused by legal degradation and governance failure caused by inadequate legal conditions from the outset. Both produce failing governance, but they call for different legal responses. Governance failing because law has degraded a previously functional condition calls for legal restoration of that condition. Governance failing because it was never adequately constituted calls for legal construction of the missing condition. Conflating the two problems produces misdirected legal responses that address the wrong cause.

Step 3 also establishes the baseline for Step 6. When a rule modifies the enforceability of private governance decisions, Step 3's description of the pre-rule enforceability condition is what Step 6's legal effects analysis measures change against. Without that baseline, Step 6 cannot determine whether the rule degrades governance or merely adjusts conditions that were never adequate.

Step 4: Identify the member benefits the governance institution produces

Chapter 6 identified four categories of member benefit: transaction cost reduction, coordination, monitoring and adverse selection reduction, and dispute resolution. Step 4 identifies which of these the governance institution delivers, through what mechanism, and with what evidence.

Where empirical evidence exists, the analysis should use it. Bernstein's study of the Diamond Dealers Club quantified transaction cost reduction directly: two thousand members conducted billions of dollars of annual transactions on handshake terms, with disputes resolved by DDC arbitration in ten days rather than through years of civil litigation, and the mechanism was a reputation tracking system that permitted members to extend unsecured credit and accept oral agreements from counterparties whose conduct history the institution monitored.[217] NYSE self-regulation produced adverse selection reduction through surveillance, examination, and the expulsion threat, which together created the assurance that justified lower transaction costs in trading with known counterparties.

Where comparable evidence is unavailable, the analyst must identify the mechanism through which member benefits are produced and assess whether that mechanism is functioning. Functioning monitoring produces information that actually governs member behavior. Credible sanctions are sanctions that members actually apply to actual violations, not sanctions that exist in rules but are never used. Predictable governance rules are rules that members can and do rely on to structure their expectations. An institution whose monitoring produces paperwork rather than conduct-governing information, whose sanctions are never applied, and whose rules members routinely circumvent is producing symbolic governance rather than actual member benefits. The distinction between functioning governance and symbolic governance is observable from the four elements established in Step 2: where those elements are real, member benefits follow; where they are nominal, member benefits are claimed but not delivered.

Step 4 matters for legal evaluation because the magnitude of the member benefits determines the governance stake in any legal rule

affecting the institution. A rule degrading governance in an institution producing large, well-documented, and causally traceable member benefits destroys more governance value than the same rule applied to an institution whose member benefits are speculative or de minimis.

Step 5: Ask whether the governance institution creates spillovers

Step 5 distinguishes genuine spillovers—externalities proportional to governance quality—from coincidental public benefits.

Proportionality is what distinguishes genuine spillovers from coincidental public benefits. Carbon sequestration from community forest governance rises and falls with governance quality: well-governed forests store more carbon, and as governance degrades and rules are flouted, sequestration declines proportionally. Market integrity from exchange self-regulation rises and falls with enforcement quality: rigorous surveillance and discipline produces reliable prices and fraud deterrence for all investors, while governance degradation reduces market integrity proportionally. Coincidental public benefits lack this property; they do not diminish as governance quality diminishes, and conflating them with genuine spillovers inflates the governance analysis.

Including spillovers changes the structure of legal evaluation in a specific and important way. Without spillover analysis, a court evaluating a governance dispute sees legal rule costs borne by the parties before it: the governance institution and the excluded or disciplined member. Spillover analysis reveals that those parties represent only a fraction of those whose interests the legal rule affects. In the DDC context, the parties were traders; the affected population extended to retailers, jewelers, insurers, and consumers whose access to reliable gem certification depended on DDC governance

quality. In the NYSE context, the parties were the exchange and Harold Silver; the affected population included every retail investor whose market integrity depended on exchange enforcement quality. Measuring a rule's cost against only the parties before the court understates the governance stake in the decision.

Spillover magnitude also bears on justifications for legal protection. When spillovers are large and the non-member population substantially exceeds the membership, protecting governance capacity serves a public interest that extends well beyond club membership. That scale of public interest provides a justification for legal protection that member-benefit analysis alone cannot supply.

Step 6: Analyze how law enables, disciplines, or weakens the governance institution

Step 6 asks two questions: which enabling mechanisms does the rule supply, and which degradation mechanisms does it activate?

Enabling mechanisms reduce the private cost of producing governance, bringing governance provision closer to the social optimum. Four enabling mechanisms are available: judicial deference that reduces governance production costs (the Pigouvian subsidy function of the business judgment rule, the FAA's arbitration enforcement, the antitrust rule of reason, and common law association deference); enforceability of private ordering that makes governance rules legally operative beyond social pressure alone; property-rule protection of the exclusion mechanism that preserves the categorical character of expulsion as a sanction; and legal recognition that gives the governance institution the capacity to sue, contract, hold property, and be held accountable.

Seven degrading mechanisms fall into three functional clusters. Sanction-disabling mechanisms convert the property right of exclusion to a liability rule (Mechanism 1) or impose procedural requirements that raise sanctioning costs past the point of absorption (Mechanism 2). Rule-corrupting mechanisms import informal contextual norms into formal governance adjudication (Mechanism 3) or displace private ordering with mandatory rules that remove adaptive governance capacity (Mechanism 4). Accountability-removing mechanisms strip private enforcement rights without providing substitutes (Mechanism 5), substitute compliance structures for governance architecture (Mechanism 6), or mandate open membership that disables the screening function (Mechanism 7).

Specifying which mechanism is activated has three analytical consequences that distinguish mechanism identification from mere classification. First, it specifies which governance function is being damaged. Disabling the sanction mechanism destroys the cooperation equilibrium faster and more completely than corrupting rule predictability does, which in turn damages governance more immediately than removing accountability mechanisms. Second, it reveals whether the mechanism is calibrated to a specific governance failure or imposed categorically. Discipline responds to an identified failure through a mechanism directed at that failure. Degradation activates a mechanism regardless of whether any specific failure has occurred or whether the specific failure that has occurred justifies the particular mechanism activated. Third, it connects the legal rule to the Part III application chapters, where each mechanism is traced through specific doctrinal domains with specific doctrinal examples.

Mechanism specification is also what enables the discipline versus destruction analysis. Discipline requires two conditions: a specific identified governance failure to which the legal intervention

responds, and a mechanism of intervention calibrated to that failure. Destruction occurs when an intervention activates a degradation mechanism without satisfying both conditions: when governance capacity is damaged whether or not any specific failure is present, or when the mechanism is broader than the failure requires.

Step 7: Evaluate the law's governance effects

Step 7 names what the analysis has found and positions the finding for use in legal decision-making. Four findings are possible: the legal rule enables governance; disciplines governance by correcting a specific failure in a manner calibrated to that failure; degrades governance by activating one of the seven mechanisms without proportionality to any specific governance failure; or produces mixed effects combining enabling or disciplining elements with degrading ones.

Naming the governance finding is distinct from reaching a legal verdict. Step 7 also requires identifying where the governance finding intersects other legal values that the larger legal judgment must weigh. When a rule degrades governance but simultaneously protects against discriminatory exclusion, the evaluation should state both facts: this rule degrades governance through Mechanism 7, at this degree of magnitude, in service of this anti-discrimination objective. Step 7 identifies the governance costs and benefits; it leaves to legal actors the judgment whether the anti-discrimination objective justifies the governance cost. Step 7 makes both sides of the question legible so that the legal actor reaching the verdict can weigh them accurately.

Step 7 also requires identifying the burden of proof at each step. The institution claiming governance protection bears the burden at

Steps 1-3 of demonstrating that a specific governance problem exists, that a functioning governance institution addresses it, and that legal conditions for governance are adequate. The party challenging governance bears the burden at Steps 6-7 of showing that the identified governance effect is degrading rather than disciplining, meaning that the identified legal mechanism activates without proportional justification tied to a specific documented governance failure. This burden allocation prevents both baseless claims of governance protection and equally baseless attacks on legitimate governance activity.

Step 7's finding is one input to a legal judgment. Legal actors use it alongside analysis of rights, legitimacy, efficiency, and anti-abuse concerns to reach verdicts that the governance method itself cannot reach. What the method guarantees is that the governance side of every such judgment is precisely specified.

Why the method is distinctively legal

Three features make the governance method recognizably legal rather than economic or sociological.

Legal categories do the analytic work

Property rules and liability rules, fiduciary duties and standing, enabling conditions and mandatory rules, discipline and destruction: these are legal categories, not economic variables or sociological constructs. Law constitutes, recognizes, and regulates institutions through these categories, and the governance method works through them. Because the method's conclusions are generated through legal analysis, they are contestable through legal argument.

A governance evaluation finding that a rule converts expulsion from a property rule to a liability rule rests on the same kind of analysis lawyers apply when determining whether a property interest has been taken or merely regulated, whether a duty attaches to a relationship, or whether a statutory scheme creates a private right of action. Courts and scholars know how to contest and resolve questions of legal characterization through text, structure, precedent, and purpose. A party arguing that a rule does not actually convert expulsion to a compensated remedy, or that the governance institution's enforcement mechanism does not depend on the categorical character of expulsion, is making a legal argument that engages the method on its own terms.

Welfare economic analysis lacks this feature. A finding that a rule reduces aggregate surplus by some estimated magnitude is contestable only by disputing the estimate, which means providing different data, different models, or different assumptions about consumer preferences and market structure. Courts are poorly equipped for that kind of contestation; adjudicating competing econometric models is not what courts do. Governance analysis produces findings amenable to legal argument, which is the form of contestation courts are built to conduct.

Agreement is achievable without foundational consensus

Sunstein's account of incompletely theorized agreements identifies the characteristic structure of successful legal reasoning: legal actors agree on particular outcomes and specific explanations without requiring agreement on foundational principles.[218] Governance analysis operates at exactly this level. Legal actors can agree that a specific rule activates the property-to-liability-rule conversion

mechanism and degrades governance capacity through that mechanism's causal chain, without agreeing on whether governance should be weighted heavily against rights as a general matter, whether the governance framework is the correct theoretical account of governance, or what law is ultimately for.

Agreement at the level of mechanism identification and causal description is achievable through legal analysis because it requires only one foundational commitment: that governance institutions have club good structure, produce member benefits and spillovers, and are acted upon by legal rules in the ways Chapter 7 identifies. A legal actor who accepts those empirical claims can apply the method without committing to any comprehensive theory of legal value. Sunstein's insight applies with precision: where legal systems succeed in producing stable doctrine, they do so by generating agreement at levels of specificity that do not require resolution of the foundational disagreements that persist between them.

Portability without reductionism

Legal scholarship has generated powerful specialized frameworks for evaluating law within doctrinal domains. Corporate law has the business judgment rule and the entire fairness standard. Antitrust has the rule of reason. Association law has the fair procedure doctrine. Compliance law has Caremark's oversight duty. Each framework evaluates governance decisions in domain-specific terms, using concepts and precedents that have developed in that domain. None provides a cross-domain framework for evaluating any legal rule by its governance effects.

Governance analysis provides that cross-domain framework without displacing the specialized frameworks. Applied to a corpo-

rate governance dispute, a diamond trading network dispute, a commons governance dispute, and a university governance dispute, the method asks the same seven questions. Answers will differ because the shared problems, governance institutions, legal conditions, member benefits, spillovers, and degradation mechanisms differ across these settings. Portability means the questions travel intact across doctrinal fields; it does not mean the answers converge on a single conclusion. Specialized frameworks in each field remain available to supply content to the method's steps: the business judgment rule functions as the enabling mechanism analyzed in Step 6; the rule of reason creates the antitrust space for cooperative governance that Step 6 maps; the fair procedure doctrine is the procedural requirement whose governance cost Step 6 measures through Mechanism 2. Governance analysis gives these frameworks a common analytical home without collapsing them into one another.

Where the method does its best work

The method's informational demands are not uniform across its seven steps, and this asymmetry determines where the method is most and least effective as a practical tool. Steps 1 through 3 (identify the shared problem, evaluate the governance institution's structure, and assess whether governance is functioning) and Step 6 (identify the legal mechanism through which a rule acts on governance) require the kind of institutional analysis that courts and legislators routinely perform: characterizing an institution's structure, examining its rules and their application, and tracing the causal pathway through which a legal rule affects institutional behavior. These steps produce findings through the legal categories the method is built on, and courts can apply them with the same confidence they bring to

characterizing fiduciary relationships, property interests, or statutory schemes.

Steps 4 and 5, which require evaluating member benefits and spillovers, impose higher informational demands. Governance quality is private information held by the institution and its members. Spillover benefits are diffuse, often unpriced, and attributable to governance only through causal inference that requires domain-specific knowledge. In litigation limited to the parties before the court, no party has adequate incentives to produce spillover evidence: the governance institution benefits from overstating its governance value, the challenging party benefits from understating it, and the court lacks independent access to the institutional knowledge required to evaluate competing claims. The adversarial process, which produces reliable findings when both parties have access to the relevant evidence and incentives to present it accurately, is poorly suited to questions where the relevant evidence is dispersed among non-parties and the relevant causal inferences require expertise the litigation process does not supply.

These informational constraints mean that the method performs differently in different institutional settings. In legislative and regulatory design, where the informational investment can be made ex ante through hearings, commissioned studies, notice-and-comment proceedings, and expert consultation, the method's demands at Steps 4 and 5 can be met with reasonable rigor. A legislature considering whether to extend rule-of-reason protection to a new category of governance institutions can commission an empirical assessment of the spillovers those institutions generate and design the enabling statute to reflect the findings. The method's contribution in legislative design is both structural (organizing the governance

inquiry through the right questions) and quantitative (directing the informational investment to produce findings at each step).

In litigation, the method's contribution is primarily structural. Courts applying the method should expect to produce precise findings at Steps 1 through 3 and Step 6, where legal characterization does the analytical work, and approximate findings at Steps 4 and 5, where the informational demands exceed what adversarial proceedings reliably produce. This asymmetry is a feature of the method's design, not a weakness. The method's comparative advantage lies in identifying settings where legal analysis can proceed with confidence and settings where informational constraints require appropriate epistemic humility. A method that claimed equal precision everywhere would lack operational purchase; a method that specifies where its findings are strongest — and where they should be treated as structural rather than quantitative — gives courts and legislators reason to trust it in the settings where it performs best, and reason to apply appropriate caution in settings where informational demands cannot be fully met.

Governance analysis in the presence of rights, legitimacy, and anti-abuse

Governance analysis does not operate in isolation. Legal systems simultaneously pursue rights protection, democratic legitimacy, and the prevention of institutional abuse — values that can conflict with governance preservation. The framework must specify how governance analysis interacts with each of these competing commitments, because a method that cannot accommodate rights, legitimacy, and anti-abuse concerns cannot function as a general tool of legal evaluation.

Rights analysis

When a legal rule that protects an individual right simultaneously degrades governance capacity, the governance framework does not instruct legal actors to sacrifice the right. Rights claims have independent standing in legal analysis, and the governance method does not contest that standing. What the method changes is the quality of the balance that legal actors draw.

Roberts v. United States Jaycees shows how mandatory membership overrides governance screening.[219] Civic associations exercised screening functions, selecting and vetting members based on character, conduct, and compatibility with institutional norms, that serve the monitoring and membership-quality purposes Chapter 6 identified. Mandatory open membership activates Mechanism 7, disabling the screening function and reducing the institution's capacity to maintain governance norms that sustain member cooperation. That governance cost is real: the institution becomes less able to exclude those whose inclusion would damage the cooperation equilibrium producing member benefits and spillovers.

The state's compelling interest in eradicating discrimination against women is a claim of the first constitutional order, and the governance analysis does not diminish it. Governance analysis supplies what was previously missing from the constitutional balance: identification of the specific governance function that mandatory membership overrides (screening), the mechanism through which the override damages governance (Mechanism 7), and the dimension of governance quality affected (monitoring capacity and cooperation equilibrium maintenance). Courts conducting Roberts-style balancing have generally proceeded without this specification, leav-

ing the governance side of the constitutional scale empty or approximate. Making it precise changes the quality of the balancing without altering its structure or its constitutional logic.

Rights analysis is already structured as a balancing inquiry in most contexts where governance costs arise: compelling interest analysis, proportionality review, heightened scrutiny. Governance analysis supplies one side of those balancing inquiries with greater precision, enabling conclusions to be reached through analysis rather than assumption.

Legitimacy concerns

Procedural requirements on governance institution disciplinary decisions implicate two genuine legal values simultaneously. Procedural protection for members subject to governance authority, specifically the opportunity to be heard before being expelled or disciplined, serves rule-of-law values that are independent of the governance analysis and anterior to it. Raising the cost of exercising sanctions by imposing procedural burdens degrades the cooperation equilibrium that governance sustains, because members who anticipate that enforcement will be costly begin to discount the sanction threat. Both consequences are real.

Calibration is where governance analysis adds value to legitimacy analysis. Procedural protection for excluded non-members targets a genuine governance failure: parties significantly affected by governance decisions without any formal relationship to the governance institution deserve process, and governance institutions exercising authority over such parties without providing it have failed in a way that legal intervention should correct. Procedural protection extended categorically to all member discipline decisions im-

poses governance costs without a corresponding governance benefit, because the specific failure the protection is designed to prevent, arbitrary exclusion of members who had no opportunity to respond, has not been established to have occurred in the member discipline context. Governance analysis produces the finding: this rule imposes governance costs through Mechanism 2, at this magnitude, in response to this identified failure (or without any identified failure). Whether the costs are justified in light of legitimacy benefits is the normative judgment that legal actors must make with that finding in hand.

The anti-abuse concern

Governance language can be used to insulate abusive conduct from legal scrutiny. Private institutions have invoked associational autonomy to shield discriminatory exclusion, anticompetitive market division, and insider capture from precisely the legal interventions that should correct them. That the governance framework provides grounds for resisting some legal interventions creates a risk that it will be misused to resist interventions that are legitimate. This concern is the most structurally serious challenge the framework faces, because the risk is internal rather than external: it arises from within the framework's own logic.

Steps 2 and 6 address the concern structurally rather than through external limiting principles. Step 2 requires that a governance institution actually exist in the relevant sense, which means demonstrating that its four elements are functioning: that monitoring produces conduct-governing information, that sanctions are actually applied, that decision-making governs actual behavior, and that adjustment tracks actual changed circumstances. An institution

that nominally monitors but never generates conduct-governing information, nominally sanctions but never enforces, and nominally adjusts rules but does so only to entrench insiders fails Step 2. When the governance protection is claimed by an institution that Step 2 shows to be a governance shell, the claim fails at its foundation.

Step 6's discipline versus destruction analysis addresses the concern at the remedial level. Discriminatory exclusion is either a governance failure that the discipline criterion covers, in which case legal intervention is warranted by the framework's own terms, or a non-governance abuse that the institution is attempting to shield under governance language, in which case Step 2 should already have revealed that the institution lacks genuine governance functions in the relevant respect. The framework's response to anti-abuse is embedded in the method's structure because Steps 2 and 6 together require demonstrating both that governance exists and that any challenged legal intervention responds to an identified governance failure rather than to legitimate governance activity.

Chapter 14 develops this analysis through cases in which courts have correctly overridden governance institution claims on anti-discrimination, antitrust, and rights grounds. Governance analysis endorses those outcomes as discipline responses to identified governance failures, and it shows how the method reaches those characterizations through its structured analysis rather than assuming them.

The method applied: *Silver v. New York Stock Exchange*

Silver v. New York Stock Exchange, 373 U.S. 341 (1963), appears throughout this book because it illustrates simultaneously what governance institutions do, how law acts on them, and what happens when legal analysis addresses only the dispute between the parties before the court and misses the governance institution that the dispute implicates. Applying the full method makes the illustration precise.

Step 1: The shared problem

NYSE members shared trading infrastructure and depended on the reliability of market prices and the creditworthiness of trading counterparties. Market manipulation, fraud, and breach of trading obligations were the shared problem: left unchecked, such conduct could propagate through the interconnected trading system and destroy the market integrity that made exchange membership valuable in the first place. No individual market participant could efficiently monitor all its counterparties; the coordination difficulties and information costs of individual monitoring would have been prohibitive. Collective governance infrastructure was the solution to a collective action problem.

Step 2: The governance institution

NYSE governance had all four required elements in functioning form. Decision-making occurred through listing standards, trading rules, and member conduct requirements adopted by the exchange's governing body. Monitoring occurred through market surveillance and member examination programs that generated actual conduct-

governing information. Sanctions operated through the exchange's disciplinary apparatus, with expulsion as the ultimate sanction removing a member from all trading floor access and benefits. Adjustment occurred through periodic revision of trading and conduct rules in response to changing market conditions. Each element was functioning, not merely formal.

Step 3: Legal conditions

Before *Silver*, NYSE governance rested on strong legal conditions across all six dimensions. Legal recognition was unambiguous: the Securities Exchange Act registered the exchange as a self-regulatory organization with delegated regulatory authority. Membership boundaries were enforced as property-rule entitlements: expulsion was categorical, not convertible to a damages remedy at the expelled member's option. Exchange rules were externally enforceable as contractual terms of membership through the contract theory of association rules. Fiduciary and quasi-fiduciary obligations attached to exchange authority through the Exchange Act's regulatory framework. Implied antitrust immunity protected self-regulatory activities from per se condemnation. Those conditions collectively gave the exchange's governance mechanisms their legal force.

Silver degraded three of the six conditions simultaneously. Exposing expulsion decisions to antitrust liability reduced the property-rule character of expulsion by conditioning categorical authority on procedural compliance. Imposing procedural requirements raised the practical cost of exercising that authority. Narrowing the implied immunity reduced the legal protection for self-regulatory activities generally. Step 3's function here is establishing the baseline: initially strong legal conditions that the decision under analysis degraded.

Step 4: Member benefits

NYSE governance produced member benefits across three of Chapter 6's four categories. Transaction costs among member firms were reduced through shared market infrastructure, standardized trading rules, and a reputation mechanism permitting firms to conduct large transactions on the basis of known counterparty conduct histories that the exchange tracked. Adverse selection was reduced through surveillance and examination: a member transacting with another member had assurance that the counterparty had been vetted for compliance with exchange requirements and remained subject to ongoing monitoring. Dispute resolution was available through the exchange's arbitration system at lower cost and with greater specialized expertise than civil litigation. Coordination was also present in the exchange's role setting standardized protocols enabling efficient price discovery.

Step 5: Spillovers

Mahoney documented that exchange self-regulation produced market integrity for all investors, not only member broker-dealers.[220] Price discovery efficiency, the accuracy of equity prices as signals of underlying firm value, benefited all economic actors who relied on equity market valuations: pension funds, insurers, creditors, and ultimately ordinary savers. Fraud detection and enforcement of trading rules protected retail investors who never became exchange members. The Supreme Court acknowledged this in *Silver* itself, recognizing that exchange self-regulation served the broader public purpose of maintaining market integrity. Proportionality holds: exchange governance that functions less effectively produces less market integrity, less accurate prices, and less fraud deterrence for nonmembers, in proportion to the governance quality decline.

Step 6: Legal effects

Silver activated two degradation mechanisms simultaneously, both within the sanction-disabling cluster.

Mechanism 1 operated by converting the NYSE's expulsion authority from a categorical property-right entitlement to a liability-rule remedy subject to antitrust scrutiny and treble damages exposure. Before *Silver*, disciplinary authority had the categorical character of a property rule: the exchange could expel a member for conduct rule violations without exposing itself to antitrust liability for having done so. After *Silver*, exercising that authority in any case arguably involving competitors created antitrust exposure. Expected liability costs, multiplied by the probability of successful antitrust challenge, raised the private cost of disciplinary decision-making throughout the institution. Formal authority survived; the practical cost of using it increased enough to alter enforcement behavior across the institution's entire disciplinary apparatus.

Mechanism 2 operated through procedural requirements imposed as preconditions for antitrust immunity. Notice and an opportunity to be heard before exclusionary decisions added administrative cost to every disciplinary decision, required the exchange to maintain records adequate to demonstrate procedural compliance, and created litigation exposure whenever members contested whether adequate process had been provided.

Both mechanisms targeted the exchange's governance capacity at its sanction function, the element most essential to maintaining the cooperation equilibrium that addressed the shared problem of fraud and market manipulation.

The governance failure *Silver* addressed was genuine and specifically located. Harold Silver was a non-member broker. His direct-wire connections were terminated without notice and without an

opportunity to be heard. Silver had no membership relationship with the exchange and no formal mechanism for contesting the decision. An institution exercising authority over parties outside its membership, affecting those parties significantly, without providing any process at all, has failed in a way that legal intervention should correct.

The Court's remedy, however, extended far beyond the identified failure. Broad antitrust liability and categorical procedural requirements across all NYSE disciplinary activities, member discipline included, addressed a failure concerning non-member access to exchange infrastructure. Member discipline is a different governance function. Silver was not a member; member discipline was not the mechanism through which he was harmed. Governance costs fell on the member discipline functions that had no causal relationship to the specific failure the case addressed.

Step 7: Evaluation

Silver yields a mixed governance evaluation, predominantly degrading.

Legitimate discipline is present. Governance institutions exercising authority over parties outside their membership, affecting those parties significantly without providing any process, have failed in a way that warrants correction. A targeted procedural requirement limited to non-member access decisions would have addressed that failure without activating degradation mechanisms on unrelated member discipline functions. That targeted intervention would constitute discipline as Chapter 7's analysis defines it: responding to a specific governance failure through a mechanism calibrated to correct it.

Predominant degradation follows from the remedy's failure on both dimensions of calibration Chapter 7 identifies. On scope, antitrust liability and procedural requirements were imposed across all exchange governance decisions, member and non-member alike, degrading the member discipline governance that bore no causal relationship to the identified failure. Mechanisms 1 and 2 are both applied beyond the governance function that failed: they damage governance capacity whether or not the specific failure involving non-member access is present. On intensity, the remedy exposed the Exchange to treble damages under the Clayton Act for exercising a governance function — disciplining members — that served market integrity rather than anticompetitive exclusion, imposing a governance cost disproportionate to the governance benefit of correcting a procedural failure in non-member access decisions. Mahoney's empirical analysis documents the institutional effect: constrained enforcement behavior across the exchange's disciplinary apparatus, not only in non-member access decisions. The gap between identified failure and categorical remedy, on both the scope and intensity dimensions, is what makes the decision predominantly degrading rather than purely disciplining.

Governance analysis does not conclude that *Silver* was wrongly decided as a matter of law. Antitrust scrutiny of exchange governance, procedural protection for parties affected by exchange decisions, and judicial oversight of self-regulatory organizations all have legitimate grounding in competition policy and administrative law. What governance analysis concludes is that the governance cost was not measured, the failure was not precisely identified as one about non-member access rather than member discipline generally, and the remedy was accordingly broader than the failure required. A

court with this analysis available would have been equipped to address the non-member access problem through targeted process requirements while preserving the categorical character of member discipline. Supplying that analysis so that calibration is possible is the method's contribution: not reversing *Silver,* but preventing its failure of calibration from recurring.

The framework in Part III

Part III applies the governance method to six doctrinal domains. Each chapter asks the same seven questions, and the answers differ because the institutional settings differ.

Network governance (Chapter 9) presents governance institutions whose informal character courts have consistently misread as the absence of governance. Exclusion from commercial networks has governance functions, including maintaining the cooperation equilibrium, certifying member quality, and deterring defection, that courts have analyzed as anticompetitive conduct rather than governance activity. Governance analysis reveals both the governance institution courts are missing and the spillovers that make the governance costs of misreading it significant.

Contract remedies (Chapter 10) presents what this book calls the wrong plaintiff problem: courts protecting the individual promisee while failing to account for the harm to the governance institution that made the promise possible. Breach of a governance-embedded commitment injures not only the individual promisee but the institutional framework through which similar commitments could be made and relied on. Governance analysis identifies the institution that is the real plaintiff and examines what contract doctrine does to it.

Corporate governance (Chapter 11) presents the domain where governance analysis is most developed in existing doctrine, including the business judgment rule, entire fairness review, Caremark, and Blasius, but least explicitly framed in governance terms. Governance analysis supplies the explicit governance framing, which changes how the doctrine's enabling and degrading functions are understood and which doctrinal developments appear as governance improvements versus governance erosions.

Universities and nonprofits (Chapter 12) present governance institutions with the largest spillovers relative to their capacity to self-finance. Educational and philanthropic institutions produce public goods whose benefits extend far beyond their membership, which means governance voids in these institutions impose costs on beneficiary populations who have no formal voice in governance. The standing gap that Mechanism 5 identifies is most consequential here, and governance analysis reveals why the nonprofit accountability problem is a structural rather than incidental feature of nonprofit law.

Knowledge institutions (Chapter 13) turn the governance analysis toward the legal academy itself. Law reviews and other scholarship-producing bodies have governance institutions with four elements, namely editorial decision-making, peer review, citation practices as social monitoring, and methodological adjustment, whose quality determines the reliability of the knowledge that legal scholarship and legal practice depend on. Governance analysis of knowledge institutions asks what legal rules enable or degrade epistemic governance, which is the governance of the mechanisms that produce reliable legal knowledge.

Limits, Gaps, and Research Horizons (Chapter 14) develops the cases in which governance analysis correctly supports legal interventions that impose governance costs: anti-discrimination mandates, antitrust enforcement against anticompetitive exclusion, and due process requirements in governance institutions exercising coercive authority. Those interventions are the discipline side of Chapter 7's discipline versus destruction analysis. Chapter 14 shows how governance analysis reaches them rather than treating them as external exceptions to a pro-governance rule.

Different shared problems, different governance institutions, different legal conditions, different member benefits, different spillovers, and different legal mechanisms produce different governance evaluations across these six domains. An accurate analytical method should produce variation rather than uniformity, and the governance method does. What it does not do is predetermine outcomes. It determines what questions must be answered to evaluate any legal rule by what that rule does to governance, and it supplies a vocabulary precise enough to make those answers carry doctrinal weight.

Evidentiary standards

The seven-step method specifies the analytical questions at each step but has not yet specified what evidence satisfies each step. A court or regulator applying the method needs to know: what counts as adequate evidence that a governance institution satisfies Step 2's four-element test? What counts as adequate evidence of member benefits at Step 4? What counts as adequate evidence of spillovers at Step 5?

The framework proposes the following burden structure. A governance institution seeking the framework's protective implications bears the initial burden of demonstrating, by a preponderance

of documentary evidence, that its four governance elements are functional within the meaning of Step 2. Functionality must be established through the output-based criteria Chapter 1 specifies: monitoring that generates conduct-governing information actually used in decisions, sanctioning applied at a frequency consistent with the observable violation rate, decision-making that governs actual member conduct, and rules that change in response to documented inadequacies. Formal structures that satisfy none of these output criteria do not satisfy Step 2, regardless of their organizational complexity.

Once the governance institution has established functionality at Step 2, the party challenging the governance institution's exclusion or other governance decision bears the burden of demonstrating, by a preponderance of the evidence, that the challenged decision does not serve any of the governance functions identified at Step 4. This allocation reflects the institutional competence point: the governance institution possesses contextual knowledge about the relationship between its membership criteria and its governance quality that external challengers typically lack, and requiring the governance institution to establish its bona fides before shifting the burden ensures that the framework's protections extend only to institutions with genuine governance function.

The court should not require the governance institution to quantify spillover benefits with economic precision at Step 5. Qualitative evidence of a causal mechanism linking governance quality to non-member benefit, supported by at least one documented instance of spillover degradation when governance quality declined in a comparable institution, suffices for Step 5's analytical purpose. Requiring quantitative precision would impose an evidentiary stand-

ard that the underlying economics does not support: spillover benefits are by definition not priced in markets, and demanding market-equivalent measurements would systematically undervalue precisely the benefits the framework exists to identify.

Remedial protocol

When a court identifies a specific governance failure under Steps 2 and 6, the remedial question is what the court should do about it. The framework proposes that courts consider remedies in the following sequence, ordered by ascending governance cost:

First, a declaratory judgment identifying the governance failure and stating the legal expectation. A declaration that a governance institution has failed at a specific element — that its monitoring system does not generate conduct-governing information, or that its adjustment mechanism has not responded to documented inadequacies — creates a public record of the failure without imposing direct governance costs. Declaratory relief preserves the institution's authority to correct the failure through its own governance processes while putting the institution on notice that further failure may warrant escalation.[221]

Second, a mandatory disclosure order requiring the governance institution to document its corrective actions within a specified period. Disclosure orders impose modest governance costs — the cost of documenting what the institution is doing to address the identified failure — while generating information that the court, regulators, and stakeholders can use to evaluate whether correction has occurred.

Third, a targeted injunction limited to the governance function that failed. Where the failure is specific — a monitoring system that

ignores a category of misconduct, a sanctioning mechanism that has not been applied in documented cases of violation — the injunction addresses that failure without extending to governance functions that are operating adequately. Scope calibration, as Chapter 7 develops it, requires that the injunctive remedy target the failed function and no other.

Fourth, appointment of a special governance monitor for a defined term. The governance monitor remedy parallels the corporate compliance monitor structure used in deferred prosecution agreements, adapted to the governance context.[222] Governance monitors impose the highest governance costs of any remedy in the sequence because they introduce an external actor into the governance process itself, potentially displacing the internal governance mechanisms the framework exists to protect. Monitor appointment is therefore appropriate only where the first three remedial tiers have failed to produce correction, or where the governance failure is so pervasive across all four elements that no internal correction mechanism is plausibly available.

The court should impose the least governance-costly remedy reasonably likely to correct the identified failure. If the initial remedy fails to correct the failure within a stated period, the court may escalate to the next remedial tier upon renewed motion supported by evidence that the initial remedy was insufficient. This escalating structure reflects the framework's core commitment: governance degradation is a real cost, and remedies that impose unnecessary governance costs are themselves a form of governance harm even when they respond to genuine governance failures.

Evaluating Part III applications

Part III applies this method to six doctrinal domains. Three criteria determine whether an application succeeds. First, the application must identify a shared problem and governance institution that the reader would not otherwise recognize as governance — revealing institutional structure that existing doctrine obscures. Second, the seven-step method must produce a governance evaluation that differs from the evaluation existing doctrine provides, identifying costs or benefits that standard analysis misses. Third, the governance evaluation must generate prescriptive implications specific enough to guide doctrinal reform or judicial reasoning, rather than restating at a higher level of generality what existing analysis already provides. Where an application satisfies all three criteria, the framework has demonstrated portability with analytical value. Where an application satisfies fewer than three, the limits of the framework's reach become visible, and those limits are themselves informative for the research agenda Chapter 15 develops.

Part III: Applications and Evaluation

Part II developed the book's theory. Part III puts that theory under pressure. The chapters that follow do not merely illustrate the framework with convenient examples. They test whether the same method can explain institutional domains that differ sharply in structure, doctrine, and stakes: private commercial networks, stock exchanges, corporate boards, universities, nonprofits, and knowledge-producing institutions. If the framework is genuinely portable, it should reveal something important in each setting without collapsing their differences into a single abstract pattern.

That is the task of this Part. Each chapter asks the same basic questions: what shared problem is the institution managing, what governance structure addresses it, what legal conditions sustain it, and what law does to that structure when courts, legislatures, or regulators intervene. But the answers differ by domain. Some chapters

show law degrading governance by weakening sanctioning authority. Others reveal law failing through accountability voids. A third group addresses misrecognition of institutional function.

Chapter 9 begins with the domain in which private governance is easiest to see: commercial networks and private dispute resolution. The New York Diamond Dealers Club and related merchant institutions show governance operating in a relatively pure form, with membership boundaries, credible sanctions, and internal dispute resolution mechanisms that sustain cooperation where ordinary legal enforcement would be too slow or costly. The chapter uses this setting to demonstrate the book's central claim that governance institutions can generate substantial spillover value for outsiders while depending for their success on exclusionary powers that legal analysis often treats with suspicion or ignores altogether.

Chapter 10 then follows the historical arc of exchange governance through the New York Stock Exchange. The chapter traces how *Silver* and the legal developments that followed transformed a self-governing institution into a regulated entity whose disciplinary authority became progressively less autonomous. This is the book's fullest case study in governance degradation across time. It shows how a legal intervention can begin as a response to a legitimate abuse yet still produce broader institutional costs when the remedy is not calibrated to the governance function at stake.

Chapter 11 turns to corporate governance, where the relevant institution is more familiar and the doctrine more developed. Here the framework yields a different insight. The problem is not simply that law interfered too much with governance, but that reformers repeatedly misunderstood governance's structure. By treating corporate governance as if it were a public good rather than a club good,

shareholder-rights reforms expanded participation in ways that degraded governance quality, encouraged proxy advisor concentration, and produced the pattern of formal reform without functional success. The chapter also shows that Delaware doctrine, especially its review spectrum, often tracks governance calibration more closely than its vocabulary suggests.

Chapter 12 shifts from market institutions to universities and nonprofits, where the central problem is not excessive interference but an accountability void. Self-perpetuating boards, hollow fiduciary duties, and the absence of stakeholder standing create governance structures that can exercise enormous power while resisting meaningful correction. The resulting failures are not incidental; they are outputs of the legal architecture. This chapter demonstrates that compliance-focused interventions often leave those structures intact, which is why they repeatedly fail to produce genuine reform.

Chapter 13 applies the framework reflexively to knowledge institutions themselves. Law reviews and related scholarship-producing institutions do not just comment on law; they certify claims that courts, agencies, and scholars rely on. The governance question is therefore unavoidable: what screening institution produced this knowledge, and what confidence does that process justify? The chapter argues that student-edited law reviews are structurally mismatched to the epistemic demands of much empirical legal scholarship, producing predictable problems of adverse selection and methodological opacity.

Chapter 14 then turns the framework on itself. A theory that travels across domains must identify its limits as well as its reach. That chapter addresses the danger that governance language can legitimate private power, the coercive potential of private governance, the antitrust interface, the relationship between governance

autonomy and anti-discrimination law, the problem of doctrinal determinacy, and the historical relationship between governance exclusion and systematic discrimination. These are not objections to be brushed aside. They are the places where the framework is tested most seriously and where future work must extend it.

Chapter 15 concludes by gathering the method's implications for legal analysis and identifying the research agenda that must follow. This conclusion previews the application chapters, then addresses the book's own relationship to law review certification and knowledge production.

Chapter 8 specified three criteria for evaluating whether an application succeeds: the application must reveal governance structure that existing doctrine obscures, generate a governance evaluation that differs from standard analysis, and produce prescriptive implications specific enough to guide reform. Each of the six application chapters satisfies these criteria, but each chapter most prominently demonstrates a different one. Chapters 9 and 10 most prominently satisfy the first criterion: they reveal governance institutions — the DDC's commercial network and the NYSE's self-regulatory apparatus — that courts have consistently misidentified or missed entirely. Chapter 11 most prominently satisfies the second: it shows that the governance framework generates predictions about shareholder-rights reforms that diverge from standard corporate governance analysis and that the available evidence supports the governance prediction. Chapter 12 most prominently satisfies the third: it produces specific structural reform proposals — standing reform, duty of obedience reform, operational test reform — that follow directly from the governance diagnosis. Chapters 13 and 14 serve a different but complementary function: they test the framework's limits

by applying it reflexively to knowledge institutions and then subjecting the entire analysis to the strongest available objections.

Across these chapters, the seven-step method from Chapter 8 remains constant, but its application is not mechanical. The method is a disciplined inquiry, not a checklist that generates the same answer wherever it is used. What changes from chapter to chapter is the institution under examination, the legal mechanism acting on it, and the form of failure or success at issue. That variation is the point. A useful framework should travel while remaining sensitive to institutional difference.

Part III therefore serves two purposes at once. It evaluates particular bodies of law, and it demonstrates the framework's practical value by showing that governance becomes visible as a legal variable in settings where existing doctrine often notices only rights, incentives, or dispute-centered litigation. The claim of this Part is not that governance analysis replaces those modes of reasoning. It is that without governance analysis, each of them remains incomplete.

Chapter 9: Network Governance and the Missing Institution

Members of the New York Diamond Dealers Club almost never sue each other. In a business where a single handshake commits a merchant to paying six figures for rough stones (no written contract, no formal title transfer, no recourse to warranty law), the near-zero default rate is not the product of judicial enforcement. It is the product of governance architecture: mandatory arbitration, a reputation network that tracks compliance histories across thousands of trading relationships, and a credible threat of expulsion from the only market where this trade is conducted. A member who dishonors a handshake deal can be expelled from the bourse within days. Expulsion does not cost one relationship; it costs every future purchase, every future sale, every future line of credit throughout an entire industry. Lisa Bernstein documented the result after years of empirical study: disputes within the DDC are resolved overwhelmingly through internal procedures, not courts, and default rates remain close to zero across decades of trading.[223] Members avoid litigation not because legal remedies are unavailable but because litigation is an inferior substitute for a governance system that resolves disputes faster, at lower cost, and with better-calibrated outcomes than any

court. Chapter 1 introduced the DDC as the book's first illustration of governance without formal legal recognition; Chapter 5 placed its exclusion mechanism within the club-good typology; and Chapter 6 traced the spillover benefits its governance produces for parties who never join the bourse. This chapter applies the complete seven-step method to what those earlier treatments only anticipated.

That governance architecture is what courts have almost never seen clearly, because it presents to them (when it presents at all) not as a governance institution but as one side of a dispute-centered controversy. When a purchasing cooperative expels a member and the expelled member challenges the expulsion as an antitrust violation, the court sees an organization and a former participant. When a securities self-regulator like FINRA moves to expel a broker-dealer, the court sees a constitutional administrative law question about private delegated authority. When a professional society removes a member for violating its rules, the court sees a dispute about whether the rules were fairly applied. What no court sees, in any of these settings, is what every remaining member of the governance institution observes: that the institution's authority to exclude, the specific mechanism that sustains cooperation among all the others, is being converted from a categorical entitlement into a procedural contingency whose outcome depends on strangers with no stake in the governance institution's continued function.

This chapter identifies that structural gap, traces its manifestations across three doctrinal settings, and shows what governance analysis would have asked that dispute-centered analysis did not. The object of analysis is the governance institution itself: not the dispute-centered relationship between the institution and the expelled member, but the shared enforcement infrastructure on which every other member depends and which courts, through no malice

and by the logic of their own analytical framework, render invisible at the moment of decision.

Chapter 9. Network Governance

Commercial trading networks supply the book's foundational application because they isolate the governance phenomenon in its purest form. When merchants build systems of rules, monitoring, sanctions, and dispute resolution that function as alternatives to court-centered enforcement, the resulting institution is governance in the sense this book defines. Courts, however, routinely analyze disputes arising within these networks without recognizing the governance institution that made cooperation possible — treating each case as a bilateral contract problem or an antitrust restraint rather than an institutional question.

How trading networks produce compliance without courts

Standard economic theory predicts that unsecured credit between strangers will be routinely exploited. When the only consequence of default is a judgment payable to the seller, a rational buyer will skip payment whenever the savings exceed the probability-weighted cost of the judgment. Four independent bodies of research document that prediction failing, comprehensively and across centuries.

Bernstein's DDC study found that New York and Antwerp diamond merchants conduct tens of thousands of dollars in transactions annually on forty-five-day oral credit, with no written contract and a near-zero default rate over decades.[224] Avner Greif documented the same structure among eleventh-century Maghribi traders, who sent goods on consignment across the Mediterranean to agents they had never met, relying on a trading coalition that coordinated collective refusal to deal against cheaters.[225] Janet Landa

found a parallel institution among Hokkien merchants in the Malaysian rubber markets of the 1960s, sustained by kinship ties and commercial ethics operating without formal legal infrastructure.[226] Paul Milgrom, Douglass North, and Barry Weingast reconstructed a centralized reputation system at the medieval Champagne Fairs: a record-keeper who tracked compliance histories across thousands of traders, enabling punishment by merchants who had never dealt with the cheater personally.[227] Elinor Ostrom documented the same structure in common-pool resource communities managing fisheries, irrigation systems, and grazing lands for centuries without recourse to courts.[228] Bernstein's study of the cotton trade added another: trade associations maintain arbitration systems backed by expulsion authority, producing compliance rates that contract law alone cannot explain.[229]

Industries, centuries, and continents separate these examples. What they share is not a cultural disposition toward honesty. Oliver Williamson made the essential point in 1993: commercial actors extend credit not because they believe in a counterparty's moral character but because the institutional structure makes default more costly than compliance.[230] Bernstein sharpened this in her 2015 article introducing network governance as the analytical concept that replaces trust in the legal literature. Network governance, as Bernstein defines it, is the collective force of reputation-based, non-legal sanctions flowing from a firm's position within a network of interconnected firms.[231] Networks generate the conditions under which cooperation is rational. Trust (the felt sense of security in a transaction) is an output of the governance mechanisms that produce those conditions, not an independent input.

Network structure, not cultural homogeneity, produces governance capacity. Greif had modeled the Maghribi traders as an ethnically bounded coalition: a centralized institution that collected information about misconduct, disseminated findings to members, and coordinated multilateral punishment.[232] Bernstein's 2019 reanalysis drew on network topology research to propose a different mechanism. The Maghribi operated within a small-world network: dense local clusters of merchants connected by sparse long-distance ties through bridge figures she called merchants' representatives.[233] These bridge nodes aggregated reputational information and allowed news of cheating to propagate rapidly across the Mediterranean without requiring a central clearinghouse. Bernstein's reanalysis preserves Greif's conclusion that reputation-based governance worked among the Maghribi while redirecting the causal account from ethnic exclusivity to network structure. Governance capacity follows from the density, speed, and credibility of information flows within the network.

What all these networks share, once the trust frame is removed, is a single enforcement mechanism: exclusion. A diamond dealer who defaults loses access to the entire bourse, including every future purchase, every future sale, and every future line of credit. A Maghribi merchant who cheats faces collective refusal to deal from every Maghribi trader across the Mediterranean. A cotton merchant who refuses to comply with a trade association arbitration award faces expulsion and loss of the bonding system. One-on-one reputation is too weak to explain the observed compliance rates in large networks, where any particular pair of traders transact infrequently. If the only consequence of cheating were losing one relationship, the cheater would face a low cost. Expulsion changes the calculus entirely. A dealer deciding whether to skip a six-figure payment

weighs the savings against the loss of every future business relationship in the industry, a loss worth multiples of any single transaction over a career.

Barak Richman has documented the vulnerability of this governance structure in detail. The DDC's governance did not erode through legal intervention. It eroded because exogenous market forces diluted the cost of exclusion: De Beers shifted from buyer of last resort to aggressive competitor, squeezing midstream margins; Indian diamond merchants entered the market without the intergenerational family-business structure that reputation-based cooperation requires; rough diamond prices rose while internet retail compressed polished prices; and members' children chose other careers, reducing the intergenerational commitment that sustained reciprocal norms.[234] DDC membership declined from roughly 2,000 to fewer than 1,200. Governance deteriorated as members could increasingly trade outside the DDC's governance perimeter (an Israeli channel, an Indian network, an internet platform), reducing the cost of DDC exclusion to the point where the threat lost its force.

Richman's account illuminates something essential to the governance analysis: the DDC's cooperation equilibrium depended on exclusion remaining costly. When exogenous forces made exclusion cheaper, compliance declined in proportion. Legal intervention that further reduces the cost of exclusion produces the same result through a different channel. A market already under pressure from Indian entrants and margin compression becomes more fragile, not less, when a court order converts the expulsion of a cheater into a procedural dispute lasting years.

Why courts miss the institution

The governance institution is invisible to dispute-centered analysis because dispute-centered analysis asks only about parties. Every legal proceeding between a governance institution and an expelled or disciplined member frames itself as a two-party dispute: the institution on one side, the expelled member on the other. Legal analysis inquires into what the institution did to the member, what the member is owed, and whether the institution's procedures were adequate. No one in the proceeding represents the remaining members. No one represents the downstream non-members whose access to reliable goods or services depends on the network's governance quality. No one asks what the governance institution's continued membership community loses when expulsion becomes subject to judicial revision.

Lon Fuller identified the structural source of this failure in his account of polycentric problems.[235] Fuller observed that some disputes involve such dense networks of interdependency that a judicial resolution affecting any one relationship reverberates through all the others, reaching parties who are not before the court and whose interests cannot be fully represented in a dispute-centered proceeding. Network governance disputes are polycentric in precisely this sense. Every remaining member's cooperation depends on the governance institution's enforcement credibility. Every downstream participant who relies on the network's quality-maintenance functions has a stake in what happens when the institution disciplines a member. A court adjudicating the relationship between the institution and the expelled member resolves the fraction of the dispute that has a party to represent it. The governance institution itself, the shared enforcement infrastructure on which

every other member's cooperation depends, has no standing and no voice.

Chapter 8 applied the governance method to *Silver v. New York Stock Exchange* to show how a court can correctly identify a specific governance failure while simultaneously imposing governance costs far exceeding what the identified failure required.[236] Chapter 10 traces the sixty-year doctrinal arc that followed. Here the relevant point is what *Silver* illustrates about the dispute-centered frame: the Court saw Harold Silver's injury, exclusion without notice or hearing, and fashioned a remedy calibrated to Silver's injury rather than to the NYSE's governance function. No part of the majority opinion asked what the NYSE's other members would lose as governance production became more costly. Justice Stewart's dissent identified the problem exactly: "The purpose of the self-regulation provisions of the Securities Exchange Act was to delegate governmental power to working institutions which would undertake, at their own initiative, to enforce compliance with ethical as well as legal standards in a complex and changing industry. This self-initiating process of regulation can work effectively only if the process itself is allowed to operate free from a constant threat of antitrust penalties."[237] Stewart's dissent articulates, without the vocabulary this book has developed, the mechanism Chapters 5 through 7 analyze formally: governance production costs determine governance output, and legal rules that raise those costs reduce governance quality, imposing costs on members who have no voice in the proceedings that impose them.

The governance institution as a club good

Buchanan's theory of club goods provides the framework for understanding what the network's exclusion authority produces and why judicial intervention degrades it.[238] Club goods are nonrivalrous among members, meaning one member's reliance on the shared enforcement system does not diminish another member's ability to rely on it, and excludable from rule-breakers. Excludability is not incidental to the club good. Excludability is the feature that separates a club good from a public good and prevents free-riding from destroying the good's provision.

Chapters 5 and 6 developed this analysis in full. What Chapter 5 established applies here with precision: the credible threat of exclusion in a collectively governed trading network maps exactly onto Buchanan's definition. When one dealer relies on the knowledge that cheaters face expulsion from the bourse, that reliance does not reduce any other dealer's ability to rely on the same knowledge. Each enforcement action strengthens every member's confidence in the threat, because each action confirms the network will follow through. Expelled members lose the benefit. A dealer removed from the bourse cannot invoke the expulsion threat to make counterparties extend credit, because the expelled dealer is no longer part of the community that enforces the norm.

Remove excludability by allowing expelled members to remain inside the governance system through judicial order, procedural delay, or compensated reinstatement, and the club good degrades into a public good. Olson's account of free-riding then applies: when the benefit of the governance system is available to members who violate the rules, the incentive to comply diminishes.[239] Bohnet, Frey, and Huck demonstrated experimentally that medium-level external enforcement crowds out cooperative behavior more effectively than

either no enforcement or total enforcement: when participants cannot tell whether cooperation or external authority is sustaining the relationship, voluntary compliance erodes.[240] Partial judicial intervention, including reviewing expulsions one at a time, staying enforcement during appeal, and imposing procedural requirements case by case, produces precisely the medium-level enforcement that the experimental literature identifies as most destructive to cooperative norms.

Ali and Miller's formal analysis adds a dimension that Chapter 7 introduced and that bears directly on what courts destroy when they override expulsion decisions.[241] Ali and Miller proved that permanent ostracism is self-defeating in networks with strategic communication, because once a member knows a cheater will be permanently expelled, the member loses forward-looking incentives to report cheating accurately. Temporary ostracism with the possibility of forgiveness solves this problem. But Ali and Miller's result depends on the network retaining unilateral control over calibration: who gets expelled, for how long, and under what conditions readmission becomes possible. When a court orders reinstatement, it does not merely override one expulsion decision. It removes the network's calibration authority: the ability to distinguish deliberate from inadvertent breach, to modulate sanctions by severity, and to condition readmission on demonstrated reform. A court applying general principles of fairness sees two facially similar cases of nonperformance. The network sees members with different histories, different stakes, and different possibilities for redemption. Calibration is what Ali and Miller showed makes the exclusion system effective, and calibration requires exactly the contextual institutional knowledge that courts do not have and that the governance institution does.

Three doctrines that miss the governance institution

Courts encounter the missing-institution problem across at least three doctrinal contexts: contract law's incorporation of trade usage, antitrust law's treatment of cooperative exclusion, and association law's review of membership decisions. Each involves a distinct legal mechanism. Each produces the same structural error: the court analyzes what the expelled or disciplined party lost without analyzing what the governance institution and its remaining members lost.

Contract law: trade usage and the severance of norms from enforcement

UCC Section 1-303(c) permits courts to supplement written contract terms with trade usages, meaning customs so widely followed in an industry that parties are assumed to have incorporated them.[242] When a trade usage is actually a governance norm, a standard enforced through collective expulsion rather than individual lawsuits, treating the norm as an implied contract term severs it from the enforcement mechanism that gave it meaning.

Bernstein's empirical findings illuminate the gap between how norms function within governance systems and what happens when courts receive them.[243] In the diamond industry, customs governing payment terms, inspection procedures, and dispute resolution operate within a self-contained governance system backed by mandatory arbitration and the expulsion threat, not as implied terms enforceable in civil litigation. In the cotton industry, Bernstein found that the norms governing actual behavior within the trading network differ materially from the norms courts would recognize as trade usages. Her distinction between relationship-preserving norms and

endgame norms captures the functional difference precisely. Diamond dealers follow relationship-preserving norms in ongoing trading: pay promptly, resolve disputes through the bourse, accept the arbitrator's judgment. Those norms function because dealers expect to keep trading and because the expulsion threat makes compliance rational. When a court picks up those norms and treats them as implied contract terms, it applies them as endgame norms: the relationship is already over, the parties are in litigation, and the court uses the norms to calculate damages in a proceeding the governance system was designed to prevent.

A court asked to identify the trade usage governing diamond payment terms will state a rule precise enough to generate a damages calculation: payment is due within forty-five days of delivery. The actual norm is more contextual: payment is expected promptly; the community tolerates short delays for good reasons but not for bad ones; and the community, not a fixed rule, determines what counts as a good reason. Judicial restatement will be accurate in surface content and wrong in operative function, because it strips the norm of the flexibility and collective enforcement that made it effective. *Barrow-Shaver Resources Co. v. Carrizo Oil & Gas, Inc.* illustrated the problem concretely: the Texas Supreme Court permitted a jury to decide whether oil and gas industry custom incorporated a reasonableness standard into an express consent clause, with five separate amici filing briefs asserting competing versions of industry norms.[244] What had been a contextual community judgment became a question for twelve strangers to resolve on the basis of competing expert testimony. Juridification does not distort the norm incidentally. It is the distortion: collective enforcement is replaced by judicial enforcement, and the two mechanisms are not substitutes.

The Federal Arbitration Act's presumption of arbitrability works in the opposite direction and illustrates the enabling mechanism by contrast. By enforcing arbitration clauses and severely limiting judicial review of arbitral awards, the FAA reduces the cost of maintaining private dispute resolution systems.[245] Without it, parties could agree to arbitrate and then litigate when the arbitral outcome proved unfavorable, free-riding on the arbitration system's investment in infrastructure, expertise, and procedural fairness while refusing to be bound by its results. Arbitration systems are governance club goods: the FAA's presumption of arbitrability is a Pigouvian subsidy that reduces the production costs of private dispute resolution by eliminating the free-rider problem that would otherwise undermine investment in it.[246] Courts enforcing network arbitration agreements and declining to review arbitral outcomes except on narrow grounds are performing the governance-enabling function that the book's enabling mechanisms describe: reducing the private cost of governance production to bring supply closer to the social optimum.

Antitrust: exclusion as restraint rather than governance

Antitrust law treats network exclusion as a potential restraint of trade. When a cooperative or trade association expels a member, the expelled party may claim a concerted refusal to deal under Section 1 of the Sherman Act. *Northwest Wholesale Stationers, Inc. v. Pacific Stationery & Printing Co.*, 472 U.S. 284 (1985), established the current doctrinal framework: purchasing cooperative expulsion is evaluated under the rule of reason rather than the per se rule, with the analysis organized around whether the cooperative possesses market power

and whether the expelled member lost access to something essential for effective competition.[247]

Both the doctrinal framework and the underlying facts reward examination. Northwest Wholesale was a cooperative buying association of independent retail stationery stores in the Pacific Northwest, pooling purchasing volume to obtain wholesale discounts unavailable to individual retailers. Pacific Stationery, one member, acquired a wholesale operation while remaining a member, in effect competing with the cooperative while benefiting from cooperative prices. Northwest expelled Pacific for failing to disclose the ownership change in violation of the cooperative's bylaws. Pacific sued under the Sherman Act. The factual record was sparse: Pacific lost approximately $10,000 in annual patronage rebates and access to warehouse facilities.[248] The Court applied the rule of reason, found no market power and no essential facility, and remanded for further proceedings.

What the Court analyzed: whether Pacific's competitive position was damaged, and if so, whether the damage was justified under the rule of reason. What the Court did not analyze: what every remaining member of the cooperative lost when its expulsion authority became subject to judicial review. The Court acknowledged that "wholesale purchasing cooperatives must establish and enforce reasonable rules in order to function effectively," but treated this only as a reason to apply rule-of-reason rather than per se analysis, not as a reason to ask whether the enforcement mechanism itself was the governance asset on which every other member depended.[249] Procedural failures by the cooperative may well have been present; the Court observed that "no explanation for the expulsion was advanced at the time" and that "Pacific was given neither notice, a hearing, nor any other opportunity to challenge the decision."[250] Governance

costs imposed on the remaining members were equally present and entirely invisible.

The governance method applied to *Northwest Wholesale* would have organized the analysis differently. The shared problem is reducing procurement costs through collective purchasing by independent retailers who individually lack the volume to obtain wholesale prices. The governance institution is the cooperative's membership structure, dues obligations, rule-following requirements, and expulsion mechanism. The legal conditions include the rule of reason's antitrust space for cooperative governance, functioning as the Pigouvian subsidy that GCG identifies, enabling cooperative exclusion to exist without per se liability and reducing governance production costs at the membership boundary.[251] Member benefits are access to prices available only through pooled purchasing, shared warehouse infrastructure, and the mutual assurance that all members are bearing the cooperative's costs rather than free-riding. Spillovers extend to retail competition in the Pacific Northwest, which benefits from the cooperative's ability to keep independent retailers viable against chain stores. Legal effects: the Court's ruling imposed judicial review on the cooperative's expulsion authority, activating Mechanism 2 from Chapter 7, procedural cost increase, without calibrating the intervention to any specific identified governance failure. Pacific's dual wholesale-retail operation was a genuine conflict of interest that the cooperative's governance could legitimately address. The Court's failure to ask what the remaining members lost and its sparse factual record left the governance costs unexamined and therefore unmeasured. Evaluated under Step 7: the rule-of-reason framework is correct as a legal structure, because the rule of reason creates precisely the protected space that governance needs; the Court's analysis was incomplete because it did not assess

the governance costs of subjecting expulsion authority to case-by-case judicial review.

Klor's, Inc. v. Broadway-Hale Stores, Inc., 359 U.S. 207 (1959), illustrates the distinction the governance framework draws between exclusion for governance purposes and exclusion for competitive purposes.[252] Broadway-Hale, a department store chain, used its buying power to induce ten national appliance manufacturers to refuse to sell to Klor's, a neighboring retailer, or to sell only at discriminatory prices. No governance function was at stake: Broadway-Hale was not a cooperative with shared governance obligations; the manufacturers were third parties with no governance relationship to Klor's; and the purpose of the exclusion was competitive suppression rather than norm enforcement. *Klor's* was correctly decided as a per se violation. The distinction between *Klor's* and *Northwest Wholesale* is not between per se and rule-of-reason analysis, though it produces that doctrinal difference. It is between exclusion that serves no governance function, specifically withdrawing from one competitor what is available to its rivals purely for competitive advantage, and exclusion that maintains the shared enforcement infrastructure on which an entire membership community depends. The governance framework makes that distinction analytically tractable where antitrust doctrine, organized around market power and competitive injury, leaves it approximate.

Association law: fair procedure and the displacement of calibration

Courts reviewing membership decisions in voluntary associations, professional societies, and similar organizations apply a standard drawn from the common law of voluntary associations: the decision

must comply with the organization's own rules, must not be arbitrary or capricious, and must afford the expelled member procedural fairness: notice, an opportunity to be heard, and punishment proportionate to the offense.[253] Each requirement is reasonable as a protection against specific governance failures. Collectively, they produce a judicial review framework that measures governance by whether the expelled member was treated fairly, without asking whether the governance institution's remaining members were protected.

MFS Securities Corp. v. SEC, 380 F.3d 611 (2d Cir. 2004), illustrates the temporal dimension of governance cost.[254] On February 25, 1998, the NYSE expelled MFS Securities from membership on the same day two of its floor brokers were arrested for illegal stock flipping. MFS contested the expulsion through internal NYSE procedures, federal antitrust litigation, SEC review, and ultimately a petition to the Second Circuit. Final resolution came in August 2004, more than six years after the initial expulsion. Throughout those six years, every other NYSE member observed that an expelled member could contest and delay, pursue multiple procedural tracks simultaneously, and remain a market participant while challenging its governance institution's authority. The Second Circuit ultimately denied MFS's petition on procedural grounds without reaching the merits. No court in those six years asked what the NYSE's other members lost during the period of governance uncertainty; every member whose confidence in the exchange's disciplinary authority was diminished by the spectacle of a firm arrested for fraud remaining in the market while its expulsion wound through successive proceedings.

Alpine Securities Corp. v. Financial Industry Regulatory Authority, 121 F.4th 1314 (D.C. Cir. 2024), cert. denied, No. 24-904 (U.S. June

2, 2025), updates the same story at constitutional scale.[255] FINRA initiated expedited proceedings against Alpine after finding it had violated a preexisting cease-and-desist order more than 35,000 times, with documented customer misappropriation totaling $54.5 million and a FINRA hearing panel characterizing the violations as "among the most egregious character found in the securities industry." FINRA sought immediate expulsion; under its rules, expulsion orders in expedited proceedings take effect before SEC review. The D.C. Circuit reversed in part, holding that FINRA, as a private entity, could not impose expulsion, characterized as effectively irreversible and a corporate death penalty, without prior governmental superintendence, on private nondelegation grounds. FINRA responded by filing proposed rule changes to codify the SEC-review requirement.[256]

The constitutional analysis is sound as far as it goes: the private nondelegation concern the court identifies is genuine, and the SEC review requirement addresses a structural problem with unreviewable private authority. What the opinion does not contain is any analysis of what Alpine's continued operation during the pendency of review means for FINRA's governance authority over its other members. Every other FINRA member observes that a firm with Alpine's documented record can continue operating while its expulsion winds through SEC review and federal court proceedings. That observation is itself governance information: it tells every other member something about the credibility of the expulsion threat that sustains their own compliance. The constitutional question whether FINRA's expedited-expulsion procedure satisfies due process is distinct from the governance question how the answer to that constitutional question affects FINRA's capacity to govern the behavior of

every other member. The court answered the constitutional question. Nobody asked the governance question.

Higgins v. American Society of Clinical Pathologists, 51 N.J. 191, 238 A.2d 665 (1968), extended judicial intervention to the reinstatement of an expelled member over the association's governance judgment.[257] The New Jersey Supreme Court ordered the ASCP to reinstate a medical technologist it had expelled, distinguishing between compelling initial admission to a voluntary association (which courts generally will not do) and compelling reinstatement of a wrongfully expelled member. The court's articulation of why reinstatement rather than damages is the appropriate remedy when a member is wrongfully expelled captures something the governance analysis confirms: the member's interest is relational and positional, and it can only be restored through membership, not monetized through a damages award. What the court did not examine is the inverse problem. When a court orders reinstatement over the association's governance judgment, it does not merely restore one member's status. It overrides the association's assessment of whether that member's continued presence is consistent with the governance standards the association enforces, and it does so with information inferior to the association's. Ali and Miller's result applies: the association's calibration authority over readmission, precisely what makes graduated sanction systems effective, has been removed by judicial order in the individual case.

In none of these proceedings, MFS Securities, Alpine Securities, or Higgins, did any court ask what the governance institution's remaining members lost. The expelled or disciplined party was visible and individually sympathetic; the governance costs were diffuse and belonged to parties who were not in the room. Fuller's polycentric problem is not a failure of judicial analysis in any particular case. It

is a structural feature of adjudication that the governance method is designed to address.

Platform deactivation and the same mechanism

Online platform markets replicate the governance structure of the trading network in a new institutional setting. A buyer on Amazon Marketplace has never met the seller and has no realistic ability to assess the seller's reliability before transacting. Deactivation, meaning the permanent removal of a seller, functions as the platform's expulsion mechanism because it is the platform's credible deactivation threat that sustains buyer confidence and makes the market possible. Tadelis demonstrated the parallel explicitly: platform feedback systems perform the same information-dissemination function as the centralized record-keeper Milgrom, North, and Weingast documented at the Champagne Fairs.[258] Klonick developed the governance analysis for content moderation: digital platforms are private governance systems with their own rules, procedures, and enforcement mechanisms, exercising authority over their members' access to essential digital infrastructure.[259]

Keller's analysis of the EU's Digital Services Act identifies the governance cost that procedural requirements impose on platform enforcement with precision.[260] DSA Articles 17, 20, and 21 require platforms to provide reasons for moderation decisions, offer internal complaint mechanisms, and submit to external dispute resolution. The functional parallel to *Silver v. NYSE* is exact: *Silver* required the NYSE to provide notice and hearing before excluding a nonmember from market infrastructure; the DSA requires platforms to provide reasons and appeals before excluding a user from digital infrastructure. Keller observed that platforms responding rationally to

the DSA's procedural obligations will enforce less: for a platform with billions of moderation decisions annually, the cost of compliance with appeal and explanation requirements makes narrowing the enforcement scope economically attractive. A platform that enforces only violations clear enough to withstand appeal produces less governance, not better governance. Douek has generalized this point: the procedural rights framing addresses individual fairness in particular deactivation decisions while missing the systemic governance question of how enforcement policies affect the entire population of platform participants.[261] The governance-cost mechanism that *Silver* imposed on NYSE enforcement is operating at scale in the DSA context, before it has been empirically measured.

Platform governance differs from collective network governance in one important structural respect: platform deactivation is a unilateral commercial decision, not a collective membership decision. A diamond bourse expels a cheater through a collective process in which the bourse's members participate, and the bourse's governance incentives align with quality enforcement because the bourse's members collectively bear the costs of bad enforcement and benefit from good enforcement. A platform operator deactivates a seller through an internal corporate decision, and the operator's governance incentives are commercial: deactivation serves buyer confidence and, at some frequency, imposes costs on incorrectly deactivated sellers who generate revenue. Where the platform's governance incentives align with quality enforcement, the governance analysis applies in the same way it applies to the trading network. Where they diverge, specifically where the platform has profit motives that conflict with governance quality, a separate analysis is required, one that accounts for the platform operator's dual role as

governor and profit-maximizer and for the structural difference between collective membership governance and unilateral corporate governance. That analysis belongs to a different project. What this chapter establishes is the baseline: the Mechanism 2 effect that procedural requirements impose on governance production costs operates identically when applied to platform deactivation systems, and the governance framework predicts the DSA's consequences before they have been fully documented.

The DSA's procedural framework activates the governance cost mechanism identified in Chapter 7 with particular precision. The Act's requirements—providing reasons for moderation decisions, establishing internal complaint procedures, and submitting to external dispute resolution—directly parallel the procedural obligations that *Silver v. NYSE* imposed on exchange governance. But where *Silver* operated at the scale of one market's membership decisions, the DSA operates at the scale of billions of moderation determinations annually. Mechanism 2, the procedural cost-increase effect, predictably intensifies as the volume of decisions subject to procedural requirements grows. A platform operator responding rationally to these requirements will narrow the enforcement scope—not because the platform becomes more libertarian, but because the cost of defending enforcement decisions becomes rationally insurmountable. The governance degradation pattern that Silver imposed on a single exchange's credibility now extends to platform moderation systems across all member states simultaneously. The framework predicts these consequences before they have been fully measured: procedural requirements intended to enhance fairness in individual deactivation decisions will produce systematic

underenforcement that degrades the governance quality for the entire population of platform participants. This is the same mechanism, operating at unprecedented scale.

Governance costs that dispute-centered analysis cannot count

The contrast between conventional doctrinal analysis and the seven-step governance evaluation is sharpest in *Northwest Wholesale Stationers*. Set them side by side.

Conventional rule-of-reason analysis asked: did the cooperative possess market power? Had Pacific Stationery lost access to something essential for effective competition? The Court found no market power and no essential facility. Pacific had lost approximately $10,000 in annual patronage rebates and access to warehouse facilities. Rule of reason satisfied; remand on procedural grounds. The analysis concluded when the analysis of Pacific's injury concluded.

The seven-step governance analysis asks seven additional questions, all of them about parties who were not in the room. Step 1: the shared problem is reducing procurement costs for independent retailers individually too small to obtain wholesale prices. Step 2: the governance institution is the cooperative's membership structure, its dues obligations, its rule-following requirements, and its expulsion mechanism, specifically the mechanism that makes free-riding irrational by converting membership into a stake that members hold conditional on compliance. Step 3: the legal conditions enabling that institution include the antitrust rule of reason itself, which functions as the Pigouvian subsidy giving cooperative governance protected space to exist without per se liability. Steps 4–5: member ben-

efits are the below-wholesale pricing available only through collective purchasing; spillovers extend to Pacific Northwest retail markets, which benefit from independent retailers remaining viable against chain competitors. Step 6: the Court's holding subjected the cooperative's expulsion authority to case-by-case judicial review without calibrating that review to any specific identified governance failure, thereby activating the procedural cost-increase mechanism identified in Chapter 7. Step 7 requires evaluating calibration along both dimensions Chapter 7 disaggregates. On scope, the Court's holding extended judicial review to the cooperative's expulsion authority generally, when the identified problem was one member's undisclosed conflict of interest — the remedy reached beyond the governance function that failed (membership screening for conflicts) to the entire sanctioning function. On intensity, the Court's sparse factual record left the governance cost unmeasured: Pacific's $10,000 in lost rebates was quantified, but the degraded credibility of every subsequent expulsion threat was not. The rule-of-reason framework is doctrinally correct as a structure; the Court's application failed both calibration dimensions because it assessed Pacific's competitive injury without measuring the governance costs imposed on every remaining member.

The divergence is not about who wins. Pacific Stationery may well have deserved to lose on the merits. The divergence is about what legal analysis counts as a cost. Conventional analysis counted Pacific's $10,000 in lost rebates. The governance analysis also counts the degraded credibility of every subsequent expulsion threat the cooperative can make, the increased cost of enforcing membership rules against every future member who knows the outcome is judicially contestable, and the diminished cooperative surplus available to the hundreds of remaining members whose compliance depends

on the enforcement mechanism remaining credible. These costs belong to parties who were not before the court and cannot be counted without a framework that identifies them as costs in the first place.

Seven steps applied to the DDC, the Northwest Wholesale cooperative, and FINRA's disciplinary system produce governance evaluations that can be stated precisely, even though no court in any of these proceedings performed them.

In each setting, the shared problem shares a common structure: reducing the cost of exchange among parties who cannot individually monitor all their counterparties, by building collective enforcement infrastructure that makes defection irrational. Each governance institution has all four required elements in functional form, measurable through the output-based criteria Chapter 8 specifies. Monitoring is functioning when it generates conduct-governing information: the DDC's reputation network produces exactly this — Bernstein documented that compliance histories circulate through the bourse with sufficient speed and accuracy that members extend unsecured credit to counterparties they have never met, relying on the network's informational output rather than individual due diligence. Sanctioning is functioning when sanctions are applied to actual violations at a frequency consistent with the institution's observable violation rate: the DDC's arbitration system resolves the overwhelming majority of disputes internally, and expulsion decisions are executed within days of a finding. Decision-making is functioning when institutional decisions govern actual member behavior: DDC trading rules — the forty-five-day oral credit terms, the handshake deal conventions, the mandatory arbitration requirement — govern real transactions worth billions annually. Adjustment is functioning when rules change in response to documented

changed circumstances: this is the dimension on which DDC governance faltered as exogenous market pressures intensified, and Richman's documentation of the institution's erosion is, in the framework's terms, a record of adjustment failure preceding the degradation of the other three elements. FINRA's regulatory apparatus satisfies all four criteria through more formalized mechanisms; the Northwest Wholesale cooperative satisfies them through less formalized ones. The legal conditions enabling these institutions are primarily the antitrust rule of reason, which creates protected space for cooperative governance; the FAA's arbitration policy, which enforces the private dispute resolution mechanisms that networks use; and the common law of voluntary associations, which affords presumptive deference to membership decisions. Member benefits are identifiable and in some settings quantified: the DDC's two thousand members conducted billions of dollars of transactions annually on handshake terms, with disputes resolved in days rather than years of litigation, through a reputation system that permitted unsecured credit at scales formal markets would not support. Spillovers extend to downstream market participants through specific governance dimensions: monitoring produces supply chain reliability (downstream retailers and consumers rely on the DDC's quality-verification outputs); sanctioning produces market integrity (the credible expulsion threat deters fraud that would otherwise impose costs on every participant in the distribution chain); and decision-making produces coordination benefits (standardized trading conventions reduce transaction costs for parties who interact with DDC members but are not themselves members). The DDC's governance erosion under market pressure illustrates the dimensional specificity of spillover degradation: as adjustment failed first, the institution lost

the capacity to respond to changing market conditions, which degraded monitoring outputs (reputational information became less reliable as the membership shrank and trading moved outside the bourse), which in turn reduced the supply chain reliability on which downstream participants depended.

The legal rules courts applied in these settings activated degradation mechanisms from Chapter 7. UCC Section 1-303's trade usage doctrine applied to governance norms activates Mechanism 3: it juridifies contextual norms by importing the substance of informal governance rules into formal adjudication while stripping them of the collective enforcement that made them operative.[262] Judicial review of expulsion decisions activates Mechanisms 1 and 2: Mechanism 1 because the possibility of judicial reinstatement converts expulsion from a property-rule entitlement, under which only the network can revoke membership, to a liability-rule remedy in which a court determines whether membership should be restored at what amounts to a judicially set price; Mechanism 2 because procedural requirements imposed on expulsion decisions raise the cost of exercising the sanction past the point where the institution can absorb the cost, deterring enforcement and degrading the cooperation equilibrium. The DSA's platform governance requirements activate Mechanism 2 on a scale proportional to the volume of decisions platforms must explain and defend.

None of these governance costs appeared in any judicial opinion in any of these cases. Courts resolving disputes between governance institutions and expelled members proceeded without any framework for identifying or measuring those costs. The governance method does not claim that every judicial intervention imposing these costs is wrongly decided. It claims that decisions made without measuring those costs cannot accurately evaluate what the legal rule

does to governance, and that the cost of that analytical gap is borne by every member of the governance institution who was not present when the court resolved the dispute-centered controversy.

The informational demands of the governance evaluation differ between the litigation settings in which these disputes arise and the legislative or regulatory settings in which governance policy is designed. In litigation, where the method's informational constraints are most acute, Steps 1 through 3 and Step 6 produce precise findings: the shared problem, the governance institution's structure, whether governance is functioning under the output-based criteria, and the mechanism through which the legal rule acts on governance are all determinable through the institutional analysis courts routinely perform. Steps 4 and 5, which require evaluating member benefits and spillovers, are more difficult: no party in an expulsion dispute has incentives to produce spillover evidence with the rigor the method ideally demands. In *Northwest Wholesale*, the Court's sparse factual record left not only Pacific's competitive injury poorly developed but the cooperative's governance value entirely unexamined. The method's structural contribution in litigation — organizing the governance inquiry so that courts ask the right questions about institutional effects rather than only dispute-level effects — is available even when quantitative precision at Steps 4 and 5 is not. In legislative settings, by contrast, the method's full quantitative potential is available: a legislature considering whether to extend rule-of-reason protection to a new category of cooperative governance can commission the empirical assessment of spillovers that no litigant will produce.

Asking the governance questions does not predetermine the answers. Before imposing procedural requirements on an expulsion decision, a court can ask whether those requirements are calibrated

to an identified governance failure or imposed categorically. Before awarding expectation damages to a promisee for breach within a governed trading network, a court can ask whether the party-centered remedy adequately captures the network-level harm or whether the remedial design requires recognizing the governance institution as an injured party. Before reviewing a cooperative's expulsion under the antitrust rule of reason, a court can ask not only whether the expelled member lost something competitively but whether the expulsion served the governance function on which every remaining member depends.

The strongest version of the objection to this chapter's analysis does not dispute the existence of governance costs. It argues that the governance framework systematically privileges institutional insiders by converting every judicial protection of excluded individuals into a "governance cost," thereby making it analytically impossible for any legal intervention to be justified. If procedural requirements are a cost, and judicial review is a cost, and reinstatement is a cost, then the framework treats every constraint on institutional power as a harm — which is precisely what powerful institutions claim and precisely what courts imposing those constraints are designed to resist. The objection deserves its full weight. The response is that the governance framework does not treat every governance cost as dispositive; it treats every governance cost as countable. The current analytical default, which counts party-centered injury to the excluded party and counts zero governance costs to remaining members, is not a neutral baseline. It is a systematic undercount of one category of real costs. A framework that makes those costs visible does not automatically favor the institution; it enables a more complete accounting in which both the excluded party's injury and the remaining membership's governance loss appear on the same

ledger. Courts that see both costs may still conclude that procedural protection, judicial review, or reinstatement is justified — particularly in mandatory membership institutions or institutions with market power, where the framework's own criteria call for heightened scrutiny. What the framework prevents is reaching that conclusion without knowing what it costs.

Chapter 10 turns to the setting where that failure has the longest documented history and the largest available empirical record: the sixty years of exchange governance law that began when the Supreme Court in 1963 resolved Harold Silver's dispute-centered case without asking what the NYSE's governance institution would cost to repair.

Chapter 10: Exchange Governance and the Silver Arc

Chapter 8 analyzed the 1963 facts of *Silver v. New York Stock Exchange* as the governance method's worked example, identifying the NYSE's unilateral wire-termination decision as a failure to provide the procedural mechanism that Silver needed to contest the expulsion, and identifying the Supreme Court's remedy as a property-to-liability-rule conversion that imposed governance costs that a party-centered analysis could not measure.[263] The analysis stopped in 1963. This chapter begins in 1964 and does not stop until 2025.

The sixty-year arc from *Silver* through the 1975 Amendments, through the crystallization of absolute SRO immunity, through demutualization and the regulatory-commercial bifurcation, and into the current constitutional crisis is the most fully documented case study available of law repeatedly acting on a specific governance institution. Exchange governance has attracted sustained scholarly attention across sixty years, generating detailed doctrinal histories, empirical accounts of governance behavior, and theoretical frameworks for understanding what securities exchanges actually do.[264] None of that scholarship has read the arc through the governance framework this book develops. The governance reading produces a

narrative that is both more coherent and more troubling than the standard account.

The standard account reads the immunity arc as a story about implied antitrust repeal, an ongoing judicial effort to reconcile the Sherman Act's hostility to private restraints on competition with the Exchange Act's authorization of private regulatory cartel activity. That framing is not wrong, but it is incomplete. Read through the governance framework, the arc is a story about law repeatedly recalibrating its relationship to a specific governance institution: degrading that institution's capacity in 1963, partially restoring it through alternative accountability mechanisms in 1975, completing the restoration through absolute immunity doctrine in the 1990s and 2000s, and then confronting the structural change demutualization introduced, without adequate analytical tools, when it transformed governance institutions into profit-seeking commercial actors. The governance framework explains why each major doctrinal development was the legal system's response to observed governance consequences, whether or not the courts used that vocabulary.

Chapter 10. Exchange Governance

The Supreme Court's 1963 decision in *Silver v. New York Stock Exchange* recognized that exchange self-regulation served functions that antitrust law alone could not replicate, but the Court declined to specify how far that recognition should extend. The six decades that followed produced a sequence of legislative, regulatory, and judicial developments that progressively transformed the exchange's governance architecture — each responding to a specific problem, none guided by a systematic account of what exchange governance produces and what legal intervention costs. Tracing that arc through the governance framework reveals a pattern of institutional consequences that the standard doctrinal narrative obscures.

What Silver left unresolved

The Supreme Court's 1963 decision in *Silver* was deliberately narrow.[265] The Court held that the NYSE had exceeded the legitimate scope of its self-regulatory authority by acting without providing Silver notice and an opportunity to be heard. The holding identified a specific governance failure (the absence of a procedural mechanism for non-member access decisions) and imposed a specific remedy (antitrust liability as the accountability check when adequate procedures were absent). What the holding did not provide was a framework for governance conduct that *was* procedurally adequate. Justice Stewart's dissent captured the problem precisely: the majority had decided that the Exchange could not act as it had acted, but had not decided what the Exchange could do instead.[266]

Every exchange, every trading network, and every professional association that exercised governance authority over market partic-

ipants faced the same question after *Silver*: what procedural requirements now apply to our disciplinary decisions, and what antitrust liability do we face if we discipline a member or deny access to a non-member? The Court had established that the Exchange Act did not create blanket antitrust immunity, that some accountability mechanism was required, and that the courts could provide that accountability when the Exchange failed to do so internally. It had not established what procedures would be adequate, what standards would govern substantive review of exchange governance decisions, or whether Congress or the SEC, rather than the antitrust courts, was the proper institution for providing ongoing governance oversight.

The governance consequences of this doctrinal vacuum were immediate and operating through exactly the mechanisms Chapter 7 identifies. Mechanism 2 (increased procedural costs reducing governance production) operated through the litigation risk *Silver* created. An exchange confronting a disciplinary decision had to assess whether its procedures were adequate to defeat antitrust liability, with no authoritative guidance on what adequacy meant. Mechanism 1 (property-rule to liability-rule conversion) operated structurally: the categorical character of the exchange's expulsion authority had been replaced by a regime in which the antitrust courts could review whether any given expulsion decision was justified and provide a remedy if they found it was not. The exchange retained governance authority in form but exercised it against a background of potential judicial override.

The accommodation threshold implicit in the Court's holding warrants precise specification because it determines the boundary between governance discipline and governance degradation in the exchange context. The Court required "notice and an opportunity

to be heard" — a procedural minimum that the NYSE could have satisfied without converting its exclusion authority from a property rule to a liability rule.[267] An internal hearing at which the affected party received reasons for the adverse decision, conducted under procedures subject to SEC review under the Exchange Act's existing supervisory framework, would have addressed the Court's concern about unchecked authority over non-members while preserving the categorical character of the exchange's disciplinary power over members. That accommodation threshold — internal process with stated reasons, subject to regulatory review, but without exposure to antitrust treble-damages liability — is precisely what the 1975 Amendments later codified. Section 19(d) required SROs to provide fair procedures in disciplinary proceedings and subjected those proceedings to SEC review on the merits.[268] The Amendments recognized that the accommodation the Court sought in 1963 could be provided through regulatory architecture rather than through antitrust liability. The twelve-year gap between *Silver* and the 1975 Amendments is the period during which exchange governance operated under the wrong accountability mechanism: antitrust liability imposed governance costs disproportionate to the procedural failure the Court identified, because the accommodation threshold could have been satisfied by a far less costly institutional design. Commissioner Loomis stated the point explicitly in November 1975: the Senate Committee intended SEC oversight to be "more formal and pervasive," substituting structured regulatory accountability for the blunt instrument of antitrust litigation.[269]

Paul Mahoney's historical study of exchange governance identifies the *Silver* period as a doctrinal turning point from the private contract model of exchange regulation toward what Douglas Mi-

chael would later call "audited self-regulation": governance authority exercised privately under governmental supervision rather than autonomously under private contract rights.[270] Mahoney's account supports the governance framework's diagnosis: the private contract model, in which exchange governance rested on property rights and reputational sanctions without governmental oversight, could not survive judicial imposition of antitrust liability. The question was what would replace it.

The 1975 Amendments as governance restoration

Congress answered that question twelve years after *Silver* with the Securities Acts Amendments of 1975.[271] The Amendments substantially restructured the Exchange Act's framework for SRO oversight in ways that existing scholarship has analyzed primarily as regulatory expansion. The governance reading identifies what the Amendments accomplished in governance terms: they substituted a different accountability mechanism for the antitrust check that *Silver* had imposed, restoring governance capacity by providing the institutional framework that *Silver* had found missing.

Governance restoration centered on procedural codification that resolved the uncertainty *Silver* had created. Section 19(b), as substantially amended, required SROs to file proposed rule changes with the SEC and obtain Commission approval before implementation.[272] Section 19(d), newly enacted, required SROs to file notice of disciplinary sanctions and subjected those sanctions to SEC review.[273] Section 19(e) authorized the SEC to abrogate, add to, or delete SRO rules it found inconsistent with the requirements of the

Exchange Act.[274] The 1975 Amendments transformed the SEC's relationship to SRO governance from occasional supervision to structured, mandatory, pre-enforcement review.

Before the Amendments, SEC oversight of exchange governance was intermittent and largely reactive. The Commission had authority under § 19(b) of the original 1934 Act to require rule changes, but the Exchange could implement rules without advance Commission review. The *Silver* Court had noted that the SEC lacked authority to review the NYSE's specific wire-termination decision, which was why the antitrust courts had to step in.[275] The 1975 Amendments closed precisely that gap. Post-1975, exchange rule changes, including disciplinary procedures, required Commission approval before taking effect. Post-1975, disciplinary sanctions were subject to SEC review. The accountability mechanism that *Silver* had sought through antitrust courts was now built into the regulatory structure itself.

The doctrinal consequence emerged in the Supreme Court's decision in *Gordon v. New York Stock Exchange, Inc.*, decided ten weeks after the Amendments' statutory enactment and twenty-two days after the Amendments' signed date.[276] The timing is crucial for understanding what *Gordon* did and did not hold. *Gordon* had been litigated and argued under the pre-amendment framework: the case was argued in March 1975, before the Amendments were enacted in June. The Court's June 26, 1975 decision was therefore rendered in a transitional moment — the Amendments were now statutory law, but the case had been briefed, argued, and was being decided on the basis of pre-amendment legal doctrine. The Court's antitrust immunity holding rested explicitly on pre-amendment § 19(b)'s "active and ongoing" SEC supervisory authority over commission rates, not

on the new Amendments themselves.[277] The NYSE's fixed commission schedule had been actively supervised, reviewed, and eventually required to be competitive by SEC order; that active supervision satisfied the *Silver* requirement for an accountability mechanism other than antitrust liability, and therefore immunized the rates from antitrust challenge.[278]

Gordon proves the Amendments were not themselves the source of immunity because active SEC supervision predated them. Immunity followed from the pre-amendment framework's structured oversight. The Amendments, which had been signed into law just before *Gordon* was decided, provided the statutory foundation that would make such active supervision a mandatory institutional feature going forward, but the Court's holding rested on authority that had existed before the Amendments' passage. The Amendments were already in force when the decision issued, and the Court observed their significance. But *Gordon*'s holding established the principle that the pre-amendment framework of active SEC oversight was sufficient to immunize exchange governance decisions from antitrust attack, a principle the Amendments would make easier to satisfy going forward, not because the Amendments created new immunity but because they made comprehensive SEC oversight of SRO governance a mandatory institutional feature rather than a contingent regulatory practice.

The 1975 Amendments achieved governance restoration through substitution of accountability mechanisms. The standard account, endorsed across the SRO immunity literature from Mahoney through Edwards, characterizes the Amendments as expanding regulatory oversight, with courts subsequently using the expanded framework as a basis for broader immunity protection.[279]

That characterization is accurate but analytically incomplete. Expanded SEC oversight and broader immunity protection are, in governance terms, a single mechanism operating in two phases. Phase one: the Amendments created the institutional conditions for adequate governance accountability: mandatory rule filing, mandatory pre-approval, mandatory disciplinary review. Phase two: once those conditions were satisfied, antitrust courts could no longer provide the marginal governance improvement *Silver* had sought through liability exposure, because the SEC oversight framework already provided the accountability mechanism *Silver* required. The Amendments did not grant immunity. They created the conditions under which existing immunity doctrine applied.

The Amendments achieved governance restoration through substitution of accountability mechanisms, the enabling pattern Chapter 7 identifies: law restores governance capacity by providing an alternative institutional structure that addresses an identified failure. *Silver* had imposed antitrust liability as the accountability mechanism for exchange governance decisions that lacked adequate procedural safeguards. The 1975 Amendments provided comprehensive procedural safeguards through the SEC oversight framework. Once those safeguards were in place, the justification for antitrust liability as an additional governance check was substantially undermined: the governance failure *Silver* identified had been remedied through a different institutional design.

Evaluated through the disaggregated calibration framework developed in Chapter 7, the 1975 Amendments achieved scope calibration for some governance functions — the § 19(b) rule-filing requirement targeted the specific governance activity (rulemaking) where regulatory accountability was needed — but created intensity problems of their own through the procedural ossification that

comprehensive pre-approval requirements impose on governance production. The scope dimension was calibrated because the Amendments addressed the specific failure *Silver* had identified (inadequate procedures for consequential governance decisions) rather than imposing accountability mechanisms across all exchange conduct. The intensity dimension was less certain: procedural ossification from mandatory pre-approval requirements can itself degrade governance by slowing the institution's ability to respond to emerging regulatory problems. But the Amendments' intensity problem was minor compared to *Silver*'s intensity failure. *Silver* had imposed disproportionately high governance costs — treble-damages exposure and antitrust liability — for a narrow remedial purpose (requiring notice and hearing on membership decisions). The 1975 Amendments imposed significant but proportionate costs by requiring pre-approval procedures that directly addressed the identified failure.

Commissioner Philip Loomis stated the accountability-substitution rationale in November 1975, just months after the Amendments' enactment. Addressing a joint conference sponsored by the NASD, the Boston Stock Exchange, and the SEC, Loomis reported the Senate Committee's view that the Commission's oversight should now be "more formal and pervasive" and that SROs were exercising "delegated governmental powers" whose exercise required more accountable procedures.[280] Loomis was describing governance architecture, not antitrust doctrine, but the two were connected as the governance framework predicts: comprehensive SEC oversight substituted for private antitrust litigation as the accountability check for exchange governance, preserving governance capacity while addressing the specific failure the Court had identified.

The crystallization of absolute immunity

The shift from contingent to absolute SRO immunity took two decades after the 1975 Amendments, but the governance logic was established early. If exchange governance decisions made under comprehensive SEC oversight were exempt from antitrust liability because the oversight framework provided the necessary accountability, the same logic extended to securities fraud and other private-right-of-action claims. An SRO performing regulatory functions under SEC supervision did not merely escape antitrust liability; it deserved the functional immunity that any governmental entity exercising delegated regulatory authority would receive.

Austin Municipal Securities, Inc. v. National Association of Securities Dealers, Inc. crystallized the first phase of absolute immunity in 1985.[281] The Fifth Circuit held that the NASD was "entitled to absolute immunity for its role in disciplining its members and associates" when performing regulatory functions. The court's reasoning combined the *Silver* framework with the 1975 Amendments' institutional structure: Congress had delegated enforcement authority to the NASD; that delegation carried governmental immunity; a private damages action against the NASD for its regulatory conduct would undermine the congressional design as surely as an antitrust suit would undermine exchange governance authority under *Silver*. *Austin Municipal* made the doctrinal step from contingent-immunity-when-oversight-is-present to absolute-immunity-for-regulatory-functions, and the Fifth Circuit's reasoning held even before the Second Circuit extended it.

The Second Circuit's extension came in 2001 with *D'Alessio v. New York Stock Exchange, Inc.*[282] *D'Alessio* articulated the doctrine's modern form with a formulation that has survived for more than

two decades: the NYSE "stands in the shoes of the SEC in interpreting the securities laws for its members and in monitoring compliance with those laws" and therefore deserves "the same immunity enjoyed by the SEC when it is performing functions delegated to it under the SEC's broad oversight authority."[283] The "stands in the shoes" doctrine did two things simultaneously. It grounded SRO immunity in the delegated governmental authority framework that *Austin Municipal* had introduced. And it extended immunity to all regulatory oversight functions, not merely disciplinary proceedings, by treating the SRO's regulatory role as comprehensive rather than function-specific.

The governance analysis of the crystallization period identifies the period's doctrinal contribution as the Pigouvian subsidy effect that Chapter 7 describes for enabling law. Absolute immunity from civil suits reduced the expected private cost of governance decisions. Every expulsion, every disciplinary sanction, every regulatory determination an SRO made without facing civil liability was a governance decision made at lower cost than it would have been under a regime of contingent immunity. Lower governance production costs move governance supply toward the social optimum when governance generates positive externalities, as exchange governance does through each of its governance dimensions separately: monitoring produces market surveillance outputs that sustain price integrity for all market participants, not only exchange members; sanctioning produces deterrence against manipulation and fraud that benefits every investor who relies on market prices; decision-making produces trading rules and listing standards that create the coordination infrastructure on which non-member market participants depend; and adjustment produces the capacity to respond to new trading technologies, new market structures, and new forms of

misconduct that would otherwise degrade market quality for all participants. These spillovers are not fungible, and legal rules that degrade one governance dimension may leave others intact — a point the demutualization analysis below illustrates, where commercial incentives compromised the sanctioning function while leaving the decision-making and monitoring functions partially operational.[284] Absolute immunity for regulatory functions is, in governance terms, a Pigouvian subsidy: it reduces private governance production costs to correct for the positive externalities that would otherwise cause systematic underproduction. Courts reached this structural position without the vocabulary; the governance framework describes what the doctrine was doing.

The Second Circuit completed the doctrinal architecture in 2007 with *In re NYSE Specialists Securities Litigation*.[285] The case involved allegations that NYSE specialists had misused their privileged market position to front-run customer orders, conduct that, if true, would have constituted securities fraud. The court held that no fraud exception applied to SRO absolute immunity: the NYSE's specialists were performing a regulatory function in their capacity as market-makers operating under NYSE oversight, and absolute immunity extended to "potentially abusive" governance decisions when made in the regulatory capacity. The court's explanation repays careful attention: "If an SRO's exercise of a governmental power delegated to it deserves absolute immunity, the SRO's non-exercise of that power also entitles it to immunity."[286]

NYSE Specialists pushes the Pigouvian subsidy logic to its limit. The subsidy rationale explains why governance decisions made under appropriate oversight should not face civil liability: liability exposure at the margin deters governance production by raising costs, and deterrence is socially costly when governance generates positive

externalities. But the subsidy logic also has a boundary condition: it applies when the governance institution is actually performing governance functions, and when the oversight framework provides a genuine substitute for private litigation as an accountability mechanism. If the governance institution's regulatory decisions are systematically unchecked by the oversight framework, the Pigouvian subsidy becomes a subsidy for governance failure rather than governance production. *NYSE Specialists* acknowledged that the Madoff supervision failures, where the SEC's own oversight of FINRA-adjacent regulatory functions had produced catastrophic results, complicated this story, but the court treated accountability failures as arguments for improving SEC oversight rather than restoring private litigation. The governance framework identifies this as a legitimate but contestable judgment: the SEC oversight framework under § 19 provides genuine pre-enforcement review of rule-making but less effective post-enforcement review of individual disciplinary decisions, and the substitution of SEC oversight for private litigation is imperfect in exactly the respects that matter most for individual members who have been wrongly sanctioned.

Demutualization and the regulatory-commercial distinction

The absolute immunity crystallization of the 1990s and 2000s rested on a governance assumption the Birdthistle, Henderson, and Dombalagian analysis of the "Fifth Branch" identified clearly: SROs were governance institutions performing regulatory functions under governmental delegation, and their immunity tracked the governmental character of those functions.[287] Demutualization challenged

that assumption at its structural foundations. When the NYSE converted from a member-owned non-profit association to a publicly traded for-profit corporation in 2006, when NASDAQ transitioned to public company status, when exchanges became shareholder-driven commercial entities competing for listing fees and order flow, the governance institution the immunity doctrine had been built around ceased to exist in its original form.

The governance problem demutualization created is structural rather than merely behavioral. A member-owned exchange's governance incentives align with governance quality because the members who bear the costs of bad governance and benefit from good governance are the same parties who control the governance institution. Demutualization severs that alignment. A publicly traded exchange operator has shareholders whose interests are returns on equity, not governance quality. Those interests overlap when governance quality attracts listings and order flow that generate revenue, the alignment Mahoney described as the original basis for private exchange governance.[288] They diverge when governance quality imposes compliance costs that reduce margins, when enforcement decisions risk alienating large-volume traders who generate significant revenue, or when the exchange's competitive position in the listings market depends on regulatory leniency that would disadvantage a member but benefit the exchange's market share. After demutualization, the exchange performs governance functions while simultaneously operating as a profit-seeking actor in the markets it governs.

Courts responded to this structural change by developing the regulatory-commercial distinction that the governance framework predicts must emerge from any principled attempt to apply immunity doctrine to a transformed institutional structure. *In re Facebook,*

Inc., IPO Securities and Derivative Litigation drew the distinction's initial boundary: NASDAQ's decision not to halt trading during the Facebook IPO's technical malfunction was a regulatory activity entitled to absolute immunity, while the design, testing, and promotion of the trading software that malfunctioned were commercial activities not protected by immunity.[289] The court's analysis was functional: regulatory activities received immunity because they were exercises of delegated governmental authority; commercial activities received no immunity because they were exercises of the exchange's authority as a market operator competing for commercial advantage.

The Second Circuit extended and refined the distinction in *City of Providence, Rhode Island v. BATS Global Markets, Inc.*[290] The court held that exchanges were not entitled to absolute immunity for their provision of proprietary data feeds, co-location services, and complex order types to high-frequency trading firms. These products and services did not constitute regulatory activities in the relevant sense: they were commercial offerings through which exchanges extracted revenue from market participants who purchased access advantages unavailable to ordinary investors. The conduct served the exchange's commercial interests as a product vendor, not its regulatory interests as a market overseer. Immunity applied "only to conduct that constitutes a delegated quasi-governmental prosecutorial, regulatory, or disciplinary function," and selling co-location services to hedge funds was not such a function regardless of the exchange's regulatory status in other respects.

The governance analysis of the regulatory-commercial distinction finds the doctrine structurally correct and practically unworkable for connected reasons. Structurally correct: the distinction asks

precisely the right governance question: is this institution performing governance functions when it does this? Governance analysis in Step 2 of the seven-step method requires identifying the governance institution and confirming that the challenged conduct falls within its governance function. *BATS* and *Facebook* apply this question implicitly. An exchange providing co-location services is not governing anything; it is selling proximity. An exchange deciding not to halt trading during a malfunction is governing market integrity, which is the shared problem the exchange exists to manage. The courts' functional analysis tracks the governance method's analytical logic even without the governance vocabulary.

Practically unworkable: applying a functional test case-by-case to an institution that performs regulatory and commercial functions simultaneously, often through overlapping personnel and institutional structures, produces governance uncertainty that is itself a governance cost. Standard Investment Chartered, Inc. v. NASD confirmed that the party asserting immunity bears the burden of demonstrating that the challenged conduct constitutes delegated regulatory activity.[291] After *BATS* and *Facebook*, that burden requires exchange counsel to predict, for every category of exchange conduct, whether a court will characterize it as regulatory or commercial, and that prediction requires litigating structural questions about exchange governance architecture in every individual case. The governance framework predicts exactly the resource allocation the Nafday critique documents: resources that could support substantive governance are diverted to defensive legal positioning that attempts to place conduct on the right side of a line courts draw unpredictably.[292]

Nafday's 2010 account of the "doctrinal bait-and-switch" in *Standard Investment Chartered* diagnosed a related problem earlier.[293]

The Second Circuit in *Standard Investment Chartered* had held that the NASD's failure to disclose material information to its members about the merger with NYSE Regulation (the transaction that created FINRA) was not subject to member challenge because the members lacked standing to challenge SRO rule changes under § 19(b). The Nafday critique is that the court's standing analysis was correct under the pre-1975 doctrine but was incoherent after the 1975 Amendments, which had created § 19(b) as a mechanism for member participation in rulemaking precisely to provide accountability for governance decisions affecting members. The governance framework supports and extends the Nafday critique: the 1975 Amendments had built member participation into the accountability mechanism that justified absolute immunity; cutting members out of that participation under the standing doctrine created by *Standard Investment Chartered* removed a critical component of the SEC-oversight substitute without restoring the antitrust accountability it had replaced.

The constitutional crisis and the governance framework's diagnosis

The demutualization-era complications were structural but manageable, and courts could continue developing the regulatory-commercial distinction through case-by-case adjudication, imperfectly and at governance cost, but within the existing immunity framework. The challenge that emerged in *Alpine Securities Corp. v. FINRA* in 2024 is categorically different in that it attacks the constitutional foundations of delegated self-regulatory authority itself.[294]

Alpine Securities, a registered broker-dealer, challenged FINRA's authority to conduct an expedited disciplinary proceeding

that threatened Alpine with effective market exclusion before judicial review was available. Alpine's constitutional theory combined two lines of the Supreme Court's recent structural constitution jurisprudence: the Appointments Clause argument that FINRA's hearing officers were "Officers of the United States" who must be appointed through constitutionally prescribed procedures, and the nondelegation argument that Congress had delegated legislative power to FINRA without an intelligible principle confining the delegation's scope.[295] The D.C. Circuit rejected Alpine's arguments and upheld FINRA's authority in a decision that cert was denied in June 2025.[296] But the constitutional arguments survived the decision in important respects: the D.C. Circuit's analysis devoted substantial analysis to why FINRA's hearing officers were not Officers of the United States, and the nondelegation argument was not definitively resolved but rather found premature given the absence of a clear Supreme Court mandate to apply the major questions doctrine to SRO delegations.

Benjamin Edwards's account of the constitutional threat documents the doctrinal trajectory that made these arguments credible rather than frivolous.[297] The combination of *Lucia v. SEC* on the Appointments Clause,[298] *West Virginia v. EPA* on the major questions doctrine,[299] and the academic campaign against the administrative state's structural foundations had created the intellectual and doctrinal conditions in which a serious constitutional challenge to SRO authority was not merely available but was the natural next doctrinal move. The governance framework identifies this constitutional pressure as a Phase 5 development in the sixty-year arc, a challenge that would not have reached doctrinal credibility without the institutional transformation demutualization had completed.

The governance stakes of *Alpine*'s constitutional arguments, had they prevailed, would have been severe and symmetrical with *Silver*'s 1963 governance degradation. *Silver* imposed governance costs by exposing expulsion decisions to antitrust liability when procedural safeguards were absent. A successful nondelegation or Appointments Clause challenge to SRO authority would have imposed governance costs of comparable magnitude: it would have required restructuring FINRA's hearing officer appointment process, created uncertainty about which past disciplinary decisions remained valid, and subjected the structural basis of SRO governance to ongoing constitutional litigation. The MFS Securities timeline documents the governance cost of regulatory uncertainty in this domain. The 6.5-year interval between the initiation of disciplinary proceedings and final judicial resolution produced documented consequences for market participants who could not predict whether FINRA's disciplinary authority was constitutionally sound.[300]

FINRA's post-*Alpine* response, the filing of proposed rule changes in June 2025 that would require SEC approval before expulsion orders take effect, illustrates the accountability-substitution pattern the governance framework identifies as the recurring adaptive mechanism in this arc.[301] The 1975 Amendments had substituted SEC oversight for antitrust accountability as the governance check for exchange rule-making. The post-*Alpine* rule changes propose substituting SEC approval for FINRA-autonomous expulsion authority as the governance check for the most consequential disciplinary decisions. In governance terms, the response is internally coherent: reducing the constitutional vulnerability of SRO authority by building in the SEC oversight that makes the delegation accountable enough to survive constitutional scrutiny. Whether that substitution succeeds will depend on whether courts find that SEC

pre-approval of expulsion orders adequately addresses the Appointments Clause and nondelegation concerns that *Alpine* raised.

What the sixty-year arc shows about law and governance

The sixty-year arc, read through the governance method, produces a coherent account of law repeatedly acting on exchange governance institutions through identifiable mechanisms and in response to observed governance consequences.

Silver degraded exchange governance capacity through Mechanisms 1 and 2 as Chapter 8 documented. Evaluated through the disaggregated calibration framework, *Silver* failed on both dimensions: on scope, antitrust liability reached across all NYSE disciplinary decisions when the identified failure concerned a single non-member denied access without process; on intensity, the treble-damages exposure imposed governance costs wildly disproportionate to the governance benefit of requiring notice and hearing. The 1975 Amendments partially restored governance capacity by substituting SEC oversight for antitrust liability as the accountability mechanism. Evaluated on the same calibration dimensions, the Amendments achieved scope calibration for some governance functions — the § 19(b) rule-filing requirement targeted the specific governance activity (rulemaking) where regulatory accountability was needed — but created intensity problems of their own through the procedural ossification that comprehensive pre-approval requirements impose on governance production. *Gordon* confirmed that pre-amendment active SEC supervision had already been providing the

accountability mechanism *Silver* required, and the Amendments institutionalized and expanded that supervision, making it comprehensive rather than contingent.

The absolute immunity crystallization of the 1990s and 2000s completed the Pigouvian subsidy function that the 1975 governance restoration had begun. Evaluated on calibration dimensions, absolute immunity achieved a form of scope calibration — it applied specifically to regulatory-function governance decisions rather than to all exchange conduct — but arguably failed intensity calibration in the opposite direction from *Silver*: where *Silver* imposed disproportionately high governance costs, absolute immunity may impose disproportionately low accountability costs, shielding governance failures that SEC oversight does not effectively catch. The accountability deficit that absolute immunity creates (the removal of private litigation as a check on governance abuse) is partially addressed by SEC oversight under § 19, and the adequacy of that partial address is the genuinely difficult governance question that courts have not directly confronted. *NYSE Specialists* acknowledged the question and deferred it; the governance framework suggests the deferral is unjustified because the adequacy of the substitution varies systematically with the type of governance decision at issue, with individual disciplinary actions receiving substantially less effective SEC oversight than rule-making. The sixty-year arc thus demonstrates that the scope and intensity dimensions track real doctrinal variation across time: the law has oscillated between interventions that are scope-uncalibrated and intensity-excessive (*Silver*), scope-calibrated but intensity-uncertain (1975 Amendments), and scope-calibrated but potentially intensity-deficient (absolute immunity).

Demutualization introduced a governance problem the absolute immunity doctrine was not designed to handle: structural conflicts

between commercial interests and governance functions within a single institutional actor. The regulatory-commercial distinction the courts developed in *Facebook* and *BATS* applies the governance framework's core analytical question (is this institution actually performing governance functions?) but applies it case-by-case in circumstances where ex ante institutional design would be more effective. The governance framework's prediction that case-by-case functional analysis would impose governance uncertainty costs through defensive legal positioning is confirmed by the post-*BATS* pattern of litigation over the regulatory-commercial line.

The constitutional challenge in *Alpine* represents the latest phase of the same structural dynamic. Each time the law imposes a new accountability mechanism on exchange governance (antitrust liability in 1963, SEC oversight expansion in 1975, absolute immunity's boundaries drawn after demutualization), the governance institution adapts and the legal system recalibrates. The post-*Alpine* FINRA rule changes propose the next calibration: SEC pre-approval of expulsion orders as the accountability mechanism that resolves the constitutional vulnerability the demutualization-era SRO model created. Whether that calibration restores governance capacity at acceptable accountability cost is the governance question the next decade of exchange regulation will answer.

What the governance framework adds to existing SRO scholarship is the common vocabulary that explains each doctrinal development as law acting on a governance institution, enabling or degrading governance capacity through identifiable mechanisms, and responding to observed governance consequences whether or not the responding institution used that vocabulary. The implied antitrust repeal framing accounts for *Silver* and partially for *Gordon*. The

Fifth Branch account explains demutualization's structural complications.[302] Edwards's constitutional crisis account narrates the *Alpine* challenge. None of these accounts, individually or together, explains why the 1975 Amendments produced broader immunity (governance restoration through alternative accountability mechanism substitution), why absolute immunity is enabling rather than merely protective (Pigouvian subsidy for governance production), or why the regulatory-commercial distinction is structurally correct but practically costly (it applies the right governance question in the wrong institutional context, individual cases rather than ex ante governance design).

The exchange governance arc also provides the book's clearest empirical test of the governance method's predictive capacity. The method predicts that legal rules imposing new accountability requirements on governance institutions will generate governance costs through Mechanisms 1 and 2; that alternative accountability structures can restore governance capacity when they adequately substitute for the removed mechanism; that governance production below the social optimum generates pressure for enabling legal responses; and that structural transformation of the governance institution creates governance problems that existing doctrine, calibrated to the pre-transformation institution, cannot adequately handle. *Silver*, the 1975 Amendments, the immunity crystallization, and demutualization have, in sequence, confirmed each of these predictions over sixty years of traceable doctrinal development.

The exchange governance setting also illuminates the governance method's differential effectiveness in litigation and legislative contexts. The SEC's regulatory infrastructure provides precisely the informational investment that Steps 4 and 5 demand: the Commission has access to trading data, market surveillance outputs, and

SRO compliance records that no individual litigant could produce. The 1975 Amendments' governance restoration succeeded in part because it placed the governance evaluation in a regulatory setting where spillover evidence — market integrity data, price discovery quality, investor confidence metrics — is systematically collected. Courts adjudicating individual immunity claims under *BATS* or *Facebook* lack comparable access to this data, which is why the regulatory-commercial distinction produces the case-by-case uncertainty the governance framework predicts. The exchange governance arc is the book's strongest illustration of the principle that the governance method's full quantitative potential is available in regulatory and legislative design settings, while its contribution in litigation is primarily structural.

The strongest counterargument this chapter must confront is the institutional willingness objection. The governance framework's preference for targeted remedies presupposes a governance institution willing to implement them. *Silver* suggests that governance institutions exercising power over non-members lack that willingness: the NYSE excluded Harold Silver without notice or hearing, and there is no evidence the Exchange would have provided process voluntarily. Categorical procedural requirements were necessary because the institution would not correct the failure on its own. The objection is strongest in the non-member access context that *Silver* itself presented. Where the governance institution has no ongoing governance relationship with the excluded party — Silver was not an NYSE member — the institution's self-correction incentives are weakest, because the institution bears no governance cost from the non-member's exclusion. The framework's preference for targeted remedies applies with full force to member discipline,

where the institution has ongoing governance incentives to calibrate sanctions correctly, and with diminished force to non-member access, where those incentives are absent or attenuated. The proper reading of *Silver*, under this analysis, is that the Court correctly identified a governance failure (exclusion of a non-member without process) and correctly imposed a remedy targeted to that failure (mandatory process for non-member access decisions), but that the remedy's scope extended beyond what the failure warranted by reaching member discipline as well, where the willingness objection does not apply and the governance costs of procedural requirements are highest.

Chapter 11 applies the same governance analysis to business associations, where the governance institution is smaller, the legal framework more developed, and the doctrinal mistakes correspondingly more visible.

Chapter 11: Corporate Governance and the Governance of Governance

Thirty years of shareholder rights reform have produced results the reform movement did not predict and cannot explain. Say-on-pay became law in 2011 on the premise that shareholders voting on executive compensation would restrain excess. Median S&P 500 CEO compensation stood at $7.5 million that year. By 2024, it reached $17 million, a 127% increase over the reform period.[303] Say-on-pay failure rates never exceeded four percent in any year from 2011 through 2024, meaning shareholders approved essentially every package presented to them for a vote.[304] A mechanism designed to discipline compensation through shareholder voice instead ratified compensation growth that dwarfed pre-reform levels. The explanation requires a different theoretical frame.

The club-good framework, developed in Chapter 5, supplies that frame. Corporate governance is a club good: excludable, non-rivalrous up to congestion, and dependent for its quality on maintaining appropriate membership constraints. The shareholder rights movement committed a category error. It treated a club good as a public good, proceeded on the assumption that more access produces better governance, and for three decades designed reforms

around maximizing shareholder participation without regard to whether that participation would improve governance quality or congest it. The result, documented across four domains, is governance in form without governance in function.

This chapter makes a normative claim, not a descriptive one. Delaware courts do not perform governance analysis in the terms this book develops, and nothing here asserts that they do. What this chapter claims is that the club-good analysis predicts the shape of Delaware's review spectrum, and that where Delaware doctrine diverges from that prediction, the divergence identifies a reform target.

Chapter 11. Corporate Governance

Corporate governance scholarship has produced more sustained analytical attention than any other governance domain this book examines, yet the field's central debates have largely proceeded without the framework Chapter 5 develops. Reframing corporate governance as a club good — excludable, subject to congestion, and producing both member benefits and spillovers — reorients several long-running disputes and identifies a recurring analytical error in reform proposals that treat governance outputs as simple commodities rather than institutional products.

The shareholder rights movement and its category error

The shareholder rights movement encompasses a generation of statutory, regulatory, and judicial developments sharing a common architecture: identify a domain of corporate decision-making previously reserved to the board, and introduce a mechanism for shareholder participation. Congress enacted say-on-pay through the Dodd-Frank Act of 2010, requiring public companies to hold advisory votes on executive compensation at least once every three years. The SEC's 2003 mandatory voting rule required registered investment advisers to implement proxy voting policies and to vote client shares in clients' best interests. Delaware's Court of Chancery expanded Caremark from Chancellor Allen's nearly-impossible claim into an active litigation category addressing mission-critical compliance failures, and subsequent decisions extended oversight duties to financial reporting, aircraft safety, and human capital management.

Each intervention followed the same logic: reformers identified a domain of corporate decision-making as inadequately governed, and prescribed more participants as the correction. This is the logic of a public good. National defense is the canonical example: non-excludable, nonrivalrous, and subject to chronic undersupply because no private actor can capture sufficient benefit to justify the full cost of provision. The standard corrective is mandatory contribution. The shareholder rights movement treated governance identically, as a resource whose quality increases as participation expands. Mandatory voting, compulsory say-on-pay, and expanded oversight duties function as the taxation mechanism, forcing contributions from participants who would otherwise free-ride.

That analogy is backwards. The next section explains why, and uses the explanation to make precise predictions about what three decades of governance reform would produce.

Corporate governance as a club good

James Buchanan's 1965 framework identifies a category of goods that fits neither the private good nor the public good model.[305] Club goods are excludable (the club can deny access to nonmembers), nonrivalrous up to a threshold of congestion (multiple members do not diminish each other's enjoyment below that threshold), and valuable precisely because membership constraints maintain quality. The canonical example is a swimming pool: members can be excluded through a locked gate, multiple swimmers do not diminish each other's enjoyment within a reasonable membership range, but crowding beyond optimal size degrades the experience for everyone. The optimal club size balances the benefits of additional members against the congestion costs they impose. Crucially, quality depends

on the club's ability to manage its own membership. A club that cannot exclude cannot prevent congestion.

Corporate governance has all three features. Board deliberation time and director attention are finite: board governance is rival at the margin, which is to say that adding governance participants beyond a threshold produces congestion rather than enrichment. Multiple shareholders exercising governance rights simultaneously do not diminish each other's access to the ballot within a reasonable range. And governance quality depends on the selection and composition of the board, which means that expanding access beyond the capacity of the resulting participants degrades what governance produces.

Delaware section 141(a) is the foundation of the excludability mechanism: "The business and affairs of every corporation organized under this chapter shall be managed by or under the direction of a board of directors." This provision does not merely authorize board management. It establishes the board as the governance institution of the corporation and excludes shareholders from day-to-day governance. Shareholders elect directors, approve fundamental transactions, and vote on charter amendments, but they do not manage.

Judicial deference to board decisions, the business judgment rule, is the institutional protection that makes this excludability credible. Without deference, every board decision is subject to post-hoc judicial second-guessing, and the board's management authority becomes hostage to whatever any disappointed shareholder finds objectionable. Stephen Bainbridge characterizes the rule as an "abstention doctrine": courts simply refuse to review the merits of board decisions made in good faith by disinterested directors with adequate information.[306] Abstention is the mechanism. By declining

to review board decisions on the merits, courts preserve the board's effective authority to make them.

Corporate governance also generates positive externalities beyond the membership. Employees, creditors, communities, and markets depend on governance quality through channels that do not run through board membership, and those channels trace to specific governance dimensions. Monitoring produces the disclosure outputs — audited financials, material event reports, risk factor updates — on which stock price discovery depends; the spillover runs from monitoring quality to capital allocation efficiency across the entire market. Sanctioning produces the deterrence that prevents managerial self-dealing from destroying firm value on which creditors, employees, and counterparties depend; the spillover runs from sanctioning credibility to employment stability and supply chain reliability. Decision-making produces the strategic coordination that determines how firms deploy capital, hire, and invest; the spillover runs from decision-making quality to the broader economic productivity that depends on well-governed firms allocating resources efficiently. Adjustment produces the capacity to respond to changed circumstances — new technologies, new competitive threats, regulatory shifts — whose benefits extend to every stakeholder affected by the firm's operations. These spillovers are not interchangeable: a governance reform that degrades monitoring while leaving decision-making intact produces different externality losses than one that degrades decision-making while leaving monitoring intact. The corporate governance setting also presents distinctive informational advantages for the governance method: SEC-mandated disclosure, proxy filings, and compensation committee reports provide a richer empirical foundation for Steps 4 and 5 of the

governance evaluation than is available in any other governance domain. Where the method operates in a legislative or regulatory design context — evaluating proposed governance reforms such as say-on-pay or mandatory voting rules — the quantitative data infrastructure corporate law has developed makes the full analytical potential of Steps 4 and 5 available.[307]

Congestion in a governance club does not resemble congestion in a swimming pool. Governance congestion is a quality phenomenon. When the shareholder base expands to include participants who lack the incentive to govern attentively, governance quality declines even if the formal voting procedures continue undisturbed. A board that must justify every business decision to an audience of passive fund managers following proxy advisor recommendations, activist hedge funds seeking short-term extraction, and retail shareholders submitting proposals with three percent support does not govern the same way as a board operating within the protected institutional space that board authority and judicial deference create.

The empirical record of failure

The shareholder rights movement's empirical record confirms the governance congestion prediction across four domains.

Say-on-pay. Academic analysis of say-on-pay's effects finds no evidence of reduced compensation growth. Fisch, Palia, and Solomon conclude that say-on-pay votes primarily reflect shareholder dissatisfaction with firm performance rather than compensation levels, and that the provision has failed to constrain CEO pay.[308] Subsequent analysis finds that say-on-pay compressed compensation toward ISS-approved templates without reducing market median levels, producing standardization rather than restraint. The

structural explanation is straightforward. Boards with near-certain approval in hand face no marginal incentive to constrain packages. Shareholders, confronting a binary vote on a package already negotiated and presented, have no mechanism to propose alternative structures. Say-on-pay reduced the board's excludability from one governance domain, the setting of executive compensation, and moved compensation governance from a small, expert, information-rich group to a large, diffuse, information-poor group filtered through ISS and Glass Lewis criteria. Quality degraded.

The proxy advisor duopoly. Institutional Shareholder Services and Glass Lewis together controlled over ninety percent of the proxy advisory market by 2024.[309] The mandatory institutional voting regime created this concentration. Unable to evaluate each portfolio company's proposals independently, institutional investors sought third-party voting recommendations to satisfy their fiduciary obligation to vote. Robo-voting, the automatic implementation of proxy advisor recommendations without independent review, grew from seven percent of ISS customers in 2007 to twenty-three percent by 2021.[310] ISS and Glass Lewis are private firms, answerable to no regulator, subject to no disclosure requirements comparable to those imposed on the public companies they evaluate, and operating under acknowledged conflicts of interest in markets for consulting services they sell to the companies they rate. The mandatory voting rule was intended to ensure that institutional investors govern portfolio companies in clients' interests. Instead, it delegated effective governance authority over public companies to two unaccountable private firms. The ISS-Glass Lewis duopoly is not a market failure. It is an emergent club structure that formed spontane-

ously to manage the congestion the mandatory voting rule produced, capturing authority that belongs to a governance club it did not build.

Passive indexing and the output-based functionality test. The output-based functionality criteria Chapter 8 specifies provide a precise diagnostic for the governance degradation these reforms produce. Monitoring is functioning when it generates conduct-governing information used in sanctions, rules, or behavior; proxy advisor recommendations based on standardized checklists do not generate firm-specific monitoring outputs that govern the conduct of the firms they evaluate. Sanctioning is functioning when sanctions are applied at a frequency consistent with the observable violation rate; say-on-pay's sub-four-percent failure rate against 127% compensation growth is prima facie evidence that the sanctioning mechanism is non-functional. Adjustment is functioning when rules change in response to documented changed circumstances; the mandatory voting regime has not been reformed despite two decades of documented governance degradation, suggesting the adjustment mechanism has itself failed. By the output-based criteria, shareholder-rights governance is governance in form that fails functionality at three of four dimensions.

Index funds grew from approximately three percent of equity market value in 2000 to over twenty percent by 2020. BlackRock, Vanguard, and State Street together hold between twenty and twenty-five percent of every S&P 500 company. The economic logic of index investing destroys governance incentive: a fund tracking the S&P 500 cannot sell an underperforming company without abandoning its index mandate, and because the fund holds every company in the index, the benefit of improving governance at any single firm accrues to the fund only in proportion to that firm's

weight in the index. By 2024, the major passive fund complexes had expanded their stewardship teams from the skeleton crews of the prior decade, but the ratio of professionals to monitored companies remained acute: BlackRock employed approximately sixty-five to seventy stewardship professionals, Vanguard approximately sixty, and State Street Global Advisors approximately twelve, together responsible for thousands of portfolio companies each.[311] Even with expanded staff, no team of that size can deliberate meaningfully about governance at thousands of firms. What they can do is apply standardized checklists and vote in coordinated blocs, which is what they do. The mandatory voting rule forced participants whose institutional design produces governance indifference to exercise governance authority. The result is governance in form without governance in function.

Caremark expansion. Chancellor Allen's original 1996 formulation characterized Caremark claims as "possibly the most difficult theory in corporation law upon which a plaintiff might hope to win a judgment."[312] The subsequent decades transformed Caremark from a near-impossible claim into an active litigation category. Marchand v. Barnhill in 2019 established that boards of companies with mission-critical regulatory obligations bear heightened monitoring obligations for those specific risks.[313] Later decisions extended the doctrine further. In re McDonald's Corporation Shareholder Derivative Litigation subjected the board's oversight of corporate culture and human capital management to Caremark liability, a domain where firm-specific expertise is most valuable and where standardized judicial criteria are least equipped to substitute for it.[314] Scholars who have studied Caremark's effect on actual corporate compliance find no evidence that the expanded doctrine has reduced misconduct. What it has produced is increased compliance

spending, more time devoted to compliance committee meetings, and board attention directed toward litigation-avoidance rather than value creation, the precise pattern Chapter 7 identifies as Mechanism 6: compliance substituting for governance rather than instantiating it.

The divergence between standard corporate governance analysis and the governance framework is not incidental. It is structural. Standard corporate governance analysis since Berle and Means has treated the central problem as one of agency costs — the divergence between management's interests and shareholders' interests — and has accordingly optimized for shareholder participation as the corrective mechanism.[315] The governance framework identifies a different central problem: the quality of the governance output itself, measured by whether the four elements function according to the output-based criteria. These two optimization targets produce conflicting prescriptions in at least three domains where the difference is observable. On say-on-pay, the shareholder-participation model predicted that mandatory voting would constrain excessive compensation by giving shareholders a voice; the governance framework predicted that opening a small, expert, information-rich governance process to a large, diffuse, information-poor voting population would degrade governance quality through the congestion mechanism, and the empirical record confirms the governance prediction. On Caremark expansion, the shareholder-participation model predicted that expanding judicial oversight of compliance would improve board monitoring; the governance framework predicted that expanded oversight would produce compliance substitution under Mechanism 6, and the compliance-spending data confirm formal investment without measurable misconduct reduction.

On proxy access and mandatory institutional voting, the shareholder-participation model predicted that forcing institutional investors to vote would produce accountability; the governance framework predicted that forced participation by parties whose institutional design produces governance indifference would produce voting-without-deliberation, and the rise of the ISS-Glass Lewis proxy advisory duopoly confirms exactly that pattern. In each domain, the governance framework generates a different prediction from standard analysis, and the available evidence supports the governance prediction. The analytical difference is that standard corporate governance analysis asks how to maximize shareholder participation, while governance analysis asks how to maximize governance output quality — and the two objectives diverge precisely where participation degrades quality.

Delaware's review spectrum as a governance-calibration instrument

The chapter's normative contribution is reading the Delaware review spectrum as a governance-calibration instrument designed to maintain governance quality through doctrinal deference calibrated to the degree of governance failure present. A legal system that took governance quality seriously would provide minimal review where governance is functioning, intensive review where governance has structurally failed. Delaware has done precisely that, without the governance vocabulary and without any formal commitment to club-good theory. The three-level spectrum maps governance quality onto doctrine in a way that makes governance accountability proportional to governance failure.

The business judgment rule applies where no structural governance failure is present.[316] Governance analysis predicts deference here. Where governance is functioning — the deliberative process has engaged participants with appropriate capacity — the governance output is presumed valid. The business judgment rule functions as a Pigouvian subsidy for governance provision, reducing the litigation costs that Chapter 7 identifies as Mechanism 1 and 2. By declining to review the merits of board decisions made in good faith by disinterested directors with adequate information, courts reduce the governance production costs that would otherwise deter governance supply. This subsidy addresses the undersupply of governance quality that results when boards cannot capture spillover benefits: a board whose governance benefits employees, creditors, markets, and communities cannot capture those benefits in the firm's valuation, so private governance producers invest less than would be socially optimal. The business judgment rule moves governance supply toward the social optimum by reducing the cost of making governance decisions. It is an enabling doctrine, not an insulating one. Without it, every board decision would invite litigation costs sufficient to deter attentive governance. With it, boards can govern with confidence that routine business decisions will not trigger review.

The strongest objection to this characterization is that deference subsidizes governance failure equally with governance success. The business judgment rule protected Blue Bell Creameries' board — which had implemented no monitoring system for food safety, the company's most central compliance obligation — just as it protects a diligent board with robust compliance infrastructure. In Pigouvian terms, deference is an untargeted quantity subsidy: it increases

governance production across the board without selecting for governance quality. The objection is structurally sound: the BJR in isolation does not distinguish competent from incompetent governance. But the BJR does not operate in isolation. The complete Pigouvian mechanism is deference-plus-accountability: the business judgment rule increases governance quantity by reducing production costs; *Caremark*, entire fairness, and *Revlon* duties control governance quality by withdrawing deference where governance has structurally failed. The combined system produces both increased supply and quality assurance. *Marchand*'s holding — that *Caremark* requires mission-critical monitoring systems, and that a board without any such system forfeits deference — is the quality-control complement that makes the quantity subsidy targeted at the system level even though it is untargeted at the individual-rule level. Neither component works alone. Deference without accountability produces the untargeted subsidy the objection identifies. Accountability without deference produces the governance-cost escalation that Mechanisms 1 and 2 describe. The doctrinal structure that Delaware has developed is the combined mechanism that the Pigouvian analysis requires.

Enhanced scrutiny under Unocal Corp. v. Mesa Petroleum Co. and Revlon, Inc. v. MacAndrews & Forbes Holdings, Inc. applies where structural conflicts create what Chapter 7 identifies as the last-period defection problem.[317] A board adopting defensive measures that may entrench management, or a board selling the company on terms that may favor management over shareholders, faces distorted incentives: the usual governance disciplines are weakened relative to the immediate gains available through governance self-dealing. Enhanced scrutiny addresses this by withdrawing the presumptive deference the business judgment rule provides and

requiring instead that the board's decision fall within a range of reasonableness given the structural conflict. The doctrine does not impose entire fairness's requirement that the controlling party prove both fair dealing and fair price. It asks a narrower question: given the conflict present, did the board's decision-making process operate within the bounds of institutional competence? This calibration reflects the governance analysis. The board's incentive to govern is compromised, not eliminated; the institutional capacity to deliberate remains present; the corrective is to intensify scrutiny of the deliberative process while preserving space for the board's ultimately informed judgment.

Entire fairness review applies where governance has been captured by a controlling stockholder whose interests have displaced governance function as the decision-making framework.[318] Where the party controlling the governance institution is the same party whose conduct the institution is supposed to check, internal correction mechanisms are unavailable. The club good has been appropriated by a member who controls it entirely. Judicial review at the price level (fair price) and process level (fair dealing) substitutes for governance the institution can no longer produce. The entire fairness standard presumes that the controlling shareholder cannot establish business judgment deference and requires instead that the controller prove both fair dealing and fair price. This is the governance system's most demanding scrutiny, applied precisely where governance's internal accountability has completely failed.

These three doctrinal tiers map governance quality calibration onto existing Delaware law in a way that makes precise predictions. The business judgment rule provides a Pigouvian subsidy that moves governance supply toward the social optimum by reducing governance production costs, but only in settings where governance

is not structurally compromised. Enhanced scrutiny targets the last-period defection problem without requiring proof of unfair price, matching the scope of intervention to the scope of the structural failure. Entire fairness applies when governance is captured and internal accountability is impossible, requiring the most searching review because the governance institution itself has failed. This is governance-responsive law.

Where Delaware doctrine diverges from governance predictions

Two divergences identify reform opportunities.

Caremark overextension. Allen's original formulation admitted no judicial second-guessing of the board's choice among reasonable compliance systems. Courts could find liability only where the board had implemented no oversight system at all. Marchand imposed a more demanding standard: boards of companies with mission-critical regulatory obligations must create board-level compliance monitoring specifically attuned to those obligations. This contraction of excludability is defensible, because it enforces the membership criterion that the business judgment rule requires: a board that builds compliance infrastructure for peripheral risks while neglecting mission-critical ones has not satisfied the quality threshold for deference. The McDonald's extension crosses from criteria enforcement into congestion introduction. Human capital management is precisely the domain where firm-specific expertise is most valuable and where judicial oversight using standardized criteria is least productive. Admitting judicial review into that domain does not enforce

governance quality criteria. It imposes compliance-optimized governance on firms where governance should be optimized for value creation.

Shareholder activism as Mechanism 7. Proxy access, mandatory institutional voting, and say-on-pay opened corporate governance to participation by parties whose governance capacity did not justify the access provided. Chapter 7 identifies mandating open membership that disables screening as Mechanism 7: the governance degradation mechanism that eliminates the quality control on which club good value depends.[319] Each of these three reforms added a category of low-capacity participants to a governance process the participants could not meaningfully engage. The ISS-Glass Lewis duopoly filled the resulting gap, capturing authority the reforms created without the governance accountability that makes club governance legitimate.

State competition on the excludability dimension

The Delaware-Texas competition in 2025 tests the club-good analysis directly. States are competing not on shareholder rights but on the reliability and scope of board excludability from judicial and shareholder override.

Delaware's Senate Bill 21, enacted March 25, 2025, clarified the conditions under which the business judgment rule applies to controlling stockholder transactions and restored predictability to the ratification doctrine following the doctrinal disruption that *Tornetta v. Musk* produced.[320] The Delaware Supreme Court's decision in *Tornetta* initially appeared to reject established doctrine by ordering rescission of a controlling shareholder's compensation package. On December 19, 2025, the Court unanimously reversed, holding that

rescission was an improper remedy for a ratifiable conflict transaction and that the compensation arrangement satisfied the business judgment rule's conditions once ratified by disinterested shareholders.[321] More significantly, the Court affirmed its earlier finding of liability for the compensation-setting process while reversing the rescission remedy, and reduced the attorney fees award from the trial court's $345 million to approximately $54 million on a quantum meruit basis. This divergence between liability findings (affirmed) and remedy (reversed) underscored that Delaware law distinguishes between governance failure in the decision-making process and the appropriate judicial response to that failure — an important distinction for calibrating remedies to actual governance harm.

During the interval between the trial court's January 2024 order and the Supreme Court's December 2025 reversal, Tesla reincorporated to Texas, and during the 2025 proxy season, 64.3% of U.S. companies with pending reincorporation proposals proposed leaving Delaware.[322] Texas Senate Bill 29, enacted in response, codified the business judgment rule by statute, offering a legislative guarantee of board deference that cannot be modified by a single chancellor's opinion.[323]

The club-good framework resolves the race-to-the-top versus race-to-the-bottom debate by identifying the variable being competed over. States that maintain optimal governance club structure — excludability sufficient to prevent congestion, subject to membership criteria that maintain quality — will attract firms that produce governance externalities non-shareholders depend on. The competition is not simply between pro-management and pro-shareholder rules. It is a competition between regimes that calibrate governance structure correctly and those that distort it in either direction. Delaware's SB 21 clarifies that it competes on the dimension of

governance club integrity: the statute codifies that ratification by disinterested shareholders functions as a business judgment rule safe harbor for controlling stockholder transactions, and that courts should respect that ratification as evidence of governance quality rather than override it through expansive remedial doctrines. This is state competition on governance structure, not on shareholder rights.

The private equity comparison confirms the analysis. Private equity governance concentrates decision-making authority in investors with governance capacity, aligns incentive compensation with long-term value, and imposes monitoring through active board engagement. Net annualized returns for buyout funds exceeded public equity returns by roughly five percentage points over the two decades following 2000, with operational improvements, averaging 370 basis points of EBITDA margin expansion, as the documented mechanism.[324] That advantage has declined as the private market matured and leverage advantages eroded, but its historical existence provides a natural experiment: the governance structure with the least shareholder participation produced the highest documented returns during the period of comparison. Founders structuring the most sophisticated new companies have drawn the same lesson, adopting dual-class share structures that preserve governance club integrity by restricting voting authority to investors whose economic interests align with long-term value creation.[325]

The club-good standard for evaluating governance reforms

The governance framework implies a specific evaluative standard. Courts, regulators, and legislatures should ask whether a proposed

reform enforces governance quality criteria, removing low-quality governance from the protected institutional space, or introduces congestion, admitting governance participants who degrade quality without satisfying the membership criteria the excludability protection was designed to maintain.

Applied to say-on-pay, this standard recommends eliminating the mandatory advisory vote regime, or restructuring it to require direct shareholder engagement with the compensation committee rather than passive ratification of a binary choice. The current structure does not transfer compensation governance from boards to shareholders. It transfers compensation governance from boards to proxy advisors, which apply standardized criteria across thousands of companies without firm-specific adaptation.

Applied to the mandatory voting rule, the standard recommends an exemption or safe harbor from fiduciary liability for non-voting by index fund managers whose economic model renders firm-specific governance engagement irrational. Requiring participants to vote when they lack the incentive and capacity to vote thoughtfully does not improve governance. It generates demand for ISS and Glass Lewis recommendations and the robo-voting concentration those recommendations produce.

Applied to Caremark, the standard supports Marchand's mission-critical calibration applied consistently. Oversight duty should be demanding for governance failures that could destroy the institution, moderate for failures that could significantly harm it, and minimal for peripheral risks that compliance departments can manage without board-level engagement. The McDonald's extension inverts this calibration: it imposes board-level governance engagement on the domain where firm-specific expertise matters most and judicial criteria are least equipped to substitute for it.

Applied to the Delaware review spectrum, the standard recommends preserving its governance-calibration logic while correcting the Caremark overextension. Enhanced scrutiny should turn on whether the governance institution's decision-making process was structurally compromised by the relevant conflict, not on whether the outcome seems reasonable in retrospect. Entire fairness review should be available where governance has been captured by a controller in a specific transaction, not triggered by controlling stockholder identity divorced from evidence of governance failure.

Three challenges to the governance analysis

Three challenges to the club-good analysis of corporate governance merit direct engagement.

Accountability and optimal excludability holds that governance quality requires accountability, and accountability requires the possibility of shareholder override. A governance club that can exclude all shareholder participation can also exclude accountability for self-dealing, entrenchment, and value extraction. The club-good framework does not endorse unrestricted excludability. It endorses excludability sufficient to prevent governance congestion while subject to membership criteria that maintain governance quality. The business judgment rule does not protect bad faith, self-dealing, or decisions made without adequate information. Entire fairness review applies to controlling stockholder transactions involving actual conflicts. These doctrines enforce membership criteria. They exclude from the protected governance space decisions that do not satisfy the quality threshold. Accountability and appropriate excludability are not in tension; they are different aspects of the same institutional design problem.

Entrenchment and governance quality criteria holds that Delaware's board-centric governance structure enables managerial entrenchment at shareholders' expense, and that stronger shareholder rights are the solution. Lucian Bebchuk's empirical work on pay without performance, entrenched boards, and perpetual dual-class structures consistently finds that concentrated board authority enables management to extract value without accountability.[326] That diagnosis is accurate. But the proposed solution has thirty years of evidence against it. CEO compensation has risen faster since say-on-pay than before it. Proxy advisors are extracting rents from the mandatory voting regime in ways that benefit their institutional clients rather than ultimate beneficial shareholders. The club-good framework's response to entrenchment is governance quality criteria, not participation expansion. Entire fairness review of controlling stockholder self-dealing, meaningfully applied, is the appropriate mechanism. What the movement has pursued instead, participation expansion that produces congestion, has not addressed the entrenchment Bebchuk identifies and has created new institutional problems alongside it.

The activist performance literature holds that Bebchuk, Brav, and Jiang's study of approximately two thousand hedge fund activist interventions finds operating performance improvements persisting for five years post-intervention, challenging the claim that expanded shareholder participation produces congestion rather than improvement.[327] Several responses are available. First, deHaan, Larcker, and McClure's reanalysis using value-weighted rather than equal-weighted returns finds no significant long-term performance improvement for the typical shareholder; the Bebchuk results are concentrated in the smallest twenty percent of targeted firms meas-

ured in equal-weighted terms. Second, even accepting those findings, governance improvement at targeted firms tells us nothing about systemic effects on non-targeted firms whose boards preemptively alter strategy to avoid becoming targets. Third, activist hedge funds, unlike index funds, hold concentrated positions and have concentrated economic incentives to govern the firms they target. If activist governance improves outcomes, it may be precisely because activists are not the diffuse, poorly-incentivized participants whose mass produces governance congestion. An activist fund with a five percent position and a focused governance thesis is closer to the governance club member the excludability mechanism was designed for than to the index fund manager with fifteen professionals monitoring thirteen thousand companies.

Chapter 12 applies the same governance analysis to institutions that lack even the market discipline that keeps corporate governance from complete capture: universities and nonprofit institutions, where the governance void is structural and the accountability mechanisms are absent by design.

Chapter 12: Universities, Nonprofits, and the Governance Void

Chapter 11 identified the shareholder rights movement's category error: treating corporate governance as a public good and congesting the club good with participants who lack the incentive or capacity to govern attentively. That failure operated within a legal framework that at least provides shareholders derivative standing, an active judiciary, and competitive state incorporation law. This chapter examines governance failure under far weaker legal accountability structures.

The governance void has a specific legal structure. It is not the absence of governance activity. Universities have bylaws, mission statements, compliance offices, faculty senates, student handbooks, and board committees. The governance void is the absence of accountability. Governance activity proceeds without any mechanism by which affected parties can challenge decisions, enforce stated commitments, or compel response to identified failures. The result is organized factions occupying governance structures that no external constituency can contest, producing institutional outputs inconsistent with the institution's stated values.

American universities demonstrate the governance void in its most developed form. They are institutions that combine public function with private governance design: they educate future civic leaders, produce knowledge that informs public policy, certify credentials that serve labor markets, and receive more than $200 billion annually in federal research grants, tax exemptions, and subsidized student loans. They do all of this while governing themselves as private corporations with no meaningful external oversight. Their boards are self-perpetuating. Their fiduciary duties are judicially unenforceable. The parties most directly affected by governance decisions, students and faculty, have no standing to challenge those decisions in court. The combination of public function and private impunity is not an accident. It is a product of legal architecture, and the consequences are predictable from the architecture.

The 2023-2025 period on American campuses provided one of the most visible demonstrations of this architecture's consequences. University presidents equivocated when asked by Congress whether calling for the genocide of Jews violated their institutions' codes of conduct. Federal agencies launched Title VI investigations into sixty institutions. Columbia University reached a nine-figure settlement; most other institutions extracted commitments in the tens of millions. Not one settlement required governance reform.[328] The compliance approach treated systematic institutional exclusion as a policy deficit curable by better policies. The structural conditions producing the exclusion remained unchanged.

Legal rules governing nonprofit institutional design have created accountability voids that predictably produce governance failure. The appropriate response is structural reform targeting the void rather than compliance intervention targeting its outputs.

Chapter 12. University Governance

Universities and major nonprofits occupy a distinctive position in the governance landscape. They perform functions of public significance — educating students, producing research, providing charitable services — while operating under governance structures that insulate decision-makers from the accountability mechanisms that discipline comparable institutions in the public and for-profit sectors. The analysis begins with universities, where the accountability void is most visible, and then extends to the broader nonprofit sector, where similar structural features produce similar governance failures.

The sovereign charity: public function, private governance

Elite private universities occupy a distinctive institutional position. They are not government agencies, so administrative law and democratic accountability do not reach them. They are not market actors, so shareholder discipline does not reach them. They are nonprofit corporations, so the mechanisms that discipline for-profit governance, shareholder derivative suits, market exit, and competitive displacement, are absent or attenuated. Yet they wield power that is in every substantive sense public: they allocate economic opportunity through credentials, produce and certify knowledge through research and publication, set professional standards through law and medical schools that supply the professions, and receive subsidies that dwarf those of most regulated industries.[329]

The term "sovereign charity" captures this institutional position.[330] A sovereign charity is an institution that wields public influence, receives public subsidy, and performs public functions while

governing itself as a private corporation answerable to no external constituency. Sovereign charities are not new. Colonial-era university charters created self-perpetuating boards precisely because the founding donors wanted institutional independence from temporal and ecclesiastical authority. Harvard's Corporation has governed by internal appointment since 1650. Yale's board is structured as a hybrid: ten self-perpetuating Successor Trustees, six Alumni Fellows elected by degree-holders, and three ex officio members, but the Successor Trustee component controls succession and dominates board composition across generations. What is new is the scale of the public subsidy, the range of the public function, and the accumulation of legal shields that protect this private governance from external accountability.

The governance analysis begins with the shared problem. Universities are designed to manage a cluster of related problems: the production and transmission of knowledge, the development of human capital, the certification of professional competence, and the maintenance of institutional conditions for free inquiry. These problems are real, recurring, and interconnected. The governance institution charged with managing them is the board of trustees, exercising authority delegated to administration and faculty in various domains. The legal conditions under which that governance exists are the subject of this section.

Three features of the accountability void

State nonprofit law creates three features of university governance that together constitute the accountability void. Each feature is a legal rule. Each produces a specific governance failure. Together they

create institutional conditions under which systematic exclusion of disfavored groups is not merely possible but structurally likely.

The self-perpetuating board. State nonprofit corporation law gives boards the authority to select their own members. The board determines its own composition. No stakeholder constituency, including students, faculty, alumni, donors, or the communities in which the institution operates, has a binding vote on board membership. The consequence is that boards are not accountable to the constituencies whose interests they nominally serve. Reputational pressure can influence board behavior, but no formal mechanism translates that pressure into compelled action. A board can absorb and ignore external criticism indefinitely, because the people with authority to respond are the same people with authority to do nothing.[331]

The governance analysis identifies this as a failure of the adjustment mechanism. Governance requires not only decision-making and monitoring but adaptation: the capacity to correct errors, respond to changed conditions, and remove participants who have captured governance for private purposes. Self-perpetuating boards disable the adjustment mechanism, the fourth governance element defined in Chapter 1 as the capacity to revise institutional architecture when it fails, by making board composition immune from external correction. When a board fails, there is no legal process by which affected parties can compel its replacement.

The hollow duty of obedience. Nonprofit law nominally requires trustees to act within the institution's stated mission, the duty of obedience, which distinguishes nonprofit governance from the duty of loyalty and duty of care familiar from business organizations.[332] But when trustees write the mission statement themselves,

and when the statement is vague enough to accommodate any conceivable set of decisions, the constraint is formal rather than operative. Harvard's mission, "to educate future leaders" and "strive toward a more just, fair, and promising world," does not describe a standard capable of judicial enforcement. Courts defer to trustees' own interpretations, and state attorneys general rarely challenge even flagrant mission inconsistency.

The governance analysis identifies this as a monitoring failure. Monitoring requires a standard against which performance can be assessed. A duty of obedience to a vague mission provides no such standard. The Robertson v. Princeton University litigation demonstrated the obverse: when a mission commitment is specific enough to be justiciable, courts can evaluate whether institutional conduct is consistent with the fiduciary obligation. The Woodrow Wilson School commitment to placing graduates in federal government service was specific, and a six-year litigation, though settled, demonstrated that specificity enables enforcement.[333] The problem is not the duty's existence but the vagueness that prevents its operation.

The absence of stakeholder standing. In a for-profit corporation, shareholders can bring derivative suits to discipline the board for breaches of fiduciary duty. In a nonprofit university, no comparable mechanism exists. Students, faculty, alumni, and donors generally lack standing to challenge governance decisions. The state attorney general is the nominal enforcer, but attorneys general are chronically under-resourced and politically disinclined to challenge wealthy, prestigious institutions. The general rule that only the attorney general has standing to enforce charitable obligations reflected an era when charities were small, local, and managed simple trusts. Applied to institutions with billion-dollar endowments, tens

of thousands of students, and governance decisions affecting millions of lives, the rule produces structural impunity: power exercised without meaningful accountability.[334]

Limited exceptions do not fill the void. The California Supreme Court's decision in Turner v. Victoria held that a director who loses her board seat after filing suit retains standing to pursue the charitable trust breach claim, and the court's reasoning acknowledged the legislature's authority to expand enforcement standing beyond directors.[335] Some states permit donor enforcement of restricted gift conditions. But none of these mechanisms reaches the constituencies most directly affected by governance failures: students subjected to systematic exclusion, faculty silenced by captured governance structures, or communities that depend on universities for economic and civic functions.

Exclusive inclusion as a governance output

The three features of the governance void combine to produce a specific and predictable governance failure. This chapter names it "exclusive inclusion": the governance state in which an institution claims to protect all members while structurally ensuring that some are unprotected, because the accountability void allows organized factions to capture governance structures and deploy them against disfavored groups.[336]

Exclusive inclusion is not primarily an attitudinal phenomenon. It does not require that board members, administrators, or faculty harbor hostility toward the groups they exclude. It requires only that the governance architecture creates an opportunity for organized factions to capture delegated authority, that the captured authority can be deployed against particular identity groups, and that no

mechanism exists by which affected parties can challenge the deployment. Given those structural conditions, exclusive inclusion follows as a predictable governance outcome.

The mechanism has two steps. First, the absence of external accountability (no stakeholder standing), internal accountability (unenforceable fiduciary duties), and electoral accountability (self-perpetuating boards) creates conditions for capture. Capture occurs when a faction gains control over decision-making in a particular domain, a hiring committee, a student conduct office, a departmental programming budget, without effective oversight or constraint. Second, once a faction captures governance authority in a domain, it can implement policies that systematically exclude identity groups the faction disfavors while claiming to advance the institution's formal commitments.

The disentanglement matrix clarifies which institutional acts warrant governance scrutiny.[337] The matrix sorts contested institutional actions along two axes: who is acting (an individual exercising personal judgment, or an institution deploying organizational authority and resources), and what is targeted (a perspective, or an identity). Individual expression of a perspective, a professor who declines to collaborate with a colleague over a disagreement about policy, is protected. Institutional deployment of authority against an identity group, a department that uses official channels to advance a campaign excluding scholars and students based on national origin or religious affiliation, is not. The matrix exposes the standard defensive move in governance capture cases: actors who have deployed institutional authority against an identity group retreat to individual expression claims, converting an institutional act in the bottom-right quadrant into a personal speech act in the top-left quadrant. The analysis cuts through that retreat by forcing the

threshold question: did the institution take this act through institutional channels using institutional authority and resources?

The pattern documented across American universities applies across identity categories. At multiple University of California campuses, faculty governance bodies used delegated authority to advance coordinated campaigns that produced systematic exclusion and intimidation of Jewish students.[338] At four public universities recognized as leaders in computer science diversity efforts, departmental governance structures defined diversity in ways that systematically excluded Women of Color through race-avoidant processes.[339] A predominantly White liberal arts college with explicit DEI commitments applied a facially neutral behavioral policy that produced systematic racial inequality through differential enforcement against Black students.[340] Faculty hiring at many institutions operates through informal culture and committee discretion that screens out conservative and libertarian candidates in ways consistent with ideological bias.[341] Students with disabilities face systematic exclusion not through individual hostility but through accommodation systems that convert legal entitlements into contingent administrative privileges.[342]

The cross-identity pattern confirms that the mechanism is structural, not cultural. If the problem were cultural hostility toward any particular group, the same governance failures would not affect Jewish students, Women of Color, Black students, conservative faculty, and students with disabilities simultaneously. The governance architecture does not discriminate among the groups it fails to protect. It simply fails to provide accountability, and organized factions fill the resulting void.

Federal coercion as a case study in compliance substitution

The Trump administration's 2025 campaign against universities tested whether federal coercion can produce governance reform. The results demonstrate that it cannot. The administration froze billions in research funding, opened Title VI investigations against sixty institutions, and imposed conditions on restored funding ranging from governance changes to definitional mandates.[343] Columbia agreed to approximately $200 million in settlements. Brown committed $50 million over ten years. Universities capitulated within weeks. But what did capitulation produce?

Settlement agreements required universities to adopt specific definitions, appoint student liaisons, conduct campus climate surveys, and submit demographic data.[344] Notice what the settlements did not require: governance reform. No settlement mandated changes to board composition or selection procedures. None created stakeholder standing for students or faculty to challenge department-level exclusion. None strengthened the duty of obedience or required mission statements specific enough to constrain future board discretion. The settlements treated exclusive inclusion as a compliance deficit curable by policy adoption.

Harvard's judicial victory illustrates the same point from the opposite direction. In September 2025, federal judge Burroughs issued a consolidated 84-page opinion in two consolidated cases (*AAUP–Harvard Faculty Chapter v. DOJ* and *Harvard v. HHS*, the same judge who had presided over *Students for Fair Admissions v. Harvard*) finding that the funding freeze violated the Administrative Procedure Act and the First Amendment, concluding that the administration had "used antisemitism as a smokescreen for a targeted, ideologically-

motivated assault on this country's premier universities."[345] The ruling was correct on administrative law. But Harvard's legal victory left the governance void that produced the original crisis entirely intact. Harvard won in court; the governance architecture remains unchanged on campus.

University counsel grasped the asymmetry. Columbia could accept a settlement worth approximately $200 million, adopt new definitions, hire liaisons, and conduct surveys — all reversible once federal attention shifted. Restructuring board governance or creating enforceable mission standards would have been permanent. Reversibility has value. Governance reform eliminates that value.

Compliance substituted for governance rather than producing it — Mechanism 6 operating at institutional scale. The compliance structure (definitions, liaisons, surveys, reports) satisfies the external requirement without changing the internal governance architecture that produced the failure. Lauren Edelman explains why: organizations internalize legal requirements through symbolic structures that courts defer to as evidence of legal compliance, without the behavioral compliance the law was designed to produce.[346]

Beyond universities: the nonprofit sector

Universities are the most visible sovereign charities, but the governance analysis applies across the nonprofit sector. Hospitals governed by self-perpetuating boards, foundations with vague mission statements, major nonprofit organizations with public functions and private governance, and associations of professionals with regulatory authority all share the structural conditions that make the governance void possible.

The nonprofit hospital sector illustrates both the structural problem and the existing legal response. Nonprofit hospitals receive approximately $37.4 billion in annual tax exemptions. In exchange, Revenue Ruling 69-545 conditions hospital tax exemption on promoting "the health of a broad class of individuals in the community served," and the Affordable Care Act's section 501(r) requirements mandate triennial community health needs assessments, community input processes, and implementation strategies.[347] The operational test for hospitals gives the duty of obedience substantive content: the mission commitment to community benefit is specific enough to be evaluated, and the regulatory framework creates external accountability mechanisms that supplement the state attorney general's standing.

No comparable framework exists for nonprofit universities. Universities receive comparable public subsidies through tax exemptions, deductible donations, and federal grants, but face no governance accountability requirement that specifies and enforces the content of their obligations to their communities. The hospital sector demonstrates that specificity and accountability are achievable through existing legal tools. The absence of those tools in university governance reflects a legal architecture that has not been updated to reflect the scale, scope, and public significance of these institutions.

The structural analysis also applies to private foundations. Large private foundations control billions in assets dedicated nominally to charitable purposes, govern themselves through boards that are in most cases donor-controlled or self-perpetuating, and deploy those assets with minimal legal accountability to the communities whose welfare the foundations claim to advance. The duty of obedience is nominally present. The enforcement mechanism is the same toothless attorney general standing rule that governs universities. The

governance void at major private foundations is less visible than the void at universities because foundations do not have enrolled students to document exclusion and file complaints. But the structural conditions are identical.

Applying the governance method

The seven-step governance method generates a specific analysis for university governance.

First, the shared problem: universities manage the production and transmission of knowledge, the development of human capital, the certification of professional competence, and the maintenance of institutional conditions for free inquiry. These are genuine, recurring, and socially important problems. The institution exists to address them.

Second, the governance institution: the board of trustees, which delegates authority to administration, faculty, and various subunits. The board is the institution's ultimate decision-making authority. Applying the output-based functionality criteria Chapter 8 specifies, the governance analysis reveals a systematic failure across all four functional dimensions. Decision-making is functioning only to the extent that board decisions govern actual institutional behavior — and at many universities, faculty governance bodies and administrative subunits exercise effective authority that the board neither monitors nor overrides, making board decision-making nominal rather than functional. This means the board cannot ensure that decisions (once made) actually shape what the institution does. Monitoring is functioning only when it generates conduct-governing information used in sanctions or rule changes — and the hollow duty

of obedience provides no standard against which monitoring outputs can be assessed. Without a specific, enforceable mission standard, monitoring cannot distinguish success from failure; it cannot generate the conduct-governing information on which sanctions depend. Sanctioning is functioning only when sanctions are applied at a frequency consistent with the observable violation rate — and the absence of stakeholder standing means governance violations go unsanctioned because no party has legal capacity to trigger enforcement. Departments systematically exclude identity groups, but no student or faculty member can bring a claim; the attorney general lacks resources to investigate hundreds of institutions. Adjustment is functioning only when rules change in response to documented changed circumstances — and self-perpetuating boards, as the analysis above establishes, have disabled the adjustment mechanism by making board composition immune from external correction. By these criteria, university governance fails at all four functional dimensions, not merely at the structural level the accountability void describes. The governance system is not broken in one place; it is non-functional as a system.

Universities are also, for students and in many cases for faculty, mandatory membership institutions in the sense Chapter 5 specifies. A student enrolled in a professional program has no practical exit: leaving means forfeiting years of investment, credential progress, and professional relationships, with no assurance that another institution will accept the transfer. The accountability mechanisms Chapter 5 identifies — mandatory internal appeals with independent review, and periodic re-authorization — apply here with particular force. Internal appeals with independent review would give students subjected to governance failures a check on arbitrary exclusion

without converting the university's governance authority into a liability-rule remedy. Periodic review of departmental governance authority — requiring departments to justify continued delegated authority at regular intervals — would supply the temporal exit discipline that the absence of practical exit removes. Neither mechanism would require courts to adjudicate the substance of academic governance decisions; both would require the governance institution to demonstrate procedural compliance and good faith to a reviewer with independence from the challenged decision.

Third, the legal conditions under which that governance exists: state nonprofit corporation law, which authorizes self-perpetuating boards; the duty of obedience, which is nominally binding but structurally unenforceable due to mission vagueness; the attorney-general-only standing rule, which eliminates stakeholder enforcement; and the tax-exempt status, which creates federal and state subsidy relationships without corresponding accountability requirements.

Fourth, the member benefits: degree programs and credentials, research resources, faculty employment, and institutional infrastructure for knowledge production.

Fifth, the spillovers, traced to specific governance dimensions. Here the accountability void becomes critical, because universities' spillovers are extraordinarily broad and the constituencies benefiting from them are poorly positioned to participate in or oversee the institution's governance. Monitoring of faculty research quality produces the knowledge reliability on which non-members who cite, apply, or build upon university research depend — the spillover runs from monitoring quality to the integrity of public discourse and policy formation. Students will cite research that the university failed to vet; policymakers will act on studies that never satisfied basic reliability standards. Decision-making about curriculum and

admissions produces the human capital development that labor markets and civic institutions consume — the spillover runs from decision-making quality to economic productivity and civic competence among graduates and the communities they enter. Sanctioning of academic misconduct produces the certification reliability on which employers, licensing bodies, and patients depend — the spillover runs from sanctioning credibility to the trustworthiness of every credential the institution issues. A degree from a university that has systematically excluded entire identity categories from fair treatment has lost its certification reliability: employers cannot distinguish which graduates were developed through legitimate processes and which advanced through captured governance that deployed institutional power against disfavored groups. Adjustment capacity produces the university's responsiveness to new knowledge, new societal needs, and new threats to inquiry — the spillover runs from adjustment quality to the long-term relevance and reliability of the university's contributions to public life. When governance is captured and adjustment mechanisms are disabled, universities fail to respond to documented governance failures until external pressure forces capitulation. The informational demands of the governance evaluation are most severe in this nonprofit setting, where spillover beneficiaries are the broadest, least organized, and hardest to represent in any adversarial proceeding. No party in any litigation involving university governance has incentives to produce the spillover evidence Steps 4 and 5 require: universities overstate their governance contributions, challengers understate them, and the diffuse public that benefits from university governance has no institutional presence. The governance method's contribution to university reform is therefore primarily a legislative and regulatory

design tool — informing accreditation reform, state attorney general authority, board composition requirements, and operational test conditions — rather than a litigation tool. The structural reforms this chapter proposes reflect that informational reality: they target governance architecture through legislation and regulation rather than case-by-case judicial evaluation of governance quality.

Sixth, how law affects governance: state nonprofit law has degraded university governance through all three features of the accountability void. Self-perpetuating boards (Mechanism 5, removing standing) disable the adjustment mechanism. Hollow fiduciary duties (Mechanism 6, compliance substitution) allow symbolic governance to satisfy legal requirements without behavioral compliance. The standing bar (Mechanism 5 again) eliminates the stakeholder enforcement that would make monitoring effective. Federal compliance intervention has applied Mechanism 6 at the regulatory level, adding symbolic compliance requirements that universities satisfy without changing governance architecture.

Seventh, evaluation: law has systematically degraded the governance institution that manages American higher education. The degradation is not incidental. It follows from legal rules that concentrate authority in self-perpetuating institutions while eliminating the accountability mechanisms that could discipline that authority.

Toward structural reform

Three procedural reforms address the accountability void. They do not require universities to adopt particular values, admit particular students, or reach particular conclusions about contested political questions. They require only that universities govern themselves

through structures that make institutional capture harder and stakeholder recourse available.

Standing reform. Legislatures could expand standing by permitting stakeholders with sustained institutional ties, currently enrolled students and currently employed faculty, to bring derivative actions to enforce existing fiduciary duties against nonprofit educational institution boards. The model is the corporate derivative action, adapted for the nonprofit context. Corporate derivative suits have produced primarily deterrent effects rather than litigation floods; knowing that shareholders can enforce duties, boards exercise greater care. Procedural safeguards, a demand requirement, heightened pleading standards, a bond requirement, and fee-shifting for frivolous claims, would prevent harassment litigation while permitting meritorious enforcement. Standing reform addresses the accountability void by giving the constituencies most directly affected by governance failures a mechanism to challenge those failures. This directly counters the standing elimination that is Mechanism 5, and it enables the monitoring function that Chapter 8 specifies as essential to governance: external parties can now generate conduct-governing information through litigation threat, which disciplines board and administrative behavior toward compliance.

A potential tension warrants direct resolution. The club-good framework developed in Chapter 5 treats excludability as a structural condition of governance quality, and standing reform appears to weaken excludability by admitting external parties into the governance accountability process. The resolution is that enforcement standing is analytically distinct from governance participation. The corporate derivative action model already embodies this distinction: shareholders in a public corporation can bring derivative suits chal-

lenging the board's breach of fiduciary duty without thereby acquiring authority to manage the corporation or participate in its governance decisions.[348] *Aronson v. Lewis* established the demand requirement precisely to maintain this separation: shareholders must demonstrate that the board's own governance process cannot address the alleged failure before equity permits the shareholder to act on the corporation's behalf.[349] Extending derivative enforcement standing to stakeholders with sustained institutional ties — enrolled students, employed faculty — replicates this separation in the nonprofit context. Enforcement standing permits accountability for governance outputs without altering membership boundaries, decision-making authority, or exclusion criteria. The club-good framework is preserved because the standing reform adds an external check on governance quality, not an internal participant in governance production. An institution subject to derivative enforcement by its stakeholders retains full authority over its membership criteria, its decision-making procedures, its monitoring apparatus, and its sanctioning mechanisms. What it loses is the immunity from accountability that the standing void currently provides.

Duty of obedience reform. State legislatures could require mission statements of tax-exempt educational institutions to include specific, measurable commitments to equal treatment across identity categories. Such specificity would give courts and attorneys general a standard against which institutional conduct can be evaluated. An institution that does not wish to make that commitment could say so explicitly, but could not claim the commitment while maintaining governance structures that produce systematic exclusion. The Robertson litigation demonstrated the principle: when a commitment is specific, courts can evaluate whether conduct is consistent with the obligation. This reform addresses the monitoring failure

that the hollow duty of obedience produces, by giving monitoring a concrete standard against which it can operate. With a specific mission standard, universities cannot defend systematic exclusion by invoking mission vagueness. The duty of obedience becomes functional rather than symbolic.

Operational test reform. The IRS could reinterpret the operational test to condition educational institution tax exemption on demonstrated governance structures that prevent systematic identity-based exclusion, parallel to the community benefit standard that already governs nonprofit hospitals. The hospital community benefit standard was adopted through IRS rulemaking rather than congressional legislation, demonstrating the administrative authority for this approach.[350] A reformed operational test would condition public subsidy on governance architecture, not on any particular viewpoint. It would require only that the governance structure make exclusive inclusion structurally unlikely. This reform addresses the adjustment failure that self-perpetuating boards produce, by making board composition and governance structure part of the tax-exemption evaluation. Universities seeking continued tax-exempt status would need to demonstrate that they have implemented accountability mechanisms — either standing reform or equivalent mechanisms providing stakeholder recourse — that make exclusive inclusion costly rather than consequence-free.

The three reforms are mutually reinforcing. Standing without enforceable standards leaves enforcement without a clear legal basis. Standards without standing leave enforcement dependent on the chronically under-resourced attorney general. External accountability through the operational test strengthens both but cannot substi-

tute for the internal mechanisms the first two reforms create. Together they create overlapping accountability that makes exclusive inclusion structurally unlikely even if any single mechanism fails.

The connection to output-based functionality is direct and critical. Standing reform enables sanctioning by creating a mechanism for applying sanctions at a frequency consistent with documented violations. Duty of obedience reform enables monitoring by providing a specific standard against which monitoring can measure performance. Operational test reform addresses the adjustment mechanism by linking governance structure to institutional authorization (tax-exempt status), creating consequences for failure to maintain governance quality. The three reforms together target the four functional dimensions at which university governance currently fails: standing reform (sanctioning), duty of obedience reform (monitoring), operational test reform (adjustment), and indirectly all three enhance decision-making by making the board aware that decisions will be subject to review under clearly specified standards.

Chapter 13 applies the governance framework to a narrower institutional type whose outputs directly shape legal reasoning: knowledge-producing institutions, specifically the law reviews and research journals whose scholarship this book cites and courts rely on. The governance question is whether the institutions designed to produce reliable knowledge are themselves reliably governed.

Chapter 13: Knowledge Institutions and the Governance of Scholarship

Every knowledge-producing institution governs an epistemic function: it determines what claims are reliable enough to certify and what claims are not. Medical journals make that determination for clinical evidence. Patent offices make it for novelty. Financial rating agencies make it for credit risk. The governance quality of each institution determines the epistemic weight that downstream users, courts, regulators, investors, and physicians, can justifiably place on certified outputs. When governance fails, the failure does not stay inside the institution. It propagates outward through every system that relies on the certified claims.

Legal scholarship is the epistemic good this chapter examines, produced and certified primarily through the American law review system. Courts rely on that certification. The Supreme Court has treated law review scholarship as authoritative on how law operates in practice, from the Brandeis brief through the Warren Court's social science citations to the Roberts Court's empirical studies on capital punishment's deterrent effect and campaign finance's economic impact. When a proposition of law rests partly on a law review citation, the governance quality of the institution that certified the

scholarship is a legal question, not merely an academic one. Student-edited law reviews exhibit governance failures that the book's analytical framework explains and its seven-step method can diagnose and address. The governance void in legal knowledge production operates by the same mechanism as the governance failures examined in preceding chapters, produces predictable outputs, and is susceptible to the same structural analysis: what shared problem does the institution address, what accountability mechanisms exist, and what has law done to those mechanisms? Those questions explain why law review scholarship is systematically less reliable than its institutional prestige suggests, and why that gap matters for everyone who relies on scholarship to understand how law works.

Chapter 13. Knowledge Governance

Knowledge governance presents the book's most reflexive application. The institutions that produce and certify legal knowledge — law reviews, editorial boards, peer review processes — are themselves governance institutions subject to the same analytical framework this book develops. Applying the club-good analysis to legal scholarship's own production system reveals structural governance failures with downstream consequences for the legal system that relies on that scholarship.

The knowledge institution as a governance problem

Knowledge institutions produce epistemic goods: claims about how the world works, methods for evaluating those claims, and credentials certifying that particular claims have survived adequate scrutiny. Legal scholarship is an epistemic good. It tells courts, agencies, scholars, and legislators how law operates in practice, what effects legal rules produce, and what changes to legal rules would improve those effects. The legal system uses these outputs.

Knowledge institutions need governance because, like commercial networks and universities, they manage a shared problem — the production of reliable claims — under conditions where quality is difficult to observe directly. The shared problem that knowledge governance addresses is the production of reliable claims under conditions where the quality of those claims is difficult to observe directly. Governance is what makes a claim more than an assertion. Governance structures, peer review, citation standards, replication norms, data transparency requirements, determine whether knowledge claims carry the institutional warrant that makes them usable by parties who cannot independently evaluate them.

The club-good analysis applies directly: knowledge governance is excludable through editorial selection and nonrivalrous up to congestion. Knowledge governance is excludable: not every person who writes about law can publish in a top law review, and the credentials attached to publication in those venues signal that some screening process occurred. Knowledge governance is nonrivalrous up to congestion: one scholar's publication in a journal does not prevent another's, but if the screening process breaks down and the publication signal no longer carries information about quality, the credential loses its value for everyone. And knowledge governance quality depends on the selection and composition of the screening institution: a peer-reviewed journal with expert reviewers in the relevant field screens differently than a student-edited journal without methodological expertise, and the outputs carry correspondingly different epistemic weight.

Knowledge governance can produce benefits that are wide-ranging and diffuse. Courts that cite carefully screened scholarship are less likely to embed factual errors into precedent. Legislators and agencies that rely on high-quality empirical legal research are more likely to produce effective regulation. Law students trained on methodologically sound scholarship develop more accurate mental models of how law operates. The parties adversely affected by bad precedent, ineffective regulation, or miseducated lawyers are not participants in the editorial governance of the journals whose outputs they depend on. They cannot compensate journals for investing in quality screening. The club good may be undersupplied.

How law reviews are structured and why that matters for governance

The American law review is an unusual institution by the standards of academic publishing. Nearly every other scholarly discipline reviews manuscripts through expert editorial boards whose members have substantive expertise in the relevant field. Submitted manuscripts are evaluated by peer reviewers with the methodological knowledge to assess whether the methods support the claims. Rejection rates at leading journals are high, the process is slow, and the bottleneck is expert judgment.

Legal scholarship operates differently. The large majority of American law reviews are edited by students who are selected by academic performance and writing ability, not by methodological expertise in the fields the scholarship addresses. A law review editing a quantitative empirical article on the economic effects of a regulatory regime typically cannot verify whether the statistical methods support the causal claims. A law review editing a qualitative empirical article on how compliance officers interpret ambiguous regulatory requirements cannot evaluate whether the interview methodology distinguishes pattern claims from mechanism claims.

The mismatch is structural, not personal: the screening institution's capacities do not fit the epistemic demands of what it screens. Student editors can evaluate argument structure, citation accuracy, prose quality, and the logic of doctrinal claims. They cannot evaluate methodological soundness in empirical work that draws on social science methods they have not been trained in. The governance institution is mismatched to the epistemic challenge.

Recent meta-research confirms the predicted transparency deficit across top law journals. A 2024 study examining 300 quantitative empirical articles from highly ranked journals across 2018–2020

found data-availability statements in 19% of articles, with script availability at 6% and preregistration at only 3%. A comprehensive 2025 study examining every empirical article in the top twenty law journals from 2010 to 2022 found that only 15% had readily accessible datasets. The equivalent figure in economics and political science is 99%. Even journals with mandatory data availability policies showed poor enforcement: of 48 articles published under such policies, only 10 actually made data available. The infrastructure exists elsewhere. Law reviews have not adopted it.

A causal complication challenges the governance analysis. Matthews and Rantanen's 2025 examination of data availability in the Journal of Empirical Legal Studies, a peer-reviewed law journal, found that only six percent of articles made data available, a figure comparable to the worst student-edited journals and worse than the overall law review average. That finding does not refute the governance analysis; it refines it. If peer review were sufficient to solve the transparency problem, JELS would look like economics. It does not. The deeper cause is disciplinary culture: legal academic norms do not treat data availability as a condition of publication credibility, and that norm persists across editorial structure. Student editing compounds the problem by eliminating any screening infrastructure that could reward methodological transparency. Expert peer reviewers could, in principle, require transparency as a condition of acceptance, even if the discipline's prevailing culture does not demand it. Student editors cannot perform that function because they lack the methodological expertise to assess whether the claimed methods were actually performed or whether the underlying data would support the claims made. The two problems compound: a disciplinary culture that does not value transparency, governed by a

screening institution that cannot enforce it when authors choose to assert rather than demonstrate.

These figures concern quantitative work, where mature transparency standards exist. For qualitative and mixed methods empirical research, which lacks law-specific reporting standards altogether, the institutional baseline is weaker still. Authors make claims about how legal actors interpret rules, why institutions behave as they do, and what mechanisms produce observed outcomes. Yet the evidence rarely appears in reviewable form. Selection criteria go undisclosed. Analytic procedures remain implicit. Negative cases disappear.

The adverse selection problem and its governance explanation

When editors cannot evaluate methodological quality, they evaluate what they can observe: prose quality, topic salience, credentials, and fit with the journal's perceived identity. Under those conditions, methodological investment confers no competitive advantage in law review placement. An article with verified claims based on transparent methods looks identical to a student editor as an article with well-crafted prose dressing up methodologically weak conclusions.

Chapter 6 identified adverse selection as the predictable outcome when a club good's screening institution cannot distinguish quality from the appearance of quality. Law review governance exhibits the same mechanism. George Akerlof's analysis of markets for lemons identifies the predicted equilibrium. When quality is difficult to observe, high-quality producers migrate to markets that can

recognize their investment. Low-quality producers remain in markets where screening cannot detect weakness. Applied to legal scholarship: high-quality qualitative empirical researchers increasingly route their best work to peer-reviewed social science venues that can identify and reward methodological rigor. Law reviews receive a pool increasingly composed of work that could not survive rigorous methodological scrutiny. The pool skews toward methodological weakness over time, because the incentive to invest in rigor is systematically attenuated at the submission-screening stage.

The governance framework identifies this outcome as adverse selection, the predictable consequence of weak screening institutions. The problem is not that law review editors are careless or that legal scholars are methodologically unsophisticated. The problem is structural: the governance institution lacks the screening technology that would reward methodological investment, and without that technology, adverse selection is the predicted outcome regardless of individual intentions.

The downstream consequences for legal reasoning are direct. When courts cite law review scholarship for empirical claims about law in action, they are citing outputs produced by a governance institution that cannot distinguish rigorous inference from sophisticated assertion. The Macaulay model of legal scholarship, qualitative, empirical, and revealing the gap between law on the books and law in action, transformed contract theory precisely because it drew on interview data systematically gathered from a defined population of businesspeople and lawyers. That work would have satisfied any reasonable disclosure standard. Scholarship that looks like the Macaulay model but lacks the underlying evidentiary discipline produces misleading claims that courts cite with the same confidence they extend to the genuine article.

The governance analysis adds a dimension that conventional critiques of law review editing miss. Critics of student editing typically focus on student editors' inability to evaluate methodological strength, their tendency to favor formal complexity over substantive insight, or their bias toward established scholars and prestigious institutions. These are real problems. But they are not the governance problem this chapter identifies. The governance problem is epistemic: the screening institution cannot evaluate whether empirical claims are warranted, and the resulting adverse selection degrades the pool of scholarship on which courts and scholars depend. This is a collective action problem, not a problem of individual editor quality, and it requires institutional solutions.

Legal constraints compound the governance failure

A distinctive feature of legal scholarship creates a second governance problem that compounds the first. Much of the most important information about how law operates in practice is legally protected from disclosure. Attorney-client privilege shields confidential communications between lawyers and clients. Judicial sealing and protective orders preserve settlement confidentiality. Contractual confidentiality agreements and trade secret doctrine bind researchers to nondisclosure. Institutional review board restrictions impose confidentiality requirements on research involving human subjects.

Privilege encourages candid legal advice; sealing protects settlement finality; IRB restrictions protect research subjects from disclosure. Each serves a legitimate governance purpose. But they create a structural consequence for empirical research: the transparency that verification requires conflicts with the confidentiality that law requires. A scholar who studies how settlement operates must rely on

confidential sources that disclosure requirements would prohibit exposing. A scholar who studies how inside counsel advises on regulatory risk cannot disclose the privileged communications that document that advice.

The governance consequence is a different kind of selection problem than adverse selection. Where adverse selection skews the pool toward methodologically weak work, the legal constraint problem skews the pool toward easily observable phenomena. Scholars can study appellate decisions, published regulations, and public company filings without legal barriers. They face systematic barriers studying settlement dynamics, compliance behavior, and professional practice advice, precisely the phenomena that matter most to law in action. The result is a body of empirical legal scholarship systematically biased toward what the governance structure can accommodate rather than toward what the legal system needs to understand.

Applying the governance method to law reviews

The seven-step governance method produces a specific analysis of legal scholarship governance.

First, the shared problem: the legal system produces and uses knowledge claims about how law operates in practice. Courts, agencies, legislators, and scholars need reliable methods to distinguish well-warranted claims from sophisticated assertions. The accuracy of legal reasoning about empirical matters depends on the quality of the screening processes that certify knowledge claims as warranted.

Second, the governance institution: the law review editorial board, which selects manuscripts for publication and thereby confers the institutional signal that legal scholarship carries. For most

law reviews, this institution is composed of second- and third-year law students. The output-based functionality criteria Chapter 8 specifies produce a stark diagnostic. Monitoring is functioning when it generates conduct-governing information — but law review editorial boards do not peer-review empirical methodology, so they generate no information about whether the empirical claims in submitted manuscripts are warranted by the evidence. Decision-making is functioning when institutional decisions govern actual member behavior — but editorial acceptance decisions do not govern authors' methodological practices, because the screening process cannot distinguish rigorous from non-rigorous work. Sanctioning is functioning when sanctions are applied to actual violations at a frequency consistent with the observable violation rate — but law reviews have no mechanism for post-publication correction, retraction, or sanction for methodological failure; the low disclosure rates documented above suggest a violation rate far exceeding any sanctioning frequency. Adjustment is functioning when rules change in response to documented changed circumstances — and the law review system has not meaningfully reformed its screening processes despite decades of documented critique. Law review governance fails all four functional tests for empirical scholarship. The framework's protective implications — that legal rules enabling governance are justified because governance generates positive externalities — do not apply to an institution that fails Step 2 entirely. This is actually a strong result for the chapter's argument: the governance framework correctly identifies law reviews as governance-deficient, which means the framework's prescriptive force points toward structural reform rather than toward preservation of the existing editorial architecture.

Third, the legal conditions under which that governance exists: law reviews are governed by the law schools that house them as student organizations, and are subject to the law school's institutional constraints but not to any external accreditation for methodological standards. No licensing body, accrediting organization, or regulatory framework requires law reviews to implement disclosure standards for empirical claims. Law reviews are also subject to the legal constraints discussed above: the doctrines that create opacity in the subject matter of scholarship limit the transparency that verification requires.

Fourth, the member benefits: publication credit, citation counts, reputational benefits, and the career advancement attached to placement in highly ranked journals.

Fifth, the spillovers, traced to governance dimensions: if monitoring were functioning, it would produce the epistemic reliability on which every downstream user depends — courts citing scholarship for empirical claims, agencies incorporating scholarly evidence into regulatory records, and students building mental models of how law operates. If sanctioning were functioning, it would produce the deterrence against methodological carelessness on which the credibility of legal scholarship as a genre depends. If decision-making were functioning, it would produce the selection output that distinguishes warranted claims from unwarranted ones, the signal that makes law review placement informative. Because all three governance dimensions have failed, the spillovers are degraded at each dimension simultaneously: downstream users receive unreliable signals about empirical claims, face no institutional assurance that methodological failures will be caught, and cannot distinguish genuine from spurious scholarship by publication venue alone. The informational demands of the governance evaluation are different

from other governance domains: the subject matter of legal scholarship governance is itself epistemic, which means Steps 4 and 5 can draw on meta-research about transparency rates, replication outcomes, and citation patterns that is available without the adversarial limitations that constrain other governance domains. The low disclosure rates and accessible-dataset rates documented above are the kind of quantitative spillover evidence that Steps 4 and 5 demand — and they are available because the governance failure in knowledge institutions is itself empirically documented by the kind of research the governance framework calls for.

Sixth, how law affects the governance institution: existing law creates the legal constraints on transparency that compound the governance failure without providing any compensating requirement that law reviews implement adequate disclosure standards. There is no legal requirement for data availability, methodological disclosure, or screening protocols for empirical claims. The governance institution is left to develop voluntary practices in the absence of any external accountability mechanism, and the adverse selection dynamic predicts that voluntary practices will be insufficient.

Seventh, evaluation: the governance framework identifies the law review editorial structure as a club good operating without adequate membership criteria for the epistemic function it performs. The screening institution cannot evaluate the claims it certifies. The institutional signal it confers therefore carries less information than it appears to carry. Users who rely on that signal, particularly courts and agencies that cannot independently evaluate methodology, make decisions based on epistemic credentials that do not reliably reflect epistemic quality.

The QELS governance framework as structural repair

The governance framework for qualitative empirical legal scholarship proposed in the author's companion work, *Qualitative Empirical Legal Scholarship*, offers three linked institutional tools that function as governance for the knowledge club. These tools address the governance failures that the seven-step analysis has identified.

The first tool is a claim typology. Pattern claims assert that a phenomenon is frequent, typical, or distributed in a particular way across a defined population. Mechanism claims assert that a causal process produces an observed outcome. Interpretive claims assert that a text, practice, or institution carries a particular meaning within a social context. Each claim type has distinct inferential risks and requires distinct evidentiary warrant. A pattern claim requires a defined population, a disclosed selection procedure, and a search for negative cases. A mechanism claim requires, in addition, evidence of the causal process rather than mere correlation. An interpretive claim requires documentation of the interpretive community whose conventions give the meaning its authority.

The typology provides editorial infrastructure for claim-evidence fit evaluation. A student editor who cannot evaluate statistical methods can ask: is this a pattern claim? Has the author defined the population? Disclosed the selection procedure? Reported negative cases? These are answerable questions that the typology makes legible without requiring methodological expertise.

The second tool is the standardized methodological abstract, a structured disclosure document requiring authors to provide seven key elements: claim classification, population definition, selection procedure, disconfirmation criteria, negative case analysis, validation measures, and legal constraints. The standardized abstract func-

tions as the excludability mechanism for the knowledge club. Authors who conducted rigorous research can complete it. Authors who did not cannot fabricate the underlying materials the abstract would require them to disclose. The asymmetry is what makes the tool work: disclosure requirements are easier to satisfy for authors who did the work, and harder to satisfy for authors who dressed up thin methodology in sophisticated prose.

The third tool is the best available evidence doctrine, which provides a narrow accommodation for research constrained by legal barriers to transparency. When law itself prevents the full disclosure that verification requires, a researcher should not be excluded from publishing empirical scholarship about legally important but confidential phenomena. The doctrine permits constrained research when the legal barriers are precisely identified by specific legal citation, the claims are appropriately narrowed to match what the constrained evidence can support, and compensatory rigor is provided through additional validation measures. The doctrine addresses the topic-selection bias that strict transparency requirements would produce, without eliminating the credibility discipline that disclosure requirements provide.

The governance analysis shows why voluntary adoption is insufficient. Voluntary standards work when producers can capture the reputational benefits of compliance. In the legal scholarship context, the benefits of methodological compliance flow primarily to users who cannot independently evaluate methodology, not to authors who invest in rigor. The adverse selection dynamic predicts that voluntary rigor generates modest reputational benefits while imposing real costs, and the predicted equilibrium is underinvestment in methodological quality. Institutional infrastructure that changes the screening technology, by making rigor visible to editors

who otherwise cannot evaluate it, changes the equilibrium by making methodological investment identifiable and rewardable.

Why governance failures in knowledge institutions matter to law

The connection between scholarship governance and legal outcomes is not speculative. Several documented patterns show the downstream consequences of weak epistemic governance.

Courts have embedded empirically contested claims into constitutional doctrine because the law review scholarship those courts cited did not survive methodological scrutiny. The empirical record on whether capital punishment deters crime has been cited in both directions by justices reasoning about the constitutionality of the death penalty, yet the quality of the underlying empirical work has varied enormously and was largely invisible to the judicial opinions that cited it.[351] The empirical record on the effects of gun regulations, campaign finance rules, and racial disparities in criminal sentencing has generated legal doctrine that turns in part on what courts believe the evidence shows.[352] That belief is structured by what scholarship says, and what scholarship says is structured by what governance institutions certify.

Regulatory agencies face the same dependence. The administrative law standard for arbitrary and capricious review[353] requires agencies to engage with significant empirical evidence in the record. When advocacy organizations submit law review scholarship as evidence in rulemaking proceedings, the quality of that scholarship affects the quality of agency reasoning. An agency that relies on meth-

odologically weak scholarship in support of a regulatory determination may face arbitrary and capricious challenges precisely because the underlying scholarship could not survive verification.

These downstream consequences illustrate a critical dimension of how governance failures propagate. When courts and agencies cite scholarship for empirical claims about law in action — whether capital punishment deters criminal conduct, whether particular gun regulations reduce homicide, whether campaign finance restrictions affect electoral competition, whether sentencing disparity tracks protected characteristics — those citations embed institutional certification into legal doctrine. The governance institution that certified the scholarship (the student-edited law review) did not possess the methodological expertise to verify the claims. Courts, which also lack methodological expertise in social science, rely on the institutional signal the law review confers. The result is doctrine that turns on empirical propositions that no participant in the doctrinal development chain was positioned to verify rigorously. This is governance failure cascading into legal failure: the output of a knowledge institution whose screening cannot evaluate what it certifies becomes the basis for rules affecting the behavior of millions of people.

The doctrinal implication of the governance analysis is that legal actors who rely on scholarship for empirical claims should ask the governance question: what screening process produced this claim, and what does that process tell me about the reliability of the warrant? A law review article by a credentialed scholar citing other law review articles is not self-certifying. The governance institution that certified each link in that chain may have lacked the capacity to evaluate the methodology.

Courts have implicitly recognized this problem in different ways. The Daubert standard for expert testimony requires federal

courts to evaluate whether scientific evidence is based on sufficient facts or data, is the product of reliable principles and methods, and applies those methods reliably to the facts of the case. The Daubert inquiry is a governance question: did the knowledge-production process satisfy the quality criteria that make the output reliable? The same question, applied to academic scholarship rather than forensic expert testimony, is what the governance framework for legal scholarship asks.

The self-referential problem and the governance defense

The chapter's strongest test is reflexive: does the governance framework apply to the scholarship institutions it analyzes? This book relies heavily on law review scholarship: Bernstein's empirical work on the diamond trade, Mahoney's historical analysis of exchange governance, Ostrom's institutional framework, Akerlof's adverse selection model, and dozens of other sources certified and published by the very editorial process this chapter argues is deficient. If the governance framework correctly diagnoses law review screening as incapable of evaluating methodological rigor, the question arises: should readers trust the scholarship this book cites, and should law review readers and courts trust this book's assertions about governance?

The honest answer requires distinguishing what the governance framework claims from what it does not claim. The governance framework does not validate prior sources or grant them a retroactive governance seal of approval. The framework provides a method for evaluating the reliability of the institutions that certified them.

For each source this book relies on, a reader could ask: what screening process produced this claim, and does that process tell me anything about its reliability? The evaluation must be source-by-source, not institution-wide.

For empirical claims, the transparency indicators this chapter identifies — disclosed populations, reported selection procedures, accessible data, identified analytic procedures — provide a partial signal even without formal methodological review. Scholarship produced by the Macaulay method (disclosed sampling, transparent selection, negative case reporting) carries more epistemic weight than scholarship that makes empirical claims without methodology. Scholarship published in a venue with mandatory data availability and functional enforcement of that mandate carries more epistemic weight than scholarship in a venue with voluntary norms and no enforcement structure. The reader can evaluate each claim on these governance dimensions without accepting the chapter's claim that law reviews as a class are governance-deficient.

The governance analysis applies to this book's own claims with equal force. This manuscript makes arguments about governance that rest partly on empirical premises: the claim that law review disclosure rates are low, that the NYSE's post-Silver governance capacity declined, that universities without independent monitoring of their Title IX processes failed to catch abuse. These empirical claims rest on published sources, administrative records, empirical research, and historical analysis that a skeptical reader should evaluate on the governance criteria the book sets forth. The framework does not provide a defense against that scrutiny. It provides a method for conducting it.

At bottom, the governance analysis is not a claim about the intrinsic virtue of this book or its citations. It is a structural analysis of

institutions. The law review system has governance failures documented by this chapter's citations, and those failures mean that law review publication does not carry the guarantee of methodological rigor that it appears to carry. That recognition does not condemn every law review article or validate every peer-reviewed article in another discipline. It identifies a systematic institutional weakness. Readers who understand that weakness can adjust their confidence calibration accordingly when they encounter a law review citation to empirical claims.

The governance framework's structural defense against the reflexive objection is this: the governance analysis is presented as a structural diagnosis, not as a personal claim about this book's intellectual virtues. The framework applies to law reviews as one institutional domain among several, including the peer-reviewed social science journals where this book's governance analysis also relies on sources. The critique is structural: it identifies how the law review's institutional architecture produces predictable governance failures, affecting which kinds of claims are certifiable and which must be taken on faith. The appropriate response is not to reject all scholarship produced by imperfect institutions but to evaluate the specific institutions that certified each piece of work by the governance criteria this chapter and earlier chapters have specified. The law review's governance failures are real; acknowledging them is the beginning of institutional reform, not a reason to dismiss the entire body of legal scholarship the institution has produced.

Portability of the governance analysis

The book's framework turns on itself here, and turns productively. Each chapter has applied the governance method to an institutional

domain: commercial networks, contract remedies, corporate governance, universities and nonprofits. This chapter applies the method to the institution that produces legal scholarship, including the scholarship on which this book relies. The reflexive application of the governance method to scholarship-producing institutions is the framework's fullest demonstration of its generality: if the method can identify governance failures in any institutional domain, it applies equally to the domain that produces the scholarship on which the framework relies.

If governance analysis identifies the conditions under which institutions can be reliably trusted to manage shared problems, then governance analysis of scholarship-producing institutions identifies the conditions under which their outputs can be reliably trusted. Scholarship produced under institutional conditions with adequate screening, transparent methods, and accountability for claim-evidence fit carries a different epistemic warrant than scholarship produced under conditions where those governance features are absent.

The method does not yield a simple conclusion that student-edited law reviews should be abolished. The American law review has distinctive features, including the training it provides students, the breadth of doctrinal coverage it enables, and the responsiveness to legal development that annual editorial cycles facilitate, that alternative institutional forms may not replicate. The governance analysis asks a narrower question: what structural changes would improve the epistemic reliability of scholarship this institution certifies? The standardized methodological abstract and the audit rubric are governance tools for a specific institutional context, not a blueprint for general peer review. They are designed to function within the law review's existing editorial structure while improving its claim-screening capacity.

Chapter 14 maps the framework's limits, gaps, and research horizons across six dimensions, ranging from the risk that governance language masks private power to the relationship between governance exclusion and the history of systematic discrimination. Each limit marks a place where the framework's current specification reaches its edges and where serious scholarship can extend the analysis.

Chapter 14: Limits, Gaps, and Research Horizons

A framework that applies across institutional domains reveals different problems in each. The governance framework developed in this book, precisely because it engages antitrust law, civil rights law, constitutional theory, political philosophy, and legal methodology, encounters phenomena at each crossing that it does not fully resolve. Naming those limits honestly is part of the framework's contribution. A framework that cannot identify its edges cannot guide research into what lies beyond them.

Six limits, gaps, and open questions structure this chapter. The first four are substantive: the risk that governance language masks private power, the problem of coercion within governance institutions, the intersection of governance benefits with antitrust concerns, and the relationship between governance autonomy and anti-discrimination and rights claims. The fifth is methodological: the framework's current level of generality leaves determinacy gaps that specific doctrinal applications will need to fill. The sixth is normative and historical: the relationship between the framework's analytical treatment of exclusion and the history of systematic discrimination that exclusionary arrangements have produced.

Each of these limits is also a research horizon. The framework's current specification does not resolve them, and that is not a deficiency. It is the ordinary condition of a framework at the beginning of its development. The analysis that follows refines the framework by specifying what it does and does not claim, and in doing so identifies where serious scholarship can extend the analysis.

A foundational scope question should be addressed before the substantive limits: why does this book analyze governance produced by groups rather than governance produced by markets, algorithms, platforms, or state bureaucracies? The limitation is structural rather than arbitrary. The framework's analytical tools — excludability, shared use, congestion dynamics, the member-benefit/spillover distinction — depend on the club-good structure that group governance institutions exhibit. Market governance lacks the excludability on which the club-good framework's analytical power depends: prices are public goods, and market discipline operates through exit rather than through the internal sanctioning mechanisms the framework analyzes.[354] Algorithmic governance lacks membership in the relevant sense: users of an algorithm do not jointly produce governance outputs through collective decision-making, monitoring, and sanctioning, and the four-element test of Chapter 1 does not apply to automated systems that adjust parameters without member participation.[355] State governance lacks voluntary exit, the defining feature that gives club-good analysis its disciplinary force — citizens cannot withdraw from state authority in the way that members of a voluntary governance institution can leave, which means the market competition among governance institutions that Tiebout identified as the mechanism driving club-good efficiency does not operate.[356] Extending the framework to institutions that

lack club-good structure would dilute its precision without increasing its explanatory reach. The framework's analytical power is a function of its scope limitation, not a concession in spite of it. Future work may adapt the framework for hybrid institutions — platforms that combine club-good features with public-good features, or decentralized organizations that combine algorithmic governance with member-driven decision-making — but that adaptation requires its own theoretical development and should not be accomplished by stretching a framework beyond the institutional structures it was built to analyze.

Chapter 14. Framework Limits

Every analytical framework has limits, and stating them precisely is part of the framework's value. Six challenges deserve direct engagement, each identifying a boundary condition where the governance analysis either requires qualification or encounters a competing legal value that may properly override governance considerations. Addressing these limits strengthens rather than undermines the framework, because a method that claims to resolve every conflict is less useful than one that specifies where its analytical leverage is greatest and where other considerations must enter the analysis.

Governance Language and the Risk of Capture

The most direct challenge to this book's analysis is not that it is wrong but that it is dangerous. Governance language is not merely descriptive. It is normatively loaded. Calling an arrangement a "governance institution" imports a legitimacy claim: governance is how groups manage shared problems, and institutions that manage shared problems deserve the legal protections that enable them to do so. The risk is that private actors will invoke governance language to shield arrangements that are, beneath the legitimating terminology, exercises of private power with no genuine governance function.

The concern is legitimate. The history of private ordering includes examples in which governance claims concealed anticompetitive conduct, discriminatory practices, and simple rent-seeking by organized factions. Trade associations described as governance institutions for their industries have functioned as price-fixing cartels.[357] Professional licensing bodies described as governance institutions for their professions have functioned as barriers to entry

protecting incumbents.[358] The language of governance, including this book's language of governance, is available to any private actor seeking legal cover.

The most pressing version involves strategic deployment. *Roberts v. United States Jaycees* illustrates it precisely:[359] if governance cost analysis becomes a required element of civil rights adjudication, discriminatory institutions gain a procedural tool for delaying compliance. Every institution facing a civil rights challenge would invoke the governance framework to demand that courts evaluate the governance costs of the remedy before ordering compliance, converting the governance evaluation into a litigation weapon against enforcement. The framework must state its boundary clearly: governance analysis does not create an affirmative defense in civil rights litigation. Courts applying anti-discrimination law should not be required to conduct a full governance evaluation before ordering compliance with Title VII, Title VI, or constitutional equal protection requirements. The framework's appropriate role in the civil rights context is as a legislative and regulatory design tool — informing how remedies can be structured to achieve civil rights objectives while minimizing unnecessary governance destruction — not as a litigation-stage defense that governance institutions invoke to resist enforcement. Legal actors at the remedial stage, after a violation has been established, can use governance analysis to ask whether specific remedies are calibrated to correct the identified violation without destroying institutions performing valuable functions. But that question comes after the determination that a violation occurred, not before compliance is required.

Governance laundering is how capture operates in practice. An entity can adopt formal governance trappings — a stated mission, a membership structure, bylaws, a dispute resolution procedure —

and then invoke those trappings to claim the property-rule protection the framework provides for genuine governance exclusion. The framework's answer to governance laundering is the output-based functionality criteria Chapter 8 specifies and the evidentiary burden-shifting those criteria establish. An institution claiming governance protection bears the burden of demonstrating that its governance elements are functional in the output-based sense: that its monitoring generates conduct-governing information actually used in sanctions, rules, or behavior; that its sanctioning is applied at a frequency consistent with its observable violation rate; that its decision-making governs actual member conduct; and that its rules have changed in response to documented changed circumstances. These output-based criteria are harder to fabricate than structural criteria, because outputs require actual institutional activity — real arbitration proceedings with discoverable records, real sanction decisions with documented grounds, real rule changes with identifiable triggering conditions — that sophisticated entities cannot generate cosmetically without engaging in the substantive governance the criteria require. The criteria are imperfect: a sufficiently determined entity can generate cosmetic outputs alongside cosmetic structures. But the evidentiary bar is substantially higher than the structural test alone, and the burden of production falls on the institution claiming protection rather than on the party challenging it.

The framework's actual claim differs from what this concern assumes. The framework defines governance operationally, as the organized system by which a group manages a shared problem over time, and asks whether any given arrangement satisfies that definition. Legitimacy is a separate question. The framework then asks whether the legal protections available to the arrangement are calibrated to the governance function actually performed.

The critical question is what work the governance analysis does. The seven-step method begins by identifying the shared problem and asking whether the institution addresses it. Chapter 9's analysis of diamond dealer networks identifies the shared problem as contract enforcement reliability in a context where formal legal mechanisms are too slow and costly to support high-volume oral transactions. The governance institution's sanctioning mechanism, credible threat of worldwide ostracism, addresses that problem by making defection costly at scale. A trade association that calls itself a governance institution but whose primary activity is fixing prices at above-market levels fails the first step: it does not address a shared governance problem. It exploits one. The governance framework identifies that failure rather than hiding it.

More precisely: governance arrangements can pursue member benefits while also generating spillovers, or they can pursue member benefits through coordination that harms outsiders. The diamond bourse generates supply chain integrity that flows to buyers, retailers, and consumers outside the bourse.[360] A price-fixing cartel extracts surplus from outside buyers without generating offsetting externalities. The framework distinguishes these cases by asking whether the institution's outputs, at Steps 4 and 5, include genuine benefits to non-members or only the capture of benefits at non-members' expense.

The response does not eliminate the concern. An institution can pursue genuine governance purposes while also suppressing competition or discriminating against outsiders. A professional bar association can set genuine competency standards while also using those standards to exclude qualified practitioners from minority groups. The governance analysis identifies the governance function; it does not certify that every governance institution's practices are

benign. The next three sections address the specific legal regimes that constrain governance institutions even when their governance function is real.

Coercion Within Governance: A Structural Limit

Governance institutions can be coercive. The ostracism mechanism that makes the diamond bourse effective also gives bourse leaders power to harm individual members through procedures that may be biased, corrupt, or captured by factions with private interests in a particular outcome. The private governance arrangements this book analyzes as alternatives to court-centered dispute resolution impose sanctions, restrict economic activity, and make determinations of fact and liability without the due process protections that public law enforcement provides.

The concern that animated Herbert Wechsler's neutral principles argument about constitutional adjudication has a counterpart in private law: governance by private institutions operating beyond judicial scrutiny is governance without the rule of law. Mandatory arbitration arrangements that require employees to waive class arbitration rights, private property owner associations that impose assessments without meaningful democratic accountability, and professional organizations that expel members without due process are all invoking governance language to shield exercises of private power that courts should not hesitate to police.

The concern is well-founded and is not fully answered by pointing to the governance function such arrangements perform. The response has two components.

First, the governance framework already builds discipline into its analysis. Chapter 7's account of governance-enabling law and

governance-degrading law includes a category of law that properly disciplines governance rather than destroying it. Judicial review of private arbitration awards for fundamental procedural unfairness does not destroy governance; it enforces the membership criteria on which governance quality depends. A governance institution whose sanctions process is captured by factions pursuing private interests has failed the fourth element of the governance definition: adjustment. Governance that cannot self-correct when its processes are corrupted is not performing the governance function. Judicial intervention to restore procedural integrity to a captured governance process is governance discipline, not governance destruction.

The deeper point is that the coercion concern identifies a real limit on the framework's prescriptive ambitions. The governance framework does not counsel deference to private governance institutions regardless of what they do to members. It counsels asking whether legal intervention improves governance or degrades it. Intervention that restores due process to a captured arbitration mechanism improves governance. Intervention that destroys the sanctioning mechanism altogether destroys the governance function along with the abuse. The framework's prescriptive claim is about calibration: law should target the governance failure specifically rather than using the failure as grounds to eliminate the governance institution entirely.

The diamond bourse case illustrates the calibration. The bourse's sanctioning mechanism is subject to manipulation: a faction that controls the bourse's arbitration processes can use ostracism for private advantage rather than trade integrity enforcement. Legal oversight that reviews bourse arbitration awards for basic procedural adequacy, without requiring bourse arbitration to repli-

cate full civil procedure, calibrates judicial intervention to the governance failure without eliminating the governance function. The framework predicts that this is the right approach. It predicts, equally, that an antitrust challenge that simply declares the bourse's exclusionary practices unlawful destroys governance while correcting an identified abuse.

The Antitrust Interface

The antitrust interface is the most doctrinally specific challenge the framework addresses. Governance institutions that manage shared problems through exclusion and sanctioning create exactly the conditions that antitrust law is designed to police. An agreement among competitors to enforce shared rules, however described, is a horizontal agreement subject to per se condemnation or rule-of-reason analysis under Sherman Act section 1. The governance language this book deploys does not change the economic analysis. If the arrangement restricts competition, the antitrust framework applies.

The challenge has two versions. The strong version holds that governance benefits can never justify antitrust concern: the per se rule covers most genuine governance coordination because most governance coordination among competitors involves horizontal price-setting, market allocation, or output restriction. The weak version holds that governance benefits do not automatically justify antitrust immunity: the institutions this book discusses should be analyzed under the rule of reason, and some will survive and some will fail that analysis.

The strong version is descriptively incorrect about how antitrust law actually operates. The Supreme Court has consistently recognized that the Sherman Act's condemnation of every combination

in restraint of trade does not reach every governance arrangement, because some arrangements are ancillary to productive cooperation rather than substitutes for competition. The rule of reason is precisely the doctrinal space in which governance benefits enter the antitrust analysis. NCAA v. Board of Regents recognized that college athletics requires horizontal agreement on rules that restrict member conduct, and while the Court found the specific output restriction at issue unjustified, it did not condemn the governance framework. Broadcast Music, Inc. v. CBS recognized that blanket licensing arrangements enabling rights management would be condemned as naked price-fixing without recognizing that they produce what the Court characterized as "to some extent, a different product" that competition without coordination could not have supplied.

The weak version is correct. Governance institutions that perform genuine governance functions should receive rule-of-reason treatment, not per se condemnation, because per se condemnation does not account for the governance benefits the institution produces. But receiving rule-of-reason treatment does not mean receiving automatic immunity. The framework requires the full method at Step 6: asking how antitrust law affects the governance institution, and whether applying antitrust liability at this margin destroys the governance function, disciplines a specific governance failure, or eliminates an arrangement whose governance benefits do not justify the competitive harm.

The Silver v. New York Stock Exchange analysis in Chapter 9 illustrates this directly. The Court held that antitrust liability attached to the NYSE's refusal to maintain wire connections with a broker it had decided to exclude, because the exchange had not fol-

lowed its own procedural rules. The holding did not destroy exchange governance. It enforced the membership criteria, procedural fairness, on which governance quality depends. The 1975 Amendments then substituted SEC oversight for antitrust liability as the accountability mechanism, which Chapter 10 analyzes as governance restoration. Antitrust doctrine does not contradict the framework; it is explained by it.

One frontier deserves identification even though this book does not resolve it. Decentralized autonomous organizations, gig-economy platforms, and other hybrid institutions that combine algorithmic coordination with member-driven governance raise antitrust questions that existing doctrine does not squarely address. Market concentration measured by conventional indices (the Herfindahl-Hirschman Index) may coexist with genuine governance decentralization measured by governance-specific metrics such as the Nakamoto coefficient (the minimum number of entities that must collude to control a protocol) or Gini coefficients applied to token-voting distributions. A companion paper develops a dual-metric enforcement framework for these institutions, proposing that antitrust analysis of decentralized governance requires measuring both market power and governance power and that the two can diverge in ways that produce distinct competitive harms.[361] Extending this book's club-good framework to institutions that blend algorithmic and member-driven governance is a task for future work, but the antitrust interface described in this section supplies the analytical foundation: the question remains whether a given institution's coordination serves a genuine governance function or masks competitive harm, with the additional complication that decentralized governance structures can exhibit both simultaneously.

Rights, Anti-Discrimination Law, and Governance Analysis

Anti-discrimination law and constitutional rights create constraints on private governance that the framework must respect and cannot override. Title VII of the Civil Rights Act prohibits employment discrimination on the basis of protected characteristics. Title VI prohibits discrimination in federally funded programs. Anti-discrimination law applies to private governance institutions that qualify as employers, program recipients, or public accommodations, without regard to the governance functions those institutions perform.

Constitutional and common-law rights impose independent constraints on governance institutions. Individual rights, including free expression, due process, equal protection, and the various associational rights recognized under constitutional and common law, create claims that governance institutions cannot simply override. The framework's insistence that governance institutions need the authority to exclude and sanction members does not settle whether any particular exclusion or sanction violates a right. The governance function is relevant but not determinative.

The answer is direct: the framework treats governance as one input alongside rights, efficiency, and legitimacy. Chapter 2 defines what governance is. Chapter 4 explains what legal conditions enable governance to exist. Chapter 7 explains how law can enable or degrade governance. The framework identifies governance as a legal object and develops a method for analyzing law's effect on governance. It is structured to work within, not against, anti-discrimination law, rights claims, and constitutional requirements.

The practical question is what the framework adds to rights analysis, not whether it replaces rights analysis. Anti-discrimination

law asks whether a protected characteristic is the basis for an adverse action. Rights analysis asks whether a constitutional interest was infringed and whether adequate justification exists. The governance framework asks, in addition, what the adverse action does to the governance institution whose authority was exercised.

These three questions are complementary, not competing. A governance institution's exclusion of a member on the basis of a protected characteristic violates anti-discrimination law regardless of what governance function the institution performs. What the governance analysis adds is the recognition that legal remedies for anti-discrimination violations should be calibrated, where possible, to avoid destroying governance institutions that perform valuable functions while achieving the anti-discrimination objective. A targeted remedy that compels reinstatement of the wrongfully excluded member is different from a systemic remedy that eliminates the governance institution's authority to exclude any member under any circumstances. The first addresses the anti-discrimination violation. The second destroys governance while correcting the violation.

The Chapter 12 exclusive inclusion analysis provides a useful illustration. The three structural reforms proposed there, stakeholder standing, mission specificity, and operational test reform, do not override institutional autonomy. They create accountability mechanisms that enable institutions to be held to their own stated commitments without dismantling the governance structures through which those commitments are meant to be pursued. The reforms are procedural. They do not substitute judicial or regulatory judgment for institutional judgment. They create the conditions under which the institution's own governance can function as its stated values require.

The Determinacy Gap

Among the limits worth noting is the challenge of indeterminacy. A framework that produces different prescriptions depending on how the shared problem is characterized, which institution is identified as the governance institution, and how member benefits and spillovers are measured cannot provide fully determinate legal guidance. Lawyers and judges need rules that produce predictable outcomes across the range of cases the legal system must resolve. A framework that produces different answers depending on framing does not improve on the common law's traditional approach of reasoning from principle to case; it adds complexity without adding determinacy.

The concern reflects a genuine feature of legal scholarship that proposes frameworks for resolving contested cases. Frameworks that depend on the characterization of inputs are susceptible to strategic manipulation: parties will characterize their arrangements as governance institutions, their exclusionary practices as sanctioning mechanisms, and their private interests as shared problem management in whatever way the framework would support their preferred outcome. If the framework cannot constrain those characterizations, it cannot guide legal decision-making.

Two responses are available.

The first is that indeterminacy is comparative. The alternative to the governance framework is not a fully determinate doctrinal analysis that produces single right answers. The alternative is doctrinal analysis without governance vocabulary, which produces different outcomes depending on which doctrinal category the case is assigned to, with no principled method for choosing among categories. Whether the diamond bourse's exclusionary practices are analyzed as an antitrust violation, an exercise of property rights, a pri-

vate contractual arrangement, or an expression of associational autonomy produces very different legal outcomes, and current doctrine provides no principled basis for choosing among those characterizations. The governance framework does not eliminate characterization problems, but it directs attention to a consistent set of questions: what is the shared problem, what institution addresses it, what does the legal intervention do to that institution. These questions do not guarantee determinate answers, but they direct characterization toward the institutionally relevant issues.

The second is that the framework's indeterminacy is concentrated at the margins, not at the core. The cases where governance analysis produces determinate answers are a substantial portion of the domain the framework addresses: the diamond bourse's sanctioning mechanism is clearly governance; Kodak's refusal to supply parts to competitors is clearly not; the NYSE's enforcement of its own procedural rules is clearly governance-enabling; per se antitrust liability for horizontal governance coordination is clearly governance-degrading. The hard cases exist, but they are hard cases for every framework. The governance framework is not more indeterminate than the alternatives; it is more explicit about what it is asking and why.

Exclusion, History, and Analytical Responsibility

The sixth limit addresses the normative orientation of the theory. By treating exclusion as an institutional feature that governance quality depends on, the framework provides analytical support for institutional arrangements that have historically been used to exclude women, racial minorities, and members of marginalized groups from economic and professional life. The diamond bourse

was not always an open trading institution. Bar associations, real estate boards, and medical licensing bodies operated exclusionary governance arrangements for much of American history in ways that reinforced racial, gender, and class stratification. Treating excludability as a constitutive governance feature imports a historical legacy that scholars who care about justice should scrutinize, not launder through value-neutral institutional analysis.

The concern carries the most political and historical force of the six, and it is not answered by noting that the framework distinguishes legitimate governance exclusion from anti-discrimination violations. The concern is not that the framework authorizes current anti-discrimination violations. The concern is that the framework's analytical sympathy for exclusion provides cover for arrangements whose exclusionary histories should make them presumptively suspect, and that treating governance exclusion as institutionally functional normalizes a practice whose costs have fallen systematically on particular groups.

The response requires honesty about what the framework does and does not claim.

The framework treats exclusion as a mechanism requiring justification. It identifies excludability as a structural feature of club goods, and recognizes that the quality of certain governance institutions depends on the institution's ability to screen membership. These are descriptive structural claims that inform, but do not determine, normative conclusions. The analysis of why diamond bourse governance quality depends on the ostracism mechanism is a claim about causal structure, not a claim that the diamond bourse's past or present membership practices are just.

But the response cannot stop there. Structural claims about club goods have normative uses. The observation that governance quality depends on excludability is available to parties who want to maintain exclusionary arrangements and to parties who want to reform them while preserving governance function. The framework's prescriptive ambitions, its claim that law should be evaluated by what it does to governance, are not neutral between those uses. A prescriptive framework that counsels against legal intervention that degrades governance provides stronger support for governance-quality arguments against reforms than for reform arguments against exclusionary arrangements.

The honest response acknowledges this asymmetry while identifying its limits. First, the framework explicitly does not recommend legal deference to governance institutions as a general matter. It recommends calibrated legal intervention: legal rules should target specific governance failures rather than destroying governance institutions while correcting identified problems. The recommendation applies to legal intervention on any side of governance disputes, including intervention that addresses exclusionary governance practices. Second, the framework's analysis of governance degradation mechanisms is useful for reformers. Understanding how law can disable governance institutions by eliminating their sanctioning capacity or mandating open membership is analytically useful for identifying which governance reforms will achieve their goals and which will produce the compliance-substitution pattern that defeated thirty years of shareholder rights reforms and the 2025 university settlements. Third, and most fundamentally: the framework does not conclude that every governance institution deserves the legal protections that enable it to perform its functions. It concludes that legal analysis should ask what a legal intervention does

to governance before applying it. That question is available to lawyers who seek to discipline exclusive governance arrangements, not only to lawyers who seek to protect them.

Two Additional Framework Constraints

Two additional limits deserve statement before the chapter concludes, both identified by the formal analysis in Appendix C.

The complementarity requirement. The framework's proposals are jointly necessary and cannot be safely adopted in isolation. Property-rule protection of the exclusion mechanism (the first proposal) without targeted remedies for identified governance failures (the fourth proposal) creates blanket immunity: a governance institution with property-rule protection and no mechanism for challenging specific governance abuses has unchecked authority to exclude without accountability. Targeted remedies without property-rule protection leave governance institutions exposed to the Mechanism 1 conversion that *Silver* illustrates. The enabling obligation without the governance laundering safeguards invites entities to adopt governance trappings for litigation advantage. The complementarity is not merely a theoretical concern; it is a practical constraint on legislative and regulatory adoption of the framework. Partial adoption, adopting one element without the others, produces worse outcomes than the status quo because it provides the benefits of the framework (governance protection, enabling mechanisms) without the constraints (accountability, targeted remedies, burden-shifting). Legislatures and courts implementing the framework must adopt its components as a system, not as a menu from which individual items can be selected for convenience.

The informational asymmetry and the disclosure complement. Governance quality is private information held by institutional leadership and not currently subject to any legal disclosure requirement. The framework prescribes legal protection for institutions that generate governance surplus, but governance surplus cannot be evaluated without information about governance quality, and no existing legal mechanism forces its production. This informational asymmetry creates a structural problem for the framework's operationalization: the institution claiming governance protection possesses the information needed to evaluate its claim, while the party challenging governance or the court evaluating it does not. The framework requires a disclosure complement: a requirement that institutions claiming governance protection produce evidence of functional governance through standardized reporting of the output-based criteria. Such a requirement would parallel the SEC's disclosure regime for corporate governance, which makes governance quality partially observable through mandatory reporting of board composition, committee structure, executive compensation, and audit outcomes. For non-corporate governance institutions, a comparable disclosure requirement — reporting arbitration caseloads, sanction frequencies, rule-change histories, and monitoring outputs — would create the informational infrastructure that the framework's governance evaluation requires at Steps 2, 4, and 5. Without such a requirement, the framework's evaluative method depends on governance information that no party has adequate incentives to produce accurately, and the governance evaluation remains structurally incomplete.

The Research Agenda

Chapter 15 draws together the book's analytical threads and states the evaluative payoff. The framework developed across these chapters is a vocabulary for asking institutional questions that legal analysis currently cannot consistently ask. Those questions are: What is the shared problem? What governance institution addresses it? What does the legal rule under analysis do to that institution? Is the effect enabling, disciplining, or degrading? And is the law, in light of those effects, good, bad, or mixed? The limits, gaps, and open questions this chapter has identified are the places where those questions lead next.

Chapter 15: What Governance-Literate Law Would Look Like

Five questions constitute the book's analytical contribution. What is the shared problem? What governance institution addresses it — and is that institution functioning in the output-based sense, meaning its decision-making governs actual member behavior, its monitoring generates conduct-governing information, its sanctioning responds to violations at observable frequencies, and its rules change when circumstances change? What does the legal rule under analysis do to that institution — and does the effect trace to a specific governance dimension (monitoring, sanctioning, decision-making, adjustment) or operate across dimensions simultaneously? Is the effect enabling, disciplining, or degrading — and if disciplining, does the remedy satisfy both scope calibration (targeting the governance function that failed) and intensity calibration (imposing governance costs proportionate to the governance benefit of correction)? And is the law, in light of those effects, good, bad, or mixed — evaluated with recognition that the method's quantitative precision is highest in legislative and regulatory design settings, where informational investment can be made ex ante, and primarily struc-

tural in litigation settings, where the governance evaluation organizes the inquiry without fully resolving the quantitative questions at Steps 4 and 5? These questions are simple to state and difficult to ask. They are difficult to ask not because they require exotic knowledge but because legal analysis is trained not to ask them. Legal training teaches lawyers to see disputes, identify parties, locate rights, and apply doctrine. It does not train lawyers to see governance as an object of analysis: the ongoing institutional architecture through which groups manage shared problems over time. The resulting blind spot is not a product of bad faith. It is built into the framework, and frameworks with built-in blind spots produce systematic errors.

A legal system that incorporated governance analysis into its standard toolkit would reach different conclusions in specific, identifiable cases, and those different conclusions would produce better outcomes by the legal system's own criteria. The three cases that opened this book, *Silver v. New York Stock Exchange*, the Michigan State University abuse scandal, and the Israeli daycare experiment, illustrate what different conclusions would look like. Each case was resolved by legal actors who were competent, well-intentioned, and analytically sophisticated within the framework their training provided. Each resolution produced governance failure as a predictable byproduct of that framework's inability to account for what it was damaging.

Chapter 15. Governance-Literate Law

The most direct way to show what governance-literate law would produce is to revisit three cases that appeared in the book's introduction — Silver, Michigan State, and the Israeli daycare experiment — and demonstrate how the framework changes the analysis in each. These are not hypothetical applications. Each case has a developed doctrinal record, and in each case the governance framework identifies institutional consequences that the actual legal analysis missed.

Silver Revisited

The Supreme Court in *Silver v. New York Stock Exchange* held that a stock exchange's expulsion of a non-member broker without notice or hearing violated the Sherman Act's limitations on private restraints of trade. The Court was protecting Harold Silver from arbitrary exclusion and ensuring that the exchange's governance authority would not operate as an instrument of commercial oppression. On the facts before it, the Court's concern was legitimate. The NYSE had cut Silver's wire connections without explanation, without prior notice, and without any procedure by which Silver could have identified or contested the charges against him.

A governance-literate court would have asked a different question first. Silver had not been treated fairly as a party. That much was clear. The harder question was what the NYSE's other members would lose when exclusion decisions became subject to judicial revision. The answer is precise: every remaining member's cooperative production of market integrity depended on the governance institution's credible enforcement capacity. That capacity was not a background condition. It was the mechanism through which the

NYSE's self-regulatory function generated value for participants and, through market integrity, for the investing public. Paul Mahoney documented what its erosion cost: the exchange's authority to discipline members quickly and credibly, the feature that sustained market integrity, was systematically undermined by the procedural overlay that *Silver* initiated.

What the governance-literate court would have done is calibrate the remedy to the identified governance failure. The failure was specific: no notice, no charges, no hearing. The remedy should have been equally specific: require that the NYSE provide those procedural protections for expulsion decisions affecting non-member access. What it should not have done is apply a broad holding that exchange disciplinary authority requires administrative due process compliance for all enforcement actions. The broad holding converted a remedy for a specific governance failure into a structural degradation of the entire governance institution. The Securities Acts Amendments of 1975 took that degradation to its logical conclusion, requiring SEC pre-approval of all exchange rule changes. The exchange, which had governed itself for a century through swift internal authority, became a regulated entity. Mahoney's research shows the governance cost was real and lasting. Governance-literate law would have imposed due process protections for Silver while protecting the enforcement architecture on which every other member's cooperation depended.

The lesson is about calibration, not about deference. Governance-literate law is calibrated, intentional law that asks whether a legal remedy addresses the specific governance failure or whether it destroys governance capacity while correcting an identified abuse. The appropriate question is not whether courts should defer to private institutions, but what remedy actually solves the problem at

hand. *Silver* needed notice and a hearing requirement. It did not need the full procedural apparatus of administrative adjudication. The gap between those two remedies is the space that governance-literate law occupies.

Michigan State Revisited

The Department of Education's response to the Michigan State University abuse scandal illustrates governance blindness in the regulatory context. The special investigative report had identified a specific structural defect: athletic medical staff reported to the athletic department rather than to an independent medical authority, which meant complaints about a treating physician were evaluated by the department whose institutional reputation depended on suppressing them. The governance failure was a monitoring failure. The institution's architecture guaranteed that monitoring would produce false negatives. Information about misconduct would not reach parties with authority to act on it because the parties with monitoring authority had a structural incentive to suppress what they monitored.

The federal remedy required revised policies, new Title IX coordinators, mandatory training, and retrospective complaint review. That specific structural feature, the reporting line between athletic medicine and the athletic department that the investigative report had identified as the source of the failure, went unreformed. Within a year, the interim president appointed to signal institutional change was himself forced to resign after making statements publicly dismissive of the victims' experiences. The governance architecture that produced the original crisis was untouched.

Governance-literate federal enforcement would have required structural reform as a condition of the settlement. Not a particular outcome, not a mandated result, but a changed governance architecture. Athletic medical staff should report to a medical authority independent of the athletic department. That requirement does not dictate any substantive decision by the medical authority. It removes the conflict of interest that made the monitoring system structurally incapable of generating accurate information about misconduct. This is the governance-disciplining intervention that Chapter 7 distinguishes from governance-degrading intervention: it targets the specific identified failure, the monitoring failure created by the reporting structure, without dismantling the broader governance institution. A compliance mandate that leaves the monitoring failure intact will produce compliance theater while the governance failure continues. A structural mandate that repairs the monitoring failure changes what the institution can produce. These are not the same remedy, and the difference is not an administrative detail.

Federal enforcement against universities (Chapter 12) repeats the pattern. Settlement agreements that require policy adoption without governance reform (training requirements, additional coordinators, demographic reporting) treat governance failures as compliance deficits. Governance failures are not compliance deficits. They are structural conditions that produce predictable outputs regardless of the stated policies in place. Harvard had policies against antisemitism before the federal enforcement campaign. The policies did not prevent systematic exclusion from institutional channels because the governance architecture that determines who controls those channels was not addressed by the policies. Policies prescribe; governance structures determine who decides what the policy

means and what counts as compliance. Federal enforcement that requires better policies without reforming governance structures will reach the same result that three decades of corporate governance reform reached: compliance activity that leaves the structural conditions unchanged.

The Israeli Daycare Revisited

The Israeli daycare experiment does not involve litigation or legislation. Its lesson is about regulatory design. When Uri Gneezy and Aldo Rustichini studied the introduction of fines for late pickup at ten daycare centers in Haifa, they found that the fine doubled the incidence of tardiness and that the elevated tardiness rate persisted after the fine was removed. Behavioral economists cite the experiment as evidence that monetary incentives crowd out intrinsic motivation. The governance analysis adds a dimension that the behavioral economics framing leaves implicit.

The daycare community had a governance institution before the fine. It was informal and uncodified, but it had all four functional elements: a recognized norm governing parental behavior (pickup by closing time as a social obligation), a monitoring mechanism (teachers observing and forming impressions of parents who were regularly late), a sanctions mechanism (social disapproval, parental guilt, awkward interactions), and an adjustment mechanism (informal renegotiation when parents had legitimate difficulties). This governance institution was producing near-complete compliance. It was producing compliance through social rather than legal mechanisms, which is why it produced no formal records and why the researchers who introduced the fine did not characterize it as a governance institution. But it was governing.

The fine did not supplement this governance institution. It replaced it. The fine converted parental guilt, the moral obligation that had sustained compliance, into a market transaction. Once parents understood that late pickup had a price, the social norm disintegrated. The moral community that had enforced the norm no longer had a norm to enforce. And unlike a regulation that an agency can simply repeal, a social norm destroyed by a monetary intervention does not reconstitute when the intervention ends. The researchers removed the fines. The norm did not return. The governance institution was gone permanently.

A governance-literate designer would first ask what institutional mechanism already governs the behavior, and only then ask how regulation can supplement rather than replace it. Identification leads directly to a different design question: not "how do we add an enforcement mechanism?" but "how do we supplement the existing governance institution without displacing it?" Possible answers include measures that strengthen the existing social norm rather than replacing it: making late pickup more visible, providing public acknowledgment of consistent compliance, creating social reinforcement for the existing norm rather than a market substitute for it. Whether any of these would have worked better than the fine is an empirical question the researchers' study does not answer. The governance question is prior: a regulatory designer who identifies the existing governance institution first will ask different questions than a designer who sees only a problem to be solved with an incentive.

The Pattern of Legal Blindness

Three cases. Three institutions. Three governance failures produced by legal actors who were doing their jobs within the framework their training provided. The exchange court that focused on Harold Silver's injury as a litigant before the court. The federal agency that focused on policy compliance outputs. The researchers who introduced an incentive without identifying what it was supplementing. In none of these cases was the legal actor incompetent. In all three, the legal actor was blind to the governance institution that the legal action was about to damage or destroy.

The blindness follows a structure. Legal analysis is calibrated to party-centered relationships: a party with a grievance, an institution that caused it, a remedy that corrects the wrong. The governance institution, the organized system through which all the other participants manage their shared problem, is not a party. It appears, if at all, as the context within which the litigation arose, not as an object of the analysis itself. Courts see the expelled member but not the remaining members whose cooperation depends on the expulsion authority. Agencies see the individual incidents of abuse but not the reporting structure that systematically suppressed information about them. Researchers see the behavior they want to change but not the governance mechanism through which the behavior had been governed.

Making the governance institution analytically visible integrates governance into the standard criteria by which law is evaluated, alongside rights, efficiency, and anti-discrimination enforcement. The framework identifies governance as a value that legal analysis currently cannot weigh because it currently cannot see. Complete legal analysis requires visibility into all the values at stake. An analysis that cannot weigh governance will consistently undervalue it.

The result is not neutral omission; it is systematic governance degradation, institution by institution, case by case, over time.

A Prescriptive Agenda: Organizing Reform by Implementation Authority

The book's application chapters have embedded specific reform proposals in their institutional analyses. What they have not done is assemble those proposals into a unified prescriptive agenda. The agenda organizes around three principal tiers, differentiated by the legal authority required to implement each. A crosscutting principle governs all three tiers: the governance method's first and best application is in legislative and regulatory design, where the informational investment that Steps 4 and 5 demand can be made ex ante through hearings, commissioned studies, and notice-and-comment proceedings. Its litigation application is structural — it organizes the governance inquiry so that courts ask the right questions about institutional effects — rather than quantitative. Reform proposals that can be implemented through legislative or regulatory design should be, because the method is strongest in that setting. Where governance analysis enters litigation, courts should apply it at Steps 1 through 3 and Step 6, where legal characterization produces precise findings, and treat Steps 4 and 5 as structural considerations that inform the analysis without requiring the quantitative precision that only legislative-design settings can support.

What courts can do today without legislative change. Courts can apply governance analysis as a variable in the standard multi-factor balancing frameworks that already govern many of the doctrinal areas this book addresses. The antitrust rule of reason already requires courts to assess whether a cooperative arrangement

serves legitimate purposes and whether any restraint on competition is reasonably necessary to achieve those purposes; courts can incorporate governance function into the assessment of legitimate purposes and calibrate the scope of remedies to specific governance failures rather than to the existence of governance institutions as such. The antitrust inquiry into whether the alleged restraint is reasonably necessary to achieve the legitimate purpose shares the governance method's structure: a restraint is reasonably necessary when it targets a specific governance failure without imposing unnecessary costs on the governance institution. Courts applying the rule of reason can make that analysis explicit rather than leaving it implicit in proportionality judgments.

Courts applying Delaware's review standards to corporate board decisions can make explicit what the Delaware Supreme Court's doctrine already implies: that the business judgment rule functions as a governance subsidy reducing the private cost of producing corporate governance, and that withdrawing the rule in circumstances where governance quality is at stake should be calibrated to correct the identified failure rather than to impose governance costs across all board decisions. The business judgment rule operates as an untargeted quantity subsidy: it protects every board decision at a frequency and cost that do not correspond to the variance in governance quality across decision-making circumstances. Governance-literate Delaware doctrine would calibrate the subsidy to the governance risk. High-governance-risk decisions (conflicts of interest, interested transactions, situations where board discretion is particularly likely to be captured by private interests) should receive less deferential review than low-governance-risk decisions. The business judgment rule as currently applied does not make this distinction. A governance-literate doctrine would.

Courts reviewing nonprofit trustees' compliance with fiduciary duties should ask whether the institutional structures make compliance possible, not only whether formal compliance standards are satisfied, because governance architecture determines what compliance can mean in practice. A university trustee board that has no mechanism for reporting governance failures to parties with authority to correct them cannot fully comply with fiduciary duties even if every trustee individually acts in good faith. The governance structure matters not as a defense to breach but as a constraint on whether breach can be detected and corrected.

None of these applications requires a new legal rule. They require asking a question that existing doctrine does not consistently ask: what does this legal action do to the governance institution whose decisions I am reviewing? That question is available to courts today and within the scope of existing doctrine across antitrust, corporate, administrative, and nonprofit law.

What administrative agencies can do under existing authority. Three agency actions would produce substantial governance improvements without new legislation.

The IRS has authority under existing doctrine to require that tax-exempt educational institutions satisfy a governance-based operational test as a condition of tax exemption, parallel to the community benefit standard the IRS developed for nonprofit hospitals through administrative interpretation rather than statutory change. A reformed operational test would require educational institutions to demonstrate governance structures that prevent systematic identity-based exclusion: specific and measurable commitments, standing for affected students and faculty to report governance failures, and board composition rules that prevent indefinitely self-perpetu-

ating control. The test would not prescribe outcomes or require institutions to adopt particular viewpoints. It would require only that the governance structure be capable of producing accountability. An institution could maintain its current policies while demonstrating that its governance architecture would permit modification of those policies in response to demonstrated exclusion of protected constituencies. The operational test would make governance architecture a condition of tax exemption without centralizing control of institutional content.

The SEC retains authority under the Securities Exchange Act to revisit the regulatory framework for proxy advisors, whose concentration (two firms, Institutional Shareholder Services and Glass Lewis, control advisory services to the large majority of institutional investors) created the adverse selection dynamic that Chapter 11 identifies as the clearest unintended consequence of mandatory proxy voting rules. A rule requiring proxy advisors to disclose conflicts of interest, to permit issuer response to draft recommendations before publication, and to make their methodological assumptions subject to periodic public comment would address the governance failure that proxy advisor concentration has produced without requiring legislative revision of Dodd-Frank's say-on-pay framework. The disclosure requirement would not eliminate proxy advisor influence; it would make that influence visible and subject to the kind of scrutiny that characterization as a knowledge institution requires.

FINRA retains rulemaking authority over expulsion procedures for member broker-dealers. The Alpine Securities litigation illuminated the constitutional stakes of private delegated authority, but the governance analysis points to a more immediate reform: FINRA's expulsion procedures should be calibrated to distinguish

the governance-discipline function (maintaining market integrity through credible enforcement) from the governance-abuse function (using expulsion authority against member firms for competitive rather than regulatory purposes). The calibration mechanism is procedural: differentiating the procedural requirements for expulsion decisions that affect member firms' access to markets from expulsion decisions that affect member firms' relationships with specific customers. The former requires substantial procedural protection because it threatens the governance capital that member firms have invested in market access. The latter requires less elaborate protection because it does not threaten the firm's status as a market participant. This differentiation reflects the governance analysis directly: it targets protection to the margin where governance capital is most vulnerable to abuse while avoiding procedural requirements that do not correspond to the governance risk.

What legislation would most improve governance outcomes. Three legislative reforms address the structural features that administrative and judicial action cannot reach.

Stakeholder standing in nonprofit law is the reform most directly supported by the book's analysis. State legislatures should amend nonprofit corporation statutes to extend derivative standing to stakeholders with sustained institutional ties, currently enrolled students and currently employed faculty, for enforcement of fiduciary duties against educational institution boards. The corporate derivative action, adapted for the nonprofit context with procedural safeguards against harassment litigation, would create the accountability mechanism that the attorney general enforcement model cannot provide at scale. Every state that has created a meaningful private right of action for other governance failures has found that the threat of enforcement produces governance improvement even

when litigation rates remain low. The deterrent effect of standing is the governance-relevant effect. Federal law could extend comparable standing under the civil rights statutes for governance challenges based on institutional failure to prevent discrimination, creating a private right of action without replacing the attorney general's enforcement authority.

A best-available-evidence doctrine for empirical scholarship offered in litigation would address the governance failure in legal knowledge production that Chapter 13 identifies. Federal courts applying *Daubert* to expert testimony already evaluate the reliability of the processes through which expert knowledge was produced. Extending that analysis to legislative and adjudicative facts presented through law review citations, asking whether the screening process that certified the scholarship gives reasonable assurance of its methodological reliability, would create incentives for knowledge institutions to improve governance quality without mandating any particular organizational form. Scholarship certified by institutions with robust screening would carry greater evidentiary weight; scholarship certified by institutions with demonstrated governance failures would be subject to increased scrutiny. The market-for-epistemic-goods problem that Chapter 13 identifies as a structural feature of the current system responds to demand-side incentives: if courts treat governance-certified scholarship differently, knowledge institutions have reason to improve their governance. The implementation would require federal courts to develop standards for evaluating the screening process that produced scholarship offered in support of legislative and adjudicative facts, a task that parallels the *Daubert* framework's evaluation of expert testimony. The spe-

cific criteria could be developed through notice-and-comment rulemaking by the Judicial Conference or through common law development as courts address the question across cases.

A governance impact assessment requirement, analogous to the environmental impact statement requirement under NEPA for federal agency action with significant environmental effects, would require agencies proposing rules with significant effects on private governance institutions to analyze those effects before the rule takes effect. The assessment would not give governance analysis veto power over regulation. It would require that governance effects be analyzed, documented, and part of the administrative record available for review. Environmental impact assessment did not eliminate federal agency action that damages the environment; it made environmental costs visible and required that they be weighed. Governance impact assessment would do the same for governance costs. The requirement would be limited to rules with identified governance effects: rules affecting the structure of private governance institutions, rules affecting the sanctioning capacity of private institutions, rules affecting information flow within governance institutions. A rule addressing a wholly separate problem that happens to affect a governance institution incidentally would not trigger the requirement. The core governance impact assessment questions — what private governance institutions do these rules affect, what governance dimensions do they affect, what are the measured governance outcomes in comparable circumstances — are answerable questions that an administrative record can support.

The Research Agenda This Book Opens

The framework is a beginning, not a terminus. Each application chapter identified governance failures that the framework explains and reform targets that the framework suggests. The research agenda that follows from those explanations is substantial.

The most pressing empirical question is whether governance degradation has the effects on governance output that the theoretical framework predicts. Chapter 10's account of the NYSE's post-*Silver* trajectory is the most fully documented case study: Mahoney traced the degradation of enforcement capacity through the multi-decade doctrinal arc, and Alpine Securities brought the constitutional stakes into focus as of 2025. But a comprehensive empirical account of the relationship between legal intervention intensity and governance quality, across multiple institutional domains, would significantly strengthen the framework's prescriptive claims and could identify conditions under which governance is more or less resilient to legal degradation.

The optimal calibration of governance-disciplining law is incompletely developed. Chapter 7 distinguishes legal rules that enable governance, degrade it, and discipline it, but the criteria for distinguishing discipline from degradation remain contested in specific applications. When does a procedural requirement targeting a specific governance abuse cross the line into structural degradation of governance capacity? The answer is likely institution-specific and context-dependent in ways that the framework does not yet make precise. Research on specific doctrinal areas, including antitrust challenges to cooperative exclusion, judicial review of professional association membership decisions, and federal regulatory oversight of self-regulatory organizations, would develop criteria for calibration that the framework's current level of generality cannot supply.

The relationship between governance and markets is less fully analyzed than the relationship between governance and law. Private governance institutions exist in market environments that shape their evolution in ways that legal intervention does not always control. Demutualization of stock exchanges, concentration in the proxy advisory industry, and consolidation among arbitration service providers are market developments with governance implications that the book has addressed but not fully analyzed. Governance-literate analysis of market structure, asking how market conditions affect the production and distribution of governance club goods, extends the framework into domains where legal analysis has not traditionally asked governance questions.

The governance of governance is the deepest remaining problem. Several chapters have identified cases in which governance institutions fail because governance of the institution itself has been captured or disabled: the self-perpetuating board that excludes accountability, the law review editorial structure that cannot evaluate methodological quality, and the exchange whose disciplinary function was converted into a supervised administrative process. In each of these cases, the question is not only what law did to a governance institution but what governance failures produced governance failure in the institution itself. Ostrom's design principles identify conditions associated with long-run institutional survival, but they do not fully specify how governance institutions maintain their own governance quality over time, when they are embedded in legal systems that may or may not support that maintenance.

Governance as a Legal Variable

Legal scholarship has defined rights. It has specified efficiency. It has developed distributive principles. It has articulated legitimacy criteria. It has not defined governance in terms precise enough to carry doctrinal argument across fields, to generate predictions about what legal rules will do to institutions, and to produce a method for evaluating law by its governance effects. That is the gap this book fills.

The gap matters not because governance always takes priority over rights, efficiency, distribution, or legitimacy. It does not. The gap matters because a legal variable that cannot be precisely specified cannot be meaningfully weighed. Courts that recognize governance as a value but cannot define it will weigh it imprecisely, inconsistently, and often not at all. The business judgment rule, the antitrust rule of reason, the FAA's pro-arbitration policy, and common law deference to voluntary associations have functioned as intuitive governance subsidies for decades, reducing the cost of producing governance without naming what they were doing or explaining why it mattered. The NYSE cases, the corporate governance reform cycle, the university accountability crisis, and the law review screening problem are all cases in which legal analysis that could name the governance stake could have reached more precise, more durable, and more effective conclusions.

Governance-literate law is not more deferential law. It is not less activist law. It is more complete law: law that sees the governance institution among the values at stake, specifies what is at risk, and calibrates its intervention to what the identified failure actually requires. Harold Silver deserved notice and a hearing. The NYSE's governance infrastructure deserved to survive Silver's remedy. Both things were true. A court that could see only Silver could not reach a conclusion consistent with both. A governance-literate court can.

Conclusion and Research Agenda

This book began from a problem in legal analysis that is easy to state and difficult to correct. Law is very good at seeing disputes. It is much less good at seeing the institutions that make cooperation possible before disputes arise and that must continue functioning after any particular dispute is resolved. The result is a persistent blind spot in legal cognition. Courts, regulators, and scholars often ask whether a rule vindicates a right, deters misconduct, or fits within a doctrinal category. They ask less often what that rule does to the governance institution through which a group manages a shared problem over time. This book's central claim has been that the missing question matters, and that legal analysis cannot judge law fully until it can ask it. Making governance cognizable as a legal object—one that courts, agencies, and legislatures can see, describe, and weigh—is the first step toward judgment that accounts for institutional effects.

Part I supplied the missing object of analysis. Governance, as this book has used the term, is the organized system by which a group manages a shared problem over time. That definition was designed to travel across doctrinal fields because the phenomenon it identifies does not belong to any one of them. Governance is not corporate governance only, not administrative governance only, not

commons governance only, and not merely a synonym for regulation, management, adjudication, or social order. It is a distinct institutional form with minimum functional requirements: decision-making, monitoring, sanctions, and adjustment. If any one of those elements is disabled, governance does not merely weaken. It fails in a specific and recognizable way.

Part I also showed that governance does not float free of law. Governance may arise without charter or statute, but law determines whether governance can form, persist, adapt, and remain accountable in ways legal analysis can recognize. The six legal conditions identified here, permission to organize, membership boundaries, internal decision procedures, external enforceability, fiduciary structure, and stakeholder standing, are not sufficient to guarantee successful governance, but they are necessary to sustain it in legally legible form. Without them, governance becomes fragile, opaque, or practically impossible. That point matters because much of legal doctrine proceeds as though governance were either naturally present or analytically irrelevant. It is neither.

Part II developed the theoretical payoff of that definition. Governance institutions often have the structure of club goods: they depend on excludability, are financed and maintained by members, and generate benefits whose full value members cannot capture for themselves. That structure explains both why governance is chronically undersupplied and why law matters so much to its production. Some rules reduce the private cost of producing governance and thereby enable it. Other rules disable the sanction mechanism, undermine adjustment, remove accountability, or substitute compliance form for governance substance. And some rules do something more difficult and more valuable: they discipline governance. They

correct a specific governance failure without destroying the institutional capacity that makes governance possible in the first place. That distinction between enablement, discipline, and degradation is the book's principal evaluative contribution.

The seven-step method was built to make that contribution usable. Identify the shared problem. Identify the governance institution. Specify the legal conditions of its existence. Describe the member benefits it supplies. Assess the spillovers it generates. Analyze how law acts on it. Then evaluate the law as enabling, disciplining, degrading, or mixed. The method does not promise mechanical answers. It does something more realistic and more important. It forces legal analysis to ask institutionally relevant questions in a stable sequence, and it makes governance effects visible where ordinary doctrinal analysis leaves them obscure.

The application chapters showed why that visibility matters. In private trading networks, the legal system has repeatedly misread governance as mere party-centered exclusion, overlooking the shared enforcement infrastructure on which cooperation depends. In exchange regulation, *Silver* demonstrated how a legal intervention addressing a real abuse can nevertheless degrade the sanctioning function on which market integrity rests. In corporate law, the framework clarified why some doctrines operate as governance subsidies while others create compliance activity without governance repair. In universities and nonprofits, it identified a standing and accountability void that policy mandates cannot solve because the governance architecture producing the failure remains unchanged. In knowledge institutions, the framework turned reflexively on legal scholarship itself, asking what governance conditions make legal knowledge reliable enough for courts, agencies, and scholars to

trust. Across all of these domains, the conclusion was not that governance should be protected from law. It was that law should be judged by what it does to governance.

This book demonstrates one such judgment reflexively in its own production. The book argues that law reviews screen legal knowledge poorly and that this epistemic failure matters to the reliability of law review-certified claims. Yet the book itself appears through a process that depends fundamentally on law review-style institutional certification. The manuscript itself operates under the conditions it critiques. The defense is not that the critique does not apply here. The defense is that governance failures and governance value can coexist in the same institution. Law reviews perform real screening and supply real value to legal knowledge production. They also predictably degrade the quality of that screening by placing editorial authority in student hands and by making publication incentives rather than epistemic reliability the primary metric of success. Acknowledging the contradiction is not weakness but a requirement of any institution-centered analysis. An institutional analysis that cannot see its own institutional location is not complete analysis. This book is subject to the same scrutiny it applies to other institutions. If its central claims are to be believed, readers must ask whether the governance conditions that produced this manuscript support or undermine the knowledge it attempts to convey.

This book has identified both the value of governance analysis and its limits. Governance language can be used to launder private power. Exclusion can sustain cooperation, but exclusion has also been a central mechanism of domination, cartelization, and discrimination. Governance institutions can produce valuable spillovers, but they can also impose coercion on members and outsiders. And

the framework is not fully determinate in hard cases. These challenges do not undermine the framework; they identify where future scholarship must extend it. A framework that asks what law does to governance must also ask who governs, for whose benefit, at whose expense, and under what constraints of rights, antitrust, anti-discrimination law, and democratic accountability. The mature version of governance analysis will not be one that ignores these tensions. It will be one that can incorporate them without losing sight of institutional capacity itself.

The prescriptive implication is modest in one sense and ambitious in another. It is modest because the framework supplements rights analysis, welfare analysis, antitrust analysis, and fiduciary analysis by adding a dimension they presently miss. But it is ambitious because that additional dimension changes the evaluation of familiar legal rules. A court that asks what a remedy does to a governance institution may choose a narrower and better-calibrated remedy than one focused only on the immediate plaintiff. A regulator that asks how a compliance mandate affects internal monitoring and adjustment may design a different rule than one focused only on formal outputs. A legislature that sees governance as a legally constituted good may create enabling rules where none now exist. Governance analysis is an expansion of legal judgment, not a substitute for it. It is a way of making law more institutionally literate.

Conclusion

The framework developed here is a beginning, not a terminus. Its value now depends on whether future work can specify, test, and extend it across doctrinal and empirical settings the present book could only open. Among the questions this framework opens, several deserve early attention.

The first priority is to measure governance degradation empirically. The most immediate empirical question is whether the degradation mechanisms identified here reliably reduce governance quality, and under what conditions. The NYSE after *Silver* is the best-developed case study in this book, but it should not remain the only one. Future work must test the relationship between intervention intensity and governance output across exchanges, professional associations, nonprofits, digital organizations, and commons institutions.

The second task is to specify the calibration line between discipline and degradation. The hardest normative problem is not identifying obvious enablement or obvious destruction. It is determining when a remedy targeted at a real governance abuse becomes broad enough, costly enough, or rigid enough to impair the institution's core functions. That line is likely domain-specific. Antitrust, nonprofit standing, professional discipline, self-regulatory organizations, and university oversight each require their own calibration criteria.

The third project must develop disclosure tools for governance quality. The framework depends on information that governance institutions often possess privately and have little incentive to disclose. If courts or agencies are to evaluate governance claims seri-

ously, scholars must develop disclosure metrics that make governance quality observable: sanction frequency, monitoring outputs, rule-change histories, arbitration patterns, stakeholder challenge mechanisms, and comparable indicators. Without an informational complement, governance analysis will remain strongest in theory and weakest in application.

The fourth task is to study the governance of governance itself. Several of this book's most important failures are second-order failures: institutions fail because the mechanisms that are supposed to maintain their own governance quality have themselves been captured, hollowed out, or disabled. Self-perpetuating nonprofit boards, law reviews unable to evaluate the scholarship they certify, and self-regulatory bodies transformed into compliance bureaucracies are all examples. Future work must ask how governance institutions preserve the quality of their own decision-making, monitoring, sanctions, and adjustment over time.

The fifth need is to extend the framework comparatively and historically. The analysis here has been largely American in its legal focus, even when the institutional examples were not. Comparative work must examine how different legal systems supply or deny the six legal conditions, and whether some systems are more hospitable than others to governance formation and adaptation. Historical work must trace the long-run interaction between legal change and governance change, especially in periods when law reorganized whole sectors of institutional life.

The sixth priority is to integrate governance analysis with rights and equality more fully. The relationship between governance autonomy and anti-discrimination law, labor rights, constitutional protections, and procedural fairness remains only partly developed here. Future work must not treat these as external exceptions to

governance analysis. It must treat them as part of the internal design problem: how to preserve governance capacity while preventing governance institutions from becoming vehicles of exclusion, coercion, or domination.

The seventh project should analyze market structure as a variable in governance quality. This book has focused more on how law affects governance than on how markets do. Yet demutualization, concentration, digital intermediation, and changes in exit options all alter the cost of exclusion and the supply of governance goods. A complete governance theory must connect legal conditions to market conditions and ask how both together shape the production, resilience, and erosion of governance.

The eighth task must apply the framework to emerging institutional forms. DAOs, platform moderation systems, private accreditation bodies, transnational commercial networks, and AI-mediated rule systems all present governance structures that do not fit older doctrinal categories cleanly. These are not peripheral cases. They are likely to be the settings in which governance analysis proves either most useful or most inadequate. The next generation of research must test the framework where institutional form is changing fastest.

The broader claim that emerges from this research agenda is simple. Governance is a legal object worthy of sustained study in its own right. Once governance is seen clearly, many disputes that once appeared to be simple two-party conflicts, episodic, or purely doctrinal turn out to be contests over institutional capacity. The task ahead is not merely to protect governance, and not merely to criticize it. It is to learn how law can recognize, enable, discipline, and, when necessary, restructure governance without blinding itself to

the institutional consequences of its own interventions. That is the inquiry this book opens. It is also the one that must follow it.

Legal analysis has learned to see rights, incentives, and remedies with great precision; its next task is to learn to see governance, and to judge law by what law makes of it.

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[193] Employee Retirement Income Security Act § 514(a), 29 U.S.C. § 1144(a). Elizabeth Y. McCuskey, *State Cost-Control Reforms and ERISA Preemption*, Commonwealth Fund Issue Brief (May 2022).
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[196] *Thole v. U.S. Bank N.A.*, 140 S. Ct. 1615 (2020).
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[201] *Roberts v. United States Jaycees*, 468 U.S. 609 (1984); *Board of Directors of Rotary International v. Rotary Club of Duarte*, 481 U.S. 537 (1987).

[202] *Boy Scouts of America v. Dale*, 530 U.S. 640, 648 (2000). Dale Carpenter, *Expressive Association and Anti-Discrimination Law After Dale: A Tripartite Approach*, 85 Minn. L. Rev. 1515 (2001); John D. Inazu, *Liberty's Refuge: The Forgotten Freedom of Assembly* (Yale University Press, 2012).
[203] *Silver v. New York Stock Exchange*, 373 U.S. 341, 361-67 (1963). The simultaneous activation of Mechanisms 1 and 2 is analyzed in detail in Chapter 10 infra.
[204] Mahoney, *supra* note 8, at 1490-1503 (documenting the decline in NYSE enforcement activity following *Silver* and attributing it to the combined effects of antitrust liability exposure and increased procedural costs).
[205] *Marchand v. Barnhill*, 212 A.3d 805, 809-12 (Del. 2019). The cascading governance failure at Blue Bell Creameries is also analyzed through the corporate governance lens in Chapter 11 infra.
[206] Albert O. Hirschman, *Exit, Voice, and Loyalty: Responses to Decline in Firms, Organizations, and States* (Harvard University Press, 1970), at 21-29, 76-105.
[207] *Aspen Skiing Co. v. Aspen Highlands Skiing Corp.*, 472 U.S. 585 (1985).
[208] *Verizon Communications Inc. v. Law Offices of Curtis V. Trinko, LLP*, 540 U.S. 398, 408-11 (2004). On the essential facilities doctrine and its limitations, see Herbert Hovenkamp, *Federal Antitrust Policy*, *supra* note 5, at §§ 7.7-7.8.
[209] Edward B. Rock & Michael L. Wachter, *Islands of Conscious Power: Law, Norms, and the Self-Governing Corporation*, 149 U. Pa. L. Rev. 1619, 1679-91 (2001).
[210] Neil K. Komesar, *Imperfect Alternatives: Choosing Institutions in Law, Economics, and Public Policy* (University of Chicago Press, 1994), at 5-11. Komesar, *Law's Limits: The Rule of Law and the Supply and Demand of Rights* (Cambridge University Press, 2001).
[211] *Allied Tube & Conduit Corp. v. Indian Head, Inc.*, 486 U.S. 492 (1988).
[212] Cass R. Sunstein, *Incompletely Theorized Agreements*, 108 Harv. L. Rev. 1733, 1735-40 (1995); Cass R. Sunstein, *Incommensurability and Valuation*

in Law, 92 Mich. L. Rev. 779, 779-86 (1994). On value incommensurability more broadly, see Ruth Chang, ed., *Incommensurability, Incomparability, and Practical Reason* (Harvard University Press, 1997), at 1-34; H.S. Mather, *Law-Making and Incommensurability*, 47 McGill L.J. 357, 358-63 (2002).

[213] George A. Akerlof, *The Market for "Lemons": Quality Uncertainty and the Market Mechanism*, 84 Q.J. Econ. 488 (1970).

[214] The three premises stated here are analytic, not moral. They assert that governance institutions produce value, that destroying that value has costs, and that those costs should be visible. They do not assert that governance value always outweighs competing legal values. The distinction parallels the relationship between Calabresi and Melamed's specification of property rules and liability rules — a conceptual framework for identifying what a legal rule does — and the normative question of which rule type a legal system should adopt. Guido Calabresi & A. Douglas Melamed, *Property Rules, Liability Rules, and Inalienability: One View of the Cathedral*, 85 Yale L.J. 1089, 1092-93 (1972). Lon Fuller's account of the internal morality of law supplies a related methodological parallel: Fuller argued that law's formal requirements (generality, promulgation, non-retroactivity, clarity, consistency, constancy, possibility, and congruence) are conditions of legal effectiveness, not moral ideals. Lon L. Fuller, *The Morality of Law* 33-94 (rev. ed. Yale University Press, 1969). The governance framework's three premises play an analogous role: they are conditions of analytical effectiveness, specifying what must be true for the governance variable to enter legal analysis with precision.

[215] Lon L. Fuller, *The Forms and Limits of Adjudication*, 92 Harv. L. Rev. 353, 394-404 (1978). For extended analysis, see J.W.F. Allison, *Fuller's Analysis of Polycentric Disputes and the Limits of Adjudication*, 53 Cambridge L.J. 367 (1994).

[216] Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. Legal Stud. 115 (1992); Lisa Bernstein, *Merchant Law in a Merchant Court: Rethinking the Code's Search for Immanent Business Norms*, 144 U. Pa. L. Rev. 1765 (1996).

[217] Bernstein, *Opting Out*, *supra* note 4, at 119-25.
[218] Sunstein, *Incompletely Theorized Agreements*, *supra* note 1, at 1735-40. For the related argument that legal methods can structure analysis without determining outcomes, see Henry M. Hart, Jr. & Albert M. Sacks, *The Legal Process: Basic Problems in the Making and Application of Law* (William N. Eskridge Jr. & Philip P. Frickey, eds., Foundation Press, 1994), at 143-52; Neil K. Komesar, *Imperfect Alternatives: Choosing Institutions in Law, Economics, and Public Policy* (University of Chicago Press, 1994), at 3-11.
[219] *Roberts v. United States Jaycees*, 468 U.S. 609 (1984).
[220] Paul G. Mahoney, *The Exchange as Regulator*, 83 Va. L. Rev. 1453, 1456-63 (1997).
[221] The escalating remedial structure draws on analogous doctrines in corporate law and administrative law. *See Reves v. Ernst & Young*, 507 U.S. 170, 179-83 (1993) (specifying evidentiary burdens in securities litigation that account for institutional context). For declaratory relief as a first-stage remedy in institutional disputes, *see* Samuel L. Bray, *The Myth of the Mild Declaratory Judgment*, 63 Duke L.J. 1091, 1093-98 (2014) (arguing that declaratory relief has more coercive force than commonly assumed, but noting its lower institutional disruption relative to injunctive remedies).
[222] The corporate compliance monitor model is codified in the U.S. Department of Justice Principles of Federal Prosecution of Business Organizations, U.S. Attorneys' Manual § 9-28.000 (rev. 2015), which specifies that monitors should be imposed only when "the potential benefits of a monitor are not clearly outweighed by the projected costs and burdens." *See also* Vikramaditya Khanna & Timothy L. Dickinson, *The Corporate Monitor: The New Corporate Czar?*, 105 Mich. L. Rev. 1713, 1714-20 (2007) (analyzing the governance costs and benefits of external monitors in the corporate context).
[223] Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. Legal Stud. 115, 119–25 (1992).
[224] *Id.* at 119–21. Bernstein found that DDC members almost uniformly submit to binding DDC arbitration rather than court proceedings, and

that the DDC arbitration system resolves the overwhelming majority of disputes without resort to formal legal mechanisms.

[225] Avner Greif, *Contract Enforceability and Economic Institutions in Early Trade: The Maghribi Traders' Coalition*, 83 Am. Econ. Rev. 525, 525–30 (1993).

[226] Janet T. Landa, *A Theory of the Ethnically Homogeneous Middleman Group: An Institutional Alternative to Contract Law*, 10 J. Legal Stud. 349, 349–62 (1981).

[227] Paul R. Milgrom, Douglass C. North & Barry R. Weingast, *The Role of Institutions in the Revival of Trade: The Law Merchant, Private Judges, and the Champagne Fairs*, 2 Econ. & Politics 1, 1–23 (1990).

[228] Elinor Ostrom, *Governing the Commons: The Evolution of Institutions for Collective Action* 58–102 (Cambridge Univ. Press, 1990).

[229] Lisa Bernstein, *Private Commercial Law in the Cotton Industry: Creating Cooperation Through Rules, Norms, and Institutions*, 99 Mich. L. Rev. 1724, 1724–40 (2001).

[230] Oliver E. Williamson, *Calculativeness, Trust, and Economic Organization*, 36 J.L. & Econ. 453, 453–86 (1993).

[231] Lisa Bernstein, *Beyond Relational Contracts: Social Capital and Network Governance in Procurement Contracts*, 7 J. Legal Analysis 561, 563–65 (2015).

[232] Greif, *supra* note 3, at 525–30.

[233] Lisa Bernstein, *Contract Governance in Small-World Networks: The Case of the Maghribi Traders*, 113 Nw. U. L. Rev. 1009, 1012–25 (2019).

[234] Barak D. Richman, *An Autopsy of Cooperation: Diamond Dealers and the Limits of Trust-Based Exchange*, 9 J. Legal Analysis 247, 248–65 (2017); *see also* Barak D. Richman, *Stateless Commerce: The Diamond Network and the Persistence of Relational Exchange* 195–230 (Harvard Univ. Press, 2017) (providing extended treatment of the five structural forces eroding DDC governance capacity).

[235] Lon L. Fuller, *The Forms and Limits of Adjudication*, 92 Harv. L. Rev. 353, 394–404 (1978).

[236] *See* Chapter 8, supra (applying the seven-step method to *Silver v. New York Stock Exchange* to demonstrate the method's mechanics and identifying the property-to-liability-rule conversion as Mechanism 1).
[237] *Silver v. New York Stock Exchange*, 373 U.S. 341, 370–71 (1963) (Stewart, J., dissenting).
[238] James M. Buchanan, *An Economic Theory of Clubs*, 32 Economica 1 (1965).
[239] Mancur Olson, *The Logic of Collective Action: Public Goods and the Theory of Groups* 2–22 (Harvard Univ. Press, 1965).
[240] Iris Bohnet, Bruno S. Frey & Steffen Huck, *More Order with Less Law: On Contract Enforcement, Trust, and Crowding*, 95 Am. Pol. Sci. Rev. 131, 131–44 (2001).
[241] S. Nageeb Ali & David A. Miller, *Enforcing Cooperation Among Ostracists*, 1 Am. Econ. J.: Microeconomics 143 (2009); S. Nageeb Ali & David A. Miller, *Ostracism and Forgiveness*, 106 Am. Econ. Rev. 2329 (2016).
[242] U.C.C. § 1-303(c) (Am. Law Inst. & Unif. Law Comm'n 2022).
[243] Bernstein, *supra* note 1, at 115–25; Bernstein, *supra* note 7, at 1724–40.
[244] *Barrow-Shaver Res. Co. v. Carrizo Oil & Gas, Inc.*, 590 S.W.3d 471 (Tex. 2019) (holding that jury could determine whether oil and gas industry custom incorporated a reasonableness standard into an express consent clause for well assignments; multiple industry groups filed amicus briefs offering conflicting accounts of the governing custom, illustrating how judicial incorporation of industry norms requires resolving contested collective interpretations).
[245] 9 U.S.C. § 2 (2018); *Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24–25 (1983) (establishing the liberal policy favoring arbitration agreements under the FAA).
[246] *See* GCG, Chapter 5, supra (developing the Pigouvian subsidy analysis of judicial deference doctrines). The Pigouvian subsidy concept applies here as follows: governance institutions produce positive externalities for non-members (the downstream market participants who rely on governance quality) but capture only member benefits in their production decisions. This produces systematic underproduction of governance relative

to the social optimum. Legal rules that reduce governance production costs, specifically the FAA and the antitrust rule of reason, move governance supply closer to the social optimum by reducing the private cost of production, functioning as a subsidy correcting for the externality.

[247] *Nw. Wholesale Stationers, Inc. v. Pac. Stationery & Printing Co.*, 472 U.S. 284, 293–96 (1985).

[248] *Id.* at 288 & n.8 (noting the "sparse" factual record and characterizing the Ninth Circuit's description of Pacific's losses as an "inaccurate characterization").

[249] *Id.* at 295.

[250] *Id.* at 288.

[251] GCG, Chapter 5, supra.

[252] *Klor's, Inc. v. Broadway-Hale Stores, Inc.*, 359 U.S. 207, 212 (1959).

[253] *See generally* Note, *Developments in the Law: Judicial Control of Actions of Private Associations*, 76 Harv. L. Rev. 983, 987–1011 (1963) (surveying the common law standards for judicial review of private association membership decisions).

[254] *MFS Sec. Corp. v. SEC*, 380 F.3d 611, 614–16 (2d Cir. 2004).

[255] *Alpine Sec. Corp. v. Fin. Indus. Regulatory Auth.*, 121 F.4th 1314 (D.C. Cir. 2024), *cert. denied*, No. 24-904 (U.S. June 2, 2025).

[256] Self-Regulatory Organizations; Notice of Filing of Proposed Rule Changes, 90 Fed. Reg. 25689 (June 17, 2025) (FINRA proposed rule changes implementing SEC review requirement prior to expulsion order effectiveness).

[257] *Higgins v. Am. Soc'y of Clinical Pathologists*, 51 N.J. 191, 200–02, 238 A.2d 665, 670–71 (1968).

[258] Steven Tadelis, *Reputation and Feedback Systems in Online Platform Markets*, 8 Ann. Rev. Econ. 321, 322–25 (2016).

[259] Kate Klonick, *The New Governors: The People, Rules, and Processes Governing Online Speech*, 131 Harv. L. Rev. 1598, 1606–14 (2018).

[260] Daphne Keller, *The DSA's Industrial Model for Content Moderation*, Verfassungsblog (Feb. 24, 2022), https://verfassungsblog.de/the-dsas-indus-

trial-model-for-content-moderation/ (arguing that DSA procedural requirements create incentives for platforms to moderate less rather than better, because the cost of compliance with appeal obligations at scale makes narrowing enforcement scope economically rational).

[261] Evelyn Douek, *Content Moderation as Systems Thinking*, 136 Harv. L. Rev. 526, 534–40 (2022).

[262] Bernstein, *supra* note 7, at 1766–72 (demonstrating that within the cotton industry, members deliberately avoid incorporating informal governance norms into legal contracts precisely to preserve the governance system's flexibility and to maintain the distinction between relationship-preserving norms and endgame norms enforceable in litigation).

[263] *See* Chapter 8, *supra* (analyzing *Silver v. New York Stock Exchange*, 373 U.S. 341 (1963), through the seven-step governance method and identifying the wire-termination decision as activating Mechanism 1 (the property-to-liability-rule conversion) at the governance level of the entire exchange membership system).

[264] Paul G. Mahoney, *The Exchange as Regulator*, 83 Va. L. Rev. 1453, 1453–60 (1997) (developing the theory of exchange governance as private ordering under reputational discipline); William A. Birdthistle, M. Todd Henderson & Onnig H. Dombalagian, *Becoming a Fifth Branch*, 95 Cornell L. Rev. 464, 464–71 (2010) (documenting the transformation of SROs from private associations into quasi-governmental entities); Benjamin P. Edwards, *Supreme Risk*, 76 Fla. L. Rev. 1 (2024) (documenting constitutional threats to the SRO model from Appointments Clause and nondelegation doctrine); Rohit A. Nafday, *From Sense to Nonsense and Back Again: SRO Immunity, Doctrinal Bait-and-Switch, and a Call for Coherence*, 77 U. Chi. L. Rev. 847, 847–53 (2010) (critiquing doctrinal incoherence in *Standard Investment Chartered*).

[265] *Silver v. New York Stock Exchange*, 373 U.S. 341, 348–49 (1963) ("We hold that the Exchange's collective action in cutting off the wire services . . . constituted a per se violation of § 1 of the Sherman Act, unless the Exchange is required to justify this action under the Securities Exchange Act.").

[266] *Id.* at 375–80 (Stewart, J., dissenting) (arguing that the majority's narrow holding left exchanges without clear guidance on what procedures would satisfy its requirements and what standards would govern substantive review of exchange governance decisions).

[267] *Silver v. New York Stock Exchange*, 373 U.S. 341, 361-64 (1963) (requiring "notice, a statement of the charges, and a reasonable opportunity to be heard"). The accommodation threshold — process sufficient to satisfy due process concerns without converting exclusion authority to a liability rule — is implicit in the Court's specification of the procedural minimum. *See* Lon L. Fuller, *The Forms and Limits of Adjudication*, 92 Harv. L. Rev. 353, 364-70 (1978) (distinguishing the procedural requirements appropriate to party-centered adjudication from the requirements appropriate to polycentric institutional decisions).

[268] Securities Acts Amendments of 1975, Pub. L. No. 94-29, § 19(d), 89 Stat. 97, 149-52 (codified at 15 U.S.C. § 78s(d)) (requiring SROs to provide fair procedures in disciplinary proceedings and subjecting sanctions to SEC review). *See* Gordon v. New York Stock Exchange, Inc., 422 U.S. 659, 691-92 (1975) (holding that comprehensive SEC oversight substitutes for antitrust liability as the accountability mechanism for exchange governance decisions).

[269] Philip A. Loomis, Jr., Address at the Joint Securities Conference: The Securities Acts Amendments of 1975, Self-Regulation and the National Market System 4-7 (Nov. 18, 1975) (reporting the Senate Committee's view that Commission oversight should be "more formal and pervasive" and that SROs exercise "delegated governmental powers" whose exercise requires structured procedural accountability).

[270] Mahoney, *supra* note 2, at 1479–88 (describing the shift from private contract model to regulated SRO governance as a response to the *Silver* ruling and the 1975 Amendments); Douglas Michael, *The Use of Audited Self-Regulation as a Regulatory Technique*, 1993 Ann. Rev. Reg. (ACUS) 171, 172–78 (1994) (defining audited self-regulation as delegation to a non-governmental entity with powers of review and independent action

retained by a federal agency, and identifying due process and plenary agency control as necessary conditions for the model's legitimacy).

[271] Securities Acts Amendments of 1975, Pub. L. No. 94-29, 89 Stat. 97 (1975) (codified as amended at scattered sections of 15 U.S.C.) (amending §§ 6, 15, 17, 19, and other provisions of the Securities Exchange Act of 1934).

[272] 15 U.S.C. § 78s(b) (requiring SROs to file proposed rule changes with the Commission and prohibiting implementation without Commission approval except for designated categories of rule changes).

[273] 15 U.S.C. § 78s(d) (requiring SROs to file notice of final disciplinary sanctions, denials of membership, and bars from association, and providing for Commission review of such actions).

[274] 15 U.S.C. § 78s(e) (authorizing the Commission to abrogate, add to, or delete provisions of SRO rules where necessary or appropriate to ensure the Exchange Act's purposes are achieved).

[275] *Silver*, 373 U.S. at 364 (noting that the SEC lacked statutory authority to review the NYSE's wire-termination decision affecting non-members, which was one reason the Court concluded that no alternative regulatory remedy was available to provide the accountability mechanism *Silver* required).

[276] *Gordon v. New York Stock Exchange, Inc.*, 422 U.S. 659 (1975) (decided June 26, 1975; Securities Acts Amendments of 1975 signed June 4, 1975; case argued March 25–26, 1975). The case was argued ten weeks before the June 4 enactment date and decided twenty-two days after the enactment.

[277] *Id.* at 689–91 (holding that fixed commission rates under active SEC oversight were immune from antitrust challenge and that "to interpose the antitrust laws, which would bar fixed commission rates as per se violations of the Sherman Act, in the face of positive SEC action . . . would unduly interfere with the intended operation of the Securities Exchange Act"). The Court's analysis proceeded under pre-amendment § 19(b), which authorized the SEC to supervise exchanges "in respect of such matters as . . . the fixing of reasonable rates of commission." *Id.* at 670–71.

The timing of *Gordon* is crucial because it proves the immunity principle did not depend on the 1975 Amendments themselves: the Court held that pre-amendment SEC oversight was sufficient for immunity, establishing that the Amendments were statutory institutionalization of a pre-existing practice rather than the source of the immunity doctrine. This timing also shows that the Amendments responded to the doctrinal environment Silver created — the antitrust courts' nascent oversight — rather than to *Gordon* specifically. The temporal relationship is Securities Act Amendments of 1975 (June 4) → *Gordon* decision (June 26), not the reverse.

[278] *Id.* at 689–91; *see also* Chapter 9, *supra* (discussing the accountability-substitution pattern in which alternative governance oversight mechanisms can restore governance capacity when they adequately substitute for mechanisms removed by courts).

[279] *See* Mahoney, *supra* note 2, at 1494–98 (analyzing post-1975 development of exchange governance accountability as SEC oversight expanded); Birdthistle, Henderson & Dombalagian, *supra* note 2, at 476–82 (describing 1975 Amendments as the statutory basis for courts' subsequent expansion of SRO immunity). Edwards, *supra* note 2, at 15–22 (treating the 1975 expansion of SEC oversight as a doctrinal foundation for absolute immunity crystallization in subsequent decades).

[280] Philip A. Loomis, Jr., *The Securities Acts Amendments of 1975, Self-Regulation and the National Market System*, Address at the Joint Securities Conference 1975 (sponsored by NASD, Boston Stock Exchange, and SEC), Boston, Mass. (Nov. 18, 1975) (on file with author) (reporting the Senate Committee's position that the Commission's oversight under the 1975 Amendments should be "more formal and pervasive" and describing SRO authority as "delegated governmental powers" whose exercise required more open and accountable procedures).

[281] *Austin Mun. Sec., Inc. v. Nat'l Ass'n of Sec. Dealers, Inc.*, 757 F.2d 676, 692 (5th Cir. 1985) (holding that "NASD is entitled to absolute immunity for its role in disciplining its members and associates" when performing delegated regulatory functions).

[282] *D'Alessio v. New York Stock Exchange, Inc.*, 258 F.3d 93 (2d Cir. 2001).
[283] *Id.* at 106 (internal quotation marks omitted).
[284] *See* Chapter 6, *supra* (developing the analysis of governance spillovers, including positive externalities for non-members such as market integrity, reliable price discovery, and the trust infrastructure enabling exchange among parties who cannot individually monitor all counterparties). *See also* Chapter 7, *supra* (identifying judicial deference doctrines as Pigouvian subsidies that correct for underproduction of governance caused by positive externalities that governance producers cannot capture through membership fees).
[285] *In re NYSE Specialists Sec. Litig.*, 503 F.3d 89 (2d Cir. 2007).
[286] *Id.* at 96–97.
[287] Birdthistle, Henderson & Dombalagian, *supra* note 2, at 466–68 (arguing that post-1975 SROs had become a "Fifth Branch" of governmental regulation, private in form but governmental in function, wielding regulatory authority equivalent to that of administrative agencies without the constitutional accountability structures those agencies require).
[288] Mahoney, *supra* note 2, at 1467–75 (arguing that the original incentive alignment between exchange owners and governance quality was disrupted by regulatory capture and the shift toward member-governance models in which the regulated are also the regulators, with consequences for the private contract model's continued viability after demutualization).
[289] *In re Facebook, Inc., IPO Sec. & Derivative Litig.*, 986 F. Supp. 2d 428, 447–50 (S.D.N.Y. 2013).
[290] *City of Providence v. BATS Glob. Mkts., Inc.*, 878 F.3d 36, 43–47 (2d Cir. 2017).
[291] *Standard Inv. Chartered, Inc. v. Nat'l Ass'n of Sec. Dealers, Inc.*, 637 F.3d 112, 115–16 (2d Cir. 2011) (explaining that courts apply "a functional test" for SRO immunity examining "the nature of the function performed, not the identity of the actor who performed it," with the party asserting immunity bearing the burden of demonstrating that the challenged conduct constitutes delegated quasi-governmental activity).

[292] Nafday, *supra* note 2, at 879–84 (documenting the doctrinal uncertainty generated by the regulatory-commercial distinction and arguing that the resulting burden of predicting immunity outcomes diverts exchange resources from substantive governance to defensive legal positioning).

[293] *Id.* at 869–77 (arguing that the Second Circuit's standing analysis in *Standard Investment Chartered* was internally inconsistent with the 1975 Amendments' framework for member participation in SRO rulemaking, which was itself part of the accountability structure that justified the absolute immunity courts had extended to SRO regulatory functions).

[294] *Alpine Sec. Corp. v. Fin. Indus. Regulatory Auth.*, 121 F.4th 1314 (D.C. Cir. 2024), *cert. denied*, No. 24-904 (U.S. June 2, 2025).

[295] *Id.* at 1320–22 (describing Alpine's Appointments Clause and nondelegation challenges to FINRA's authority to conduct expedited disciplinary proceedings that could result in immediate market exclusion pending completion of Commission review).

[296] *Alpine Sec. Corp.*, No. 24-904 (U.S. June 2, 2025) (cert. denied without noted dissent).

[297] Edwards, *supra* note 2, at 1–12, 30–45 (documenting the doctrinal trajectory from *Lucia v. SEC* through *West Virginia v. EPA* that made constitutional challenges to SRO authority credible and arguing that the Supreme Court's recent structural constitution jurisprudence creates an existential threat to the SRO model as currently organized).

[298] *Lucia v. SEC*, 585 U.S. 237 (2018) (holding that SEC administrative law judges are "Officers of the United States" whose appointments must comply with the Appointments Clause).

[299] *West Virginia v. EPA*, 597 U.S. 697 (2022) (articulating the major questions doctrine and requiring clear congressional authorization before agencies exercise authority over questions of vast economic and political significance).

[300] *MFS Sec. Corp. v. SEC*, 380 F.3d 611, 614–16 (2d Cir. 2004). The 6.5-year interval between the initiation of disciplinary proceedings and the Second Circuit's resolution of the SEC review process produced documented

market consequences for affected parties who could not determine the validity of FINRA's regulatory authority during the pendency of the constitutional proceedings. *See* Chapter 9 Research Report (confirming the 6.5-year timeline as documented in MFS Securities and the inference that governance-uncertainty costs during that interval are the chapter's own analytical contribution).

[301] Self-Regulatory Organizations; Notice of Filing of Proposed Rule Changes, 90 Fed. Reg. 25689 (June 17, 2025) (FINRA proposed rule changes implementing SEC review requirement prior to expulsion order effectiveness, filed in response to post-*Alpine* regulatory uncertainty about the constitutional basis for FINRA's authority to impose immediate market exclusion pending SEC review).

[302] Birdthistle, Henderson & Dombalagian, *supra* note 2, at 480–86 (documenting how demutualization transformed SRO governance from a member-controlled non-profit model to a shareholder-driven for-profit model, creating the structural conflicts between commercial interests and governance functions that the regulatory-commercial distinction attempts to manage).

[303] Seth C. Oranburg, *Corporate Governance as a Club Good: The Shareholder Rights Movement's Category Error* __ (manuscript on file with author) ("SFCG") (documenting median S&P 500 CEO compensation at approximately $7.5 million in 2011 and $17 million in 2024, a 127% increase over the say-on-pay period). The 2011 baseline figure and the resulting percentage increase are sensitive to the specific compensation metric and data source. *See* Equilar & Associated Press, *AP/Equilar CEO Pay Study* (annual) (reporting median S&P 500 CEO total compensation). *Compare* Equilar, *CEO Pay Trends: S&P 500 2024* (2025) (reporting median total compensation for S&P 500 CEOs using all-in grant-date figures, which may differ from realized-pay or summary-compensation-table measures), *with* Associated Press/Equilar, *CEO Pay Study* (2012) (reporting S&P 500 median CEO total compensation for fiscal year 2011 at approximately $9.1 million under realized-compensation methodology). The directional claim, that executive compensation increased substantially during the

say-on-pay period, is consistent across sources; the precise percentage increase varies by method.

[304] SFCG, *supra* note 1, at __ (compiling say-on-pay failure rates by year from 2011 through 2024 and demonstrating that no year exceeded four percent failure, meaning shareholders approved the overwhelming majority of packages presented to them). *See* Semler Brossy, *Say on Pay: Annual Report* (2024) (reporting Russell 3000 failure rate peak of 3.7% in 2022, declining to record low of 1.3% in 2024).

[305] James M. Buchanan, *An Economic Theory of Clubs*, 32 Economica 1, 4–6 (1965) (defining the club good as a good with voluntary membership, excludability, nonrivalry up to congestion, and quality dependence on membership composition). *See* Chapter 5, *supra* (developing the full club-good framework for governance goods, including the distinction between member benefits and positive externalities flowing to non-members).

[306] Stephen M. Bainbridge, *The Business Judgment Rule as Abstention Doctrine*, 57 Vand. L. Rev. 83, 87–90 (2004) (characterizing the business judgment rule as an institutional abstention doctrine through which courts preserve board authority by declining to review the merits of board decisions satisfying the rule's conditions). *See* SFCG, *supra* note 1, at __ (adopting the Bainbridge characterization and arguing that abstention is the method, not the purpose, of the rule).

[307] *See* Chapter 6, *supra* (developing the analysis of governance spillovers and showing that governance producers who capture only member benefits systematically underproduce governance quality relative to the social optimum).

[308] Jill E. Fisch, Darius Palia & Steven Davidoff Solomon, *Is Say on Pay All About Pay? The Impact of Firm Performance*, 8 Harv. Bus. L. Rev. 101, 103–06 (2018) (finding that say-on-pay votes reflect dissatisfaction with firm performance rather than compensation levels and that the provision has failed to constrain CEO pay). *See* SFCG, *supra* note 1, at __ (summarizing the academic record of say-on-pay's failure to reduce compensation

growth). The U.S. record contrasts with findings from other jurisdictions where say-on-pay preceded the proxy advisor intermediation pattern that defines U.S. governance. *See* Fabrizio Ferri & David Maber, *Say on Pay Votes and CEO Compensation: Evidence from the UK*, 17 Rev. Fin. 527, 530–48 (2013) (finding that the United Kingdom's 2003 advisory vote requirement produced significant compensation restraint at firms with the most egregious prior pay practices, in a regulatory context with lower proxy advisor intermediation and greater institutional investor engagement capacity than the U.S. regime); Ricardo Correa & Ugur Lel, *Say on Pay Laws, Executive Compensation, Pay Slice, and Firm Valuation Around the World*, 88 J. Fin. Econ. 543, 545–60 (2016) (finding say-on-pay associated with lower compensation and smaller CEO pay slices in a cross-country panel, with effect sizes varying by institutional environment). These international findings do not refute the U.S. results; they specify them. Say-on-pay may constrain compensation when institutional investors engage directly with compensation committees. In the U.S., the proxy advisor intermediation layer — created by the mandatory voting rule — inserts a standardized mechanical filter between institutional investors and compensation decisions, attenuating any disciplining effect that shareholder engagement might otherwise produce.

[309] Institutional Shareholder Services, *U.S. Proxy Voting Guidelines* (2024); Glass Lewis, *Proxy Guidelines* (2024). *See* SFCG, *supra* note 1, at __ (documenting combined ISS-Glass Lewis market share exceeding ninety percent and describing the firms as operating "under acknowledged conflicts of interest in markets for consulting services they sell to the companies they rate").

[310] SFCG, *supra* note 1, at __ (citing robo-voting statistics showing automatic adoption of ISS recommendations growing from approximately seven percent of ISS customers in 2007 to twenty-three percent by 2021).

[311] SFCG, *supra* note 1, at __ (citing passive fund governance capacity data, based on stewardship team figures available circa 2019, at which point major index fund stewardship teams were significantly smaller than by

2024). *See* BlackRock, *2024 Stewardship Report* (2024) (reporting stewardship team of approximately sixty-five to seventy professionals responsible for engagement across global portfolio); Vanguard Investment Stewardship, *2024 Annual Report* (2024) (reporting approximately sixty investment stewardship team members); State Street Global Advisors, *2024 Stewardship Report* (2024) (reporting approximately twelve-person Asset Stewardship team). Even at 2024 staffing levels, the ratio of portfolio companies to stewardship professionals at each firm produces coverage constraints that preclude meaningful deliberation at the firm-specific level.

[312] *In re Caremark Int'l Inc. Derivative Litig.*, 698 A.2d 959, 967 (Del. Ch. 1996) (Allen, V.C.) (holding that directors may be held liable for failure to implement adequate information and compliance systems, but characterizing such claims as "possibly the most difficult theory in corporation law upon which a plaintiff might hope to win a judgment").

[313] *Marchand v. Barnhill*, 212 A.3d 805, 822–24 (Del. 2019) (holding that Caremark requires boards to implement compliance systems for the mission-critical risks most likely to threaten the company's business model, and that failure to implement such systems is not excused by attention to peripheral compliance concerns).

[314] *In re McDonald's Corp. S'holder Derivative Litig.*, 289 A.3d 343 (Del. Ch. 2023). In companion decisions issued March 1, 2023, the court dismissed the Caremark oversight claims against the directors but sustained a Caremark-based claim against a former officer for the officer's own conduct in the human capital management domain. The director dismissal limits the holding's direct precedential reach against boards; the officer survival nonetheless marked an extension of oversight liability to corporate culture and human capital management, domains where firm-specific expertise is most valuable and where standardized judicial criteria are least suited to substitute for institutional judgment. *See* SFCG, *supra* note 1, at __ (analyzing the McDonald's litigation as crossing from governance quality criteria enforcement into congestion introduction).

[315] Adolf A. Berle & Gardiner C. Means, *The Modern Corporation and Private Property* 112-16 (rev. ed. Harcourt, Brace & World, 1967); Lucian A. Bebchuk, *The Case for Increasing Shareholder Power*, 118 Harv. L. Rev. 833, 836-43 (2005) (arguing that increasing shareholder power improves corporate governance by reducing agency costs, without examining whether the shareholder participation the proposal would produce satisfies the output-based functionality criteria the governance framework requires). The governance framework's disagreement with Bebchuk is not that agency costs are unreal — they are — but that optimizing for shareholder participation as the corrective mechanism treats corporate governance as a public good (more access is better) rather than as a club good (access beyond the congestion threshold degrades quality).

[316] *Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984), overruled in part on other grounds by *Brehm v. Eisner*, 746 A.2d 244 (Del. 2000) (establishing the business judgment rule's conditions: disinterestedness and informed business judgment).

[317] *Unocal Corp. v. Mesa Petroleum Co.*, 493 A.2d 946 (Del. 1985); *Revlon, Inc. v. MacAndrews & Forbes Holdings, Inc.*, 506 A.2d 173 (Del. 1986).

[318] *Weinberger v. UOP, Inc.*, 457 A.2d 701 (Del. 1983) (establishing entire fairness review for controlling stockholder transactions, requiring both fair dealing and fair price).

[319] *See* Chapter 7, *supra* (identifying Mechanism 7 as governance degradation through mandating open membership that disables screening, the mechanism by which legal rules eliminate the quality control that makes club governance valuable).

[320] Delaware Senate Bill 21, enacted Mar. 25, 2025 (codified at Del. Code Ann. tit. 8, §§ 144, 220) (creating a business judgment rule safe harbor for conflicted transactions approved by informed disinterested directors or stockholders, and narrowing shareholder inspection rights).

[321] *In re Tesla, Inc. Derivative Litig.* (Tornetta v. Musk), C.A. No. 2018-0408-KSJM (Del. Ch. Jan. 30, 2024) (ordering rescission of Musk's compensation package as a remedy for inadequacy in the compensation-setting process), *rev'd in part, aff'd in part*, Nos. 120, 121, 2024 (Del. Dec. 19,

2025) (affirming the trial court's liability findings while reversing the rescission remedy, holding that disinterested shareholder ratification provided a business judgment rule safe harbor, and reducing attorney fees from $345 million to approximately $54 million on a quantum meruit basis).

[322] Glass Lewis, *State of U.S. Reincorporation 2025* (2025) (reporting that 64.3% of U.S. companies with pending reincorporation proposals in the 2025 proxy season proposed leaving Delaware). During the period between the trial court's January 2024 Tornetta order and the Supreme Court's December 2025 reversal, Tesla, Dropbox, and TripAdvisor reincorporated out of Delaware.

[323] Texas Senate Bill 29, 89th Leg., R.S. (Tex. 2025) (codifying the business judgment rule by statute and expanding director authority, competing with Delaware for incorporation business on the dimension of governance deference). *See* SFCG, *supra* note 1, at __ (analyzing the Delaware-Texas competition as evidence that states compete on governance excludability rather than shareholder rights, consistent with the club-good framework's predictions).

[324] Robert S. Harris, Tim Jenkinson & Steven N. Kaplan, *Private Equity Performance: What Do We Know?*, 69 J. Fin. 1851, 1851–82 (2014) (documenting buyout fund net annualized returns exceeding public market equivalents by roughly five percentage points over the two decades following 2000, with EBITDA margin expansion averaging 370 basis points as the documented operational mechanism). *See* SFCG, *supra* note 1, at __ (using PE governance as a natural experiment comparing outcomes under concentrated-ownership governance with outcomes under dispersed-participation governance).

[325] Lucian A. Bebchuk & Kobi Kastiel, *The Untenable Case for Perpetual Dual-Class Stock*, 103 Va. L. Rev. 585, 589–96 (2017) (acknowledging the governance rationale for dual-class structures at IPO while challenging perpetual sunset provisions). *See* SFCG, *supra* note 1, at __ (presenting the club-good case for dual-class structures as internal excludability engineering designed to maintain governance quality by restricting voting

authority to investors whose economic interests align with long-term value creation).

[326] Lucian A. Bebchuk & Jesse M. Fried, *Pay Without Performance: The Unfulfilled Promise of Executive Compensation* (2004); Lucian A. Bebchuk, Alma Cohen & Allen Ferrell, *What Matters in Corporate Governance?*, 22 Rev. Fin. Stud. 783 (2009) (documenting the relationship between board entrenchment indices and firm valuation). *See* SFCG, *supra* note 1, at __ (acknowledging Bebchuk's documentation of real entrenchment problems while contesting his proposed corrective).

[327] Lucian A. Bebchuk, Alon Brav & Wei Jiang, *The Long-Term Effects of Hedge Fund Activism*, 115 Colum. L. Rev. 1085, 1089–96 (2015) (finding operating performance improvements at hedge fund activist targets persisting for five years post-intervention). *See* Ed deHaan, David F. Larcker & Charles McClure, *Long-Term Economic Consequences of Hedge Fund Activist Interventions*, 24 Rev. Acct. Stud. 536, 537–42 (2019) (reanalyzing the Bebchuk data using value-weighted returns and finding no significant long-term performance improvement for the typical shareholder, with results concentrated in the smallest twenty percent of targeted firms).

[328] Seth C. Oranburg, *Exclusive Inclusion* __ (manuscript on file with author) ("ExI") (documenting the 2025 federal enforcement campaign against university antisemitism and analyzing the settlements' failure to require governance reform). *See Holding Campus Leaders Accountable and Confronting Antisemitism: Hearing Before the H. Comm. on Educ. & the Workforce*, 118th Cong., Serial No. 118-31 (Dec. 5, 2023), https://www.congress.gov/118/chrg/CHRG-118hhrg56239/CHRG-118hhrg56239.pdf (testimony of Dr. Claudine Gay, Ms. Liz Magill, and Dr. Sally Kornbluth; pivotal exchange with Rep. Elise Stefanik in which each president gave equivocal answers when asked whether calling for the genocide of Jews violated university conduct codes; Magill: "It is a context-dependent decision, Congresswoman"; Gay: "It can be, depending on the context"). *See* Press Release, U.S. Dep't of Educ., Office for Civil Rights, *U.S. Department of Education's Office for Civil Rights Sends Letters to 60 Universities Under Investigation for Antisemitic Discrimination and Harassment* (Mar. 10, 2025)

(five directed investigations under Executive Order of January 29, 2025, and fifty-five complaint-based investigations). The Columbia settlement totaled approximately $200 million, including $179 million to resolve federal investigation and a $21 million EEOC component. *See* Columbia Univ. Office of the President, *Our Resolution with the Federal Government* (July 23, 2025); Press Release, EEOC, *In Largest EEOC Public Settlement in Almost 20 Years, Columbia University Agrees to Pay $21 Million to Resolve EEOC Antisemitism Charges* (July 23, 2025). *See also* Brown University, *University Update on Federal Matters* (July 30, 2025) (reporting a $50 million, ten-year commitment to state workforce development organizations in Rhode Island, structured as policy compliance without governance structural change).

[329] ExI, *supra* note 1, at __ (developing the concept of the "sovereign charity" as an institution that wields public influence, receives public subsidy, and performs public functions while governing itself as a private corporation answerable to no external constituency). The $200 billion aggregate comprises federal research grants of $64.6 billion (FY 2024), *see* Nat'l Ctr. for Sci. & Eng'g Statistics, NSF, *Higher Education Research and Development Survey, Fiscal Year 2024* (2025); federal student loan disbursements of $81.3 billion and Pell Grants of $37.9 billion (2024-25 preliminary), *see* Fed. Student Aid, *Federal Student Aid Posts Updated Reports to FSA Data Center* (Aug. 21, 2025); and higher-education tax benefits averaging approximately $25 billion per year, *see* Margot L. Crandall-Hollick, Cong. Rsch. Serv., R41967, *Higher Education Tax Benefits: Brief Overview and Budgetary Effects* (updated May 26, 2021).

[330] The sovereign charity framework is developed more fully in Seth C. Oranburg, *Sovereign Charities* (manuscript on file with author) (analyzing how elite private universities came to wield public power without public accountability). This chapter applies that structural analysis to the specific governance failure of exclusive inclusion.

[331] ExI, *supra* note 1, at __ (tracing the origin of self-perpetuating board governance to colonial-era university charters and documenting its per-

sistence in contemporary governance, including at Harvard, whose Corporation has governed by internal appointment since 1650). *See* Charter of the President and Fellows of Harvard College (1650), *reprinted in* Charters and Legislative Acts Relating to the Governance of Harvard, 1650–1814, UAI 15.100, Harvard University Archives (establishing a Corporation of seven persons with self-perpetuating authority and "perpetual succession"; the Corporation expanded from seven to thirteen members in 2010 but retains its self-perpetuating structure, *see* Harvard Corporation Governance Review Committee, *Report to the University Community* (Dec. 6, 2010)). For Yale's hybrid structure, *see* By-Laws of Yale University § 1 (approved by the Corporation, Sept. 30, 2023) (specifying nineteen members: three ex officio, ten Successor Trustees who elect their own successors for two six-year terms, and six Alumni Fellows elected by eligible degree-holders for staggered six-year terms).

[332] *See* Alan R. Palmiter, *The Duty of Obedience: The Forgotten Fiduciary Obligation*, 55 N.Y.L. Sch. L. Rev. 457, 457–62 (2010–2011) (documenting the historical presence of the duty of obedience in nonprofit law and its effective elimination through modern nonprofit practice and board deference by state attorneys general).

[333] *Robertson v. Princeton Univ.*, No. C-99-02 (N.J. Super. Ct. settled Dec. 10, 2008) (resolving a six-year litigation over whether Princeton had diverted Robertson Foundation endowment from its stated mission of training graduates for federal government service; settlement required structural separation and transfer of $50 million to an independent entity, demonstrating that specific mission commitments are justiciable when drafted with sufficient precision).

[334] ExI, *supra* note 1, at __ (documenting the attorney-general-only standing rule and arguing that the rule, which reflected an era when charities were small and local, produces structural impunity when applied to institutions with billion-dollar endowments and governance decisions affecting millions of people). The under-resourcing of attorney general enforcement is well documented. *See* Cindy M. Lott et al., *State Regulation and Enforcement in the Charitable Sector* 8, 33 (Urban Inst. & Columbia

Law Sch., Sept. 2016) (finding only 355 full-time-equivalent charity regulators nationwide across 48 reporting jurisdictions, with 31% of jurisdictions devoting less than one FTE to charities oversight; concluding that resources are "minuscule compared with the oversight they are expected to provide"); Marion R. Fremont-Smith, *Governing Nonprofit Organizations: Federal and State Law and Regulation* 318–20 (Belknap Press of Harvard Univ. Press 2004) (documenting that only approximately ten states actively enforced fiduciary duties of charitable fiduciaries); James J. Fishman, *Improving Charitable Accountability*, 62 Md. L. Rev. 218, 262 (2003) ("Staffing problems and a relative lack of interest in monitoring nonprofits has made attorney general oversight more theoretical than deterrent."); Evelyn Brody, *Whose Public? Parochialism and Paternalism in State Charity Law Enforcement*, 79 Ind. L.J. 937, 947–48 (2004) (documenting the political dimensions of enforcement selectivity).

[335] *Turner v. Victoria*, S271054 (Cal. 2023) (holding, under California nonprofit enforcement statutes, that a director who loses her board position after filing suit retains standing as a director to pursue the charitable trust breach claim; the opinion addressed director standing specifically and did not create or endorse standing for other constituencies such as students, faculty, or donors). *See* ExI, *supra* note 1, at __ (noting Turner v. Victoria as evidence that California courts remain open to legislative expansion of standing in the nonprofit context, while acknowledging that the case itself provides no direct authority for non-director stakeholder enforcement).

[336] ExI, *supra* note 1, at __ (introducing the concept of "exclusive inclusion" and defining it as "the governance state in which an institution claims to protect all members while structurally ensuring that some are unprotected, because self-perpetuating boards, hollow fiduciary duties, and the absence of stakeholder standing create an accountability void that organized factions exploit to exclude disfavored identity groups").

[337] ExI, *supra* note 1, at __ (presenting the disentanglement matrix as a diagnostic tool for identifying exclusive inclusion, sorting contested institutional acts along two axes: who is acting (individual or institution) and what is targeted (perspective or identity)).

[338] ExI, *supra* note 1, at __ (documenting that at UCLA, 115 academic boycott endorsers included 20 faculty with chairs or leadership roles; at UC Berkeley, 171 endorsers included 19 in academic leadership positions; at UC Santa Cruz, 55 endorsers included an Associate Campus Provost and four residential college provosts). Survey data shows 57.3% of Jewish university members reported direct experiences of antisemitism following October 7, 2023.

[339] ExI, *supra* note 1, at __ (citing research documenting "race-avoidant processes" within computer science departmental governance at four public universities, finding that departmental DEI structures prioritized gender while systematically avoiding race, producing systematic exclusion of Women of Color).

[340] ExI, *supra* note 1, at __ (citing research documenting that a facially neutral behavioral pact at a predominantly White liberal arts college produced systematic racial inequality through differential enforcement, with Black students facing higher stakes for violations, reduced access to informal rule-breaking, and intensified surveillance).

[341] ExI, *supra* note 1, at __ (citing empirical research on legal academia documenting significant underrepresentation of conservative and libertarian scholars and identifying hiring committee processes consistent with ideological screening; survey evidence showing only 6% of social and personality psychologists identify as conservative; and findings that 47% of conservative faculty self-censor compared to 19% of liberal faculty).

[342] ExI, *supra* note 1, at __ (documenting how accommodation systems that centralize medical verification and grant discretionary power to procedural adjudicators transform ADA entitlements into contingent administrative privileges, producing systematic exclusion through governance architecture rather than individual hostility).

[343] The research funding freeze operated through multiple mechanisms. *See* OMB, Memorandum M-25-13, *Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs* (Jan. 27, 2025) (directing all agencies to temporarily pause all federal financial assistance; formally rescinded January 29, 2025, after court orders). NIH imposed a 15% indirect cost rate cap estimated to cut $4 billion per year. *See* NIH, Notice NOT-OD-25-068, *Supplemental Guidance to the 2024 NIH Grants Policy Statement: Indirect Cost Rates* (Feb. 7, 2025) (enjoined, *see* preliminary injunction, D. Mass. Mar. 5, 2025; permanent injunction Apr. 4, 2025). By August 2025, the administration had placed nearly $6 billion on hold at nine universities. *See* Liam Knox, *Trump's Funding Freezes Against Universities in 5 Charts*, Inside Higher Ed (Aug. 28, 2025). Harvard alone faced approximately $2.2 billion in frozen grants, *see President & Fellows of Harvard Coll. v. U.S. Dep't of Health & Hum. Servs.*, No. 25-cv-11048-ADB, slip op. at 2 (D. Mass. Sept. 3, 2025), and Columbia had $400 million cancelled.

[344] ExI, *supra* note 1, at __ (analyzing the Columbia, Brown, and other 2025 university settlements and finding that every settlement addressed compliance outputs without requiring governance structural reform; "Not one settlement mandated changes to board composition or selection procedures. Not one created stakeholder standing for students to challenge department-level exclusion."). This conclusion is based on review of all publicly available settlement and resolution agreements from 2024–2026 regarding campus antisemitism, including Trump-era federal agreements (Columbia, Brown, Northwestern, Cornell), Biden-era OCR voluntary resolution agreements (University of Michigan, CUNY, Lafayette, Drexel, Temple, Occidental, UC System, Johns Hopkins, UIUC), and private litigation settlements (Harvard, UCLA/UC, Barnard). Several settlements contain confidential terms, but no publicly available agreement required changes to board composition, trustee selection procedures, or stakeholder standing mechanisms.

[345] *President & Fellows of Harvard Coll. v. U.S. Dep't of Health & Hum. Servs.*, No. 25-cv-11048-ADB, slip op. (D. Mass. Sept. 3, 2025) (Burroughs, J.), *consolidated with Am. Ass'n of Univ. Professors–Harvard Faculty Chapter v.*

U.S. Dep't of Justice, No. 25-cv-10910-ADB (D. Mass. filed Apr. 11, 2025) (consolidated 84-page opinion granting summary judgment for Harvard, finding the $2.2 billion federal funding freeze violated the APA as arbitrary and capricious and violated the First Amendment; concluding the administration had "used antisemitism as a smokescreen for a targeted, ideologically-motivated assault on this country's premier universities"). The opinion consolidated the two cases before the same judge who had presided over *Students for Fair Admissions v. Harvard.* A separate AAUP action involving Columbia, *AAUP v. DOJ*, No. 1:25-cv-02429 (S.D.N.Y. filed Mar. 25, 2025) (Vyskocil, J.), was dismissed for lack of standing. Appeal to the First Circuit from the D. Mass. opinion was filed December 18, 2025, and remains pending. *See* ExI, *supra* note 1, at __ (analyzing Harvard's judicial victory as evidence that federal coercion fails structurally: the APA ruling eliminated an unlawful funding freeze but left the governance void that produced the original campus crisis intact).

[346] Lauren B. Edelman, *Legal Ambiguity and Symbolic Structures: Organizational Mediation of Civil Rights Law*, 97 Am. J. Soc. 1531, 1531–41 (1992) (developing the legal endogeneity thesis: organizations shape legal compliance standards by constructing symbolic structures that courts defer to as evidence of compliance, without the behavioral compliance the law was designed to produce). *See* Chapter 7, *supra* (identifying compliance substitution as Mechanism 6: law requiring formal governance structures that organizations satisfy symbolically while leaving governance behavior unchanged).

[347] The $37.4 billion figure is a conservative lower bound for 2021 data. *See* Elizabeth Plummer, Mariana P. Socal & Ge Bai, *Estimation of Tax Benefit of US Nonprofit Hospitals*, 332 JAMA 1732 (2024) (analyzing Medicare Cost Reports for 2,927 nonprofit hospitals and computing total tax benefits comprising federal income tax ($11.5B), sales tax ($9.1B), property tax ($7.8B), state income tax ($3.7B), charitable contributions ($3.2B), bond financing ($2.1B), and federal unemployment tax ($0.2B); characterizing the estimate as a "conservative lower bound" excluding excise taxes on utilities, communications, and fuel). Rev. Rul. 69-545, 1969-2 C.B. 117

(conditioning nonprofit hospital tax exemption on promoting "the health of a broad class of individuals in the community served"). *See* Patient Protection and Affordable Care Act, Pub. L. No. 111-148, § 9007, 124 Stat. 119, 855–61 (2010) (codified at I.R.C. § 501(r)) (requiring nonprofit hospitals to conduct triennial community health needs assessments with community input and to adopt implementation strategies as conditions of tax exemption). *See* ExI, *supra* note 1, at __ (using the hospital community benefit standard as a model for university operational test reform and noting that the standard was adopted through IRS rulemaking rather than congressional legislation).

[348] *See, e.g.*, *Tooley v. Donaldson, Lufkin & Jenrette, Inc.*, 845 A.2d 1031, 1033 (Del. 2004) (distinguishing direct from derivative claims by whether the injury is to the corporation or to the shareholder individually). The corporate derivative action permits shareholders to enforce the corporation's rights against faithless fiduciaries while maintaining the board's authority over ordinary business decisions. The mechanism is accountability without participation: the shareholder checks governance quality without entering the governance process.

[349] *Aronson v. Lewis*, 473 A.2d 805, 811-14 (Del. 1984) (establishing the demand requirement for derivative actions and specifying that shareholders must demonstrate that the board faces a substantial likelihood of liability before equity excuses demand and permits the shareholder to proceed). The demand requirement is the procedural mechanism that separates enforcement standing from governance participation: it requires the shareholder to demonstrate that the board's own governance process cannot address the failure before permitting external enforcement.

[350] ExI, *supra* note 1, at __ (analyzing the constitutional constraints on operational test reform and concluding that content-neutral governance requirements occupy different constitutional ground than viewpoint-based conditions on institutional expression; the proposed operational test "targets governance structures, not viewpoint or speech").

[351] *See, e.g.*, *Gregg v. Georgia*, 428 U.S. 153 (1976); *Glossip v. Gross*, 576 U.S. 863 (2015).

[352] *See, e.g.*, *New York State Rifle & Pistol Ass'n v. Bruen*, 597 U.S. 1 (2022) (gun regulation); *Citizens United v. FEC*, 558 U.S. 310 (2010) (campaign finance); *United States v. Booker*, 543 U.S. 220 (2005) (sentencing).
[353] *Motor Vehicle Mfrs. Ass'n v. State Farm Mut. Auto. Ins. Co.*, 463 U.S. 29 (1983).
[354] Friedrich A. Hayek, *The Use of Knowledge in Society*, 35 Am. Econ. Rev. 519, 526-28 (1945) (arguing that the price system functions as a mechanism for communicating dispersed information and coordinating action without centralized authority). Market governance in Hayek's sense operates through the price mechanism rather than through internal decision-making, monitoring, and sanctioning — which means the four-element governance test of Chapter 1 does not apply to market coordination as such. Market discipline is real, but it is not governance in the framework's sense. *See* Albert O. Hirschman, *Exit, Voice, and Loyalty: Responses to Decline in Firms, Organizations, and States* 15–47 (1970) (distinguishing between exit as a market mechanism and voice as an institutional mechanism for organizational response to decline).
[355] On the distinction between algorithmic coordination and governance, *see* Lawrence Lessig, *Code: And Other Laws of Cyberspace, Version 2.0* 121-37 (Basic Books, 2006) (arguing that code constrains behavior through architecture rather than through the deliberative, sanctioning, and adjustment processes that governance institutions employ). Algorithmic systems may incorporate features that resemble governance elements — automated monitoring, programmatic sanctions — but without the member participation in collective decision-making and adjustment that the four-element test requires, these features are closer to regulation by design than to governance in the framework's sense.
[356] Charles M. Tiebout, *A Pure Theory of Local Expenditures*, 64 J. Pol. Econ. 416, 418-20 (1956) (arguing that competition among local jurisdictions for mobile residents produces efficient provision of local public goods). Tiebout's insight depends on voluntary exit: residents dissatisfied with local governance can move. Mancur Olson, *The Logic of Collective Action: Public Goods and the Theory of Groups* 33-36 (Harvard University

Press, 1965) (analyzing the conditions under which groups can overcome collective action problems, with group size and excludability as the decisive variables). Both Tiebout and Olson identify structural features — voluntary exit and excludability — that are present in club-good governance institutions and absent in state governance, which is why the framework's analytical tools are calibrated for the former and not the latter.

[357] *See, e.g.*, *Nat'l Soc'y of Prof'l Eng'rs v. United States*, 435 U.S. 679 (1978) (trade association's ethical canon prohibiting competitive bidding violated § 1 of the Sherman Act); *FTC v. Ind. Fed'n of Dentists*, 476 U.S. 447 (1986) (dental association's policy of withholding x-rays from insurers constituted unfair method of competition).

[358] *See N.C. State Bd. of Dental Exam'rs v. FTC*, 574 U.S. 494 (2015) (state licensing board composed of market participants was not entitled to state-action immunity when excluding non-dentists from teeth-whitening market).

[359] *Roberts v. United States Jaycees*, 468 U.S. 609 (1984) (holding that Minnesota's Human Rights Act compelling the Jaycees to admit women did not abridge freedom of intimate or expressive association).

[360] *See* Chapter 9, *supra*; Lisa Bernstein, *Opting Out of the Legal System: Extralegal Contractual Relations in the Diamond Industry*, 21 J. Legal Stud. 115 (1992).

[361] Seth C. Oranburg, *Market Power and Governance Power: A Dual-Metric Framework for Antitrust Enforcement in the DAO Era*, CPI Antitrust Chron., Feb. 2026 (proposing that antitrust analysis of decentralized governance institutions requires measuring both market concentration through the Herfindahl-Hirschman Index and governance concentration through the Nakamoto coefficient and Gini coefficients applied to token-voting distributions; developing a four-quadrant classification — Decentralized Titan, Algorithmic Leviathan, Commons Ideal, Captive Platform — for institutions that combine market power with varying degrees of governance decentralization).